Composed & Solved
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MIDTERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 2)
SOLVED BY HONEY G

Ref No:
Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one
In pure capitalism, freedom of enterprise means that:

► Businesses are free to produce products that consumers want.
► Consumers are free to buy goods and services that they want.
► Resources are distributed freely to businesses.
► Government is free to direct the actions of businesses.
See the page No. 02

Question No: 2 (Marks: 1) - Please choose one
The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

► The demand curve for chicken to shift to the left.
► The demand curve for chicken to shift to the right.
► Quantity demanded of chicken to increase.
► Quantity demanded of chicken to decrease.
See the page No. 12

Question No: 3 (Marks: 1) - Please choose one
The supply curve is upward-sloping because:

► As the price increases, consumers demand less.
► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
► None of the given options.
► As the price increases, so do costs.
See the page No. 14

Question No: 4 (Marks: 1) - Please choose one
If the quantity supplied of oranges exceeds the quantity demanded then:

► There is a shortage of oranges.
► Market forces will cause the price to fall.
► Market forces will cause the price to rise.
► The market is in equilibrium.

Reference:

If the Supply increases the price will be fall for example jab ap bazar jaate ho to jis mosam ka phal aya hota he or bohat zyada aya hota he to us ke price bhe kam hote hai

Question No: 5 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

- ► Period of falling farm prices due to unusually good harvests.
- ► Substantial increase in farm productivity due to applications of new technology in agriculture.
- ► National security crisis leading to major shortages of essential goods.
- ► Period of extraordinary large surpluses of farm goods.

http://docs.google.com/viewer?a=v&q=cache:MEXc5S8Nep0J:www.econ.nthu.edu.tw/teachers/pan-wh/files/pe/Chap6.pdf+A+price+ceiling+might+be+an+appropriate+government+response+to+a&hl=en&gl=us&pid=bl&srcid=ADGEESisZCQQVfxENPuxBnxyjhD1hCYiWLF-VoIS4FO-6AaCilQgvb9-noaN86_y9LCgKkko_yu0y6jRhlFijwgVoBlcVXI-XZLGH-xwC---7xCUWpjmGNNA3HY5lVI6c5RRaDpssRVq&sig=AHIEtbSK-ZR8lmmpmG-sHO3kV78V4a-mNg (See the Question No. 03)

Question No: 6 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

- ► A surplus of credit.
- ► A shortage of credit.
- ► Greater profits for banks issuing credit.
- ► A perfectly inelastic supply of credit in the market place.

http://docs.google.com/viewer?a=v&q=cache:MEXc5S8Nep0J:www.econ.nthu.edu.tw/teachers/pan-wh/files/pe/Chap6.pdf+Assume+that+the+government+sets+a+ceiling+on+the+interest+rate+that+banks+charge+on+loans.+If+the+ceiling+is+set+below+the+market+equilibrium+interest+rate,+the+result+will+be:&hl=en&gl=us&pid=bl&srcid=ADGEESisZCQQVfxENPuxBnxyjhD1hCYiWLF-VoIS4FO-6AaCilQgvb9-noaN86_y9LCgKkko_yu0y6jRhlFijwgVoBlcVXI-XZLGH-xwC---7xCUWpjmGNNA3HY5lVI6c5RRaDpssRVq&sig=AHIEtbScb_F9SdJoSgmmCAkacHtOb8_jog (See the Question No. 05)

Question No: 7 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► Two prices and two quantities supplied.
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Page No. 26

Question No: 8 (Marks: 1) - Please choose one
When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.
► Unit elastic.
► Elastic.
► Inelastic.

Reference:
When the PED is elastic then the rise in price will result in a proportionately larger fall in the quantity demand, therefore, the consumer will be worse off.
http://www.bized.co.uk/virtual/vla/theories/interpreting_ped.htm

Question No: 9 (Marks: 1) - Please choose one
The numerical measurement of a consumer's preference is called:

► Use.
► Pleasure.
► Utility.
► Satisfaction.

Reference: you assign exact values or you measure utility in exact units, while the indifference curve approach is an ordinal approach. (See Handouts page no. 40)

Question No: 10 (Marks: 1) - Please choose one
According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

Handouts Page No.40

Question No: 11 (Marks: 1) - Please choose one
If your demand price for one unit of a good is $100 and the market price is $75, your consumer's surplus is:

► $25.
► $50.
► $75.
► $100.

CS= MU – P
CS= 100 – 75 = 25

Question No: 12 (Marks: 1) - Please choose one
Other things being equal, expected income can be used as a direct measure of well-being:

► No matter what a person's preference to risk.
► If and only if individuals are not risk-loving.
► If and only if individuals are risk averse.
► If and only if individuals are risk neutral.

Question No: 13 (Marks: 1) - Please choose one
If diminishing marginal utility holds and a person consumes less of a good then which of the following will happen; all else being equal?

► Marginal utility will decline.
► The price of the good will rise.
► Marginal utility will rise.
► Expenditure on the good will increase.

Question No: 14 (Marks: 1) - Please choose one
Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► Indifference curves slope upwards.
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.
http://www.finamatrix.com/IME-A4-ANS.doc (SEE THE QUESTION NO. 08)

Question No: 15 (Marks: 1) - Please choose one
If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

► The consumer's indifference curve must be positively sloped.
► The consumer's indifference curve must be convex with respect to the origin of the graph.
► The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.
► All of the given options.
MRS = MU of hamburger / MU of egg
MRS = 1 / 2

Question No: 16 (Marks: 1) - Please choose one

An indifference curve is:

► A collection of market baskets that are equally desirable to the consumer.
► A collection of market baskets that the consumer can buy.
► A curve whose elasticity is constant for every price.
► A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question No: 17 (Marks: 1) - Please choose one
Increase in pension benefits leads to income and substitution effect which:

► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► Encourage workers to retire earlier.
http://webcache.googleusercontent.com/search?q=cache:zkmkB30vkzIJ:www.econ.washington.edu/user/erose/Chap003.doc+Increase+in+pension+benefits+leads+to+income+and+substitution+effect+which&cd=6&hl=en&ct=clnk&gl=us

Question No: 18 (Marks: 1) - Please choose one
The substitution effect of a wage increase will lead a person to:

► Work more.
► Take more leisure.
► Not change anything.
► None of the given options.

Question No: 19 (Marks: 1) - Please choose one
Which of the following statements about indifference curves is NOT correct?

► Indifference curves are generally negatively sloped.
► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
► Two indifference curves cannot intersect unless they are identical throughout.
► Two different indifference curves can intersect but only once.

Question No: 20 (Marks: 1) - Please choose one
The income effect of a price change:

► Is always positive.
► Is always negative.

► May be positive or negative.
► Is associated with a change in nominal income.

Question No: 21 (Marks: 1) - Please choose one
When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

► An inferior good.
► A substitute good.
► An independent good.
► A normal good.

Question No: 22 (Marks: 1) - Please choose one
Which of the following statements describes the presence of diminishing returns holding at least one factor constant?

► The marginal product of a factor is positive and rising.
► The marginal product of a factor is positive but falling.
► The marginal product of a factor is falling and negative.
► The marginal product of a factor is constant.
http://www.kevinhinde.com/elearning/prod_costs/prod_costmchoice.htm
(See the question No.03)

Question No: 23 (Marks: 1) - Please choose one
Diminishing marginal returns implies:

► Decreasing marginal costs.
► Increasing marginal costs.
► Decreasing average variable costs.
► Decreasing average fixed costs.

Question No: 24 (Marks: 1) - Please choose one
An isocost line reveals the:
► Cost of inputs needed to produce along an isoquant.
► Cost of inputs needed to produce along an expansion path.
► Input combinations that can be purchased with a given outlay of funds.
► Output combinations that can be produced with a given outlay of funds.
Reference: The concept of isocost is similar to the budget line developed in indifference curve analysis. It is a line, which captures all the different combinations of **inputs that the firm can afford to hire**
Question No: 25 (Marks: 1) - Please choose one
Costs determine all of the following EXCEPT:

► Demand for a product.

- ► Firm's behaviour.
- ► How firms should expand?
- ► Firm's profitability.

Question No: 26 (Marks: 1) - Please choose one
If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ► Total revenue is less than total cost.
- ► Average revenue is less than average cost.
- ► Marginal revenue is less than marginal cost.
- ► Marginal revenue is greater than marginal cost.

In the MR-MC approach, two steps are followed to identify maximum profit. First: the profit-maximizing output is identified – this is the point where MR cuts MC. Second: the size of maximum profit is calculated using AC and AR curves. (See the handouts page No. 65)

Question No: 27 (Marks: 1) - Please choose one
In which market structure, each firm produces an identical product and there is freedom of entry and exit?

- ► Monopoly.
- ► Oligopoly.
- ► Perfect competition.
- ► Monopolistic competition.

See the Handouts page No. 72)

Question No: 28 (Marks: 1) - Please choose one
For a monopolist, changes in demand will lead to changes in:

- ► Price with no change in output.
- ► Output with no change in price.
- ► Both price and quantity.
- ► None of the given options.

A CHANGE IN DEMAND: A change in demand will cause a change in price, output and profits. http://tutor2u.net/economics/content/topics/monopoly/monopoly_profits.htm

Question No: 29 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ► The reservation price.
- ► The market price.
- ► The first-degree price.
- ► The block price.

Reservation price or reserve price in microeconomics is the maximum or the highest

price a buyer is willing to pay for a service or good.
http://www.itaxrebate.com/economics/reservation-price

Question No: 30 (Marks: 1) - Please choose one
Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.
► Excess capacity.
► Product diversity.
► The fact that long-run average cost is not minimized.
http://en.wikipedia.org/wiki/Monopolistic_competition

Question No: 31 (Marks: 1) - Please choose one
Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► An increase in the production of consumer goods.
(See the Page No. 05)

Question No: 32 (Marks: 1) - Please choose one
You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

► The demand for houses has increased.
► The demand curve for houses must be upward-sloping.
► The supply of houses has increased.
► Housing construction costs must be decreasing.

Question No: 33 (Marks: 1) - Please choose one
If the income elasticity of demand is 1/2, the good is:

► A luxury.
► A normal good (but not a luxury).
► An inferior good.
► A Giffen good.

Question No: 34 (Marks: 1) - Please choose one
In monopoly, which of the following is NOT true?

► Products are differentiated.
► There is freedom of entry and exit into the industry in the long run.
► The firm is a price maker.
► There is one main seller.

A Monopoly will always be a price taker because it hold the whole market.

Question No: 35 (Marks: 1) - Please choose one
The principle economic difference between a competitive and a non-competitive market is:

► The number of firms in the market.
► The extent to which any firm can influence the price of the product.
► The size of the firms in the market.
► The annual sales made by the largest firms in the market.

Question No: 36 (Marks: 1) - Please choose one
The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:
► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.
► The firm's output is a small fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.

Question No: 37 (Marks: 1) - Please choose one
The basic difference between oligopoly and monopolistic competition is that.
► Products are differentiated in oligopoly.
► There are no barriers to entry in oligopoly.
► There are barriers to entry in oligopoly.
► An oligopoly includes downward sloping demand curves facing the firm.

(See the page No. 72 of Handouts)

Question No: 38 (Marks: 1) - Please choose one
Because of unusually warm weather, the supply of strawberries has substantially increased. This statement indicates that:

► The demand for strawberries will necessarily rise.
► The equilibrium quantity of strawberries will fall.
► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.

Question No: 39 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

► Is equal to the absolute value of the slope of the indifference curve at that point.

► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.

► Reflects the relative values the consumer attaches to the two good.

► Is described, in part, by each of the given statements.

Question No: 40 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 100,300, 600, 1000.The marginal cost of the third unit of output is:

► 100.

► 150.

► 200.

► 300.

MC = ΔTC/ΔQ = 300/1 = 300

Question No: 41 (Marks: 10)

Following table shows the price and quantity demanded of a good.

Price	Quantity demanded
2.5	400
5	200
10	100
20	50
40	25

a) **Calculate the total revenue from this table.**

b) **Interpret whether the demand is elastic, inelastic or unitary elastic and why?**

c) **What will be the shape of demand curve according to the above table? Draw the graph.**

A: Total revenue (TR) = Price x Quantity (P x Q)

MIDTERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 4)
SOLVED BY MAHA SHAH

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.** PAGE#1

Question No: 2 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

► An increasingly steep negative slope.
► A decreasingly steep negative slope.
► **An increasingly steep positive slope.** **PAGE#5&6**
► A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be:

► A surplus of the good
► A shortage of the good.
► An equilibrium.
► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► Less ink to be demanded at each price. Page#12 table
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 5 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.
► Shifting the supply curve to the right
► Upward movement along the supply curve.
► Downward movement along the supply curve.

Question No: 6 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.
► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.
► The supply curve shifts to the left.
Ref: when cost of production increases price will also increase and when price will increase demand will decrease so there will b less supply that's y Supply Curve moves to left page#33

Question No: 7 (Marks: 1) - Please choose one
Sugar can be refined from sugar beets. When the price of those beets falls:

► The demand curve for sugar would shift right.
► The demand curve for sugar would shift left.
► The supply curve for sugar would shift right
Ref: opposite case of question#6 also page#33
► The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one
The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.
► Quantity supplied.
► Price. page#26
► Output.

Question No: 9 (Marks: 1) - Please choose one
Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:
► None of the given options.
► The daily supply curve for fish slopes upward.
► The daily supply curve for fish is perfectly inelastic
REF: being no real substitute it is correct
► The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one
In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied. Page#33
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► The quantity supplied at two different prices, all else equal.

Question No: 11 (Marks: 1) - Please choose one
Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of

output is:

► 50.
► 100
REF: PAGE#60 **MC = ∆TC/∆Q AS ∆TC=150-50=100**
MC = 100/1=100
► 150.
► 200.

Question No: 12 (Marks: 1) - Please choose one
Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► Negative. PAGE#40
► Positive.

Question No: 13 (Marks: 1) - Please choose one
Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.
► 14. REF: PAGE#40 TABLE
► 83.
► 97.

Question No: 14 (Marks: 1) - Please choose one
Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
REF: http://are100a.ucdavis.edu/class/cid_312/are100asp08hw3key.pdf
► Continue to buy the same quantities of pizza and jeans.
► Spend more time consuming pizza.

Question No: 15 (Marks: 1) - Please choose one
Which of the following is NOT an assumption of ordinal utility analysis?

► Consumers are consistent in their preferences.

► **Consumers can measure the total utility received from any given basket of good**.
REF: Page#40 ordinal approach means indifference curve approach
► Consumers are non-satiated with respect to the goods they confront.
► All of the given options are true

Question No: 16 (Marks: 1) - Please choose one
Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.
► **Decrease hours of work. PAGE#99**
► Not change hours of work.
► None of the given options

Question No: 17 (Marks: 1) - Please choose one
Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► **Economies of scale page#56**
► Diseconomies of scale.
► Decreasing returns to the labor inputs.
► Increasing returns to the labor inputs

Question No: 18 (Marks: 1) - Please choose one
A graph showing all the combinations of capital and labour available for a given total cost is the:
► Budget constraint.
► Expenditure set.
► Isoquant.
► **Isocost. Page#59**

Question No: 19 (Marks: 1) - Please choose one
An isoquant curve shows:

► All the alternative combinations of two inputs that yield the same maximum total product
► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way. Page#42
► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

L-shaped isoquant:

- **Indicate that capital and labor cannot be substituted for each other in production.**

REF: L-SHAPED is always use for perfect compliments.

- Is impossible.
- Indicate that the firm could switch from one output to another costlessly.
- Indicate that the firm could not switch from one output to another.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- **Demand for a product**
- Firm's behaviour.
- How firms should expand?
- Firm's profitability

Question No: 22 (Marks: 1) - Please choose one

Total costs are the sum of:

- Marginal costs and variable costs.
- **Fixed costs and variable costs.**
- Fixed costs and marginal costs.
- Average variable costs and marginal costs.

Question No: 23 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- Price equals marginal cost.
- Marginal revenue and average total cost.
- Price equals marginal revenue.
- **None of the given options. Page#65**

Question No: 24 (Marks: 1) - Please choose one

The good produced by a monopoly:

- Has perfect substitutes.
- **Has no substitutes at all.**
- Has no close substitutes.
- Can be easily duplicated.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- **Price = Marginal Cost. Page#74**
- Price = Average Total Cost.

► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one
The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.
► The monopolist's marginal cost curve changes considerably over time.
► The relationship between price and quantity depends on both marginal cost and average cost.
► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one
In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► The monopolist is maximizing profit
► The monopolist is not maximizing profit and should increase output.
► The monopolist is not maximizing profit and should decrease output. Page#76&77
► The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one
Following are the disadvantages of monopoly EXCEPT:
► Monopolists earn higher profits.
► Monopolists produce high quality goods at higher prices. Page#76
► Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one
When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination. Page#78

Question No: 30 (Marks: 1) - Please choose one
Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► Charging different prices to different groups based upon differences

in elasticity of demand. Page#78

Question No: 31 (Marks: 1) - Please choose one
Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.
► The demand curve is tangent to average cost curve
REF: http://en.wikipedia.org/wiki/Monopolistic_competition
REF#2: PAGE#79
► The marginal cost curve is tangent to average cost curve
► The demand curve is tangent to marginal revenue curve.

Question No: 32 (Marks: 1) - Please choose one
Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods. correct
► A reduction in discrimination.
► An increase in the production of consumer goods **wrong**

Question No: 33 (Marks: 1) - Please choose one
A demand schedule is best described as:

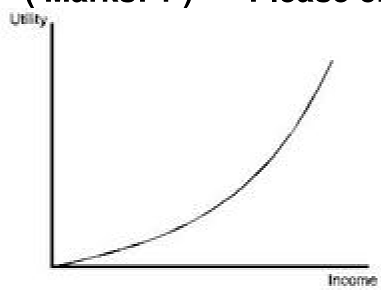
► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus. PAGE#11
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 34 (Marks: 1) - Please choose one
A partial explanation for the inverse relationship between price and quantity demanded is that a:
► Lower price shifts the supply curve to the left.
► Higher price shifts the demand curve to the left.
► Lower price shifts the demand curve to the right. PAGE#16
► Higher price reduces the real incomes of buyers.

Question No: 35 (Marks: 1) - Please choose one
The total utility curve for a risk neutral person will be:

► **Straight line. PAGE#43**
► Convex.
► Concave.
► None of the given options.

Question No: 36 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:
► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.** PAGE#40 CONCEPTS
► None of the given options.

Question No: 37 (Marks: 1) - Please choose one
A welfare loss occurs in monopoly where:

► The price is greater than the marginal cost.
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► **The price is greater than the marginal revenue. correct**

Question No: 38 (Marks: 1) - Please choose one
Which of the following is NOT a factor of production?

► Labour.
► Land.
► Capital.
► **Investment.**

Question No: 39 (Marks: 1) - Please choose one
Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.
► **The study of the economic behavior of individual decision-making**

units such as consumers, resource owners, and business firms.
REF: Macroeconomics is a branch of economics that deals with the performance, structure, and behavior of a national economy as a whole.

- ► The study of the cause of unemployment.
- ► The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one
Demand is elastic when the elasticity of demand is:

- ► Greater than 0 but less than 1.
- **► Greater than 1. PAGE#32**
- ► Less than 0.
- ► Equal to 1.

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)
SOLVED BY MAHA SHAH

Question No: 1 (Marks: 1) - Please choose one
Microeconomics is the branch of economics that deals with which of the following topics?

- ► The behavior of individual consumers.
- ► Unemployment and interest rates.
- ► The behavior of individual firms and investors.
- ► The behavior of individual consumers and behavior of individual firms and investors. **PAGE#3**

Question No: 2 (Marks: 1) - Please choose one
If pen and ink are complements, then an increase in the price of pen will cause:

- ► An increase in the price of ink.
- ► Less ink to be demanded at each price.
- ► A decrease in the demand for pen.
- ► A rightward shift in the demand curve for ink.

Question No: 3 (Marks: 1) - Please choose one
When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ► A decrease in equilibrium price and an increase in quantity of meal.
- ► An increase in equilibrium price and quantity of meal.
- ► A decrease in equilibrium price and quantity of meal.
- ► An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 4 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ► Shifting the supply curve to the left.
- ► Shifting the supply curve to the right. Page#14
- ► Upward movement along the supply curve.
- ► Downward movement along the supply curve.

Question No: 5 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

- ► A surplus of credit.
- ► A shortage of credit. REF: If Ceiling is below the market equilibrium than always shortage
- ► Greater profits for banks issuing credit.
- ► A perfectly inelastic supply of credit in the market place.

Question No: 6 (Marks: 1) - Please choose one

If a 12% price reduction causes quantity demanded to rise by 12% then:

- ► Demand is inelastic.
- ► Demand is elastic.
- ► Demand is perfectly elastic.
- ► **Total revenue will remain constant. Page#76 DOUBTED**

Question No: 7 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ► The coefficient of elasticity is greater than one.
- ► The percentage change in quantity demanded is same as the percentage change in the price.
- ► An increase in price will increase total revenue. Page#28
- ► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► Utility. Page#40
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good. Page#40
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 10 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping. Page#41

Question No: 11 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► Negative.
► Positive.

Question No: 12 (Marks: 1) - Please choose one

A person with a diminishing marginal utility of income will be:

► Risk averse.
► Risk neutral.
► Risk loving.
► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► It would shift outward.

Question No: 14 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

► Flatter.
► Steeper. But not sure
► Identical.
► None of the given options.

Question No: 15 (Marks: 1) - Please choose one

Which of the following statements about indifference curves is NOT correct?

► Indifference curves are generally negatively sloped.
► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
► Two indifference curves cannot intersect unless they are identical throughout.
► Two different indifference curves can intersect but only once. PAGE#45

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

► The substitution effect is always negative.
► The substitution effect is positive for an inferior good.
► The substitution effect measures how demand changes when income changes. SURE FROM CONCEPTS
► The substitution effect is positive for a Geffen good.

Question No: 17 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.
► Prices rise.
► Incomes fall.
► Incomes increase.

Question No: 18 (Marks: 1) - Please choose one

The largest amount of output that a firm can produce with a given combination of inputs is determined by the:

► Marginal product of labor.
► Gains from specialization.
► Cost function.
► Production function.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is most likely to be a fixed input in the short run for a Garage owner?

► The grease used to lubricate cars.
► The part-time labor employed to repair cars.
► **The electricity used to heat and light the garage**.
► The garage used to repair cars.

Question No: 20 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.
► 5.
► 5 + (200/Q).
► None of the given options.

Question No: 21 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

► Average revenue equals average cost.
► Average revenue equals average variable cost.
► Total costs are minimized.
► **Marginal revenue equals marginal cost. doubted**

Question No: 22 (Marks: 1) - Please choose one

Revenue is equal to:

► Price times quantity.
► Price times quantity minus total cost.
► Price times quantity minus average cost.
► Price times quantity minus marginal cost.

Question No: 23 (Marks: 1) - Please choose one

A price taker is:

► A firm that accepts different prices from different customers.

► A monopolistically competitive firm.
► A firm that cannot influence the market price .
► An oligopolistic firm.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

► The trademark protecting Gatoraide.
► The talents of Tom Hanks.
► The local water company.
► The patent on an Intel processor.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

► Price < Average Total Cost.
► Price > Average Total Cost.
► Price < Average Variable Cost.

► Price = Marginal Cost.

Question No: 27 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

► Long-run average total cost curve is equal to the economies of scope.
► Long-run average total cost curve is positively sloped.
► **Long-run average total cost curve is horizontal**.
► Long-run average total cost curve is negatively sloped.

Question No: 28 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.
► The monopolist's marginal cost curve changes considerably over time.
► The relationship between price and quantity depends on both marginal cost and average cost.
► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 29 (Marks: 1) - Please choose one

A firm never operates:

► At the minimum of its average total cost curve.
► At the minimum of its average variable cost curve.
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 30 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:
► High costs.
► Low costs.
► Equal costs.
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:
► Monopolists earn higher profits.
► Monopolists produce high quality goods at higher prices.
► Most of the “surplus” (producer + consumer surplus) accrues to monopolists.
► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 32 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.

Question No: 33 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► **The fact that price exceeds marginal cost**. Not sure jawwad
► Excess capacity.
► Product diversity.
► The fact that long-run average cost is not minimized.

Question No: 34 (Marks: 1) - Please choose one

What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

► It shifts rightward.
► **It shifts leftward.** **Jawwad says**
► It becomes horizontal.
► New entrants will not affect an incumbent firm's demand curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is true for both perfectly competitive and monopolistically competitive firms in the long run?

► **Price = Marginal Cost. Page#79 &74**
► Marginal Cost = Average Total Cost.
► Price > Marginal Revenue.
► Profit equals zero.

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is TRUE about pure monopoly?

► The monopoly's demand curve and the market demand curve are one and the same.
► The market is dominated by just two firms.
► The monopolist will always charge the highest possible price.
► **The monopolist will always charge a high price because it wants to maximize profits**

Question No: 37 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.

► Inferior good.

Question No: 38 (Marks: 1) - Please choose one

If indifference curves cross, then:

- ► The assumption of a diminishing marginal rate of substitution is violated.
- ► The assumption of transitivity is violated.
- ► The assumption of completeness is violated
- ► Consumers minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ► Must be inferior.
- ► Must be giffen.
- ► Can be normal or inferior.
- ► Must be normal.

Question No: 40 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

- ► **Is equal to the absolute value of the slope of the indifference curve at that point.**
- ► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.
- ► Reflects the relative values the consumer attaches to the two good.
- ► Is described, in part, by each of the given statements.

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)
Solved By Sweet Friend

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► Risk averse.
- ► Risk loving. **Page 43**

A risk loving person will buy if OR > 1 or = 1, but he might also buy when OR is < 1..

- ► Risk neutral.
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► All of the given options.
► **Risk averse**. (
► Risk neutral.
► Risk loving

Question No: 3 (Marks: 1) - Please choose one
A normative economic statement:

► is a statement of fact.
► is a hypothesis used to test economic theory.
► **is a statement of what ought to be, not what is (page 1)**
► is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one
Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior
► **Scarcity, human behavior.**
► Social behavior, limited resources
► Biological behavior, scarcity

Question No: 5 (Marks: 1) - Please choose one
Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:
► P = MR.
► P = AVC.
► AR = MR.
► **P = MC**. (Page 74)

Question No: 6 (Marks: 1) - Please choose one
A welfare loss occurs in monopoly where:

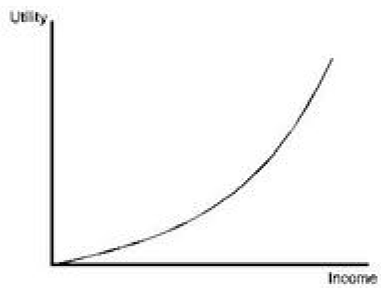
► **the price is greater than the marginal cost. (correct :ref**
http://www.oup.com/uk/orc/bin/9780199296378/01student/mcqs/unit12/
(A welfare loss occurs in monopoly where the price is greater than the marginal cost.)

► the price is greater than the marginal benefit.

► the price is greater than the average revenue.
► the price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one
The "perfect information" assumption of perfect competition includes all of the following EXCEPT:
► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► Consumers can anticipate price changes. (Page 72)

Question No: 8 (Marks: 1) - Please choose one



In figure given above, the marginal utility of income is:

► increasing as income increases
► Constant for all levels of income
► Diminishes as income increases. (lecture 9 page 40,41 graph)
► none of the given options

Question No: 9 (Marks: 1) - Please choose one
A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► the firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► the firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm (correct)
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one
If the cross price elasticity of demand between two goods X and Y is

positive; it means that goods are:

► Independent.
► Complements.
► Substitutes. (Lecture 3 page 10)
► Inferior.

Question No: 11 (Marks: 1) - Please choose one
A demand schedule is best described as:

► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
► A graphical representation of the law of demand. (correct) 3lecture ,page 11)
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose one
Which of the following best expresses the law of demand?

► a higher price reduces demand.
► a lower price reduces demand.
► a higher price reduces quantity demanded.(Page 11)
► a lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one
Which of the following would most likely shift the production possibilities curve for a nation outward?

► a reduction in unemployment.
► a n increase in the production of capital goods.
► A reduction in discrimination.
► An increase in the production of consumer goods.(Page 5)

Question No: 14 (Marks: 1) - Please choose one
The primary use of the kinked-demand curve is to explain price rigidity in:

► Oligopoly. (Correct)
KINKED-DEMAND CURVE:
A demand curve with two distinct segments which have different elasticities that join to form a corner or kink. The primary use of the kinked-demand curve is to explain

price rigidity in oligopoly. The two segments are: (1) a relatively more elastic segment for price increases and (2) a relatively less elastic segment for price decreases. The relative elasticities of these two segments is based on the interdependent decision-making of oligopolistic firms

► Monopoly.
► Perfect competition.
► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one
A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible. (79)**

Question No: 16 (Marks: 1) - Please choose one
A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive. **(page:72**)
► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one
The maximum price that a consumer is willing to pay for a good is called:

► **The reservation price** .
► **The market price.**
► The first-degree price.
► The block price.
(correct) A reservation **price** is a **consumer's maximum willingness to pay for a good ...** (**http://www.flatworldknowledge.com/node/29478)**

Question No: 18 (Marks: 1) - Please choose one
Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences**

in elasticity of demand. (**Page 78 lec21**)

Question No: 19 (Marks: 1) - Please choose one
A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination. (Correct)
► All of the given options.

Question No: 20 (Marks: 1) - Please choose one
An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► Second degree price discrimination (correct)http://econweb.rutgers.edu/besedes/sample_final_intermediate.pdf
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one
A firm never operates:

► At the minimum of its average total cost curve.
► At the minimum of its average variable cost curve.
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one
Marginal profit is equal to:
► Marginal revenue minus marginal cost.
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one
If current output is less than the profit-maximizing output then which of the following must be TRUE?
► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.
► Marginal revenue is greater than marginal cost.

Question No: 24 (Marks: 1) - Please choose one
At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ► **They must intersect with TC cutting TR from below.**
- ► They must intersect with TC cutting TR from above.
- ► They must be tangent to each other.
- ► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one
The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

- ► 5Q.
- ► 5.
- ► 5 + (200/Q). correct
- ► None of the given options

Question No: 26 (Marks: 1) - Please choose one
In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ► A fixed cost.
- ► A variable cost.
- ► An implicit cost.
- ► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one
Costs determine all of the following EXCEPT:

- ► **Demand for a product.**
- ► Firm's behaviour.
- ► How firms should expand?
- ► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one
The rate at which a firm can substitute capital for labour and hold output constant is the:

- ► Law of diminishing marginal returns.
- ► Marginal rate of substitution.
- ► **Marginal rate of factor substitution.**
- ► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one
If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **Decreasing returns to scale.**
► Constant returns to scale.
► Increasing returns to scale.
► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one
At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution.** (**Page 44**)
► The consumer's marginal utility.
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one
Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward. (45)**

Question No: 32 (Marks: 1) - Please choose one
According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:
► Vertical.
► U-shaped.
► Upward-sloping.s
► **Downward-sloping**. (**Page 40)**

Question No: 33 (Marks: 1) - Please choose one
Cross-price elasticity measures whether:
► Goods are normal or inferior.
► **Two goods are substitutes or complements. (Page 27)**
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one
Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► An increase in price will increase total revenue.(Page 28)
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one
Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► An increase in total revenue received by the course.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one
Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► Opportunity cost. (correct)

Question No: 37 (Marks: 1) - Please choose one
Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► The economy will move from a point inside to a point closer to its production possibilities curve.(correct)

Question No: 38 (Marks: 1) - Please choose one
Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.

► **"Naturally" occurring resources.(Page 1)**

Question No: 39 (Marks: 1) - Please choose one
In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► **Nonexistent.**
► Limited.

Question No: 40 (Marks: 1) - Please choose one
Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.(Page 1)**

MIDTERM EXAMINATION
Spring 2009
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SOLVED BY HONEY G

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► The behavior of individual consumers and behavior of individual firms and investors. **(Page No. 01)**

Question No: 2 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► Less ink to be demanded at each price.
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 3 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

► A decrease in equilibrium price and an increase in quantity of meal.
► An increase in equilibrium price and quantity of meal.
► A decrease in equilibrium price and quantity of meal.
► An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 4 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.
► Shifting the supply curve to the right.
► Upward movement along the supply curve.
► Downward movement along the supply curve.

Question No: 5 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

► A surplus of credit.
► A shortage of credit.
► Greater profits for banks issuing credit.
► A perfectly inelastic supply of credit in the market place.

► A perfectly inelastic supply of credit in the market place.

http://docs.google.com/viewer?a=v&q=cache:MEXc5S8Nep0J:www.econ.nthu.edu.tw/teachers/pan-wh/files/pe/Chap6.pdf+Assume+that+the+government+sets+a+ceiling+on+the+interest+rate+that+banks+charge+on+loans.+If+the+ceiling+is+set+below+the+market+equilibrium+interest+rate,+the+result+will+be:&hl=en&gl=us&pid=bl&srcid=ADGEESisZCQQVfxENPuxBnxyjhD1hCYiWLF-VoIS4FO-6AaCilQgvb9-noaN86_y9LCgKkko_yu0y6jRhlFijwgVoBlcVXI-XZLGH-xwC---7xCUWpjmGNNA3HY5lVI6c5RRaDpssRVq&sig=AHIEtbScb_F9SdJoSgmmCAkacHtOb8_jog (See the Question No. 05)

Question No: 6 (Marks: 1) - Please choose one

If a 12% price reduction causes quantity demanded to rise by 12% then:

► Demand is inelastic.

► Demand is elastic.
► Demand is perfectly elastic.
► Total revenue will remain constant.
http://highered.mcgraw-hill.com/novella/QuizProcessingServlet (See question No.04)

Question No: 7 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► An increase in price will increase total revenue.
► None of the given options.

(See the handouts page no. 28)

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► Utility.
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 10 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

Question No: 11 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.

► Vertical.
► Negative.
► Positive.
(See the page No. 40 & 41)

Question No: 12 (Marks: 1) - Please choose one

A person with a diminishing marginal utility of income will be:

► Risk averse.
► Risk neutral.
► Risk loving.
► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► It would shift outward.
(See the Page No. 45)

Question No: 14 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

► Flatter.
► Steeper
► Identical.
► None of the given options.

Question No: 15 (Marks: 1) - Please choose one

Which of the following statements about indifference curves is NOT correct?

► Indifference curves are generally negatively sloped.
► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
► Two indifference curves cannot intersect unless they are identical throughout.
► Two different indifference curves can intersect but only once.

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

► The substitution effect is always negative.
► The substitution effect is positive for an inferior good.
► The substitution effect measures how demand changes when income changes.
► The substitution effect is positive for a Geffen good.

Question No: 17 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.
► Prices rise.
► Incomes fall.
► Incomes increase.

Question No: 18 (Marks: 1) - Please choose one

The largest amount of output that a firm can produce with a given combination of inputs is determined by the:

► Marginal product of labor.
► Gains from specialization.
► Cost function.
► Production function.

See the Page No. 53 of Handouts

Question No: 19 (Marks: 1) - Please choose one

Which of the following is most likely to be a fixed input in the short run for a Garage owner?

► The grease used to lubricate cars.
► The part-time labor employed to repair cars.
► The electricity used to heat and light the garage.
► The garage used to repair cars.

http://webcache.googleusercontent.com/search?q=cache:ltYHcjwAIgUJ:www.econ.iastate.edu/classes/econ101/bhattacharjee/documents/Practicequestions.doc+Which+of+the+following+is+most+likely+to+be+a+fixed+input+in+the+short+run+for+a+Garage+owner&cd=3&hl=en&ct=clnk&gl=us (See the Question No. 19)

Question No: 20 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.
► 5.
► 5 + (200/Q).
► None of the given options.

Question No: 21 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

► Average revenue equals average cost.
► Average revenue equals average variable cost.
► Total costs are minimized.
► Marginal revenue equals marginal cost.

http://en.wikipedia.org/wiki/Profit_maximization

Question No: 22 (Marks: 1) - Please choose one

Revenue is equal to:

► Price times quantity.
► Price times quantity minus total cost.
► Price times quantity minus average cost.
► Price times quantity minus marginal cost.

Since total revenue equals price times quantity, but quantity sold (demanded) is a function of price, the firm has only indirect influence on its outcome.
http://www.ses.wsu.edu/people/faculty/rosenman/dist301/price2.htm

Question No: 23 (Marks: 1) - Please choose one

A price taker is:

► A firm that accepts different prices from different customers.
► A monopolistically competitive firm.
► A firm that cannot influence the market price .
► An oligopolistic firm. (Page No. 63)

Question No: 24 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

► The trademark protecting Gatoraide.
► The talents of Tom Hanks.
► The local water company.
► The patent on an Intel processor.

http://www.glennvice.com/lahcfall03/econ1/Quizzes/1q9.htm (See the question No. 19

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

► Price < Average Total Cost.
► Price > Average Total Cost.
► Price < Average Variable Cost.
► Price = Marginal Cost.

Question No: 27 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

► Long-run average total cost curve is equal to the economies of scope.
► Long-run average total cost curve is positively sloped.
► Long-run average total cost curve is horizontal.
► Long-run average total cost curve is negatively sloped.

http://www.economicshelp.org/microessays/costs/economies-scale.html

Question No: 28 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.
► The monopolist's marginal cost curve changes considerably over time.
► The relationship between price and quantity depends on both marginal cost and average cost.
► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 29 (Marks: 1) - Please choose one

A firm never operates:

► At the minimum of its average total cost curve.
► At the minimum of its average variable cost curve.
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

http://docs.google.com/viewer?a=v&q=cache:ZScp9C6DpiYJ:econweb.rutgers.edu/besedes/exam2_intermediate.pdf+A+firm+never+operates:+►+At+the+minimum+of+its+average+total+cost+curve.+►+At+the+minimum+of+its+average+variable+cost+curve.+

►+On+the+downward-sloping+portion+of+its+average+total+cost+curve.+►+On+the+downward-sloping+portion+of+its+average+variable+cost+curve&hl=en&gl=us&pid=bl&srcid=ADGEESj11__Ae4aWmKFjiEep-NPvE0dhU3aL7qMIR2T58DDMhL3GRWb2R2GGzR07C8VR62rCpZTeIqx5QlSinNZu2vNKNP93BgW-2km3qu3YGWD3G1JSDhf5dFJyH-gFZ96y7dmJAnlY&sig=AHIEtbR7F55e-wsHTSdpIe8Xq2hpbHDwGg (See the question No. 42)

Question No: 30 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

► High costs.
► Low costs.
► Equal costs.
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

► Monopolists earn higher profits.
► Monopolists produce high quality goods at higher prices.
► Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 32 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers (See the page No. 78 of Handouts)

Question No: 33 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.
► Excess capacity.
► Product diversity.
► The fact that long-run average cost is not minimized.
http://en.wikipedia.org/wiki/Monopolistic_competition

Question No: 34 (Marks: 1) - Please choose one
What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

► It shifts rightward.
► It shifts leftward.
► It becomes horizontal.
► New entrants will not affect an incumbent firm's demand curve.
Reference: Profits attract **new** **entrants** and shift each **firm's** **demand** **curve** to the left.

Question No: 35 (Marks: 1) - Please choose one
Which of the following is true for both perfectly competitive and monopolistically competitive firms in the long run?

► Price = Marginal Cost. Page#79 &74
► Marginal Cost = Average Total Cost.
► Price > Marginal Revenue.
► Profit equals zero.

Question No: 36 (Marks: 1) - Please choose one
Which one of the following is TRUE about pure monopoly?

► The monopoly's demand curve and the market demand curve are one and the same.
► The market is dominated by just two firms.
► The monopolist will always charge the highest possible price.
► The monopolist will always charge a high price because it wants to maximize profits.

Question No: 37 (Marks: 1) - Please choose one
If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.

► Inferior good.

A negative income elasticity of demand is associated with inferior goods; an increase in income will lead to a fall in the demand and may lead to changes to more luxurious substitutes. http://en.wikipedia.org/wiki/Income_elasticity_of_demand

Question No: 38 (Marks: 1) - Please choose one

If indifference curves cross, then:

► The assumption of a diminishing marginal rate of substitution is violated.
► The assumption of transitivity is violated.
► The assumption of completeness is violated.
► Consumers minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.
► Must be giffen.
► Can be normal or inferior.
► Must be normal.

Question No: 40 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

► Is equal to the absolute value of the slope of the indifference curve at that point.
► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.
► Reflects the relative values the consumer attaches to the two good.
► Is described, in part, by each of the given statements.

Solved by Faheem Saqib

MIDTERM EXAMINATION 2010

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MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 2)

Ref No: 1374589
Time: 60 min
Marks: 47

Student Info	
StudentID:	MC090402846
Center:	OPKST
ExamDate:	5/26/2010 12:00:00 AM

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	

Marks									
Q No.	**33**	**34**	**35**	**36**	**37**				
Marks									

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ► **When the price of a good goes up, consumers buy less of it.**
- ► When the price of a good goes up, firms produce more of it.
- ► When the Federal government sells bonds, interest rates rise and private investment is reduced.
- ► All of the given options.

Question No: 2 (Marks: 1) - Please choose one

Ceteris paribus means:

- ► Equal access to public transportation.
- ► **Other things being equal.**
- ► Other things not being equal.
- ► All things considered.

Question No: 3 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ► **The economy's production possibilities curve will shift outward.**
- ► The economy's production possibilities curve will become steeper.
- ► The economy will move downward along its production possibilities curve.
- ► The economy will move from a point inside to a point closer to its production possibilities curve.

Question No: 4 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ► Quantity demanded.
- ► Quantity supplied.
- ► **Price.**
- ► Output.

Question No: 5 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

- ► Satisfaction index.
- ► Goodness.
- ► **Utility.**
- ► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

Question No: 7 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution.**
► The consumer's marginal utility.
► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

► **All inputs are variable.**
► All inputs are paid for.
► All outputs are determined.
► All loans are repaid.

Question No: 9 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

► Its entire marginal cost curve.
► **The upward-sloping portion of its marginal cost curve.**
► Its marginal cost curve above the minimum point of the average variable cost curve.
► Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 10 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

- ► The reservation price to each customer.
- ► Different prices for different blocks of the same good or service.
- **► Different groups of customers different prices for the same products.**
- ► Each customer the maximum price that he or she is willing to pay.

Question No: 11 (Marks: 1) - Please choose one

What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

- ► It shifts rightward.
- **► It shifts leftward.**
- ► It becomes horizontal.
- ► New entrants will not affect an incumbent firm's demand curve.

Question No: 12 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

- **► Law of large numbers.**
- ► Law of small numbers.
- ► Law of zero numbers.
- ► All of the given options.

Question No: 13 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

- **► The number of firms in the market.**
- ► The extent to which any firm can influence the price of the product.
- ► The size of the firms in the market.
- ► The annual sales made by the largest firms in the market.

Question No: 14 (Marks: 1) - Please choose one

The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?

- ► It is same in the long run and the short run.
- ► It is greater in the long run than in the short run.
- ► It is greater in the short run than in the long run.
- **► It is too uncertain to be estimated**.

Question No: 15 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- **► A reduction in unemployment.**
- ► An increase in the production of capital goods.
- ► A reduction in discrimination.
- ► All of the given options.

Question No: 16 (Marks: 1) - Please choose one

What will happen if there is an increase in the raw material costs, other things remaining the same?

- ► **The supply curve will shift to the left.**
- ► The supply curve will shift to the right.
- ► Output will increase regardless of the market price and the supply curve will shift upward.
- ► Output will decrease and the market price will also decrease.

Question No: 17 (Marks: 1) - Please choose one

It is well known that sugar can be refined from sugar beets. Which of the following will happen if the price of those beets falls?

- ► The demand curve for sugar would shift right.
- ► The demand curve for sugar would shift left.
- ► **The supply curve for sugar would shift right.**
- ► The supply curve for sugar would shift left.

Question No: 18 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ► 10.
- ► 20.
- ► 30.
- ► 40.

Question No: 19 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

- ► For an inferior good.
- ► **A substitute good.**
- ► For an independent good.
- ► For a normal good.

Question No: 20 (Marks: 1) - Please choose one

What is TRUE about the relationship between average product (AP) and marginal product (MP)?

- ► If AP exceeds MP, then AP is falling.
- ► **If AP is at a maximum, then MP is also at maximum.**
- ► If AP = MP, then total product is at a maximum.
- ► If Total Product is declining, then AP is negative.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE about L-shaped isoquant?

- **► It indicates that the firm could switch from one output to another costlessly.**
- ► It indicates that the firm could not switch from one output to another.
- ► It indicates that capital and labor cannot be substituted for each other in production.
- ► It is impossible.

Question No: 22 (Marks: 1) - Please choose one

An improvement in technology would result in:

- ► There will be upward shift of marginal cost and increases in output.
- ► There will be upward shift of marginal cost and reductions in output.
- ► There will be downward shift of marginal cost and reductions in output.
- **► There will be downward shift of marginal cost and increases in output.**

Question No: 23 (Marks: 1) - Please choose one

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?

- ► For monopoly.
- ► For oligopoly**.**
- **► For perfect competition.**
- ► For monopolistic competition.

Question No: 24 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- ► Increasing the inputs by 1% leads to a 0.75% increase in output.
- ► Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- ► Increasing the inputs by 2% leads to a 4% increase in output.
- **► None of the given options.**

Question No: 25 (Marks: 1) - Please choose one

All the factors of production become variable in:

- ► Law of increasing return.
- **► Long run.**
- ► Law of decreasing cost.
- ► Short run.

Question No: 26 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

- ► It shifts farther away from the origin of the graph.
- ► It shift inward.
- ► It shifts outward.
- ► **None of the given options.**

Question No: 27 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

- ► **The next unit produced will increase profit.**
- ► The next unit produced will decrease revenue more than it increases cost.
- ► The next unit produced will decrease cost more than it increases revenue.
- ► The next unit produced will increase revenue without increasing cost.

Question No: 28 (Marks: 1) - Please choose one

At the profit-maximizing level of output, the marginal cost is equal to:

- ► Average revenue
- ► Total revenue
- ► **Marginal revenue**
- ► None of the given options

Question No: 29 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

- ► **The next unit produced will increase the profit.**
- ► The next unit produced will decrease revenue more than it increases the cost.
- ► The next unit produced will decrease cost more than it increases the revenue.
- ► The next unit produced will increase revenue without increasing the cost.

Question No: 30 (Marks: 1) - Please choose one

Collusion occurs when two or more firms decide to cooperate with each other in the setting of prices and

- ► Labor demanded.
- ► Capital demanded.
- ► **Quantity of good supplied.**
- ► Quanlity of good supplied.

Question No: 31 (Marks: 1) - Please choose one

Consumers can make about the rational decision by using:

- ► Total utility and marginal utility approach.
- ► Income and consumption analysis.
- ► **Cost and benefit analysis.**
- ► Working hours and leisure time.

Question No: 32 (Marks: 1) - Please choose one

When the slope of a demand curve is infinity, elasticity of demand is

- ► **Zero elastic.**

► Unit elastic.
► Less elastic.
► More elastic.

Question No: 33 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods A and B is negative; it means that goods are

► Independent.
► Inferior.
► **Complements.**
► Substitutes.

Question No: 34 (Marks: 1) - Please choose one

If an increase in price increases the total revenue then:

► Demand is elastic.
► **Demand is inelastic.**
► Supply is elastic.
► Supply is inelastic.

Question No: 35 (Marks: 3)

Why the monopolists produce lower quantities at higher prices compared to perfectly competitive firms?

Monopolist Produce lower quantity at higher price on to perfect competitive firm because at P=MC monopolist do not produce.
Also at P= AC they don't produce. So it mean monopolist don't produce at the point of allocated efficiency and at the point of cause efficiency.

In difference curve approach has very good but it has some limitation as given below

Question No: 36 (Marks: 5)

"Although indifference curve approach is very useful in order to analyze the consumer behavior but still there exist some flaws of this approach". Discuss.

1 The consumer will be have irrationally or in other word not all the time the consumer are rational and they can have irrationally some time.
2 practically it is very difficult to draw indifference curve
3 The consumer might not always realize the level of utility from consumptions that he originally expected.
4 This analysis is only possible for few goods like two or three goods

5 indifference curve approach is not very useful when either of the goods is durable.

Question No: 37   (Marks: 5)

How profit maximization condition can be attain in long run under perfect competition?

In the long run all the production factor are available and we use equilibrium analysis for profit maximization for long run. Equilibrium give the answer for marketing clear price & quantity this will tell us how much profit are there and how much supply and what should be the prize the firms can leave or enter in time, in short run as more company try to enter due to high profit so this will bring the prices down however if there are loser in the short run they will leave the causing prices will go up & profit will be maximize in long run only for those company can sustain which are perfect competition. So perfectly competitive only can earn profit.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 2)

Ref No: 1374588
Time: 60 min
Marks: 47

Student Info	
StudentID:	
Center:	**OPKST**
ExamDate:	**5/26/2010 12:00:00 AM**

For Teacher's Use Only									
Q No.	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**Total**
Marks									
Q No.	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	
Marks									
Q No.	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	
Marks									
Q No.	**25**	**26**	**27**	**28**	**29**	**30**	**31**	**32**	
Marks									

Q No.	33	34	35	36	37				
Marks									

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a normative statement?

► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.

► The minimum wage should not be increased, because to do so would increase unemployment.

► Smoking should be restricted on all airline flights.

► **All of the given options.**

Question No: 2 (Marks: 1) - Please choose one

Ceteris paribus means: http://vustudents.ning.com

► Equal access to public transportation.

► **Other things being equal.**

► Other things not being equal.

► All things considered.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

► Price elasticity of demand.

► Income elasticity of demand.

► **Cross price elasticity of demand.**

► Price elasticity of supply.

Question No: 5 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► **Two prices and two quantities supplied.**

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

► **Satisfaction index.**
► Goodness.
► Utility.
► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then: http://vustudents.ning.com

► The consumer's indifference curve must be positively sloped.
► The consumer's indifference curve must be convex with respect to the origin of the graph.
► **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.**
► All of the given options.

Question No: 8 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

► An increase in the slope of the budget line.
► A decrease in the slope of the budget line.
► **An increase in the intercept of the budget line**.
► A decrease in the intercept of the budget line.

Question No: 9 (Marks: 1) - Please choose one

The income effect of a price change:

► Is always positive.
► Is always negative.
► **May be positive or negative.**
► Is associated with a change in nominal income.

Question No: 10 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► **All of the given options.**

Question No: 11 (Marks: 1) - Please choose one

_______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale.**
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 12 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that: http://vustudents.ning.com

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant.**

Question No: 13 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 14 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal profit:

► Is positive.
► **Is increasing.**
► Is zero.
► Is also maximized.

Question No: 15 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which: http://vustudents.ning.com

► **Price = Marginal Cost.**
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 16 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market

has:

► **High costs.**
► Low costs.
► Equal costs.
► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Cartels are likely to fail when:

► The members adhere to their output quotas.
► The non-cartel members increase output.
► The members charge identical prices.
► None of the given options.

Question No: 18 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 19 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**
► Inferior.

Question No: 20 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**
► An inferior good.
► A Giffen good.

Question No: 21 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.
► Must be giffen.
► **Can be normal or inferior**.

► Must be normal.

Question No: 22 (Marks: 1) - Please choose one

What is meant by freedom of enterprise in pure capitalism?

► It means that businesses are free to produce products that consumers want. http://vustudents.ning.com

► It means that consumers are free to buy goods and services that they want.

► It means that resources are distributed freely to businesses.

► It means that government is free to direct the actions of businesses.

Question No: 23 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be? http://vustudents.ning.com

► Positive, negative.

► Negative, normative.

► Normative, positive.

► Positive, normative.

Question No: 24 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

► There will be a surplus to accumulate.

► There will be downward pressure on the current market price.

► There will be upward pressure on the current market price.

► There will be lower production during the next time period.

Question No: 25 (Marks: 1) - Please choose one

What is meant by the term utility?

► Useless.

► Require.

► Necessary.

► Satisfaction.

Question No: 26 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

► 5Q.

► 5.

► 5 + (200/Q).

► 200.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is TRUE for third-degree price discrimination?

► **Charging different prices to different groups based upon differences in elasticity of demand.**
► Charging each consumer the same two part tariff.
► The use of increasing block rate pricing.
► Charging lower prices the greater the quantity purchased.

Question No: 29 (Marks: 1) - Please choose one

The government can regulate monopolies to ensure that they set a price where the AR curve intersects the http://vustudents.ning.com

► **Marginal revenue curve.**
► Average variable cost.
► Marginal cost curve.
► None of the given options.

Question No: 30 (Marks: 1) - Please choose one

A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

► Perfect competition.
► First-degree price discrimination.
► Monopoly.
► **Second-degree price discrimination.**

Question No: 31 (Marks: 1) - Please choose one

When different prices are charged to customers who purchase different quantities, this is an example of

► **Second-degree price discrimination.**
► First-degree price discrimination.
► Monopoly.
► Perfect competition.

Question No: 32 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► **The demand curve for eggs to shift rightward.**
► Quantity demanded of eggs to increase.

Question No: 33 (Marks: 1) - Please choose one

Slope and elasticity of demand have http://vustudents.ning.com

► A direct relation.

► **An inverse relationship.**

► No relation between slope and elasticity.
► None of the given options.

Question No: 34 (Marks: 1) - Please choose one

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

► **The marginal utility for the consumption of the fifth unit.**
► The marginal utility for the consumption of the sixth unit.
► The total utility for the consumption of the first five units.
► The average utility for the consumption of the first five units.

Question No: 35 (Marks: 3)

Why the monopolists produce lower quantities at higher prices compared to perfectly competitive firms?

Ans:

1) Large initial fixed cost is involved
2) Product differentiation or drabd loyalty
3) Monopolistic controls the supply of key factors of production

Question No: 36 (Marks: 5)

Write down any five situations in which cartel can survive?

Ans:

1) Cartel can survive when number of firms is small.
2) When the collusion is tacit or hidden not explicit.
3) The products are homogeneous.
4) Industry is sable
5) There is opening among the firms regarding their production process.
6) Government's strictness in implementing antitrust law.

Question No: 37 (Marks: 5)

Differentiate between external economies of scale and external diseconomies of scale with the help of examples.

Ans:

External economies: These are the benefits which are accured to any firm in the presence of other firms. For example setting of credit information bureaus by bank , advertising by industry such as rival industry.
Discovery of new techniques.
This type of economy occurs when an industry is heavily concentrated in a particular area.
Economies is available to all firms for example construction of roads

External diseconomies of scale :
These are the forces which causes the large firms to produce goods and services at increased per unit costs.
This type of scale occurs when an industry grows larger and shortage of skilled laor taking place and shortage of raw materials are the types of external diseconomies.
When a firm become large then supervision of workers become difficult and problem is created for management is taking place which cause adverse effect on efficiency.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 3)

Ref No: 1374661
Time: 60 min
Marks: 47

Student Info	
StudentID:	
Center:	OPKST
ExamDate:	5/29/2010 12:00:00 AM

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Q No.	1	2	3	4	5	6	7	8	Total
Marks									

Q No.	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	
Marks									
Q No.	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	
Marks									
Q No.	**25**	**26**	**27**	**28**	**29**	**30**	**31**	**32**	
Marks									
Q No.	**33**	**34**	**35**	**36**	**37**				
Marks									

Question No: 1 (Marks: 1) - Please choose one

Our economy is characterized by:

- ► **Unlimited wants and needs.**
- ► Unlimited material resources.
- ► No energy resources.
- ► Abundant productive labor.

Question No: 2 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ► The economic perspective.
- ► Marginal analysis.
- ► Allocative efficiency.
- ► **Opportunity cost.**

Question No: 3 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ► **There is a shortage of the product.**
- ► There is a surplus of the product.
- ► The product is a normal good.
- ► The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

A new technology which reduces costs for firms:

- ► **Shifts the supply curve to the right.**
- ► Shifts the supply curve to the left.
- ► Reduces the equilibrium quantity.
- ► Raises the equilibrium price.

Question No: 5 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ► Perfectly elastic.
- ► Unit elastic.
- ► Elastic.
- ► **Inelastic.**

Question No: 6 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

Question No: 7   (Marks: 1)   - Please choose one

The extra value that consumers receive above what they pay for that good is called:

► Producer surplus.
► Utility.
► Marginal utility.
► **Consumer surplus.**

Question No: 8   (Marks: 1)   - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution.**
► The consumer's marginal utility.
► None of the given options.

Question No: 9   (Marks: 1)   - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.
► **Decrease hours of work.**
► Not change hours of work.
► None of the given options.

Question No: 10   (Marks: 1)   - Please choose one

A production function:

► Relates inputs with output.
► Generates a curve that is upward sloping.
► Shows diminishing marginal product of an input, since it gets flatter as output rises.
► **All of the given options.**

Question No: 11   (Marks: 1)   - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.

► Expenditure set.
► Isoquant.
► **Isocost.**

Question No: 12 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods increases?

► It shift farther away from the origin of the graph.
► It shift inward, closer to the origin.
► It vanishes.
► **It undergoes no change.**

Question No: 13 (Marks: 1) - Please choose one

The long-run average total cost curve:

► **Traces out the points on the lowest short-run average total cost curve for each level of production.**
► Is inversely related to the depth of the short-run marginal cost curve.
► Traces out the midpoints on an average of several short-run average total cost curves.
► Is downward-sloping under decreasing returns to scale.

Question No: 14 (Marks: 1) - Please choose one

Marginal profit is equal to:

► **Marginal revenue minus marginal cost.**
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 15 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► **The market price.**
► The first-degree price.
► The block price.

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► **Monopolistically competitive.**
► Oligopolistic.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.
► Excess capacity.
► **Product diversity.**
► The fact that long-run average cost is not minimized.

Question No: 18 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.
► The firm's output is a small fraction of the entire industry's output.
► **The short run market price is determined solely by the firm's technology.**

Question No: 19 (Marks: 1) - Please choose one

Because of unusual warm weather, the supply of strawberries has substantially increased. This statement indicates that:

► The demand for strawberries will necessarily rise.
► **The equilibrium quantity of strawberries will fall.**
► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.

Question No: 20 (Marks: 1) - Please choose one

Suppose an increase in income causes demand curve to shift to rightward. In this case, what will happen at any given price?

► The price elasticity of demand will remain unchanged.
► The price elasticity of demand will decrease in absolute terms.
► The price elasticity of demand will increase in absolute terms.
► The price elasticity of demand will increase, decrease or stay the same. It cannot be determined.

Question No: 21 (Marks: 1) - Please choose one

What is the assumption of constructing a production possibilities curve?

► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► **All available resources are employed efficiently.**
► Production technology is allowed to vary.

Question No: 22 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

► **It will cause domestic producers competing with the imports to face huge losses.**
► It will cause the supply curve to shift to the left.
► It will cause the supply curve to shift to the right.
► It will have no effect on the domestic market.

Question No: 23 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 20, 40, 60, and 80 respectively. What is the marginal cost of the second unit of output?

► 10.
► 20.
► 30.
► 40.

Question No: 24 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

► 10.
► 20.
► 30.
► 40.

Question No: 25 (Marks: 1) - Please choose one

Suppose that 36 units of output are produced by using 12 units of labor. Which of the following is TRUE in this context?

► **The marginal product of labor is 3.**
► The total product of labor is 1/3.
► The average product of labor is 3.
► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

► **Output is being produced at minimum cost.**
► Output is not being produced at minimum cost.
► The two products are being produced at the medium input cost to the firm.
► The two products are being produced at the highest input cost to the firm.

Question No: 27 (Marks: 1) - Please choose one

What is the reason that monopolist has no supply curve?

► Because the quantity supplied at any particular price depends on the monopolist's demand curve.

► Because the monopolist's marginal cost curve changes considerably over time.

► Because the relationship between price and quantity depends on both marginal cost and average cost.

► **Because although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.**

Question No: 28 (Marks: 1) - Please choose one

The following table shows a firm's total product of labor. What is the marginal product of labor between second and third unit of labor?

Table

Quantity of Labor	Total Product
1	0
2	100
3	230

► 100 units
► **130 units**
► 110 units
► 230 units

Question No: 29 (Marks: 1) - Please choose one

The amount of output for maximum profit that a firm decides to sell has an effect on the market price in a monopolistic competitive industry because:

► The firm supplies a different good than its rivals.
► **The firm's output is a considerable fraction of the entire industry's output.**
► The short run market price is determined solely by the firm's technology.
► None of the given options.

Question No: 30 (Marks: 1) - Please choose one

The government can regulate monopolies to ensure that they set a price where the AR curve intersects the

► Marginal revenue curve.
► Average variable cost.
► **Marginal cost curve.**
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

- ► Heterogeneous products.
- ► Large competition.
- ► **Homogeneous products.**
- ► Less demand in market.

Question No: 32 (Marks: 1) - Please choose one

Consumers can make about the rational decision by using:

- ► Total utility and marginal utility approach.
- ► Income and consumption analysis.
- ► Cost and benefit analysis.
- ► Working hours and leisure time.

Question No: 33 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods A and B is negative; it means that goods are

- ► Independent.
- ► Inferior.
- ► Complements.
- ► substitute.

Question No: 34 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- ► Demand is inelastic.
- ► **Demand is elastic.**
- ► Demand is perfectly elastic.
- ► Total revenue will remain constant.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 4)

Ref No: 1374613
Time: 60 min
Marks: 47

Student Info	
StudentID:	**BC090400598**
Center:	**OPKST**
ExamDate:	**5/27/2010 12:00:00 AM**

For Teacher's Use Only									
Q No.	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**Total**

Marks									
Q No.	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	
Marks									
Q No.	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	
Marks									
Q No.	**25**	**26**	**27**	**28**	**29**	**30**	**31**	**32**	
Marks									
Q No.	**33**	**34**	**35**	**36**	**37**				
Marks									

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► **Consumer preferences.**
- ► The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

Land is best described as:

- ► Produced factors of production.
- ► "Organizational" resources.
- ► Physical and mental abilities of people.
- ► **"Naturally" occurring resources.**

Question No: 3 (Marks: 1) - Please choose one

Our economy is characterized by:

- ► **Unlimited wants and needs.**
- ► Unlimited material resources.
- ► No energy resources.
- ► Abundant productive labor.

Question No: 4 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

- ► Demand equals output.
- ► There is downward pressure on price.
- ► **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**
- ► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

- ► When price rises, total revenue rises.
- ► **When price rises, total revenue falls.**
- ► When income rises, quantity demanded rises.
- ► When income falls, quantity demanded rises.

Question No: 6 (Marks: 1) - Please choose one

The extra value that consumers receive above what they pay for that good is called:

- ► Producer surplus.

► Utility.
► Marginal utility.
► **Consumer surplus.**

Question No: 7 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► **Negative.**
► Positive.

Question No: 8 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

► **An increase in the slope of the budget line.**
► A decrease in the slope of the budget line.
► An increase in the intercept of the budget line.
► A decrease in the intercept of the budget line.

Question No: 9 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant**.

Question No: 10 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal profit:

► Is positive.
► Is increasing.
► **Is zero.**
► Is also maximized.

Question No: 11 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► **The monopolist is maximizing profit.**
► The monopolist is not maximizing profit and should increase output.
► The monopolist is not maximizing profit and should decrease output.
► The monopolist is earning a positive profit.

Question No: 12 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ► First-degree price discrimination.
- ► **Second-degree price discrimination.**
- ► Third-degree price discrimination.
- ► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

- ► Elasticity of demand is < 1.
- ► **Elasticity of demand is > 1.**
- ► Demand is upward-sloping.
- ► Demand is perfectly inelastic.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is considered a market structure?

- ► Monopoly.
- ► Perfect competition.
- ► Oligopoly.
- ► **All of the given are considered market structures**.

Question No: 15 (Marks: 1) - Please choose one

A natural monopoly is most likely to exist when:

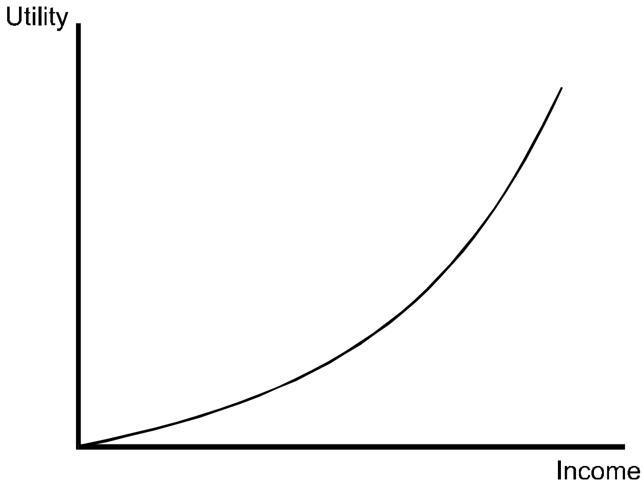
- ► **There are large barriers to entry.**
- ► There are long term patents.
- ► There are large economies of scale.
- ► There is government regulation of the industry.

Question No: 16 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► Risk averse.
- ► **Risk loving.**
- ► Risk neutral.
- ► None of the given options.

Question No: 17 (Marks: 1) - Please choose one



In the above figure, the marginal utility of income is:

- ► **Increasing as income increases.**
- ► Constant for all levels of income.
- ► Diminishes as income increases.
- ► None of the given options.

Question No: 18 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ► **The demand curve for airline travel shifts left**.
- ► The demand curve for airline travel shifts right.
- ► The supply curve of airline travel shifts left.
- ► The supply curve of airline travel shifts right.

Question No: 19 (Marks: 1) - Please choose one

What is the assumption of constructing a production possibilities curve?

- ► Economic resources are underutilized.
- ► Resources are equally productive in many alternative uses.
- ► **All available resources are employed efficiently.**
- ► Production technology is allowed to vary.

Question No: 20 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ► Immigration of skilled workers into the nation.
- ► An increase in the size of the working-age population.
- ► **A decrease in the size of the working-age population.**
- ► Increased production of capital goods.

Question No: 21 (Marks: 1) - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

- ► **10.**

- ► 13.
- ► 20.
- ► 33.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is TRUE about an indifference curve?

- **► It is a collection of market baskets that are equally desirable to the consumer.**
- ► It is a collection of market baskets that the consumer can buy.
- ► It is a curve whose elasticity is constant for every price.
- ► It is a curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question No: 23 (Marks: 1) - Please choose one

Which of the following is TRUE for a Giffen good?

- ► Its marginal utility is zero.
- **► Its demand curve is perfectly elastic.**
- ► Its substitution effect is positive.
- ► Its demand curve is positively sloped.

Question No: 24 (Marks: 1) - Please choose one

What is TRUE about the relationship between average product (AP) and marginal product (MP)?

- **► If AP exceeds MP, then AP is falling.**
- ► If AP is at a maximum, then MP is also at maximum.
- ► If AP = MP, then total product is at a maximum.
- ► If Total Product is declining, then AP is negative.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?

- ► 5Q.
- ► 5.
- ► 5 + (200/Q).
- **► 200.**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ► Consumers know their preferences.
- ► Consumers know their income levels.
- ► Consumers know the prices available.
- **► Consumers can anticipate price changes.**

Question No: 27 (Marks: 1) - Please choose one

What is the reason that monopolist has no supply curve?

► Because the quantity supplied at any particular price depends on the monopolist's demand curve.

► Because the monopolist's marginal cost curve changes considerably over time.

► Because the relationship between price and quantity depends on both marginal cost and average cost.

► **Because although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices**.

Question No: 28 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

► It shifts farther away from the origin of the graph.

► It shift inward.

► **It shifts outward.**

► None of the given options.

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Question No: 29 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?

► 500

► **30+ (500/Q)**

► $30Q^2+500Q$

► 30

Question No: 30 (Marks: 1) - Please choose one

Average total costs are the sum of:

► Fixed costs and marginal costs

► Average variable costs and marginal costs

► **Average fixed costs and average variable costs**

► Average marginal costs and average variable costs

Question No: 31 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

► The next unit produced will increase profit.

► **The next unit produced will decrease revenue more than it increases cost.**

► The next unit produced will decrease cost more than it increases revenue.

► The next unit produced will increase revenue without increasing cost.

Question No: 32 (Marks: 1) - Please choose one

At the profit-maximizing level of output, the marginal cost is equal to:

- ► Average revenue
- ► Total revenue
- ► **Marginal revenue**
- ► None of the given options

Question No: 33 (Marks: 1) - Please choose one

An increase in quantity demand is shown by:

- ► Shifting the demand curve to the left.
- ► **Shifting the demand curve to the right.**
- ► Upward movement along the demand curve.
- ► Downward movement along the demand curve.

Question No: 34 (Marks: 1) - Please choose one

Slope and elasticity of demand have

- ► A direct relation.
- ► **An inverse relationship.**
- ► No relation between slope and elasticity.
- ► None of the given options.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 5)

Ref No: 1374671
Time: 60 min
Marks: 47

Student Info	
StudentID:	**MC100205078**
Center:	**OPKST**
ExamDate:	**5/29/2010 12:00:00 AM**

For Teacher's Use Only									
Q No.	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**Total**
Marks									
Q No.	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	
Marks									

Q No.	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	
Marks									
Q No.	**25**	**26**	**27**	**28**	**29**	**30**	**31**	**32**	
Marks									
Q No.	**33**	**34**	**35**	**36**	**37**				
Marks									

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► Consumer preferences.
- ► The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ► An increase in the price of ink.
- ► Less ink to be demanded at each price.
- ► A decrease in the demand for pen.
- ► A rightward shift in the demand curve for ink.

Question No: 3 (Marks: 1) - Please choose one

When movie ticket prices decrease, families tend to spend more time at cinema for watching videos instead at home. This best reflects:

- ► The rationing function of markets.
- ► The substitution effect.
- ► Diminishing marginal utility.
- ► The income effect.

Question No: 4 (Marks: 1) - Please choose one

Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

- ► Price elasticity of demand.
- ► Income elasticity of demand.
- ► Cross price elasticity of demand.
- ► Price elasticity of supply.

Question No: 5 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ► A decrease in total revenue received by the course.
- ► An increase in total revenue received by the course.
- ► No change in total revenue received by the course.
- ► An increase in the amount of golf played on the course.

Question No: 6 (Marks: 1) - Please choose one

The extra value that consumers receive above what they pay for that good is called:

- ▶ Producer surplus.
- ▶ Utility.
- ▶ Marginal utility.
- ▶ Consumer surplus.

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Question No: 7 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

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- ▶ The substitution effect is always negative.
- ▶ The substitution effect is positive for an inferior good.
- ▶ The substitution effect measures how demand changes when income changes.
- ▶ The substitution effect is positive for a Giffen good.

Question No: 9 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

- ▶ Products with negative marginal utilities.
- ▶ Products with positive marginal utilities.
- ▶ Inputs with negative marginal products.
- ▶ Inputs with positive marginal products.

Question No: 10 (Marks: 1) - Please choose one

Producer surplus in a perfectly competitive industry is:

- ▶ The difference between profit at the profit-maximizing and profit-minimizing level of output.
- ▶ The difference between revenue and total cost.
- ▶ The difference between revenue and variable cost.
- ▶ The difference between revenue and fixed cost.

Question No: 11 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ Price = Marginal Cost.
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 12 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

► Price < Average Total Cost.
► Price > Average Total Cost.
► Price < Average Variable Cost.
► Price = Marginal Cost.

Question No: 13 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

► Production losses are less than fixed costs.
► Only normal profits are earned.
► Production losses exceed fixed costs.
► Fixed costs are zero.

Question No: 14 (Marks: 1) - Please choose one

What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

► It shifts rightward.
► It shifts leftward.
► It becomes horizontal.
► New entrants will not affect an incumbent firm's demand curve.

Question No: 15 (Marks: 1) - Please choose one

Cartels are likely to fail when:

► The members adhere to their output quotas.
► The non-cartel members increase output.
► The members charge identical prices.
► None of the given options.

Question No: 16 (Marks: 1) - Please choose one

The similarity in the Perfect competition and monopolistic competition is that:

► Firms in both types of market structure will act as price takers.
► Firms in both types of market structure will produce a product that is exactly like one produced by other firms in the industry.
► Firms in both types of market structure will produce a level of output where price equals marginal cost.
► Firms in both types of market structure will earn zero profit in the long run.

Question No: 17 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.
► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
► The study of the cause of unemployment.
► The study of the cause of inflation.

Question No: 18 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

► Risk averse.
► Risk loving.
► Risk neutral.
► None of the given options.

Question No: 19 (Marks: 1) - Please choose one

A person with a diminishing marginal utility of income is said to be:
► Risk averse person.
► Risk neutral person.
► Risk loving person.
► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Suppose an increase in income causes demand curve to shift to rightward. In this case, what will happen at any given price?
► The price elasticity of demand will remain unchanged.
► The price elasticity of demand will decrease in absolute terms.
► The price elasticity of demand will increase in absolute terms.
► The price elasticity of demand will increase, decrease or stay the same. It cannot be determined.

Question No: 21 (Marks: 1) - Please choose one

The supply curve is positively sloped because:
► As the price increases, consumers demand less.
► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
► None of the given options.
► As the price increases, so do costs.

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes a demand schedule?
► It is a numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
► It is a graphical representation of the law of demand.

▶ It is a systematic listing of all the variables that might conceivably bring about a change in demand.
▶ It is a symbolic representation of the law of demand: P,Q and Q, P.

Question No: 23 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 20, 40, 60, and 80 respectively. What is the marginal cost of the second unit of output?

▶ 10.
▶ 20.
▶ 30.
▶ 40.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is TRUE about an indifference curve?

▶ It is a collection of market baskets that are equally desirable to the consumer.
▶ It is a collection of market baskets that the consumer can buy.
▶ It is a curve whose elasticity is constant for every price.
▶ It is a curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question No: 25 (Marks: 1) - Please choose one

Suppose there are two goods A and B. What will happen to the budget line if prices of both goods increase by the same percentage?

▶ It will shift parallel to the left.
▶ It will shift parallel to the right.
▶ It will pivot about the x axis.
▶ It will pivot about the y axis.

Question No: 26 (Marks: 1) - Please choose one

When there are diminishing returns holding at least one factor constant then:

▶ The marginal product of a factor is positive and rising.
▶ The marginal product of a factor is positive but falling.
▶ The marginal product of a factor is falling and negative.
▶ The marginal product of a factor is constant.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is TRUE about L-shaped isoquant?

▶ It indicates that the firm could switch from one output to another costlessly.
▶ It indicates that the firm could not switch from one output to another.
▶ It indicates that capital and labor cannot be substituted for each other in production.
▶ It is impossible.

Question No: 28 (Marks: 1) - Please choose one

In which of the following conditions, a welfare loss occurs in monopoly?

▶ Where the price is greater than the marginal cost.

► Where the price is greater than the marginal benefit.
► Where the price is greater than the average revenue.
► Where the price is greater than the marginal revenue.

Question No: 29 (Marks: 1) - Please choose one

Which of the following statement describes decreasing returns to scale?

► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
► Increasing inputs by 1/2 leads to an increase in output of 1/6.
► Doubling the inputs used leads to double the output.
► None of the given options.

Question No: 30 (Marks: 1) - Please choose one

Average total costs are the sum of:

► Fixed costs and marginal costs
► Average variable costs and marginal costs
► Average fixed costs and average variable costs
► Average marginal costs and average variable costs

Question No: 31 (Marks: 1) - Please choose one

If different firms in the oligoplistic structures do not cooperate with each other is known as

► Collusive oligopoly.

► Cartel.
► Price leadership.

► Non-collusive oligopoly.

Question No: 32 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► The demand curve for eggs to shift rightward.
► Quantity demanded of eggs to increase.

Question No: 33 (Marks: 1) - Please choose one

Since bread and butter are complements. When the price of bread goes down, the demand curve for butter:

► Shifts to the left.

► Shifts to the right.

► Remains constant.

► Shifts to the right initially and then returns to its original position.

Question No: 34 (Marks: 1) - Please choose one

As price increases total revenue decreases in case of

► Inelastic demand.

► Unit elastic demand.

► Zero elastic demand.

► Elastic demand.

Question No: 35 (Marks: 3)

Assuming that supernormal profits can be made in the short run in a monopolistically competitive industry; will there be any difference in the long-run and short-run elasticity of demand?

Yes there will be a difference as the entry of new firms involved in the supernormal profits will make the long run demand for the firm more elastic. There are now more choices available for consumers to choose any one from the list.

Question No: 36 (Marks: 5)

Differentiate between external economies of scale and external diseconomies of scale with the help of examples.

External economies of scale:

It states that the unit cost depends on the size of industry but not on the firm itself. These firms are growing into any single firm due to the actions or the presence of other firms. For example: Advertising by competitors, making of credit information by banks.

External diseconomies of scale:

These are actually the forces that can cause the larger firms to produce goods and services at increased per unit cost and are less reputed than external economies of scale. For example: As the industry grows larger and a shortage of specific raw materials/skilled labor occurs and these factors effect cost of all firms in this industry negatively.

Question No: 37 (Marks: 5)

A.

Compare the characteristics of oligopoly and monopoly market structures.

B. Differentiate between the shape of demand curve in oligopoly and monopoly.

 (Marks: 3+2)

A)

Oligopoly:

It includes few numbers of firms with restricted freedom of entry. The nature of product in oligopoly is both undifferentiated and differentiated. For example: Cement, Cars, Electrical goods and Oil etc

Monopoly:

It includes only one (single) firm and has completely blocked entry for new firms (restricted). The nature of product is totally unique. For example: WAPDA and KESC

B)

Demand Curve of Oligopoly:

It is downward sloping comparatively inelastic and it depends on rivals' reaction to a change in the price rate.

Demand Curve of Monopoly:

Its demand curve is downward sloping and is more inelastic than oligopoly. Monopolist firms have complete control over price.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 2 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 3 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

► All of the given options.
► Excess supply.
► **Equilibrium.**
► Excess demand.

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.
► Quantity supplied.
► **Price.**
► Output.

Question No: 6 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

- ► **<u>Less than 0.</u>**
- ► Equal to 0.
- ► Greater than 0.
- ► **<u>Between 0 and 1.</u>**

Question No: 7 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► **<u>Two prices and two quantities supplied.</u>**
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Question No: 8 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:
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- ► **<u>When price rises, total revenue rises.</u>**
- ► When price rises, total revenue falls.
- ► When income rises, quantity demanded rises.
- ► When income falls, quantity demanded rises.

Question No: 9 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

- ► Risk loving.
- ► **<u>Risk neutral.</u>**
- ► Risk averse.
- ► Insufficient information for a decision.

Question No: 10 (Marks: 1) - Please choose one

Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

- ► Buy more pizzas and fewer jeans.
- ► **<u>Buy fewer pizzas and more jeans.</u>**
- ► Continue to buy the same quantities of pizza and jeans.
- ► Spend more time consuming pizza.

Question No: 11 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► **<u>Encourage workers to retire earlier.</u>**

Question No: 12 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

► Flatter.
► **<u>Steeper.</u>**
► Identical.
► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

► **<u>The substitution effect is always negative.</u>**
► The substitution effect is positive for an inferior good.
► The substitution effect measures how demand changes when income changes.
► The substitution effect is positive for a Giffen good.

Question No: 14 (Marks: 1) - Please choose one

The income effect of a price change: http://vustudents.ning.com

► Is always positive.
► Is always negative.
► **<u>May be positive or negative</u>**.
► Is associated with a change in nominal income.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► **<u>All of the given options.</u>**

Question No: 16 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **<u>Decreasing returns to scale.</u>**

► Constant returns to scale.
► Increasing returns to scale.
► Diseconomies of scale.

Question No: 17 (Marks: 1) - Please choose one

Graphically, marginal revenue is defined as:

► The slope of a line from the origin to a point on the total revenue curve.
► The slope of a line from the origin to the end of the total revenue curve.
► **<u>The slope of the total revenue curve at a given point.</u>**
► The vertical intercept of a line tangent to the total revenue curve at a given point.

Question No: 18 (Marks: 1) - Please choose one

The optimal point of production for any individual firm is where:

► **<u>Marginal Revenue = Marginal Cost.</u>**
► Marginal Revenue > Marginal Cost.
► Marginal Revenue < Marginal Cost.
► None of the given options.

Question No: 19 (Marks: 1) - Please choose one

The break-even point occurs when: http://vustudents.ning.com

► Price < Average Variable Cost.
► Price < Average Total Cost.
► **<u>Price = Average Total Cost.</u>**
► Price > Average Variable Cost.

Question No: 20 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► **<u>The monopolist is maximizing profit.</u>**
► The monopolist is not maximizing profit and should increase output.
► The monopolist is not maximizing profit and should decrease output.
► The monopolist is earning a positive profit.

Question No: 21 (Marks: 1) - Please choose one

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a _______________ price and sell a _______________ quantity.

► Higher; larger.
► Lower; larger.
► Higher; smaller.

► **Lower; smaller.**

Question No: 22 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

► **High costs.**
► Low costs.
► Equal costs.
► None of the given options.

Question No: 23 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

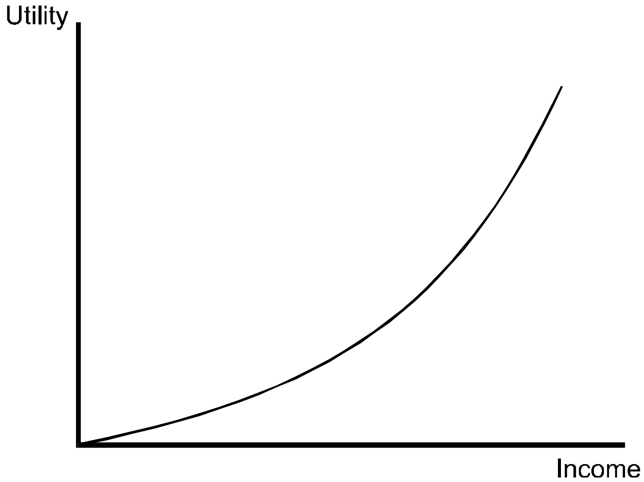
► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 24 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1.
► **Elasticity of demand is > 1.**
► Demand is upward-sloping.
► Demand is perfectly inelastic.

Question No: 25 (Marks: 1) - Please choose one



In the above figure, the marginal utility of income is: http://vustudents.ning.com

► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.**

► None of the given options.

Question No: 26   (Marks: 1)   - Please choose one

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.
► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
► It is the result of market power and production costs.
► **None of the given statements is true.**

Question No: 27   (Marks: 1)   - Please choose one

What is meant by freedom of enterprise in pure capitalism?

► **It means that businesses are free to produce products that consumers want.**
► It means that consumers are free to buy goods and services that they want.
► It means that resources are distributed freely to businesses.
► It means that government is free to direct the actions of businesses.

Question No: 28   (Marks: 1)   - Please choose one

Which of the following best describes a demand schedule?

► **It is a numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
► It is a graphical representation of the law of demand.
► It is a systematic listing of all the variables that might conceivably bring about a change in demand.
► It is a symbolic representation of the law of demand: P,Q and Q, P.

Question No: 29   (Marks: 1)   - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► **10.**
► 13.
► 20.
► 33.

Question No: 30   (Marks: 1)   - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

► **Decreasing returns to scale.**
► Constant returns to scale.
► Increasing returns to scale.
► None of the given options.

Question No: 31   (Marks: 1)   - Please choose one

Suppose all inputs are increased by 30% and output increases by more than 30% in a production process. This means that the firm experiences:

► Decreasing returns to scale.
► Constant returns to scale.
► **Increasing returns to scale.**
► None of the given options.

Question No: 32 (Marks: 1) - Please choose one

If marginal cost is Rs.15,000/- and marginal revenue is Rs.20,000/-. The firm should:

► Reduce output until marginal revenue equals marginal cost.
► Do nothing without information about your fixed costs.
► **Expand output until marginal revenue equals marginal cost.**
► None of the given options.

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Question No: 33 (Marks: 1) - Please choose one

Rationing is needed due to the problem of

► Unemployment.

► Inflation.
► **Scarcity.**
► Poverty.

Question No: 34 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► **The demand curve for eggs to shift rightward.**
► Quantity demanded of eggs to increase.

Question No: 35 (Marks: 3)

How the monopolist can maintain the high price even in the long run?

A monopolist can make super normal, profits even in long run because there is no easy entry fo other firms as in the case of perfect competition therefore a monopolist can maintain her high price even in the long run.

Question No: 36 (Marks: 5)

C.

Compare the characteristics of oligopoly and monopoly market structures.

D. Differentiate between the shape of demand curve in oligopoly and monopoly.

(Marks: 3+2)

Question No: 37 (Marks: 5)

Explain engel curve for giffen commodities with the help of graph.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 6)

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.

► Unemployment and interest rates.

► The behavior of individual firms and investors.

► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 2 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

► Demand equals output.

► There is downward pressure on price.

► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.

► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 3 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► **Two prices and two quantities supplied.**

► **The slope of the supply curve.**

► **The equilibrium price and quantity in the market.**

► **The quantity supplied at two different prices, all else equal.**

Question No: 4 (Marks: 1) - Please choose one

A demand curve is price elastic when:

► **Changes in demand are proportionately greater than changes in price.**

► **Changes in demand are equal to changes in price.**

► **None of the given options.**

► **Changes in demand are proportionately smaller than changes in price.**

Question No: 5 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► **The coefficient of elasticity is greater than one.**

► The percentage change in quantity demanded is same as the percentage change in the price.

► An increase in price will increase total revenue.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).

► Availability of close substitutes.

► Share of consumer's budget and passage of time.

► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

► Work more.

► Take more leisure.

► Not change anything.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

A production function:

► **Relates inputs with output.**

► **Generates a curve that is upward sloping.**

► **Shows diminishing marginal product of an input, since it gets flatter as output rises.**

► **All of the given options.**

Question No: 9 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that:

► **Only one combination of inputs is possible.**

► **There is constant returns to scale.**

► **Inputs have fixed costs at all use rates.**

► **The marginal rate of technical substitution of inputs is constant.**

Question No: 10 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

► **Average revenue equals average cost.**

► **Average revenue equals average variable cost.**

► **Total costs are minimized.**

► **Marginal revenue equals marginal cost.**

Question No: 11 (Marks: 1) - Please choose one

Producer surplus in a perfectly competitive industry is:

► **The difference between profit at the profit-maximizing and profit-minimizing level of output.**

► **The difference between revenue and total cost.**

► **The difference between revenue and variable cost.**

► **The difference between revenue and fixed cost.**

Question No: 12 (Marks: 1) - Please choose one

The good produced by a monopoly:

► **Has perfect substitutes.**

► **Has no substitutes at all.**

► **Has no close substitutes.**

► **Can be easily duplicated.**

Question No: 13 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► **Purely competitive.**

► **A monopoly.**

► **Monopolistically competitive.**

► **Oligopolistic.**

Question No: 14 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► **The demand curve is tangent to marginal cost curve.**

► **The demand curve is tangent to average cost curve.**

► **The marginal cost curve is tangent to average cost curve.**

► **The demand curve is tangent to marginal revenue curve.**

Question No: 15 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► **A higher price reduces demand.**

► **A lower price reduces demand.**

► **A higher price reduces quantity demanded.**

► **A lower price shifts the demand curve to the right.**

Question No: 16 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

- ► **The demand for houses has increased.**
- ► **The demand curve for houses must be upward-sloping.**
- ► **The supply of houses has increased.**
- ► **Housing construction costs must be decreasing.**

Question No: 17 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

- ► **Law of large numbers.**
- ► **Law of small numbers.**
- ► **Law of zero numbers.**
- ► **All of the given options.**

Question No: 18 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.

► A substitute good.

► A complementary good.

► Inferior good.

Question No: 19 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

► Products are differentiated.

► There is freedom of entry and exit into the industry in the long run.

► The firm is a price maker.

► There is one main seller.

Question No: 20 (Marks: 1) - Please choose one

In the above figure, the marginal utility of income is:

► Increasing as income increases.

► Constant for all levels of income.

► Diminishes as income increases.

► None of the given options.

Question No: 21 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

► One.

► Two.

► Three.

► Four.

Question No: 22 (Marks: 1) - Please choose one

What is the assumption of constructing a production possibilities curve?

► Economic resources are underutilized.

► Resources are equally productive in many alternative uses.

► All available resources are employed efficiently.

► Production technology is allowed to vary.

Question No: 23 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

► Immigration of skilled workers into the nation.

► An increase in the size of the working-age population.

► **A decrease in the size of the working-age population.**

► **Increased production of capital goods.**

Question No: 24 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

► **There will be a surplus to accumulate.**

► **There will be downward pressure on the current market price.**

► **There will be upward pressure on the current market price.**

► **There will be lower production during the next time period.**

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

► **5Q.**

► **5.**

► **5 + (200/Q).**

► **200.**

Question No: 26 (Marks: 1) - Please choose one

If average physical product (APP) is decreasing then which of the following must be true?

► Marginal physical product is more than the average physical product.

► Marginal physical product is less than the average physical product.

► Marginal physical product is decreasing.

► Marginal physical product is increasing.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement describes decreasing returns to scale?

► Increasing the inputs by 1/4% leads to a 1/2% increase in output.

► Increasing inputs by 1/2 leads to an increase in output of 1/6.

► Doubling the inputs used leads to double the output.

► None of the given options.

Question No: 28 (Marks: 1) - Please choose one

All the factors of production become variable in:

► Law of increasing return.

► Long run.

► Law of decreasing cost.

► Short run.

Question No: 29 (Marks: 1) - Please choose one

Indifference curves that are concave to the origin reflect:

► An increasing marginal rate of substitution

► A decreasing marginal rate of substitution

► A constant marginal rate of substitution

► A marginal rate of substitution that first decreases then increases

Question No: 30 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?

► 500

► 30+ (500/Q)

► $30Q^2+500Q$

► 30

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not included in the key ingredients of any market structure?

► Number of firms in the market/industry

► Extent of barriers to entry

► Perfect knowledge

► Degree of control over price

Question No: 32 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal cost equals to:

► Average revenue

► Total revenue

► Marginal revenue

► None of the given options

Question No: 33 (Marks: 1) - Please choose one

Monopolists produce lower quantities at higher prices compared to perfectly competitive firms, because monopolists do not produce where

► Marginal cost = marginal revenue

► Average revenue = marginal cost

► Price = average variable cost

► Price = marginal cost

Question No: 34 (Marks: 1) - Please choose one

An increase in quantity demand is shown by:

► Shifting the demand curve to the left.

► Shifting the demand curve to the right.

► Upward movement along the demand curve.

► Downward movement along the demand curve.

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MIDTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► **Risk averse.**
- ► Risk loving.
- ► Risk neutral.
- ► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ► **Risk averse.**
- ► Risk neutral.
- ► Risk loving.
- ► All of the given options

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ► Is a statement of fact.
- ► Is a hypothesis used to test economic theory.
- ► **Is a statement of what ought to be, not what is.**
- ► Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

- ► Limited resources, market behavior.
- ► Scarcity, human behavior.
- ► **Social behavior, limited resources.**
- ► Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ► P = MR.

► P = AVC.
► AR = MR.
► **P = MC.**

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

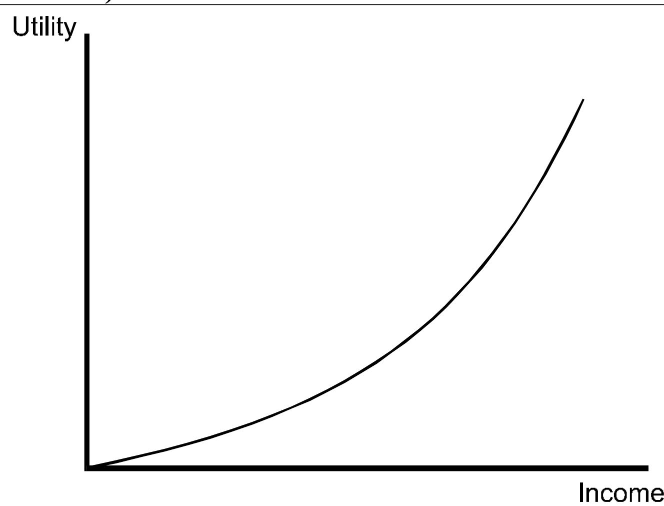
► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.**
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**
► Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as: http://vustudents.ning.com

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus**.
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded**.
► A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► **An increase in the production of consumer goods**.

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

► **Oligopoly.**
► Monopoly.
► Perfect competition.
► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► **The market price.**
► The first-degree price.
► The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences in elasticity of demand**.

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► **Third-degree price discrimination.**
► All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► **Second-degree price discrimination.**
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

► At the minimum of its average total cost curve.
► **At the minimum of its average variable cost curve.**
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

► **Marginal revenue minus marginal cost.**
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.
► **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

► **They must intersect with TC cutting TR from below.**
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.
► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.
► 5.
► 5 + (200/Q).
► **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

► A fixed cost.
► A variable cost.
► An implicit cost.
► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behavior.
► How firms should expand?
► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labors and hold output constant is the:

► Law of diminishing marginal returns.
► Marginal rate of substitution.
► **Marginal rate of factor substitution.**
► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ► **Decreasing returns to scale.**
- ► Constant returns to scale.
- ► Increasing returns to scale.
- ► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ► Unity--otherwise there would be no indifference.
- ► **The marginal rate of substitution**.
- ► The consumer's marginal utility.
- ► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ► It would shift inward.
- ► It would rotate about the axis for food.
- ► It would rotate about the axis for racquetballs.
- ► **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ► Vertical.
- ► U-shaped.
- ► Upward-sloping.
- ► **Downward-sloping**.

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ► Goods are normal or inferior.
- ► **Two goods are substitutes or complements.**
- ► Demand is elastic or inelastic.
- ► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ► The coefficient of elasticity is greater than one.

► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue**.
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course**.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve**.

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.

► Extensive.
► **Nonexistent.**
► Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

A.

Define "Law of supply" and explain it with a schedule and diagram.

B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: **LAW OF SUPPLY:** It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

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Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease

Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

MIDTERM EXAMINATION

Fall 2009

ECO401- Economics (Session - 4)

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.

► "Organizational" resources.

► Physical and mental abilities of people.

► "Naturally" occurring resources.

Question No: 2 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

► An increasingly steep negative slope.

► A decreasingly steep negative slope.

► An increasingly steep positive slope.

► A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be: http://vustudents.ning.com

► A surplus of the good.

► A shortage of the good.

► An equilibrium.

► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.

► Less ink to be demanded at each price.

► A decrease in the demand for pen.

► A rightward shift in the demand curve for ink.

Question No: 5 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► Shifting the supply curve to the right.

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 6 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

► The supply curve shifts to the left.

Question No: 7 (Marks: 1) - Please choose one

Sugar can be refined from sugar beets. When the price of those beets falls:

► The demand curve for sugar would shift right.

► The demand curve for sugar would shift left.

► The supply curve for sugar would shift right.

► The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► Price.

► Output.

Question No: 9 (Marks: 1) - Please choose one

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that: http://vustudents.ning.com

► None of the given options.

► The daily supply curve for fish slopes upward.

► The daily supply curve for fish is perfectly inelastic.

► The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 11 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.

► **100.**

► 150.

► 200.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.

► Vertical.

► **Negative.**

► Positive.

Question No: 13 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.

► 14.

► 83.

► 97.

Question No: 14 (Marks: 1) - Please choose one

Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.

► Buy fewer pizzas and more jeans.

► Continue to buy the same quantities of pizza and jeans.

► Spend more time consuming pizza.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT an assumption of ordinal utility analysis?

► Consumers are consistent in their preferences.

► Consumers can measure the total utility received from any given basket of good.

► Consumers are non-satiated with respect to the goods they confront.

► All of the given options are true.

Question No: 16 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► Decrease hours of work.

► Not change hours of work.

► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► Economies of scale.

► Diseconomies of scale.

► Decreasing returns to the labor inputs.

► Increasing returns to the labor inputs.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.

► Expenditure set.

► Isoquant.

► Isocost.

Question No: 19 (Marks: 1) - Please choose one

An isoquant curve shows:

► All the alternative combinations of two inputs that yield the same maximum total product.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

L-shaped isoquant:

► **Indicate that capital and labor cannot be substituted for each other in production.**

► Is impossible.

► Indicate that the firm could switch from one output to another costlessly.

► Indicate that the firm could not switch from one output to another.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► Demand for a product.

► Firm's behaviour.

► How firms should expand?

► Firm's profitability.

Question No: 22 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► **Fixed costs and variable costs.**

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 23 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.

► Marginal revenue and average total cost.

► Price equals marginal revenue.

► None of the given options.

Question No: 24 (Marks: 1) - Please choose one

The good produced by a monopoly:

► Has perfect substitutes.

► **Has no substitutes at all**.

► Has no close substitutes.

► Can be easily duplicated.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► Price = Marginal Cost.

► Price = Average Total Cost.

► Average Total Cost = Marginal Cost.

► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.

► The monopolist's marginal cost curve changes considerably over time.

► The relationship between price and quantity depends on both marginal cost and average cost.

► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► **The monopolist is maximizing profit.**

► The monopolist is not maximizing profit and should increase output.

► The monopolist is not maximizing profit and should decrease output.

► The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

► Monopolists earn higher profits.

► **Monopolists produce high quality goods at higher prices.**

► Most of the “surplus” (producer + consumer surplus) accrues to monopolists.

► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.

► Charges the average reservation price.

► Engages in second-degree price discrimination.

► **Engages in first-degree price discrimination.**

Question No: 30 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.

► Charging lower prices the greater the quantity purchased.

► The use of increasing block rate pricing.

► Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.

► The demand curve is tangent to average cost curve.

► The marginal cost curve is tangent to average cost curve.

► The demand curve is tangent to marginal revenue curve.

Question No: 32 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.

► An increase in the production of capital goods.

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► An increase in the production of consumer goods.

–

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A demand schedule is best described as:

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► A systematic listing of all the variables that might conceivably bring about a change in demand.

► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 34 (Marks: 1) - Please choose one

A partial explanation for the inverse relationship between price and quantity demanded is that a: http://vustudents.ning.com

► Lower price shifts the supply curve to the left.

► Higher price shifts the demand curve to the left.

► Lower price shifts the demand curve to the right.

► Higher price reduces the real incomes of buyers.

Question No: 35 (Marks: 1) - Please choose one

The total utility curve for a risk neutral person will be:

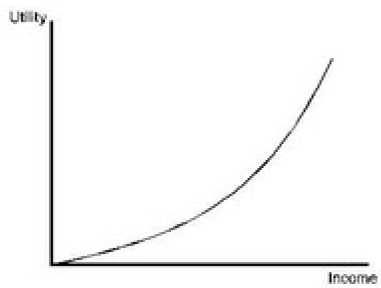
► Straight line.

► Convex.

► Concave.

► None of the given options.

Question No: 36 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.

► Constant for all levels of income.

► Diminishes as income increases.

► None of the given options.

Question No: 37 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

► The price is greater than the marginal cost.

► The price is greater than the marginal benefit.

► The price is greater than the average revenue.

► The price is greater than the marginal revenue.

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

► Labour.

► **Land.**

► Capital.

► Investment.

Question No: 39 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.

► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.

► The study of the cause of unemployment.

► The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

► Greater than 0 but less than 1.

► Greater than 1.

► Less than 0.

► Equal to 1.

Question No: 41 (Marks: 10)

A. Differentiate between risk and uncertainty.

B. What would the risk neutral person, risk averse person and risk loving person do in the following cases?

- **If Odds Ratio > 1**
- **If Odds Ratio = 1**
- **If Odds Ratio < 1**

C. You toss a coin, if head comes, you are given Rs. 200 and if tail comes, you have to pay Rs. 200. Will you play this game or not? Give your answer with brief explanation.

(Marks: 3+3+4)

Answers : A)

Risk and Uncertainty : Risk is when an outcome may or may not occur but its probability is known while uncertainty is when an outcome may or may not occur but its probability is not known.

Answers : B)

1) **For risk neutral person**

- **If Odds Ratio > 1, then he will definitely buy**
- **If Odds Ratio = 1, then he will be indifferent**
- **If Odds Ratio < 1, then he might not buy as OR < 1**

2) **For risk averse person**

- **If Odds Ratio > 1, then in this case as well he might decide not to buy.**
- **If Odds Ratio = 1, then he will definitely not buy**
- **If Odds Ratio < 1, then he will definitely not buy**

3) **For risk loving person**

- **If Odds Ratio > 1, then he will definitely buy**
- **If Odds Ratio = 1, then he will definitely buy**
- **If Odds Ratio < 1, then in this case as well he might decide to buy.**

Answers : C)

The tossing of a coin and the probability of a head appearing is 50% i.e. the odds of success are fair. So the option of OR < 1 and OR > 1 is not there. The only possibility is OR = 1 which means that the chances are not that bad. Now it depends on the fact that whether I am a risk averse, risk neutral or risk loving person. In case of fair odds both risk loving and risk neutral person might decide to play. So I will play this game as the amount of money involved is not that much and as far as my perception of it is concerned the marginal benefit of gaining 200 Rs is perceived by me as more than the marginal cost of losing the 200 Rs. So I would definitely play this game. Moreover the excitement of winning might overshadow my rational judgement and I would definitely decide to play by being carried away by excitement.

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► **Risk averse.**
- ► Risk loving.
- ► Risk neutral.
- ► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ► All of the given options.
- ► **Risk averse.**
- ► Risk neutral.

► Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

► Is a statement of fact.
► Is a hypothesis used to test economic theory.
► **Is a statement of what ought to be, not what is.**
► Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior.
► Scarcity, human behavior.
► **Social behavior, limited resources.**
► Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

► P = MR.
► P = AVC.
► AR = MR.
► **P = MC**.

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

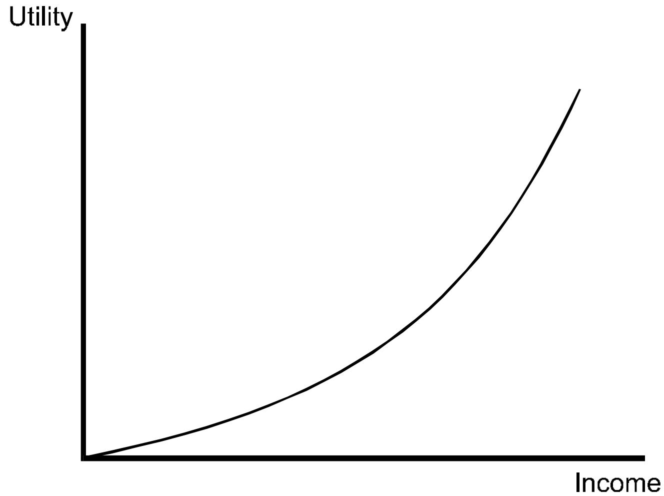
► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.
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A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**

► Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as:

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus**.

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Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► **A higher price reduces quantity demanded**.

► A lower price shifts the demand curve to the right.

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Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.

► An increase in the production of capital goods.

► A reduction in discrimination.

► **An increase in the production of consumer goods**.

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

► **Oligopoly.**

► Monopoly.

► Perfect competition.

► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).

► Will make zero profit (break-even).

► Will make positive profit.

► **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ► Purely competitive.
- ► A monopoly.
- ► Monopolistically competitive.
- ► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ► The reservation price.
- ► **The market price.**
- ► The first-degree price.
- ► The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ► Charging each consumer the same two part tariff.
- ► Charging lower prices the greater the quantity purchased.
- ► The use of increasing block rate pricing.
- ► **Charging different prices to different groups based upon differences in elasticity of demand**.

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ► First-degree price discrimination.
- ► Second-degree price discrimination.
- ► **Third-degree price discrimination.**
- ► All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- ► First-degree price discrimination.
- ► **Second-degree price discrimination.**
- ► Third-degree price discrimination.
- ► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

- ► At the minimum of its average total cost curve.
- ► **At the minimum of its average variable cost curve.**
- ► On the downward-sloping portion of its average total cost curve.
- ► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ► **Marginal revenue minus marginal cost.**
- ► Marginal revenue plus marginal cost.
- ► Marginal cost minus marginal revenue.
- ► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ► Total revenue is less than total cost.
- ► Average revenue is less than average cost.
- ► Marginal revenue is less than marginal cost.
- ► **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ► **They must intersect with TC cutting TR from below.**
- ► They must intersect with TC cutting TR from above.
- ► They must be tangent to each other.
- ► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

- ► 5Q.
- ► 5.
- ► 5 + (200/Q).
- ► **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ► A fixed cost.
- ► A variable cost.
- ► An implicit cost.

► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

► Law of diminishing marginal returns.
► Marginal rate of substitution.
► **Marginal rate of factor substitution.**
► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **Decreasing returns to scale.**
► Constant returns to scale.
► Increasing returns to scale.
► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution**.
► The consumer's marginal utility.
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► **Downward-sloping**.

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

► Goods are normal or inferior.
► **Two goods are substitutes or complements.**
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue**.
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course**.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve**.

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► **Nonexistent.**
► Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

C.
Define "Law of supply" and explain it with a schedule and diagram.
D. What are the factors which cause the shift in market supply curve?
(Marks: 6+4)

ANSWER: **LAW OF SUPPLY:** It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
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MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Time: 60 min

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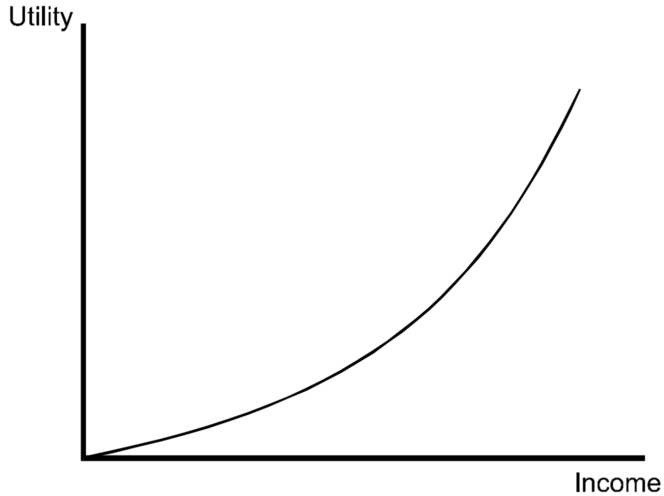

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► The use of increasing block rate pricing.
► Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

► At the minimum of its average total cost curve.
► At the minimum of its average variable cost curve.
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

► Marginal revenue minus marginal cost.
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.
► Marginal revenue is greater than marginal cost.

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

► They must intersect with TC cutting TR from below.
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.
► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.
► 5.
► 5 + (200/Q).
► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ► A fixed cost.
- ► A variable cost.
- ► An implicit cost.
- ► An opportunity cost.

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ► Demand for a product.
- ► Firm's behaviour.
- ► How firms should expand?
- ► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

- ► Law of diminishing marginal returns.
- ► Marginal rate of substitution.
- ► Marginal rate of factor substitution.
- ► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ► Decreasing returns to scale.
- ► Constant returns to scale.
- ► Increasing returns to scale.
- ► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ► Unity--otherwise there would be no indifference.
- ► The marginal rate of substitution.
- ► The consumer's marginal utility.
- ► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► It would shift outward.

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

► Goods are normal or inferior.
► Two goods are substitutes or complements.
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► An increase in price will increase total revenue.
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► An increase in total revenue received by the course.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.

► Marginal analysis.
► Allocative efficiency.
► Opportunity cost.

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► The economy will move from a point inside to a point closer to its production possibilities curve.

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► "Naturally" occurring resources.

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► Nonexistent.
► Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

E.
Define "Law of supply" and explain it with a schedule and diagram.
F. What are the factors which cause the shift in market supply curve?
(Marks: 6+4)

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 4)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.

► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.

► The study of the cause of unemployment.

► The study of the cause of inflation.

Question No: 2 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior.

► Scarcity, human behavior.

► Social behavior, limited resources.

► Biological behavior, scarcity.

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.

► Consumers know their income levels.

► Consumers know the prices available.

► Consumers can anticipate price changes.

Question No: 4 (Marks: 1) - Please choose one

The textbook for your class was not produced in a perfectly competitive industry because:

► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.

► Upper-division microeconomics texts are not all alike.

► It is not costless to enter or exit the textbook industry.

► All of the given options.

Question No: 5 (Marks: 1) - Please choose one

If indifference curves cross, then:

► The assumption of a diminishing marginal rate of substitution is violated.

► The assumption of transitivity is violated.

► The assumption of completeness is violated.

► Consumers minimize their satisfaction.

Question No: 6 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

- ► The demand for houses has increased.
- ► The demand curve for houses must be upward-sloping.
- ► The supply of houses has increased.
- ► Housing construction costs must be decreasing.

Question No: 7 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

- ► A higher price reduces demand.
- ► A lower price reduces demand.
- ► A higher price reduces quantity demanded.
- ► A lower price shifts the demand curve to the right.

Question No: 8 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ► Oligopoly.
- ► Monopoly.
- ► Perfect competition.
- ► Monopolistic competition.

Question No: 9 (Marks: 1) - Please choose one

Which of the following markets is most likely to be oligopolistic?

- ► The market for corn.
- ► The market for aluminum.
- ► The market for colas.
- ► The market for ground coffees.

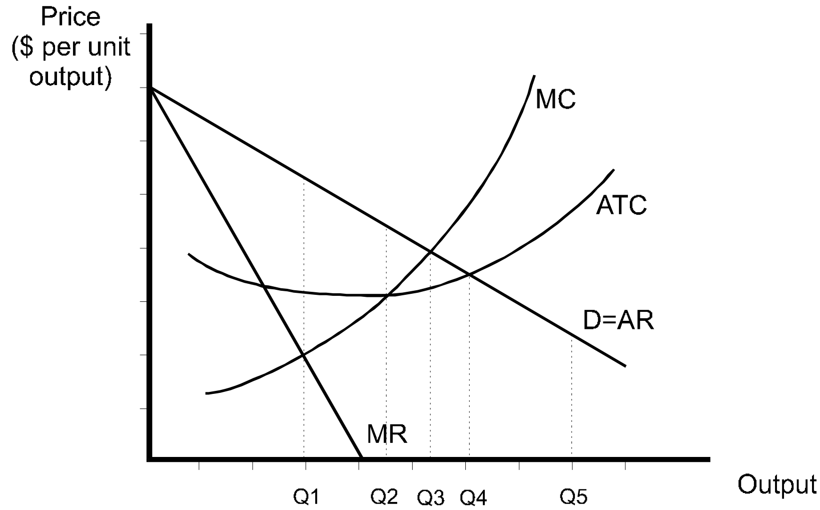
Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ► Engages in a discrete pricing strategy.
- ► Charges the average reservation price.
- ► Engages in second-degree price discrimination.
- ► Engages in first-degree price discrimination.

Question No: 11 (Marks: 1) - Please choose one

For the monopolist shown below, the profit maximizing level of output is:



- ► Q1.
- ► Q2.
- ► Q3.
- ► Q4.

Question No: 12 (Marks: 1) - Please choose one

If a monopolist sets his output such that marginal revenue, marginal cost and average total cost are equal, economic profit must be:

- ► Negative.
- ► Positive.
- ► Zero.
- ► Indeterminate from the given information.

Question No: 13 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

- ► Monopolists earn higher profits.
- ► Monopolists produce high quality goods at higher prices.
- ► Most of the “surplus” (producer + consumer surplus) accrues to monopolists.
- ► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 14 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ► Demand for a product.
- ► Firm's behaviour.
- ► How firms should expand?
- ► Firm's profitability.

Question No: 15 (Marks: 1) - Please choose one

Increasing returns to scale in production means:

► More than twice as much of only one input is required to double output.
► Isoquants must be linear.
► More than 10% as much of all inputs are required to increase output 10%.
► Less than twice as much of all inputs are required to double output.

Question No: 16 (Marks: 1) - Please choose one

An isoquant curve shows:

► All the alternative combinations of two inputs that yield the same maximum total product.
► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods increases?

► It shift farther away from the origin of the graph.
► It shift inward, closer to the origin.
► It vanishes.
► It undergoes no change.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.
► Expenditure set.
► Isoquant.
► Isocost.

Question No: 19 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

► Marginal physical product is greater than average physical product.
► Marginal physical product is less than average physical product.
► Marginal physical product is increasing.
► Marginal physical product is decreasing.

Question No: 20 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

► An increasing marginal rate of substitution.

► A decreasing marginal rate of substitution.

► A constant marginal rate of substitution.

► A marginal rate of substitution that first decreases, then increases.

Question No: 21 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► Negative.
► Positive.

Question No: 22 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.
► 100.
► 150.
► 200.

Question No: 23 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:
► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

Question No: 24 (Marks: 1) - Please choose one

The extra value that consumers receive above what they pay for that good is called:

► Producer surplus.
► Utility.
► Marginal utility.
► Consumer surplus.

Question No: 25 (Marks: 1) - Please choose one

Marginal utility is best described as:

- ► The total satisfaction gained from the total consumption of the good.
- ► The change in satisfaction from consuming one additional unit of the good.
- ► The additional satisfaction gained by consumption of the last good.
- ► The per unit satisfaction of the good consumed.

Question No: 26 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ► A decrease in total revenue received by the course.
- ► An increase in total revenue received by the course.
- ► No change in total revenue received by the course.
- ► An increase in the amount of golf played on the course.

Question No: 27 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

- ► When price rises, total revenue rises.
- ► When price rises, total revenue falls.
- ► When income rises, quantity demanded rises.
- ► When income falls, quantity demanded rises.

Question No: 28 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ► Perfectly elastic.
- ► Unit elastic.
- ► Elastic.
- ► Inelastic.

Question No: 29 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► Two prices and two quantities supplied.
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Question No: 30 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ► Price elasticity of demand.
- ► Income elasticity of demand.
- ► Supply price elasticity.
- ► Cross price elasticity.

Question No: 31 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

- ► A surplus of credit.
- ► A shortage of credit.
- ► Greater profits for banks issuing credit.
- ► A perfectly inelastic supply of credit in the market place.

Question No: 32 (Marks: 1) - Please choose one

If both supply and demand increase simultaneously, the equilibrium:

- ► Price must rise and the equilibrium quantity must fall.
- ► Price must rise and the equilibrium quantity may either rise or fall.
- ► Quantity must rise and the equilibrium price may either rise or fall.
- ► Price must fall and the equilibrium quantity may either rise or fall.

Question No: 33 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ► A decrease in equilibrium price and an increase in quantity of meal.
- ► An increase in equilibrium price and quantity of meal.
- ► A decrease in equilibrium price and quantity of meal.
- ► An increase in equilibrium price and a decrease in quantity of meal.

Question No: 34 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ► Inferior good.
- ► Complementary good.
- ► Normal good.
- ► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ► An increase in the price of ink.

► Less ink to be demanded at each price.
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 36 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

► There is a shortage of the product.
► There is a surplus of the product.
► The product is a normal good.
► The product is an inferior good.

Question No: 37 (Marks: 1) - Please choose one

When constructing a typical production possibilities curve, economists assume that:

► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► All available resources are employed efficiently.
► Production technology is allowed to vary.

Question No: 38 (Marks: 1) - Please choose one

Our economy is characterized by:

► Unlimited wants and needs.
► Unlimited material resources.
► No energy resources.
► Abundant productive labor.

Question No: 39 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

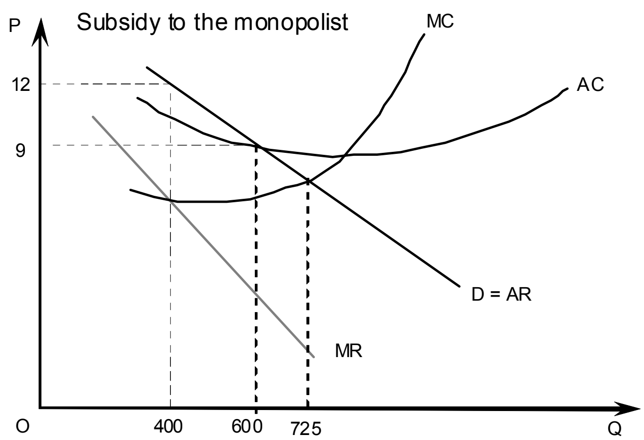
► Price is relatively unimportant as a means of allocating resources.
► Goods and services produced reflect consumer sovereignty.
► There is no incentive for people to work hard.
► All income is completely evenly distributed.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a normative statement?

► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
► The minimum wage should not be increased, because to do so would increase unemployment.
► Smoking should be restricted on all airline flights.
► All of the given options.

Question No: 41 (Marks: 10)



a. **According to the given graph, at which point allocative efficiency is achieved?**
b. **Is the productive efficiency is also attained at the point of allocative efficiency? why**
c. **At which point economist might make a loss and what will be the role of Government in this regard?**
d. **At which point monopolist is able to get allocative efficiency as well as productive efficiency?**

(Marks: 2.5+2.5+2.5+2.5)

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one
An individual whose attitude towards risk is known as:

► Risk averse.
► **Risk loving.**
► Risk neutral.
► None of the given options

Question No: 2 (Marks: 1) - Please choose one
The concept of a risk premium applies to a person that is:

► All of the given options.
► **Risk averse.**
► Risk neutral.
► Risk loving.

Question No: 3 (Marks: 1) - Please choose one
A normative economic statement:

► Is a statement of fact.

► Is a hypothesis used to test economic theory.
► **Is a statement of what ought to be, not what is.**
► Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one
Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior.
► **Scarcity, human behavior.**
► Social behavior, limited resources.
► Biological behavior, scarcity.

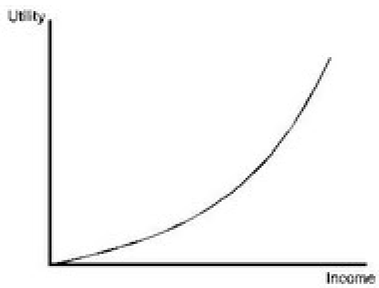
Question No: 5 (Marks: 1) - Please choose one
Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:
► P = MR.
► P = AVC.
► AR = MR.
► **P = MC**.

Question No: 6 (Marks: 1) - Please choose one
A welfare loss occurs in monopoly where:

► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one
The "perfect information" assumption of perfect competition includes all of the following EXCEPT:
► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



In figure given above, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.**
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one
A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one
If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**
► Inferior.

Question No: 11 (Marks: 1) - Please choose one
A demand schedule is best described as:

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus**.
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose one
Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded**.
► A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one
Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► **An increase in the production of consumer goods**.

Question No: 14 (Marks: 1) - Please choose one
The primary use of the kinked-demand curve is to explain price rigidity in:

► **Oligopoly.**
► Monopoly.
► Perfect competition.
► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one
A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one
The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► **The market price.**
► The first-degree price.
► The block price.

Question No: 18 (Marks: 1) - Please choose one
Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences in elasticity of demand**.

Question No: 19 (Marks: 1) - Please choose one
A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► **Third-degree price discrimination.**
► All of the given options.

Question No: 20 (Marks: 1) - Please choose one
An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► **Second-degree price discrimination.**
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one
A firm never operates:

► At the minimum of its average total cost curve.
► **At the minimum of its average variable cost curve.**
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one
Marginal profit is equal to:
► **Marginal revenue minus marginal cost.**
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one
If current output is less than the profit-maximizing output then which of the following must be TRUE?
► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.
► **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one
At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?
► **They must intersect with TC cutting TR from below.**
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.
► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one
The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?
► 5Q.
► 5.
► 5 + (200/Q).
► None of the given options.
Reference Q.No. 23

Question No: 26 (Marks: 1) - Please choose one
In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:
► A fixed cost.
► A variable cost.

► An implicit cost.
► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one
Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one
The rate at which a firm can substitute capital for labour and hold output constant is the:

► Law of diminishing marginal returns.
► Marginal rate of substitution.
► **Marginal rate of factor substitution.**
► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one
If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **Decreasing returns to scale.**
► Constant returns to scale.
► Increasing returns to scale.
► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one
At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution**.
► The consumer's marginal utility.
► None of the given options.

Question No: 31 (Marks: 1) - Please choose one
Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.

► It would rotate about the axis for racquetballs.
► **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one
According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:
► Vertical.
► U-shaped.
► Upward-sloping.
► **Downward-sloping**.

Question No: 33 (Marks: 1) - Please choose one
Cross-price elasticity measures whether:
► Goods are normal or inferior.
► **Two goods are substitutes or complements.**
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one
Which of the following will be TRUE if demand is inelastic?
► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue**.
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one
Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course**.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one
Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve**.

Question No: 38 (Marks: 1) - Please choose one
Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one
In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► **Nonexistent.**
► Limited.

Question No: 40 (Marks: 1) - Please choose one
Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

A. Define "Law of supply" and explain it with a schedule and diagram.
B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: **LAW OF SUPPLY:** It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95

3	80
2	60
1	40

Factors Causing Shift in Supply Curve:
There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

MIDTERM EXAMINATION

Fall 2009

ECO401- Economics (Session - 2)

Ref No:

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

In pure capitalism, freedom of enterprise means that:

► Businesses are free to produce products that consumers want.

► Consumers are free to buy goods and services that they want.

► Resources are distributed freely to businesses.

► Government is free to direct the actions of businesses.

Question No: 2 (Marks: 1) - Please choose one

The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

► The demand curve for chiken to shift to the left.

► The demand curve for chiken to shift to the right.

► Quantity demanded of chiken to increase.

► Quantity demanded of chiken to decrease.

Question No: 3 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

► As the price increases, consumers demand less.

► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.

► None of the given options.

► As the price increases, so do costs.

Question No: 4 (Marks: 1) - Please choose one

If the quantity supplied of oranges exceeds the quantity demanded then:

► There is a shortage of oranges.

► Market forces will cause the price to fall.

► Market forces will cause the price to rise.

► The market is in equilibrium.

Question No: 5 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

► Period of falling farm prices due to unusually good harvests.

► Substantial increase in farm productivity due to applications of new technology in

agriculture.

► National security crisis leading to major shortages of essential goods.

► Period of extraordinary large surpluses of farm goods.

Question No: 6 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

► A surplus of credit.

► A shortage of credit.

► Greater profits for banks issuing credit.

► A perfectly inelastic supply of credit in the market place.

Question No: 7 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 8 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.

► Unit elastic.

► Elastic.

► Inelastic.

Question No: 9   (Marks: 1)   - Please choose one

The numerical measurement of a consumer's preference is called:

► Use.

► Pleasure.

► Utility.

► Satisfaction.

http://vustudents.ning.com

Question No: 10   (Marks: 1)   - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.

► U-shaped.

► Upward-sloping.

► Downward-sloping.

Question No: 11   (Marks: 1)   - Please choose one

If your demand price for one unit of a good is $100 and the market price is $75, your consumer's surplus is:

► $25.

► $50.

► $75.

► $100.

Question No: 12 (Marks: 1) - Please choose one

Other things being equal, expected income can be used as a direct measure of well-being:

► No matter what a person's preference to risk.

► If and only if individuals are not risk-loving.

► If and only if individuals are risk averse.

► If and only if individuals are risk neutral.

Question No: 13 (Marks: 1) - Please choose one

If diminishing marginal utility holds and a person consumes less of a good then which of the following will happen; all else being equal?

► Marginal utility will decline.

► The price of the good will rise.

► Marginal utility will rise.

► Expenditure on the good will increase.

Question No: 14 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.

► Indifference curves slope upwards.

► Indifference curves may cross.

► Indifference curves could take the form of ellipses.

Question No: 15 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

► The consumer's indifference curve must be positively sloped.

► The consumer's indifference curve must be convex with respect to the origin of the graph.

► The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.

► All of the given options.

Question No: 16 (Marks: 1) - Please choose one

An indifference curve is:

► A collection of market baskets that are equally desirable to the consumer.

► A collection of market baskets that the consumer can buy.

► A curve whose elasticity is constant for every price.

► A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question No: 17 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

► Encourage workers to retire later.

► Encourage workers to work more hours.

► Have no effect on incentive to retire.

► Encourage workers to retire earlier.

Question No: 18 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

► Work more.

► Take more leisure.

► Not change anything.

► None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following statements about indifference curves is NOT correct?

► Indifference curves are generally negatively sloped.

► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.

► Two indifference curves cannot intersect unless they are identical throughout.

► Two different indifference curves can intersect but only once.

Question No: 20 (Marks: 1) - Please choose one

The income effect of a price change:

► Is always positive.

► Is always negative.

► May be positive or negative.

► Is associated with a change in nominal income.

Question No: 21 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

► An inferior good.

► A substitute good.

► An independent good.

► A normal good.

Question No: 22 (Marks: 1) - Please choose one

Which of the following statements describes the presence of diminishing returns holding at least one factor constant?

► The marginal product of a factor is positive and rising.

► The marginal product of a factor is positive but falling.

► The marginal product of a factor is falling and negative.

► The marginal product of a factor is constant.

Question No: 23 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

► Decreasing marginal costs.

► Increasing marginal costs.

► Decreasing average variable costs.

► Decreasing average fixed costs.

Question No: 24 (Marks: 1) - Please choose one

An isocost line reveals the:

► Cost of inputs needed to produce along an isoquant.

► Cost of inputs needed to produce along an expansion path.

► Input combinations that can be purchased with a given outlay of funds.

► Output combinations that can be produced with a given outlay of funds.

Question No: 25 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► Demand for a product.

► Firm's behaviour.

► How firms should expand?

► Firm's profitability.

Question No: 26 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

► Total revenue is less than total cost.

► Average revenue is less than average cost.

► Marginal revenue is less than marginal cost.

► Marginal revenue is greater than marginal cost.

Question No: 27 (Marks: 1) - Please choose one

In which market structure, each firm produces an identical product and there is freedom of entry and exit?

► Monopoly.

► Oligopoly.

► Perfect competition.

► Monopolistic competition.

Question No: 28 (Marks: 1) - Please choose one

For a monopolist, changes in demand will lead to changes in:

► Price with no change in output.

► Output with no change in price.

► Both price and quantity.

► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.

► The market price.

► The first-degree price.

► The block price.

Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.

► Excess capacity.

► Product diversity.

► The fact that long-run average cost is not minimized.

Question No: 31 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.

► An increase in the production of capital goods.

► A reduction in discrimination.

► An increase in the production of consumer goods.

Question No: 32 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

► The demand for houses has increased.

► The demand curve for houses must be upward-sloping.

► The supply of houses has increased.

► Housing construction costs must be decreasing.

Question No: 33 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.

► A normal good (but not a luxury).

► An inferior good.

► A Giffen good.

Question No: 34 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

► Products are differentiated.

► There is freedom of entry and exit into the industry in the long run.

► The firm is a price maker.

► There is one main seller.

Question No: 35 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

► The number of firms in the market.

► The extent to which any firm can influence the price of the product.

► The size of the firms in the market.

► The annual sales made by the largest firms in the market.

Question No: 36 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.

► The firm supplies a different good than its rivals.

► The firm's output is a small fraction of the entire industry's output.

► The short run market price is determined solely by the firm's technology.

Question No: 37 (Marks: 1) - Please choose one

The basic difference between oligopoly and monopolistic competition is that.

► Products are differentiated in oligopoly.

► There are no barriers to entry in oligopoly.

► There are barriers to entry in oligopoly.

► An oligopoly includes downward sloping demand curves facing the firm.

Question No: 38 (Marks: 1) - Please choose one

Because of unusually warm weather, the supply of strawberries has substantially increased. This statement indicates that:

► The demand for strawberries will necessarily rise.

► The equilibrium quantity of strawberries will fall.

► The quantity of strawberries that will be available at various prices has increased.

► The price of strawberries will fall.

Question No: 39 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

► Is equal to the absolute value of the slope of the indifference curve at that point.

► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.

► Reflects the relative values the consumer attaches to the two good.

► Is described, in part, by each of the given statements.

Question No: 40 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 100,300, 600, 1000.The marginal cost of the third unit of output is:

► 100.

► 150.

► 200.

► 300.

Question No: 41 (Marks: 10)

Following table shows the price and quantity demanded of a good.

Price	Quantity demanded
2.5	400
5	200
10	100
20	50
40	25

a) Calculate the total revenue from this table.

b) Interpret whether the demand is elastic, inelastic or unitary elastic and why?

c) What will be the shape of demand curve according to the above table? Draw the graph.

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► **Risk averse.**
- ► Risk loving.
- ► Risk neutral.
- ► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ► All of the given options.
- ► **Risk averse.**
- ► Risk neutral.
- ► Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ► Is a statement of fact.
- ► Is a hypothesis used to test economic theory.
- ► **Is a statement of what ought to be, not what is.**
- ► Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

- ► Limited resources, market behavior.
- ► Scarcity, human behavior.
- ► **Social behavior, limited resources.**
- ► Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ► P = MR.
- ► P = AVC.
- ► AR = MR.

► **P = MC**.

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

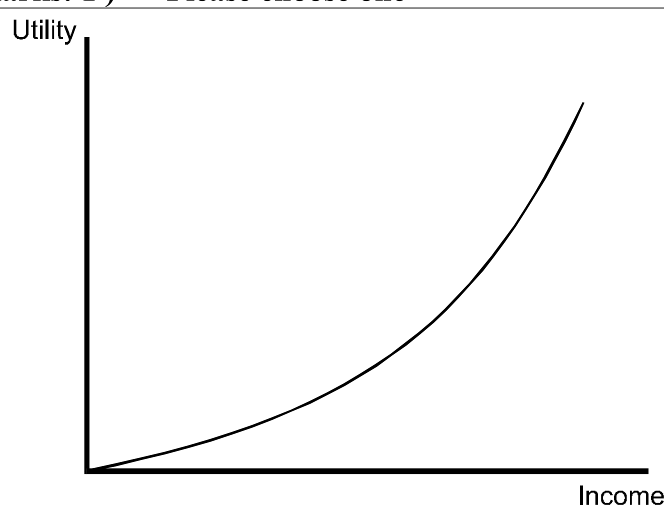
► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.**
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**
► Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as:

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus**.
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded**.
► A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► **An increase in the production of consumer goods**.

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

► **Oligopoly.**
► Monopoly.
► Perfect competition.
► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► **The market price.**
► The first-degree price.
► The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences in elasticity of demand**.

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► **Third-degree price discrimination.**
► All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► **Second-degree price discrimination.**
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

► At the minimum of its average total cost curve.
► **At the minimum of its average variable cost curve.**
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:
► **Marginal revenue minus marginal cost.**
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?
► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.

► **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

► **They must intersect with TC cutting TR from below.**
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.
► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.
► 5.
► 5 + (200/Q).
► **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

► A fixed cost.
► A variable cost.
► An implicit cost.
► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

► Law of diminishing marginal returns.
► Marginal rate of substitution.
► **Marginal rate of factor substitution.**
► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs

leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **Decreasing returns to scale.**
► Constant returns to scale.
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Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

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According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:
► Vertical.
► U-shaped.
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► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue**.

► None of the given options.

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Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course**.
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

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Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve**.

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► **Nonexistent.**
► Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

G.
Define "Law of supply" and explain it with a schedule and diagram.
H. What are the factors which cause the shift in market supply curve?
(Marks: 6+4)

ANSWER: **LAW OF SUPPLY:** It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in	Increase	Rightward shift	Decrease	Increase

future price				
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

Question No: 1 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ► All of the given options.
- ► Risk averse.
- ► Risk neutral.
- ► Risk loving.

Question No: 2 (Marks: 1) - Please choose one

Assume that the current market price is below the market clearing level. We would expect:

- ► A surplus to accumulate.
- ► Downward pressure on the current market price.
- ► Upward pressure on the current market price.
- ► Lower production during the next time period.

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ► Consumers know their preferences.
- ► Consumers know their income levels.
- ► Consumers know the prices available.
- ► Consumers can anticipate price changes.

Question No: 4 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ► Normal good.
- ► A substitute good.
- ► A complementary good.
- ► Inferior good.

Question No: 5 (Marks: 1) - Please choose one

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

- ► Positive.
- ► Strictly linear.
- ► Flat.
- ► Negative.

Question No: 6 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

- ► Law of large numbers.
- ► Law of small numbers.
- ► Law of zero numbers.
- ► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

A demand schedule is best described as:

- ► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
- ► A graphical representation of the law of demand.
- ► A systematic listing of all the variables that might conceivably bring about a change in demand.
- ► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 8 (Marks: 1) - Please choose one

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ► It is not a monopoly.
- ► It is in competition with other firms.
- ► It is operating on the downward-sloping part of the average cost curve.
- ► It produces at the minimum average cost.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ► The fact that price exceeds marginal cost.
- ► Excess capacity.
- ► Product diversity.
- ► The fact that long-run average cost is not minimized.

Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ► Engages in a discrete pricing strategy.
- ► Charges the average reservation price.
- ► Engages in second-degree price discrimination.
- ► Engages in first-degree price discrimination.

Question No: 11 (Marks: 1) - Please choose one

The break-even point occurs when:

- ► Price < Average Variable Cost.
- ► Price < Average Total Cost.
- ► Price = Average Total Cost.
- ► Price > Average Variable Cost.

Question No: 12 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ► Long-run average total cost curve is equal to the economies of scope.
- ► Long-run average total cost curve is positively sloped.
- ► Long-run average total cost curve is horizontal.
- ► Long-run average total cost curve is negatively sloped.

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

- ► The trademark protecting Gatoraide.
- ► The talents of Tom Hanks.
- ► The local water company.
- ► The patent on an Intel processor.

Question No: 14 (Marks: 1) - Please choose one

A monopoly occurs when:

- ► Each firm produces a product that is slightly different from the other firms.
- ► One firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
- ► There are many firms producing the same product.
- ► All of the given options.

Question No: 15 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then the next unit produced:

- ► Will decrease profit.
- ► Will increase cost more than it increases revenue.
- ► Will increase revenue more than it increases cost.
- ► Will increase revenue without increasing cost.

Question No: 16 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

- ► 200.
- ► 5Q.
- ► 5.
- ► 5 + (200/Q).

Question No: 17 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

- ► Average cost.
- ► Marginal cost.
- ► Fixed cost.
- ► Variable cost.

Question No: 18 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

- ► Output.
- ► Capital expenditures.
- ► Wages.
- ► Time.

Question No: 19 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ► Output is being produced at minimum cost.
- ► Output is not being produced at minimum cost.
- ► The two products are being produced at the medium input cost to the firm.
- ► The two products are being produced at the highest input cost to the firm.

Question No: 20 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

- ► Products with negative marginal utilities.
- ► Products with positive marginal utilities.
- ► Inputs with negative marginal products.
- ► Inputs with positive marginal products.

Question No: 21 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ► Decreasing marginal costs.
- ► Increasing marginal costs.
- ► Decreasing average variable costs.
- ► Decreasing average fixed costs.

Question No: 22 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

- ► All inputs are variable.
- ► All inputs are paid for.
- ► All outputs are determined.
- ► All loans are repaid.

Question No: 23 (Marks: 1) - Please choose one

The following table shows a firm's Total Product of labor. What is the Marginal Product of labor between 20 and 30 units of labor?

Table

Quantity of Labor	Total Product
0	0
10	100
20	230
30	340
40	410
50	460

- ► 340 units.
- ► 220 units.
- ► 11 units.
- ► 110 units.

Question No: 24 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

- ► Marginal physical product is greater than average physical product.
- ► Marginal physical product is less than average physical product.
- ► Marginal physical product is increasing.
- ► Marginal physical product is decreasing.

Question No: 25 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

► Decrease hours of work.
► Increase hours of work.
► Not change anything.
► All of the given options.

Question No: 26 (Marks: 1) - Please choose one

If a market basket is changed by adding more to at least one of the goods, then every consumer will:

► Rank the market basket more highly after the change.
► Rank the market basket more highly before the change.
► Rank the market basket just as desirable after the change.
► Be unable to decide whether he prefers the first market basket to the second or the second to the first.

Question No: 27 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► Indifference curves slope upwards.
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

Question No: 28 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► It would shift outward.

Question No: 29 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

► 50.
► 100.
► 150.
► 200.

Question No: 30 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

► The price of each good is exactly equal to the price of every other good consumed.
► The price of each good is exactly equal to the total utility derived from the consumption of every other good.
► The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.
► Marginal utility is equal to average utility.

Question No: 31 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 32 (Marks: 1) - Please choose one

Cross price elasticity between coffee and tea is 1.5. It means that:
► Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.
► Given a 1% increase in coffee price, we would expect a 1.5% decrease in tea demand.
► Given 1% increase in coffee price, there will be no change in tea demand.
► None of the given options.

Question No: 33 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.
► Unit elastic.
► Elastic.
► Inelastic.

Question No: 34 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:
► Period of falling farm prices due to unusually good harvests.
► Substantial increase in farm productivity due to applications of new technology in agriculture.
► National security crisis leading to major shortages of essential goods.
► Period of extraordinary large surpluses of farm goods.

Question No: 35 (Marks: 1) - Please choose one

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

- ► Shifts to the left.
- ► Shifts to the right.
- ► Remains constant.
- ► Shifts to the right initially and then returns to its original position.

Question No: 36 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ► Shifting the supply curve to the left.
- ► Shifting the supply curve to the right.
- ► Upward movement along the supply curve.
- ► Downward movement along the supply curve.

Question No: 37 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► Consumer preferences.
- ► The level of profits of firms.

Question No: 38 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

- ► Price is relatively unimportant as a means of allocating resources.
- ► Goods and services produced reflect consumer sovereignty.
- ► There is no incentive for people to work hard.
- ► All income is completely evenly distributed.

Question No: 39 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ► When the price of a good goes up, consumers buy less of it.
- ► When the price of a good goes up, firms produce more of it.
- ► When the Federal government sells bonds, interest rates rise and private investment is reduced.
- ► All of the given options.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ► The behavior of individual consumers.
- ► Unemployment and interest rates.

► The behavior of individual firms and investors.

► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

a.

What is the relationship between average physical product and marginal physical product in three cases if:

i. Marginal physical product is equal to average physical product.

The average physical product will not change.

ii. Marginal physical product is above the average physical product.

The average physical product will also increase.

iii. Marginal physical product is below the average physical product.

The average physical product will also fall

Eco401 – Economics Midterm Solved Papers Subjective and Objective For Exam Preparation

1
Which of the following is considered to be a variable cost in the long run?
► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► All of the given options.
2
A perfectly competitive firm maximizes profit by finding the level of production at which:
► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.
3
If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:
► Independent.
► Complements.
► Substitutes.
► Inferior.
4
The long-run average total cost curve:
► Traces out the points on the lowest short-run average total cost curve for each level of production.
► Is inversely related to the depth of the short-run marginal cost curve.
► Traces out the midpoints on an average of several short-run average total cost curves.
► Is downward-sloping under decreasing returns to scale.
5
Marginal profit is equal to:
► Marginal revenue minus marginal cost.
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.
6
Because of unusual warm weather, the supply of strawberries has substantially increased. This statement indicates that:
► The demand for strawberries will necessarily rise.
► The equilibrium quantity of strawberries will fall.

► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.
7
In a free-market economy, the allocation of resources is determined by:
► Votes taken by consumers.
► A central planning authority.
► Consumer preferences.
► The level of profits of firms.
8
We know that the demand for a product is elastic:
► When price rises, total revenue rises.
► When price rises, total revenue falls.
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.
9
At the profit-maximizing level of output, marginal profit:
► Is positive.
► Is increasing.
► Is zero.
► Is also maximized.
10
An individual whose attitude towards risk is known as:
► Risk averse.
► Risk loving.
► Risk neutral.
► None of the given options.
11
Question No: 31 (Marks: 1) - Please choose one
What will happen if current output is more than the profit-maximizing output?
► The next unit produced will increase profit.
► The next unit produced will decrease revenue more than it increases cost.
► The next unit produced will decrease cost more than it increases revenue.
► The next unit produced will increase revenue without increasing cost.
12
Which of the following is TRUE about L-shaped isoquant?
► It indicates that the firm could switch from one output to another costlessly.
► It indicates that the firm could not switch from one output to another.
► It indicates that capital and labor cannot be substituted for each other in production.
► It is impossible.
13
As price increases total revenue decreases in case of
► Inelastic demand.
► Unit elastic demand.
► Zero elastic demand.

► Elastic demand.

14

The break-even point occurs when:

► Price < Average Variable Cost.
► Price < Average Total Cost.
► **Price = Average Total Cost.**
► Price > Average Variable Cost.

15

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.
► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
► It is the result of market power and production costs.
► **None of the given statements is true.**

16

At the equilibrium price:

► There will be a shortage.
► **There will be neither a shortage nor a surplus.**
► There will be a surplus.
► There are forces that cause the price to change.

Subjective 100% in lecture no 18 to 22 Monopoly ,

Paper # 02

Spring 2010

Question No. 1 (M a r k s: 1)
Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 2 (M a r k s: 1)
A market is said to be in equilibrium when:

► **Demand equals output.**
► There is downward pressure on price.

► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 3 (M a r k s: 1)
In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► **The quantity supplied at two different prices, all else equal.**

Question No: 4 (M a r k s: 1)
A demand curve is price elastic when:

► Changes in demand are proportionately greater than changes in price.
► **Changes in demand are equal to changes in price.**
► None of the given options.
► Changes in demand are proportionately smaller than changes in price.

Question No: 5 (M a r k s: 1)
Which of the following will be TRUE if demand is inelastic?
► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

Ref
Inelastic demand of any product means that if price of that product increases there is very small effect on its quantity demanded. As price increases, total revenue also increases in case of inelastic demand.

Ref
Its Simple .... When Demand is inelastic... then
%age increase in price > %age decrease in Demand....

e.g. OLD price = 100 and OLD Demand is 100 .....
TR = 100*100 = 10,000

now increase price by 50% i.e. NEW Price = 150 and Decrease Demand by 10% i.e New Demand = 90
So TR = 150 * 90 = 13,500

Ref Question: How increase in price of an inelastic demanded good will increase total revenue?

Answer: Total revenue = Quantity produced x Price
We can prove this with the help of an example.

Example:
There are 10 goods being demanded at 10 rupees per each. (Total Revenue = 100)
Price of good is increased by 2 rupees, but as the demand is inelastic so we can say;

% change in quantity demanded < % Change in Price
10% Change in quantity demanded < 20% Change in Quantity Price

If Price increased by 2 rupees per unit, then demand will decrease with less then this, lets say that 1 good.
Hence; There are 9 goods being demanded at 12 per each. (Total Revenue = 108)

Lets increase the price more, so new price will be 14 and the quantity demanded at this price will be 8.
Now there are 8 goods being demanded at 14 per each. (Total Revenue = 112)

With the above example, we proved that with increase in price of inelastic good will increase the total revenue. I hope I could successfully transfer my idea and logic to you.

Question No: 6 (M a r k s: 1)
Which of the following is regarded as a general determinant of price elasticity of demand?

- ► Nature of the good (luxury versus necessity).
- ► Availability of close substitutes.
- ► Share of consumer's budget and passage of time.
- ► **All of the given options.**

Question No: 7 (M a r k s: 1)
The substitution effect of a wage increase will lead a person to:

- ► **Work more.**
- ► Take more leisure.
- ► Not change anything.
- ► None of the given options.

Question No: 8 (M a r k s: 1)
A production function:

- ► Relates inputs with output.
- ► Generates a curve that is upward sloping.

► Shows diminishing marginal product of an input, since it gets flatter as output rises.

► All of the given options.

Ref

A mathematical relation between the production of a good or service and the inputs used. A production function is usually expressed in this general form: Q = f(L, K), where Q = quantity of production output, L = quantity of labor input, and K = quantity of capital input. A production function is simply the relationship between inputs & outputs. (for referance of option 2 and 3 see page no 56 from soft copy)

Question No: 9 (M a r k s: 1)

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.

► There is constant returns to scale.

► Inputs have fixed costs at all use rates.

► The marginal rate of technical substitution of inputs is constant.

Question No: 10 (M a r k s: 1)

A firm maximizes profit by operating at the level of output where:

► Average revenue equals average cost.

► Average revenue equals average variable cost.

► Total costs are minimized.

► Marginal revenue equals marginal cost.

Question No: 11 (M a r k s: 1)

Producer surplus in a perfectly competitive industry is:

► The difference between profit at the profit-maximizing and profit-minimizing level of output.

► The difference between revenue and total cost.

► The difference between revenue and variable cost.

► The difference between revenue and fixed cost.

Question No: 12 (M a r k s: 1)

The good produced by a monopoly:

► Has perfect substitutes.

► Has no substitutes at all.

► Has no close substitutes.

► Can be easily duplicated.

Ref.

In Monopoly, firm is price maker. A monopoly or a firm within monopolistic competition that has the power to influence the price it charges as the good it produces does not have perfect substitutes. A monopoly is a price maker as it holds a large amount of power over the price it charges.(same referance for b0th questions)

Ref b

Monopoly is market structure in which there is only one producer of a product and every producer has identical/ differentiated production. Therefore, there is no substitutes for those goods exits at all. Examples include WAPDA.

Question No: 13 (M a r k s: 1)

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► **Monopolistically competitive.**
► Oligopolistic.

Question No: 14 (M a r k s: 1)

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.
►The demand curve is tangent to average cost curve.
► **The marginal cost curve is tangent to average cost curve.**
► The demand curve is tangent to marginal revenue curve.

Question No: 15 (M a r k s: 1)

Which of the following best expresses the law of demand

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 16 (M a r k s: 1)

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

► The demand for houses has increased.
► **The demand curve for houses must be upward-sloping.**

- ► The supply of houses has increased.
- ► Housing construction costs must be decreasing.

Question No: 17 (M a r k s: 1)
Insurance companies operate under the principle of:

- ► **Law of large numbers.**
- ► Law of small numbers.
- ► Law of zero numbers.
- ► All of the given options.

Question No: 18 (M a r k s: 1)
If income elasticity is negative, the good is:

- ► Normal good.
- ► A substitute good.
- ► A complementary good.
- ► **Inferior good.**

Question No: 19 (M a r k s: 1)
In monopoly, which of the following is NOT true?

- ► Products are differentiated.
- ► **There is freedom of entry and exit into the industry in the long run.**
- ► The firm is a price maker.
- ► There is one main seller.

Question No: 20 (M a r k s: 1)

In the above figure, the marginal utility of income is:

- ► **Increasing as income increases.**
- ► Constant for all levels of income.
- ► Diminishes as income increases.
- ► None of the given options.

Question No: 21 (M a r k s: 1)
How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ► One.
- ► **Two.**
- ► Three.
- ► Four.

Question No: 22 (M a r k s: 1)
What is the assumption of constructing a production possibilities curve?

- ► Economic resources are underutilized.
- ► Resources are equally productive in many alternative uses.

- ► **All available resources are employed efficiently.**
- ► Production technology is allowed to vary.

Question No: 23 (M a r k s: 1)
Production possibilities curve will shift downward if there is:

- ► Immigration of skilled workers into the nation.
- ► An increase in the size of the working-age population.
- ► A decrease in the size of the working-age population.
- ► **Increased production of capital goods.**

Question No: 24 (M a r k s: 1)
Which of the following will happen if the current market price is set below the market clearing level?

- ► There will be a surplus to accumulate.
- ► **There will be downward pressure on the current market price.**
- ► There will be upward pressure on the current market price.
- ► There will be lower production during the next time period.

Question No: 25 (M a r k s: 1)
The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

- ► **5Q.**
- ► 5.
- ► 5 + (200/Q).
- ► 200.

TC= FC+VC

Question No: 26 (M a r k s: 1)
If average physical product (APP) is decreasing then which of the following must be true?

- ► Marginal physical product is more than the average physical product.
- ► Marginal physical product is less than the average physical product.
- ► Marginal physical product is decreasing.
- ► **Marginal physical product is increasing.**

Question No: 27 (M a r k s: 1)
Which of the following statement describes decreasing returns to scale?

- ► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
- ► **Increasing inputs by 1/2 leads to an increase in output of 1/6.**
- ► Doubling the inputs used leads to double the output.
- ► None of the given options.

Ref.
1/2 > 1/6
change in input > change in output ---------> decreasing return to scale

Ref by imran ali

1/2 = 50%   and   1/6 = 17%

In other words u can say that
Inputs ko 50% increase kiya magar output 50% increase nhi balkeh us se kam (i.e. 17%) increase howa............... isay hum Decreasing return to scale hi kehtay hain.........................

Question No: 28   (M a r k s: 1)
All the factors of production become variable in:

► Law of increasing return.
► **Long run.**
► Law of decreasing cost.
► Short run.

Question No: 29   (M a r k s: 1)
Indifference curves that are concave to the origin reflect:

► An increasing marginal rate of substitution
► A decreasing marginal rate of substitution
► **A constant marginal rate of substitution**
► A marginal rate of substitution that first decreases then increases

Question No: 30   (M a r k s: 1)
The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?

► 500
► **30+ (500/Q)**
► $30Q^2$+500Q
► 30

Ref.
becasue Average Cost is TC/Q=(500+30Q)/Q=30+500/Q

Question No: 31   (M a r k s: 1)
Which of the following is not included in the key ingredients of any market structure?

► Number of firms in the market/industry
► Extent of barriers to entry
► **Perfect knowledge**
► Degree of control over price

Question No: 32   (M a r k s: 1)
At the profit-maximizing level of output, marginal cost equals to:

► Average revenue
► Total revenue

► **Marginal revenue**
► None of the given options

Question No: 33 (M a r k s: 1)
Monopolists produce lower quantities at higher prices compared to perfectly competitive firms, because monopolists do not produce where
► Marginal cost = marginal revenue
► Average revenue = marginal cost
► Price = average variable cost
► Price = marginal cost

Question No: 34 (M a r k s: 1)
An increase in quantity demand is shown by:
► Shifting the demand curve to the left.
► **Shifting the demand curve to the right.**
► Upward movement along the demand curve.
► Downward movement along the demand curve.
Ref.
increase in quantity demanded does not change the curve itself. We have to find point on curve for new price at new qunatity.

Question No: 35 (M a r k s: 3)
Describe the profit-maximizing conditions that give answer to the following questions faced by any competitive business firm:
a) How much output to produce?
b) How to produce that output?

Question No: 36 (M a r k s: 5)
A. Derive the equation of budget line. Which part of the equation shows the slope and which part shows the intercept?
B. Which factors cause the shift in budget line and which cause the change in slope of budget line?
(M a r k s: 3+2)

Question No: 37 (M a r k s: 5)
How advertisement can affect a cartel's marginal cost and average revenue?

Paper # 03
Spring 2010
ECO401- Economics (Session - 5)

Time: 60 min
M a r k s: 47

Question No: 1 (M a r k s: 1)
Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost**

Question No: 2 (M a r k s: 1)
At the equilibrium price:

► There will be a shortage.
► **There will be neither a shortage nor a surplus.**
► There will be a surplus.
► There are forces that cause the price to change.

Question No: 3 (M a r k s: 1)
The price elasticity of demand measures the responsiveness of quantity demanded to:
► Quantity demanded.
► Quantity supplied.
► **Price**.
► Output.

Question No: 4 (M a r k s: 1)
We know that the demand for a product is elastic:

► When price rises, total revenue rises.
► **When price rises, total revenue falls.**
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.

Question No: 5 (M a r k s: 1)
The law of diminishing marginal utility states:

► The supply curve slopes upward.
► **Your utility grows at a slower and slower rate as you consume more and more units of a good.**
► The elasticity of demand is infinite.
► None of the given options.

Question No: 6 (M a r k s: 1)
Consumers will maximize satisfaction when:

► The price of each good is exactly equal to the price of every other good consumed.

► The price of each good is exactly equal to the total utility derived from the consumption of every other good.
► **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good**.
► Marginal utility is equal to average utility.

Question No: 7 (M a r k s: 1)
Indifference curves that are convex to the origin reflect:

► An increasing marginal rate of substitution.
► **A decreasing marginal rate of substitution.**
► A constant marginal rate of substitution.
► A marginal rate of substitution that first decreases, then increases.

Question No: 8 (M a r k s: 1)
Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► **Indifference curves slope upwards.**
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

Question No: 9 (M a r k s: 1)
Increase in pension benefits leads to income and substitution effect which:

► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► **Encourage workers to retire earlier.**

Question No: 10 (M a r k s: 1)
Increasing returns to scale in production means:

► More than twice as much of only one input is required to double output.
► Isoquants must be linear.
► More than 10% as much of all inputs are required to increase output 10%.
► **Less than twice as much of all inputs are required to double output.**

Question No: 11 (M a r k s: 1)
In the short run, a firm should shut down when:

► Production losses are less than fixed costs.

► Only normal profits are earned.
► Production losses exceed fixed costs.
► Fixed costs are zero.

Question No: 12 (M a r k s: 1) - Please choose on
Second-degree price discrimination is the practice of charging:
► The reservation price to each customer.
► Different prices for different blocks of the same good or service.
► Different groups of customers different prices for the same products.
► Each customer the maximum price that he or she is willing to pay.

Question No: 13 (M a r k s: 1)
The market structure in which strategic considerations are most important is:
► Monopolistic competition.
► Oligopoly.
► Pure competition.
► Pure monopoly.

Question No: 14 (M a r k s: 1)
Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► A higher price reduces quantity demanded.
► A lower price shifts the demand curve to the right.

Question No: 15 (M a r k s: 1)
If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1.
► Elasticity of demand is > 1.
► Demand is upward-sloping.
► Demand is perfectly inelastic.
ELASTIC DEMAND Є > 1
• Price rises:
As P increases, Q decreases
Percentage change in P < percentage change in Q. Now TR = P x Q TR will also decrease

Question No: 16 (M a r k s: 1)
The textbook for your class was not produced in a perfectly competitive industry because:
► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.

► Upper-division microeconomics texts are not all alike.
► It is not costless to enter or exit the textbook industry.
► All of the given options.

Question No: 17 (M a r k s: 1)
Which of the following is true about supply curve under monopoly?
► It is same as the competitive market supply curve.
► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
► It is the result of market power and production costs.
► None of the given statements is true.

Question No: 18 (M a r k s: 1)
If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?
► It can be used no matter what a person's preference to risk.
► It can be used if and only if individuals are not risk-loving.
► It can be used if and only if individuals are risk averse.
► It can be used if and only if individuals are risk neutral.
Question No: 19 (M a r k s: 1)
Which of the following will happen if the cost of computer components falls?
► The demand curve for computers shifts to the right.
► The demand curve for computers shifts to the left.
► The supply curve for computers shifts to the right.
► The supply curve for computers shifts to the left.

Question No: 20 (M a r k s: 1)
What will happen if there is an increase in the raw material costs, other things remaining the same?
► The supply curve will shift to the left.
► The supply curve will shift to the right.
► Output will increase regardless of the market price and the supply curve will shift upward.
► Output will decrease and the market price will also decrease.

Question No: 21 (M a r k s: 1)
Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?
► 10.
► 13.
► 20.
► 33.

Question No: 22 (M a r k s: 1)
Which of the following is TRUE for a Giffen good?

► Its marginal utility is zero.
► Its demand curve is perfectly elastic.
► Its substitution effect is positive.
► Its demand curve is positively sloped.

Question No: 23 (M a r k s: 1)
Which of the following occur when an isocost line is just tangent to an isoquant?
► Output is being produced at minimum cost.
► Output is not being produced at minimum cost.
► The two products are being produced at the medium input cost to the firm.
► The two products are being produced at the highest input cost to the firm.

Question No: 24 (M a r k s: 1)
Indifference curves that are concave to the origin reflect:
► An increasing marginal rate of substitution
► A decreasing marginal rate of substitution
► A constant marginal rate of substitution
► A marginal rate of substitution that first decreases then increases

Question No: 25 (M a r k s: 1)
What will happen to the isocost line if the price of both goods decreases proportionality?
► It shifts farther away from the origin of the graph.
► It shift inward.
► It shifts outward.
► None of the given options.

Question No: 26 (M a r k s: 1)
Average total costs are the sum of:
► Fixed costs and marginal costs
► Average variable costs and marginal costs
► Average fixed costs and average variable costs
► Average marginal costs and average variable costs

Question No: 27 (M a r k s: 1)
At the profit-maximizing level of output, the marginal cost is equal to:
► Average revenue
► Total revenue
► Marginal revenue
► None of the given options

Question No: 28 (M a r k s: 1)
The amount of output for maximum profit that a firm decides to sell has an effect on the market price in a monopolistic competitive industry because:

► **The firm supplies a different good than its rivals.**
► The firm's output is a considerable fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.
► None of the given options.

Question No: 29 (M a r k s: 1)
When new firms enter in perfectly competitive industry for profits, the supply starts to:
► **Increase in response to demand.**
► Increase in response to price.
► Decrease in response to demand.
► Decrease in response to price.

Question No: 30 (M a r k s: 1)
Maximum number of firms in an oligopoly is about
► 2
► 10
► 15
► **20**

Question No: 31 (M a r k s: 1)
Resources are governed by both government and individuals in
► Dictatorship.
► Command or planned economy.
► **A mixed economy.**
► Capitalist economy.

Question No: 32 (M a r k s: 1)
The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:
► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► **The demand curve for eggs to shift rightward.**
► Quantity demanded of eggs to increase.

Question No: 33 (M a r k s: 1)
An increase in quantity demand is shown by:
► Shifting the demand curve to the left.
► **Shifting the demand curve to the right.**
► Upward movement along the demand curve.
► Downward movement along the demand curve.

Question No: 34 (M a r k s: 1)
If a 7% price reduction causes quantity demanded to rise by 10% then:

► **Demand is inelastic.**
► Demand is elastic.
► Demand is perfectly elastic.
► Total revenue will remain constant.

Question No: 35 (M a r k s: 3)
What is the key difference between the short run and the long run for the profit-maximizing firm?

Answer:
Demand tends to be more elastic in the long run rather than in the short run.

Short run is a period in which not all factors can adjust fully and therefore adjustment to shocks can only be partial.

Long run is a period over which all factors can be changed and full adjustment to shocks can take place.

In short run some prices, especially wages, are rigid and inflexible whereas in long run wages are flexible.

Question No: 36 (M a r k s: 5)
A. Why the firm experiences economies of scale and what will be the shape of long run average cost curve in this case?
B. Why the firm experiences diseconomies of scale and what will be the shape of long run average cost curve in this case?
(M a r k s: 2.5+2.5)

Question No: 37 (M a r k s: 5)
Define price taker firm and price maker firm. Also discuss in which type of market structures these firms exist?

Paper # 04

Spring 2010

ECO401- Economics (Session - 6)

Time: 60 min
M a r k s: 47

Question No: 1 (M a r k s: 1)
In pure capitalism, the role of government is best described as:
► Significant.
► Extensive.
► **Nonexistent.**
► Limited.

Question No: 2 (M a r k s: 1)

Ceteris paribus means:

► Equal access to public transportation.
► **Other things being equal.**
► Other things not being equal.
► All things considered.

Question No: 3 (M a r k s: 1)
While moving from left to right, the typical production possibilities curve has:
► **An increasingly steep negative slope.**
► A decreasingly steep negative slope.
► An increasingly steep positive slope.
► A constant and negative slope.

Question No: 4 (M a r k s: 1)
A market is said to be in equilibrium when:
► Demand equals output.
► There is downward pressure on price.
► **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price**.
► All buyers are able to find sellers willing to sell to them at the current price.
Question No: 5 (M a r k s: 1)
A demand curve is price inelastic when:
► **Changes in demand are proportionately smaller than changes in price.**
► Changes in demand are proportionately greater than changes in price.
► Changes in demand are equal to changes in price.
► None of the given options.

Question No: 6 (M a r k s: 1)
Which of the following will be TRUE if demand is inelastic?
► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

Question No: 7 (M a r k s: 1)
As more of a good is consumed, then total utility typically:
► **Increases at a decreasing rate.**
► Decreases as long as marginal utility is negative.
► Decreases as long as marginal utility is positive.
► Is negative as long as marginal utility is decreasing.

Question No: 8 (M a r k s: 1)
The numerical measurement of a consumer's preference is called:
► Use.

► Pleasure.
► Utility.
► Satisfaction.

Question No: 9 (M a r k s: 1)
Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 10 (M a r k s: 1)
When the marginal utility of a good is zero, this implies that:
► The consumer would not spend any additional income to buy more of that good.
► Consumption of additional units would have positive marginal utility.
► Total utility is minimized.
► Total utility is also zero.

Question No: 11 (M a r k s: 1)
Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
► Continue to buy the same quantities of pizza and jeans.
► Spend more time consuming pizza.

Question No: 12 (M a r k s: 1)
Which of the following is TRUE about price-consumption curve for good X?
► Nominal income falls as the price of X falls.
► The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
► It is always downward sloping for a normal good.
► It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

Question No: 13 (M a r k s: 1)
A production function:

► Relates inputs with output.
► Generates a curve that is upward sloping.

► Shows diminishing marginal product of an input, since it gets flatter as output rises.
► All of the given options.

Question No: 14 (M a r k s: 1)
_______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► Economies of scale; constant returns to scale.
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 15 (M a r k s: 1)
The budget line is the boundary between:
► Preferred and non preferred consumption combinations.
► Affordable and unaffordable consumption combinations.
► Income and expenditure.
► One point on a budget line.

Question No: 16 (M a r k s: 1)
Marginal profit is equal to:
► Marginal revenue minus marginal cost.
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 17 (M a r k s: 1)
Revenue is equal to:
► Price times quantity.
► Price times quantity minus total cost.
► Price times quantity minus average cost.
► Price times quantity minus marginal cost.

Question No: 18 (M a r k s: 1)
A perfectly competitive firm maximizes profit by finding the level of production at which:
► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 19 (M a r k s: 1)
When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.

Question No: 20 (M a r k s: 1)
A market with few entry barriers and with many firms that sell differentiated products is:
► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► Oligopolistic.

Question No: 21 (M a r k s: 1)
The textbook for your class was not produced in a perfectly competitive industry because:
► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.
► Upper-division microeconomics texts are not all alike.
► It is not costless to enter or exit the textbook industry.
► All of the given options.

Question No: 22 (M a r k s: 1)
A person with a diminishing marginal utility of income is said to be:
► Risk averse person.
► Risk neutral person.
► Risk loving person.
► None of the given options.

Question No: 23 (M a r k s: 1)
Which of the following is TRUE in a planned economy?
► Goods and services produced reflect consumer sovereignty.
► Price is relatively unimportant as a means of allocating resources.
► There is no incentive for people to work hard.
► All income is completely evenly distributed.

Question No: 24 (M a r k s: 1)
What is the assumption of constructing a production possibilities curve?

► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► All available resources are employed efficiently.
► Production technology is allowed to vary.

Question No: 25 (M a r k s: 1)

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► 10.
► 13.
► 20.
► 33.

Question No: 26 (M a r k s: 1)
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
► 5Q.
► 5.
► 5 + (200/Q).
► 200.
TC = FC + VC

Question No: 27 (M a r k s: 1)
Which of the following is TRUE for the total cost of producing a given level of output?
► It is maximized when a corner solution exists.
► It is minimized when the ratio of marginal product to input price is equal for all inputs.
► It is minimized when the marginal products of all inputs are equal.
► It is minimized when marginal product multiplied by input price is equal for all inputs.

Question No: 28 (M a r k s: 1)
"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?
► For monopoly.
► For oligopoly.
► For perfect competition.
► For monopolistic competition.

Question No: 29 (M a r k s: 1)
Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:
► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 30 (M a r k s: 1)
If average physical product (APP) is decreasing then which of the following must be true?

► Marginal physical product is more than the average physical product.
► **Marginal physical product is less than the average physical product.**
► Marginal physical product is decreasing.
► Marginal physical product is increasing.

Question No: 31 (M a r k s: 1)
Which of the following statement describes decreasing returns to scale?
► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
► **Increasing inputs by 1/2 leads to an increase in output of 1/6.**
► Doubling the inputs used leads to double the output.
► None of the given options.

Question No: 32 (M a r k s: 1)
If different firms in the oligoplistic structures do not cooperate with each other is known as
► Collusive oligopoly.
► Cartel.
► Price leadership.
► **Non-collusive oligopoly.**

Question No: 33 (M a r k s: 1)
Consumers can make about the rational decision by using:
► Total utility and marginal utility approach.
► Income and consumption analysis.
► **Cost and benefit analysis.**
► Working hours and leisure time.

Question No: 34 (M a r k s: 1)
What might be the reason of a rightward shift in the demand curve for product X?
► An increase in income if X is a normal good.
► **A decrease in income if X is an inferior good.**
► An increase in the price of a product that is complementary to X.
► An increase in the price of a product that is substitute to X.

Question No: 35 (M a r k s: 3)
Why economists believe that when firms earn zero accounting profits, they actually earn normal economic profits?
Answer:
Economists believe that when firms earn zero accounting profits, they actually earn normal economic profits because TC already includes the normal profits that owners of the firms need for themselves to stay in the business. Positive profits are, for this reason, called supernormal profits as they are over and above what the owners normally require as a return for their entrepreneurship.
Profit = TR – TC

Question No: 36 (M a r k s: 5)
What are the two main theories of production regarding time?
Answer:
The two main theories of production regarding time are long run and short run.
Short run: Short run is a period of time in which some prices, especially wages, are rigid, inflexible, or otherwise in the process of adjusting.
Long run: It is a period of time in which all prices, especially wages, are flexible, and have achieved their equilibrium levels. Inlong run all inputs in the production process is variable.

Question No: 37 (M a r k s: 5)
Why marginal cost curve is not considered as supply curve in monopoly?
MC curve is not the supply curve of the firm as it is in the perfect competition.
Price is greater than MR in equilibrium. Therefore, price is not equal to MC.
As such, therefore, the supply curve for the firm is not the rising part of the MC curve.

Paper # 05

Spring 2010

ECO401- Economics (Session - 2)

Time: 60 min

M a r k s: 47

Question No: 1 (M a r k s: 1)
Which of the following is a normative statement?
► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
► The minimum wage should not be increased, because to do so would increase unemployment.
► Smoking should be restricted on all airline flights.
► All of the given options.

Explanation:
First three option subjective in nature and recommend some sort of line of action
(Intermediate microeconomics should be required ,The minimum wage should not be increased, Smoking should be restricted)
Normative Statements
Normative statements express an **opinion** about what ought to be. They are subjective statements rather than objective statements – i.e. they carry **value judgments**.
Taken from handouts

Normative economics is the branch of economics that **incorporates value judgments about what the economy should be** like or what particular policy**actions should be recommended to achieve a desirable goal.**

Question No: 2 (M a r k s: 1)
Ceteris paribus means:

► Equal access to public transportation.
► Other things being equal.
► Other things not being equal.
► All things considered.

Question No: 3 (M a r k s: 1)
An increase in supply is shown by:
► Shifting the supply curve to the left.
► Shifting the supply curve to the right.
► Upward movement along the supply curve.
► Downward movement along the supply curve.

Question No: 4 (M a r k s: 1)
Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

► Price elasticity of demand.
► Income elasticity of demand.
► Cross price elasticity of demand.
► Price elasticity of supply.

Question No: 5 (M a r k s: 1)
In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► The quantity supplied at two different prices, all else equal.
Question No: 6 (M a r k s: 1)
Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► Utility.
► None of the given options.

Question No: 7 (M a r k s: 1)

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

► The consumer's indifference curve must be positively sloped.

► The consumer's indifference curve must be convex with respect to the origin of the graph.
► The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.
► All of the given options.

Question No: 8 (M a r k s: 1)
As long as all prices remain constant, an increase in money income results in:

► An increase in the slope of the budget line.
► A decrease in the slope of the budget line.
► An increase in the intercept of the budget line.
► A decrease in the intercept of the budget line.

Question No: 9 (M a r k s: 1)
The income effect of a price change:

► Is always positive.
► Is always negative.
► May be positive or negative.
► Is associated with a change in nominal income.

Question No: 10 (M a r k s: 1)
Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► All of the given options.
Question No: 11 (M a r k s: 1)
_______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► Economies of scale; constant returns to scale.
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 12 (M a r k s: 1)
If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► The marginal rate of technical substitution of inputs is constant.

Question No: 13 (M a r k s: 1)
Costs determine all of the following EXCEPT:

► Demand for a product.
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 14 (M a r k s: 1)
At the profit-maximizing level of output, marginal profit:
► Is positive.
► Is increasing.
► Is zero.
► Is also maximized.

Question No: 15 (M a r k s: 1)
A perfectly competitive firm maximizes profit by finding the level of production at which:
► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 16 (M a r k s: 1)
As compared to existing firms, a new firm entering in monopolist market has:
► High costs.
► Low costs.
► Equal costs.
► None of the given options.
Question No: 17 (M a r k s: 1)
Cartels are likely to fail when:

► The members adhere to their output quotas.
► The non-cartel members increase output.
► The members charge identical prices.
► None of the given options.

Question No: 18 (M a r k s: 1)
Which of the following best expresses the law of demand?
► A higher price reduces demand.

► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 19 (M a r k s: 1)
If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.

► Complements.
► **Substitutes.**
► Inferior.

Question No: 20 (M a r k s: 1)
If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**
► An inferior good.
► A Giffen good.

Question No: 21 (M a r k s: 1)
If the demand curve for a good is downward sloping, then the good:
► Must be inferior.
► Must be giffen.
► **Can be normal or inferior.**
► Must be normal.

Question No: 22 (M a r k s: 1)
What is meant by freedom of enterprise in pure capitalism?
► **It means that businesses are free to produce products that consumers want.**
► It means that consumers are free to buy goods and services that they want.
► It means that resources are distributed freely to businesses.
► It means that government is free to direct the actions of businesses.
Question No: 23 (M a r k s: 1)
What questions are related with explanation? What questions are related with what ought to be?
► Positive, negative.
► Negative, normative.
► **Normative, positive.**
► Positive, normative.

Question No: 24 (M a r k s: 1)
Which of the following will happen if the current market price is set below the market clearing level?

► There will be a surplus to accumulate.
► There will be downward pressure on the current market price.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.

Question No: 25 (M a r k s: 1)
What is meant by the term utility?
► Useless.
► Require.
► Necessary.
► Satisfaction.

Question No: 26 (M a r k s: 1)
The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
► 5Q.
► 5.
► 5 + (200/Q).
► 200.

Question No: 27 (M a r k s: 1)
Which of the following is NOT included in the perfect information assumption of perfect competition?
► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► Consumers can anticipate price changes.

Question No: 28 (M a r k s: 1)
Which of the following is TRUE for third-degree price discrimination?
► Charging different prices to different groups based upon differences in elasticity of demand.
► Charging each consumer the same two part tariff.
► The use of increasing block rate pricing.
► Charging lower prices the greater the quantity purchased.

Question No: 29 (M a r k s: 1)
The government can regulate monopolies to ensure that they set a price where the AR curve intersects the
► Marginal revenue curve.
► Average variable cost.
► Marginal cost curve.
► None of the given options.

Question No: 30 (M a r k s: 1)
A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

► Perfect competition.
► First-degree price discrimination.
► Monopoly.
► **Second-degree price discrimination.**

Question No: 31 (M a r k s: 1)
When different prices are charged to customers who purchase different quantities, this is an example of

► **Second-degree price discrimination.**
► First-degree price discrimination.
► Monopoly.
► Perfect competition.

Question No: 32 (M a r k s: 1)
The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► **The demand curve for eggs to shift rightward.**
► Quantity demanded of eggs to increase.

Question No: 33 (M a r k s: 1)
Slope and elasticity of demand have
► A direct relation.
► **An inverse relationship.**
► No relation between slope and elasticity.
► None of the given options.

Question No: 34 (M a r k s: 1)
If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:
► **The marginal utility for the consumption of the fifth unit.**
► The marginal utility for the consumption of the sixth unit.
► The total utility for the consumption of the first five units.
► The average utility for the consumption of the first five units.
Question No: 35 (M a r k s: 3)
Why the monopolists produce lower quantities at higher prices compared to perfectly competitive firms?
Ans:
1) Large initial fixed cost is involved
2) Product differentiation or drabd loyalty
3) Monopolistic controls the supply of key factors of production

Question No: 36 (M a r k s: 5)
Write down any five situations in which cartel can survive?

Ans:
1) Cartel can survive when number of firms is small.
2) When the collusion is tacit or hidden not explicit.
3) The products are homogeneous.
4) Industry is sable
5) There is opening among the firms regarding their production process.
6) Government's strictness in implementing antitrust law.

Question No: 37 (M a r k s: 5)
Differentiate between external economies of scale and external diseconomies of scale with the help of examples.
Ans:
External economies: These are the benefits which are accured to any firm in the presence of other firms. For example setting of credit information bureaus by bank , advertising by industry such as rival industry.
Discovery of new techniques.
This type of economy occurs when an industry is heavily concentrated in a particular area.
Economies is available to all firms for example construction of roads
External diseconomies of scale :
These are the forces which causes the large firms to produce goods and services at increased per unit costs.
This type of scale occurs when an industry grows larger and shortage of skilled laor taking place and shortage of raw materials are the types of external diseconomies.
When a firm become large then supervision of workers become difficult and problem is created for management is taking place which cause adverse effect on efficiency.

Paper # 06

MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

► **Risk averse.**
► Risk loving.
► Risk neutral.
► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► All of the given options.
► **Risk averse.**
► Risk neutral.
► Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement

► Is a statement of fact.
► Is a hypothesis used to test economic theory.
► **Is a statement of what ought to be, not what is.**
► Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior.
► Scarcity, human behavior.
► **Social behavior, limited resources.**
► Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

► P = MR.
► P = AVC.
► AR = MR.
► **P = MC.**

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

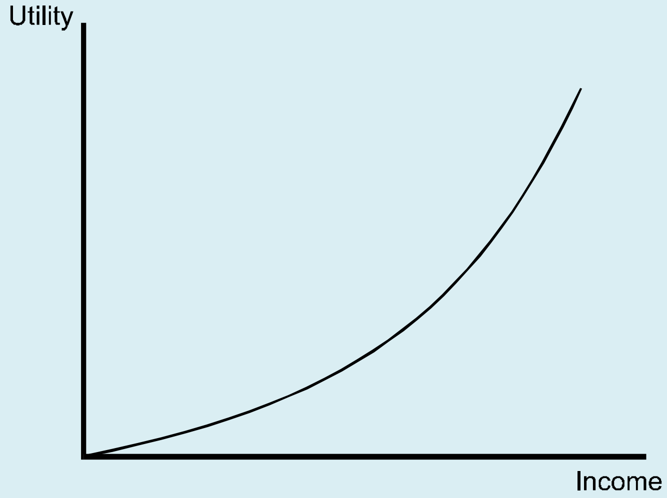
► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► **Diminishes as income increases.**
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

► The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
► **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
► The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose on

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.

► **Substitutes.**
► Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as:

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose

The primary use of the kinked-demand curve is to explain price rigidity in:

► **Oligopoly.**
► Monopoly.
► Perfect competition.
► Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

► Will make negative profit (lose money).
► Will make zero profit (break-even).
► Will make positive profit.
► **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► **The market price.**
► The first-degree price.
► The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences in elasticity of demand.**

Question No: 19 (Marks: 1) - Please choose on

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► **Third-degree price discrimination.**
► All of the given options.

Question No: 20 (Marks: 1) - Please choose

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► **Second-degree price discrimination.**
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose on

A firm never operates:

► At the minimum of its average total cost curve.
► **At the minimum of its average variable cost curve.**
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ► **Marginal revenue minus marginal cost.**
- ► Marginal revenue plus marginal cost.
- ► Marginal cost minus marginal revenue.
- ► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ► Total revenue is less than total cost.
- ► Average revenue is less than average cost.
- ► Marginal revenue is less than marginal cost.
- ► **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ► **They must intersect with TC cutting TR from below.**
- ► They must intersect with TC cutting TR from above.
- ► They must be tangent to each other.
- ► They must have the same slope.

Question No: 25 (Marks: 1) - Please choose on

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

- ► 5Q.
- ► 5.
- ► 5 + (200/Q).
- ► **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ► A fixed cost.
- ► A variable cost.
- ► An implicit cost.
- ► **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ► **Demand for a product.**
- ► Firm's behaviour.
- ► How firms should expand?

► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

► Law of diminishing marginal returns.

► Marginal rate of substitution.

► **Marginal rate of factor substitution.**

► Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► **Decreasing returns to scale.**

► Constant returns to scale.

► Increasing returns to scale.

► Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.

► **The marginal rate of substitution.**

► The consumer's marginal utility.

► None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.

► It would rotate about the axis for food.

► It would rotate about the axis for racquetballs.

► **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.

► U-shaped.

► Upward-sloping.

► **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

► Goods are normal or inferior.

► **Two goods are substitutes or complements.**

► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course.**
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.
► Extensive.
► **Nonexistent.**

► Limited.

Question No: 40 (Marks: 1) - Please choose

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.

► Unemployment and interest rates.

► The behavior of individual firms and investors.

► **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

A.

Define "Law of supply" and explain it with a schedule and diagram.

B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: **LAW OF SUPPLY:** It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in	Decrease	Leftward shift	Increase	Decrease

resources' price				
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

Paper # 07

Fall 2009

ECO401- Economics (Session - 3)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a positive statement?

► When the price of a good goes up, consumers buy less of it.

► When the price of a good goes up, firms produce more of it.

► When the Federal government sells bonds, interest rates rise and private investment is reduced.

► **All of the given options.**

Question No: 2 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

► Votes taken by consumers.

► A central planning authority.

► **Consumer preferences.**

► The level of profits of firms.

Question No: 3 (Marks: 1) - Please choose

If both supply and demand increase simultaneously, the equilibrium:

► Price must rise and the equilibrium quantity must fall.

► **Price must rise and the equilibrium quantity may either rise or fall.**

► Quantity must rise and the equilibrium price may either rise or fall.

► Price must fall and the equilibrium quantity may either rise or fall.

Question No: 4 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► **Price.**

► Output.

Question No: 5 (Marks: 1) - Please choose

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

► None of the given options.

► The daily supply curve for fish slopes upward.

► **The daily supply curve for fish is perfectly inelastic.**

► The daily supply curve for fish is perfectly elastic.

Question No: 6 (Marks: 1) - Please choose one

There are several close substitutes for Bayer aspirin but fewer substitutes for a complete medical examination. Therefore, you would expect the demand for:

► **Both to be equally elastic.**

► Both to be equally inelastic.

► Medical exams to be more elastic.

► Medical exams to be more inelastic.

Question No: 7 (Marks: 1) - Please choose

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.

► An increase in total revenue received by the course.

► No change in total revenue received by the course.

► **An increase in the amount of golf played on the course.**

Question No: 8 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.

► The percentage change in quantity demanded is same as the percentage change in the price.

► **An increase in price will increase total revenue.**

► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).

► **Availability of close substitutes.**

► Share of consumer's budget and passage of time.

► All of the given options.

Question No: 10 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

► **Increases at a decreasing rate.**

► Decreases as long as marginal utility is negative.

► Decreases as long as marginal utility is positive.

► Is negative as long as marginal utility is decreasing.

Question No: 11 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► **The consumer would not spend any additional income to buy more of that good.**

► Consumption of additional units would have positive marginal utility.

► Total utility is minimized.

► Total utility is also zero.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.

► **Vertical.**

► Negative.

► Positive.

Question No: 13 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.

► It would rotate about the axis for food.

► It would rotate about the axis for racquetballs.

► **It would shift outward.**

Question No: 14 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

► **An increase in the slope of the budget line.**

► A decrease in the slope of the budget line.

► An increase in the intercept of the budget line.

► A decrease in the intercept of the budget line.

Question No: 15 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

► **Work more.**

► Take more leisure.

► Not change anything.

► None of the given options.

Question No: 16 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

► **Decrease hours of work.**

► Increase hours of work.

► Not change anything.

► All of the given options.

Question No: 17 (Marks: 1) - Please choose

Which of the following statements about indifference curves is NOT correct?

► Indifference curves are generally negatively sloped.

► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.

► Two indifference curves cannot intersect unless they are identical throughout.

► **Two different indifference curves can intersect but only once.**

Question No: 18 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.

► Prices rise.

► Incomes fall.

► **Incomes increase.**

Question No: 19 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

► An inferior good.

► **A substitute good.**

► An independent good.

► A normal good.

Question No: 20 (Marks: 1) - Please choose one

Which of the following is most likely to be a fixed input in the short run for a Garage owner?

► The grease used to lubricate cars.

► The part-time labor employed to repair cars.

► The electricity used to heat and light the garage.

► **The garage used to repair cars.**

Question No: 21 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► Economies of scale.

► Diseconomies of scale.

► Decreasing returns to the labor inputs.

► **Increasing returns to the labor inputs.**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.

► Expenditures for research and development.

► Expenditures for raw materials.

► **All of the given options.**

Question No: 23 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods increases?

► It shift farther away from the origin of the graph.

► It shift inward, closer to the origin.

► It vanishes.

► **It undergoes no change.**

Question No: 24 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► **Fixed costs and variable costs.**

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 25 (Marks: 1) - Please choose one

The total cost of producing a given level of output is:

► Maximized when a corner solution exists.

► Minimized when the ratio of marginal product to input price is equal for all inputs.

► Minimized when the marginal products of all inputs are equal.

► **Minimized when marginal product multiplied by input price is equal for all inputs.**

Question No: 26 (Marks: 1) - Please choose one

The long-run average total cost curve:

► **Traces out the points on the lowest short-run average total cost curve for each level of production.**

► Is inversely related to the depth of the short-run marginal cost curve.

► Traces out the midpoints on an average of several short-run average total cost curves.

► Is downward-sloping under decreasing returns to scale.

Question No: 27 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.

► **Marginal revenue and average total cost.**

► Price equals marginal revenue.

► None of the given options.

Question No: 28 (Marks: 1) - Please choose one

In which market structure, each firm produces an identical product and there is freedom of entry and exit?

► Monopoly.

► Oligopoly.

► **Perfect competition.**

► Monopolistic competition.

Question No: 29 (Marks: 1) - Please choose on

The monopoly supply curve is the:

► **Same as the competitive market supply curve.**

► Portion of marginal costs curve where marginal costs exceed the minimum value of average variable costs.

► Result of market power and production costs.

► None of the given options.

Question No: 30 (Marks: 1) - Please choose

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a ______________ price and sell a ______________ quantity.

► Higher; larger.

► **Lower; larger.**

► Higher; smaller.

► Lower; smaller.

Question No: 31 (Marks: 1) - Please choose one

In monopolist market, a new entrant firm should produce where:

► Marginal Cost < Marginal Revenue.

► Marginal Cost > Marginal Revenue.

► **Marginal Cost = Marginal Revenue.**

► Marginal Cost = Average Revenue.

Question No: 32 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.

► A monopoly.

► Monopolistically competitive.

► **Oligopolistic.**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.

► The demand curve is tangent to average cost curve.

► The marginal cost curve is tangent to average cost curve.

► **The demand curve is tangent to marginal revenue curve.**

Question No: 34 (Marks: 1) - Please choose one

Cartels are likely to fail when:

► The members adhere to their output quotas.

► **The non-cartel members increase output**.
► The members charge identical prices.
► None of the given options.

Question No: 35 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

► Supply schedule.
► Demand schedule.
► Quantity supplied schedule.
► **Quantity demanded schedule.**

Question No: 36 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► **A higher price reduces demand.**
► A lower price reduces demand.
► A higher price reduces quantity demanded.
► A lower price shifts the demand curve to the right.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is considered a market structure?

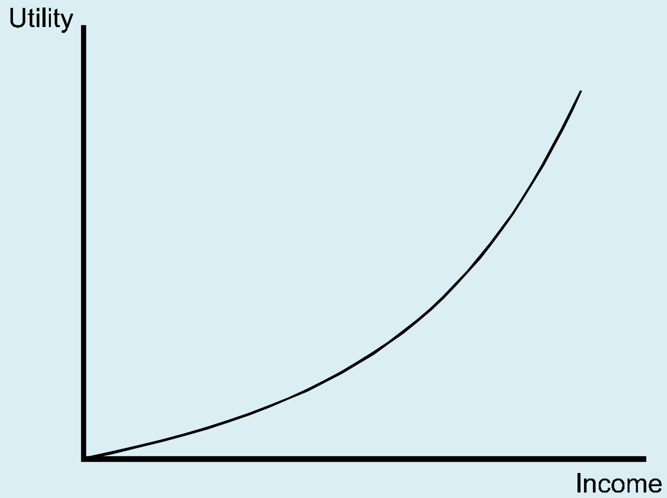
► Monopoly.
► Perfect competition.
► Oligopoly.
► **All of the given are considered market structures.**

Question No: 38 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► **A complementary good.**
► Inferior good.

Question No: 39 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► Diminishes as income increases.
► None of the given options.

Question No: 40 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.
► The firm's output is a small fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.

Question No: 41 (Marks: 10)

The following table shows the total utility that an individual receives from consuming various units of a commodity X.

Qx	TUx
1	56
2	104
3	144
4	176
5	200
6	216
7	224
8	224

a) **Calculate Marginal Utility (MU) at each level.**
b) **What is the individual's saturation point for commodity X?**
c) **If the price of commodity X is $8 then calculate the consumer surplus at each level.**

(Marks: 3.5+3+3.5)

Paper # 08

Fall 2009

ECO401- Economics (Session - 4)

Time: 60 min Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.

► "Organizational" resources.

► Physical and mental abilities of people.

► "Naturally" occurring resources.

Question No: 2 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

► An increasingly steep negative slope.

► A decreasingly steep negative slope.

► **An increasingly steep positive slope.**

► A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be:

► **A surplus of the good.**

► A shortage of the good.

► An equilibrium.

► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.

► **Less ink to be demanded at each price.**

► A decrease in the demand for pen.

► A rightward shift in the demand curve for ink.

Question No: 5 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 6 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

► The supply curve shifts to the left.

Question No: 7 (Marks: 1) - Please choose one

Sugar can be refined from sugar beets. When the price of those beets falls:

► The demand curve for sugar would shift right.

► The demand curve for sugar would shift left.

► The supply curve for sugar would shift right.

► The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► Price.

► Output.

Question No: 9 (Marks: 1) - Please choose one

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

► None of the given options.

► The daily supply curve for fish slopes upward.

► The daily supply curve for fish is perfectly inelastic.

► The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 11 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.

► 100.

► 150.

► 200.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.

► Vertical.

► Negative.

► Positive.

Question No: 13 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.

► 14.

► 83.

► 97.

Question No: 14 (Marks: 1) - Please choose one

Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.

► Buy fewer pizzas and more jeans.

► Continue to buy the same quantities of pizza and jeans.

► Spend more time consuming pizza.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT an assumption of ordinal utility analysis?

► Consumers are consistent in their preferences.

► Consumers can measure the total utility received from any given basket of good.

► Consumers are non-satiated with respect to the goods they confront.

► All of the given options are true.

Question No: 16 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.

► Decrease hours of work.

► Not change hours of work.

► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► Economies of scale.

► Diseconomies of scale.

► Decreasing returns to the labor inputs.

► Increasing returns to the labor inputs.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.

► Expenditure set.

► Isoquant.

► Isocost.

Question No: 19 (Marks: 1) - Please choose one

An isoquant curve shows:

► All the alternative combinations of two inputs that yield the same maximum total product.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

L-shaped isoquant:

► Indicate that capital and labor cannot be substituted for each other in production.

► Is impossible.

► Indicate that the firm could switch from one output to another costlessly.

► Indicate that the firm could not switch from one output to another.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► Demand for a product.

► Firm's behaviour.

► How firms should expand?

► Firm's profitability.

Question No: 22 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► Fixed costs and variable costs.

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 23 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.

► Marginal revenue and average total cost.

► Price equals marginal revenue.

► None of the given options.

Question No: 24 (Marks: 1) - Please choose one

The good produced by a monopoly:

► Has perfect substitutes.

► Has no substitutes at all.

► Has no close substitutes.

► Can be easily duplicated.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► Price = Marginal Cost.

► Price = Average Total Cost.

► Average Total Cost = Marginal Cost.

► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.

► The monopolist's marginal cost curve changes considerably over time.

► The relationship between price and quantity depends on both marginal cost and average cost.

► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► The monopolist is maximizing profit.

► The monopolist is not maximizing profit and should increase output.

► The monopolist is not maximizing profit and should decrease output.

► The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

► Monopolists earn higher profits.

► Monopolists produce high quality goods at higher prices.

► Most of the “surplus” (producer + consumer surplus) accrues to monopolists.

► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.

► Charges the average reservation price.

► Engages in second-degree price discrimination.

► Engages in first-degree price discrimination.

Question No: 30 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.

► Charging lower prices the greater the quantity purchased.

► The use of increasing block rate pricing.

► Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.

► The demand curve is tangent to average cost curve.

► The marginal cost curve is tangent to average cost curve.

► The demand curve is tangent to marginal revenue curve.

Question No: 32 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.

► An increase in the production of capital goods.

► A reduction in discrimination.

► An increase in the production of consumer goods.

Question No: 33 (Marks: 1) - Please choose one

A demand schedule is best described as:

► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.

► A graphical representation of the law of demand.

► A systematic listing of all the variables that might conceivably bring about a change in demand.

► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 34 (Marks: 1) - Please choose one

A partial explanation for the inverse relationship between price and quantity demanded is that a:

► Lower price shifts the supply curve to the left.

► Higher price shifts the demand curve to the left.

► Lower price shifts the demand curve to the right.

► Higher price reduces the real incomes of buyers.

Question No: 35 (Marks: 1) - Please choose one

The total utility curve for a risk neutral person will be:

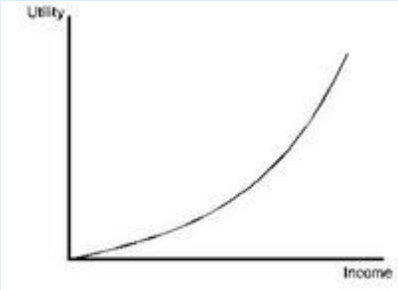
► Straight line.

► Convex.

► Concave.

► None of the given options.

Question No: 36 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

► Increasing as income increases.

► Constant for all levels of income.

► Diminishes as income increases.

► None of the given options.

Question No: 37 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

► The price is greater than the marginal cost.

► The price is greater than the marginal benefit.

► The price is greater than the average revenue.

► The price is greater than the marginal revenue.

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

► Labour.

► Land.

► Capital.

► Investment.

Question No: 39 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.

► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.

► The study of the cause of unemployment.

► The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

► Greater than 0 but less than 1.

► Greater than 1.

► Less than 0.

► Equal to 1.

Question No: 41 (Marks: 10)

A. Differentiate between risk and uncertainty.

B. What would the risk neutral person, risk averse person and risk loving person do in the following cases?

- **If Odds Ratio > 1**
- **If Odds Ratio = 1**
- **If Odds Ratio < 1**

C. You toss a coin, if head comes, you are given Rs. 200 and if tail comes, you have to pay Rs. 200. Will you play this game or not? Give your answer with brief explanation.

(Marks: 3+3+4)

Paper # 09

2008

Question No: 1 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► All of the given options.

► Risk averse.

► Risk neutral.

► Risk loving.

Question No: 2 (Marks: 1) - Please choose one

Assume that the current market price is below the market clearing level. We would expect:

► A surplus to accumulate.
► Downward pressure on the current market price.
► **Upward pressure on the current market price.**
► Lower production during the next time period.

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► **Consumers know the prices available.**
► Consumers can anticipate price changes

Question No: 4 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.
► **Inferior good.**

Question No: 5 (Marks: 1) - Please choose one

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

► **Positive.**
► Strictly linear.
► Flat.
► Negative.

Question No: 6 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

► **Law of large numbers.**
► Law of small numbers.
► Law of zero numbers.
► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

A demand schedule is best described as:

► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 8 (Marks: 1) - Please choose one

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ► It is not a monopoly.
- ► **It is in competition with other firms.**
- ► It is operating on the downward-sloping part of the average cost curve.
- ► It produces at the minimum average cost.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ► The fact that price exceeds marginal cost.
- ► Excess capacity.
- ► **Product diversity.**
- ► The fact that long-run average cost is not minimized.

Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ► Engages in a discrete pricing strategy.
- ► Charges the average reservation price.
- ► Engages in second-degree price discrimination.
- ► **Engages in first-degree price discrimination.**

Question No: 11 (Marks: 1) - Please choose one

The break-even point occurs when:

- ► Price < Average Variable Cost.
- ► Price < Average Total Cost.
- ► **Price = Average Total Cost.**
- ► Price > Average Variable Cost.

Question No: 12 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ► Long-run average total cost curve is equal to the economies of scope.
- ► **Long-run average total cost curve is positively sloped.**
- ► Long-run average total cost curve is horizontal.
- ► Long-run average total cost curve is negatively sloped.

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

- ► The trademark protecting Gatoraide.
- ► The talents of Tom Hanks.
- ► **The local water company.**
- ► The patent on an Intel processor.

Question No: 14 (Marks: 1) - Please choose one

A monopoly occurs when:

► Each firm produces a product that is slightly different from the other firms.

► **One firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**

► There are many firms producing the same product.

► All of the given options.

Question No: 15 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then the next unit produced:

► Will decrease profit.

► Will increase cost more than it increases revenue.

► **Will increase revenue more than it increases cost.**

► Will increase revenue without increasing cost.

Question No: 16 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

► 200.

► **5Q.**

► 5.

► 5 + (200/Q).

Question No: 17 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

► Average cost.

► **Marginal cost.**

► Fixed cost.

► Variable cost.

Question No: 18 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

► **Output.**

► Capital expenditures.

► Wages.

► Time.

Question No: 19 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

► **Output is being produced at minimum cost.**

► Output is not being produced at minimum cost.

► The two products are being produced at the medium input cost to the firm.

► The two products are being produced at the highest input cost to the firm.

Question No: 20 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

► Products with negative marginal utilities.
► **Products with positive marginal utilities.**
► Inputs with negative marginal products.
► Inputs with positive marginal products.

Question No: 21 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

► Decreasing marginal costs.
► **Increasing marginal costs.**
► Decreasing average variable costs.
► Decreasing average fixed costs.

Question No: 22 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

► **All inputs are variable.**
► All inputs are paid for.
► All outputs are determined.
► All loans are repaid.

Question No: 23 (Marks: 1) - Please choose one

The following table shows a firm's Total Product of labor. What is the Marginal Product of labor between 20 and 30 units of labor?

Table

Quantity of Labor	Total Product
0	0
10	100
20	230
30	340
40	410
50	460

► 340 units.
► **220 units.**
► 11 units.
► 110 units.

Question No: 24 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

► **Marginal physical product is greater than average physical product.**
► Marginal physical product is less than average physical product.

► Marginal physical product is increasing.
► Marginal physical product is decreasing.

Question No: 25 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

► Decrease hours of work.
► **Increase hours of work.**
► Not change anything.
► All of the given options.

Question No: 26 (Marks: 1) - Please choose one

If a market basket is changed by adding more to at least one of the goods, then every consumer will:

► Rank the market basket more highly after the change.
► Rank the market basket more highly before the change.
► Rank the market basket just as desirable after the change.
► **Be unable to decide whether he prefers the first market basket to the second or the second to the first.**

Question No: 27 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► **Indifference curves slope upwards.**
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

Question No: 28 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

Question No: 29 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

► 50.
► **100.**
► 150.
► 200.

Question No: 30 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

► The price of each good is exactly equal to the price of every other good consumed.

► The price of each good is exactly equal to the total utility derived from the consumption of every other good.

► **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.**

► Marginal utility is equal to average utility.

Question No: 31 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.

► The change in satisfaction from consuming one additional unit of the good.

► **The additional satisfaction gained by consumption of the last good.**

► The per unit satisfaction of the good consumed.

Question No: 32 (Marks: 1) - Please choose one

Cross price elasticity between coffee and tea is 1.5. It means that:

► Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.

► Given a 1% increase in coffee price, we would expect a 1.5% decrease in tea demand.

► Given 1% increase in coffee price, there will be no change in tea demand.

► None of the given options.

Question No: 33 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.

► Unit elastic.

► Elastic.

► **Inelastic.**

Question No: 34 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

► Period of falling farm prices due to unusually good harvests.

► Substantial increase in farm productivity due to applications of new technology in agriculture.

► **National security crisis leading to major shortages of essential goods.**

► Period of extraordinary large surpluses of farm goods.

Question No: 35 (Marks: 1) - Please choose one

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

► **Shifts to the left.**

► Shifts to the right.
► Remains constant.
► Shifts to the right initially and then returns to its original position.

Question No: 36 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.
► **Shifting the supply curve to the right.**
► Upward movement along the supply curve.
► Downward movement along the supply curve.

Question No: 37 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

► Votes taken by consumers.
► **A central planning authority.**
► Consumer preferences.
► The level of profits of firms.

Question No: 38 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

► Price is relatively unimportant as a means of allocating resources.
► Goods and services produced reflect consumer sovereignty.
► **There is no incentive for people to work hard.**
► All income is completely evenly distributed.

Question No: 39 (Marks: 1) - Please choose one

Which of the following is a positive statement?

► When the price of a good goes up, consumers buy less of it.
► When the price of a good goes up, firms produce more of it.
► When the Federal government sells bonds, interest rates rise and private investment is reduced.
► **All of the given options.**

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.
► Unemployment and interest rates.
► The behavior of individual firms and investors.
► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

a. What is the relationship between average physical product and marginal physical product in three cases if:

i. Marginal physical product is equal to average physical product.
The average physical product will not change.
ii. Marginal physical product is above the average physical product.
The average physical product will also increase.
iii. Marginal physical product is below the average physical product.
The average physical product will also fall

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PAPER # 1

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ► The behavior of individual consumers.
- ► Unemployment and interest rates.
- ► The behavior of individual firms and investors.
- **► The behavior of individual consumers and behavior of individual firms and investors**.

Microeconomics is the branch of economics that deals with which of the following topics
The behavior of individual consumers
The behavior of individual firms and investors

Question No: 2 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► **Less ink to be demanded at each price.**
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 3 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

► A decrease in equilibrium price and an increase in quantity of meal.
► An increase in equilibrium price and quantity of meal.
► **A decrease in equilibrium price and quantity of meal.**
► An increase in equilibrium price and a decrease in quantity of meal.

When college students leave town for the summer, the demand for meals at the local restaurants declines. This results in a decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 4 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.
► **Shifting the supply curve to the right.**
► Upward movement along the supply curve.
► Downward movement along the supply curve

Question No: 5 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

► A surplus of credit.
► **A shortage of credit.**
► Greater profits for banks issuing credit.
► A perfectly inelastic supply of credit in the market place.

If a price ceiling is placed below the market-clearing price, at the ceiling price, buyers want to buy more than sellers will make available .let buyers would like to buy amount 50Q at price 10 but sellers will sell only 30. Shortage 50-30 =20
Similarly
Customer demand more for loan than bank will make available. Result will be the shortage of credit.

Question No: 6 (Marks: 1) - Please choose one

If a 12% price reduction causes quantity demanded to rise by 12% then:

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► Demand is inelastic.
► Demand is elastic.
► Demand is perfectly elastic.
► **Total revenue will remain constant.**

PЄd = Percentage change in Quantity Demanded/Percentage change in Price
PЄd =12/12 = 1

Increase in Price

- If the demand for the good is unit-elastic (the price elasticity of demand is 1), an increase in price does not change total revenue. In this case the two effects off-set each other

- If demand for a good is *elastic* (the price elasticity of demand is greater than 1), an increase in price reduces total revenue. In this case, the price effect is weaker than the quantity effect.

- If demand for a good is *inelastic* (the price elasticity of demand is less than 1), an increase in price increases total revenue. In this case, the price effect is stronger than the quantity effect.

Decrease in Price

- When demand is unit-elastic, the effects exactly balance; so a decrease in the price has no effect on total revenue.
- When demand is *elastic*, the quantity effect dominates the price effect; so a decrease in the price increases total revenue
- When demand is *inelastic*, the price effect dominates the quantity effect; so a decrease in the price reduces total revenue

Question No: 7 (Marks: 1) - Please choose one
Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

If demand for a good is inelastic (the price elasticity of demand is less than 1), an increase in price increases total revenue. In this case, the price effect is stronger than the quantity effect.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► Utility.
► None of the given options.

Utility refers to consumer rankings of different goods and services

Question No: 9 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Marginal utility (MU) is the additional utility derived from the consumption of one or more unit of the good.
MU: The additional utility obtained from the consumption or use of an additional unit of a good
MU: Is the change in total utility form one additional unit of a good or service.
Marginal utility is the extra satisfaction generated from consuming one more unit of a good.

Question No: 10 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

The law of diminishing marginal utility is a explanation of the downward sloping demand curve
The marginal utility curve slopes downwards in a MU-Q graph showing the principle of diminishing marginal utility. The MU curve is exactly equal to the demand curve

Question No: 11 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ► Horizontal.
- ► Vertical.
- **► Negative.**
- ► Positive.

The negative slope of the marginal utility curve reflects the law of diminishing marginal utility

Question No: 12 (Marks: 1) - Please choose one

A person with a diminishing marginal utility of income will be:

- **► Risk averse.**
- ► Risk neutral.
- ► Risk loving.
- ► None of the given options.

Risk Aversion: This exists when a person has decreasing/diminishing marginal utility of income
Risk Neutrality: This exists when a person has constant marginal utility of income
Risk Loving: This exists when a person has increasing marginal utility of income.

Question No: 13 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ► It would shift inward.
- ► It would rotate about the axis for food.
- ► It would rotate about the axis for racquetballs.
- **► It would shift outward.**

If money income rises, the budget line will shift outwards/upward (parallel to the initial budget line).
Decrease in income will shift the budget line downward /left ward.
These shift are parallel and change in income do not affect the budget line's slope.

http://quizlet.com/4762932/econ-test-2-flash-cards/

Question No: 14 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

- ► **Flatter.**
- ► Steeper.
- ► Identical.
- ► None of the given options.

Leisure Lovers Steep indifference curve
Workaholic's flat indifference curve

Question No: 15 (Marks: 1) - Please choose one

Which of the following statements about indifference curves is NOT correct?

- ► Indifference curves are generally negatively sloped.
- ► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
- ► Two indifference curves cannot intersect unless they are identical throughout.
- ► **Two different indifference curves can intersect but only once.**

Indifference curve never intersect each other because intersecting indifference curves violate the theoretical assumption that consumers prefer greater quantities of goods.

Indifference curves have a negative slope and negative slope of indifference curve implies that the two goods are substitutes for one another.
Indifference curves are convex to origin – indifference curve for normal goods are not only negatively sloping but are also convex to the origin , the convexity of indifference curves implies that , two goods are imperfect substitutes for one another and the marginal rate of substitution between two good decreases as a consumer movers along an indifference curve.
Indifference curves do no intersect nor are tangent to one another – if two indifference curves intersect it would mean violation of consistency or transitivity assumption in consumer preference
Higher indifference curves represent a higher level of satisfaction than the lower ones.

Question No: 16 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

- ► **The substitution effect is always negative.**
- ► The substitution effect is positive for an inferior good.
- ► The substitution effect measures how demand changes when income changes.
- ► The substitution effect is positive for a Giffen good.

SUBSTITUTION EFFECT:

It is one of two reasons for law of demand and the negative slope of the market demand curve. The substitution effect occurs because a change in the price of a good makes it relatively higher or lower than the prices of other goods that might act as substitutes. A higher price means that a good is more expensive relative to other goods, while a lower price means it's less expensive. Or more simply we can say that if price of any good increases, people reduce its consumption and substitute any other good whose price is not increased. **Substitution effect is always negative.**

Question No: 17 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.
► Prices rise.
► Incomes fall.
► **Incomes increase.**

Normal goods are goods whose quantity demanded goes up as consumer income increases.

Question No: 18 (Marks: 1) - Please choose one

The largest amount of output that a firm can produce with a given combination of inputs is determined by the:

► Marginal product of labor.
► Gains from specialization.
► Cost function.
► **Production function.**

PRODUCTION FUNCTION

A mathematical relation between the production of a good or service and the inputs used. A production function is simply the relationship between inputs & outputs

A production function shows how much output can be produced with a given amount of input

Question No: 19 (Marks: 1) - Please choose one

Which of the following is most likely to be a fixed input in the short run for a Garage owner?

► The grease used to lubricate cars.
► The part-time labor employed to repair cars.
► The electricity used to heat and light the garage.
► **The garage used to repair cars.**

Question No: 20 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

- ► 5Q.
- ► 5.
- **► 5 + (200/Q).**
- ► None of the given options.

ATC or AC =AVC + AFC
ATC = 5Q + 200
ATC=5+200/Q

Question No: 21 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

- ► Average revenue equals average cost.
- ► Average revenue equals average variable cost.
- ► Total costs are minimized.
- **► Marginal revenue equals marginal cost.**

A firm maximizes profit by operating where marginal revenue equal marginal costs

Question No: 22 (Marks: 1) - Please choose one

Revenue is equal to:

- **► Price times quantity.**
- ► Price times quantity minus total cost.
- ► Price times quantity minus average cost.
- ► Price times quantity minus marginal cost.

Total revenue (TR) = Price x Quantity (P x Q)

Question No: 23 (Marks: 1) - Please choose one

A price taker is:

- ► A firm that accepts different prices from different customers.
- ► A monopolistically competitive firm.
- **► A firm that cannot influence the market price.**
- ► An oligopolistic firm.

A firm that does not have the ability to influence market price is a price-taker

Question No: 24 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

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- ► The trademark protecting Gatoraide.
- ► The talents of Tom Hanks.
- **► The local water company.**
- ► The patent on an Intel processor.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- **► Price = Marginal Cost.**
- ► Price = Average Total Cost.
- ► Average Total Cost = Marginal Cost.
- ► Price < Marginal Cost.

A perfectly competitive firm maximizes profit by producing the quantity of output that equates price and marginal cost
Perfectly competitive firm faces a horizontal demand curve it can sell as much as it wishes at the market price, the firm chooses its profit maximizing output level by setting marginal cost equal to the market price.

Profit maximization in the short run

1) For a firm in a perfectly competitive market, price is equal to both average revenue and marginal revenue. **P=MR=AR** (only true in perfectly competitive market)

2) Condition for profit maximization is **MR=MC** (true in any type of market)

3) Combine these two results together: for a profit maximizing firm in a perfectly competitive market, it will choose the output where price is equal to marginal cost. **P=MC**

Question No: 26 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

- ► Price < Average Total Cost.
- **► Price > Average Total Cost.**
- ► Price < Average Variable Cost.
- ► Price = Marginal Cost.

Profit is maximized when MC = MR
If P > ATC the firm is making profits.

Question No: 27 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

► Long-run average total cost curve is equal to the economies of scope.
► Long-run average total cost curve is positively sloped.
► Long-run average total cost curve is horizontal.
► Long-run average total cost curve is negatively sloped.

THE LONG-RUN AVERAGE COST CURVE (LRAC)
The long-run average cost (LRAC) curve for a typical firm is U shaped.

i. In the case of economies of scale, long run total cost (LRTC) is an upward sloping curve but with falling slope. **Note that the slope can never become zero or negative, though.**
ii. In diseconomies of scale, LRTC is an upward sloping curve with an increasing slope.
iii. In constant costs, LRTC is a positively sloped straight line.

Question No: 28 (Marks: 1) - Please choose one
The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.
► The monopolist's marginal cost curve changes considerably over time.
► The relationship between price and quantity depends on both marginal cost and average cost.
► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=4&cad=rja&ved=0CEMQFjAD&url=http%3A%2F%2Ffbemoodle.emu.edu.tr%2Fmod%2Fresource%2Fview.php%3Fid%3D10616&ei=UseLUc7fIYPFPYfugOgH&usg=AFQjCNHBKuMXd-eD5VP6B-lNKaHrLZ9wMw&sig2=sxeDXrKovRjBe6tvSXoTJw&bvm=bv.46340616,d.ZWU

Question No: 29 (Marks: 1) - Please choose one
A firm never operates:

► At the minimum of its average total cost curve.
► At the minimum of its average variable cost curve.
► On the downward-sloping portion of its average total cost curve.
► On the downward-sloping portion of its average variable cost curve.

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CCwQFjAA&url=http%3A%2F%2Fhomepage.ntu.edu.tw%2F~chensyu%2Fmicro2008

%2Fhw8.pdf&ei=isaLUcy0CsjcPe-ngbgH&usg=AFQjCNEXBkbfHcn2jQbBV9L6zKvW-1KuwQ&sig2=T8pA0crUV8DVmGOwdE9RSA&bvm=bv.46340616,d.ZWU

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=7&cad=rja&ved=0CE8QFjAG&url=http%3A%2F%2Ffbemoodle.emu.edu.tr%2Fmod%2Fresource%2Fview.php%3Fid%3D10516&ei=isaLUcy0CsjcPe-ngbgH&usg=AFQjCNGIopftv4-_EXT9De4XoCkMWSt3Ew&sig2=qeeN6PtuEKy_V4MpskooSQ&bvm=bv.46340616,d.ZWU

Question No: 30 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

► **High costs.**
► Low costs.
► Equal costs.
► None of the given options.

LIMIT PRICING
If a firm is already established in the market, it got gradually the business tricks of how to run the business. **A new entrant firm in the market has to face high costs. A monopolist firm knows about this fact very well that his costs are lower than the new entrant firm so he can take advantage of this situation.**

Question No: 31 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:
► Monopolists earn higher profits.
► **Monopolists produce high quality goods at higher prices.**
► Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
► Monopolists do not pay sufficient attention to increasing efficiency.

Disadvantages of monopolies:
i. Monopolists produce lower quantities at higher prices compared to perfectly competitive firms. This is because monopolists do not produce where P=MC (the point of allocative efficiency) nor at P= AC minimum (the point of cost efficiency).
ii. Monopolists earn supernormal profits compared to perfectly competitive firms
iii. Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
iv. Monopolists do not pay sufficient attention to increasing efficiency in their production
processes.

Question No: 32 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ► Engages in a discrete pricing strategy.
- ► Charges the average reservation price.
- ► Engages in second-degree price discrimination.
- **► Engages in first-degree price discrimination**

.

1ST DEGREE PD

In this type, everyone charged according to what he can pay. Seller can charge the highest price of any product from customers. First-degree price discrimination occurs when identical goods are sold at different prices to each individual consumer. Obviously, the seller is not always going to be able to identify who is willing to pay more for certain items, but when he or she can, his profit increases

Question No: 33 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ► The fact that price exceeds marginal cost.
- ► Excess capacity.
- **► Product diversity.**
- ► The fact that long-run average cost is not minimized.

The price charged by a monopolistically competitive firm is higher than the marginal cost of production, which violates the efficiency condition that price equals marginal cost. A monopolistically competitive firm is inefficient because it has market control and faces a negatively-sloped demand curve.

Price exceeds marginal cost. This means that the value to consumers of additional units of output exceeds the marginal cost of producing these units.
Second, under monopolistic competition, there is excess capacity. Output is lower than the quantity that would minimize average cost. On the other hand, this smaller output provides the consumer with greater product diversity.

Question No: 34 (Marks: 1) - Please choose one

What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

► It shifts rightward.
► It shifts leftward.
► It becomes horizontal.
► New entrants will not affect an incumbent firm's demand curve.

A firm making profits in the short run will break even in the long run because demand will decrease and average total cost will increase. This means in the long run, a monopolistically competitive firm will make zero economic profit.

As new firms enter the market, demand for the existing firm's products becomes more elastic and the demand curve shifts to the left, driving down price. Eventually, all super-normal profits are eroded away.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is true for both perfectly competitive and monopolistically competitive firms in the long run?

► Price = Marginal Cost.
► Marginal Cost = Average Total Cost.
► Price > Marginal Revenue.
► Profit equals zero.

The long-run characteristics of a monopolistically competitive market are almost the same as in perfect competition, with the exception of monopolistic competition having heterogeneous products, and that monopolistic competition involves a great deal of non-price competition

LONG-RUN COMPETITIVE EQUILIBRIUM

1) MC = MR
2) P = LAC
• No incentive to leave or enter
• Profit = 0
3) Equilibrium Market Price

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is TRUE about pure monopoly?

► The monopoly's demand curve and the market demand curve are one and the same.
► The market is dominated by just two firms.
► The monopolist will always charge the highest possible price.
► The monopolist will always charge a high price because it wants to maximize profits.

A monopolist is a single seller. He himself is a firm as well as an industry. Hence market demand curve is in itself the demand curve of the monopolist. As a result of this the demand curve of a monopolist is downward sloping.

Question No: 37 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.
► Inferior good.

If the sign of income elasticity of demand is positive, the good is normal and if sign is negative, the good is inferior.

Question No: 38 (Marks: 1) - Please choose one

If indifference curves cross, then:

► The assumption of a diminishing marginal rate of substitution is violated.
► The assumption of transitivity is violated.
► The assumption of completeness is violated.
► Consumers minimize their satisfaction.

If indifference curves cross, then assumption of transitivity is violated

Question No: 39 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.
► Must be giffen.
► Can be normal or inferior.
► Must be normal.

Demand curve for a normal good is downward sloping due to the combination of income and substitution effect.
A good with an upward-sloping demand curve is called a Giffen good.
A inferior good *is* a good that is in less demand even though the income increases. When this situation occurs the demand curve *is positive* sloping

Question No: 40 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

► Is equal to the absolute value of the slope of the indifference curve at that point.
► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.
► Reflects the relative values the consumer attaches to the two good.
► Is described, in part, by each of the given statements.

http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC8QFjAA&url=http%3A%2F%2Fhighered.mcgraw-

hill.com%2Fsites%2Fdl%2Ffree%2F0073375942%2F695206%2FCH3new09.doc&ei=o8CLUdv6IszJPeqPgcgB&usg=AFQjCNHKPzmuEDxl5R90hYCWO4PbKEOZ1w&sig2=bT1nCcWkwH7lA_zmfBmWdg&bvm=bv.46340616,d.ZWU

PAPER # 2

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ► **Risk averse.**
- ► **Risk loving.**
- ► Risk neutral.
- ► None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ► All of the given options.
- ► **Risk averse.**
- ► Risk neutral.
- ► Risk loving.

Risk premium is the amount of income that a risk adverse person is willing to pay to avoid the risk. For risk aversion, the risk premium is the amount a person would pay for insurance

The risk premium is the amount of money that a risk-averse person would pay to avoid taking a risk

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ► Is a statement of fact.
- ► Is a hypothesis used to test economic theory.
- ► **Is a statement of what ought to be, not what is.**
- ► Is a statement of what will occur if certain assumptions are true.

Normative economics discusses "what ought to be".

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

- ► Limited resources, market behavior.
- ► **Scarcity, human behavior.**
- ► Social behavior, limited resources.

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► Biological behavior, scarcity.

http://siteresources.worldbank.org/PGLP/Resources/QuestionsWeekOne.pdf

Question No: 5 (Marks: 1 - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

► P = MR.
► P = AVC.
► AR = MR.
► **P = MC.**

A perfectly competitive firm produces the profit-maximizing quantity of output that equates marginal revenue and marginal cost.

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

► **The price is greater than the marginal cost.**
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

In monopoly in long run equilibrium: The firm is allocatively inefficient
A monopolist faces: A downward sloping demand curve
A welfare loss occurs in monopoly where: The price is greater than the marginal cost

http://global.oup.com/uk/orc/busecon/economics/gillespie_econ2e/01student/mcqs/unit12/

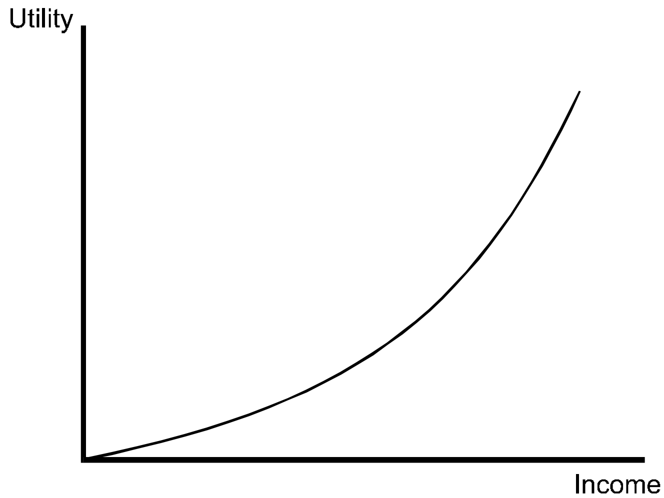
Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw8.pdf

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

▶ **Increasing as income increases**.
▶ Constant for all levels of income.
▶ Diminishes as income increases.
▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
▶ **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

The negatively-sloped portion of this long-run average cost curve reflects economies of scale and increasing returns to scale. The positively-sloped portion reflects diseconomies of scale or decreasing returns to scale.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

▶ Independent.
▶ Complements.

▶ **Substitutes.**
▶ Inferior.

THREE CORE RULES OF ELASTICTY page 36

Question No: (Marks: 1) - Please choose one

A demand schedule is best described as:

▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus**.
▶ A graphical representation of the law of demand.
▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
▶ A symbolic representation of the law of demand: P,Q and Q, P.

A demand schedule is a table (sometimes also referred to as a graph) which shows various combinations of quantity demanded and price

Law of demand

As the price of a good rises, the quantity demanded of the good falls, and as the price of a good falls, the quantity demanded of the good rises, ceteris paribus

Ceteris paribus or **caeteris paribus** is a Latin phrase, literally translated as "with other things the same," or "all other things being equal or held constant.

Question No: 12 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

▶ A higher price reduces demand.
▶ A lower price reduces demand.
▶ **A higher price reduces quantity demanded.**
▶ A lower price shifts the demand curve to the right.

Law of demand

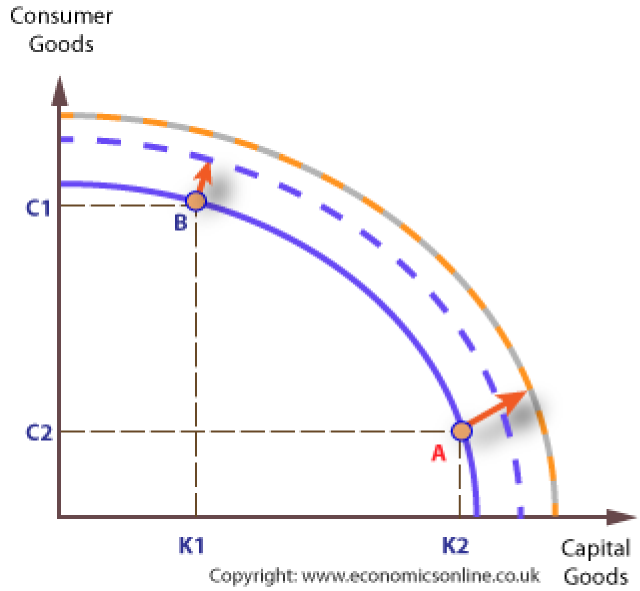
As the price of a good rises, the quantity demanded of the good falls, and as the price of a good falls, the quantity demanded of the good rises, ceteris paribus

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

▶ A reduction in unemployment.
▶ **An increase in the production of capital goods**.
▶ A reduction in discrimination.
▶ An increase in the production of consumer goods.

If an economy chooses to produce more capital goods than consumer goods at point A, in the diagram, then it will grow by more than if it allocated more resources to consumer goods at point B.



Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ► **Oligopoly.**
- ► Monopoly.
- ► Perfect competition.
- ► Monopolistic competition.

A kinked demand curve explains the "stickiness" of the prices in oligopolistic markets

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ► Will make negative profit (lose money).
- ► Will make zero profit (break-even).
- ► Will make positive profit.
- ► **Any of the given are possible.**

Thus the characteristics of a monopolistically competitive market are almost the same as in perfect competition, with the exception of heterogeneous products

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In the short run, a perfectly competitive firm can settle at equilibrium where it is making super normal profits, normal profits, loss, or where it decides to shut down.
In short run firm in monopolistically competitive markets could make negative, zero or positive profits.

:A monopolistically competitive firm **<u>in the long run</u>** will always break even, or earn only normal profit ensured by entry and exit of firms

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► Oligopolistic.

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Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

► The reservation price.
► The market price.
► The first-degree price.
► The block price.

Price discrimination is categorized into three types:

- First degree price discrimination - charging what ever the market will bear,
- Second degree price discrimination - quantity discounts or versioning,
- Third degree price discrimination - separate markets and customer groups.

<u>First price discrimination</u>:

This type of discrimination, also known as **perfect price discrimination**, essentially states the company charges the consumer the <u>maximum price that individual is willing to pay for that product</u>

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► **Charging different prices to different groups based upon differences in elasticity of demand.**

Third price discrimination:
A form of price discrimination in which a seller charges different prices to groups that are differentiated by an easily identifiable characteristic, **such as location, age, sex, or ethnic group.** This is the most common type of price discrimination. Third-degree price discrimination occurs if a seller charges different prices to two or more different buying groups with different demand elasticities.

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges $15 per hour for tennis lessons for children and $30 per hour for tennis lessons for adults. The tennis pro is practicing:

► First-degree price discrimination.
► Second-degree price discrimination.
► **Third-degree price discrimination.**
► All of the given options.

Third price discrimination:
A form of price discrimination in which a seller charges different prices to groups that are differentiated by an easily **identifiable characteristic, such as location, age, sex, or ethnic group.** This is the most common type of price discrimination. Third-degree price discrimination occurs if a seller charges different prices to two or more different buying groups with different demand elasticities.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

► First-degree price discrimination.
► **Second-degree price discrimination.**
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Second degree price discrimination:
A form of price discrimination in which a seller charges different prices for different quantities of a good. This also goes by the name block pricing. Second-degree price

discrimination is possible because decidedly different quantities are purchased by different types of buyers demand elasticity.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

- ► At the minimum of its average total cost curve.
- ► At the minimum of its average variable cost curve.
- ► On the downward-sloping portion of its average total cost curve.
- ► **On the downward-sloping portion of its average variable cost curve.**

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ► **Marginal revenue minus marginal cost.**
- ► Marginal revenue plus marginal cost.
- ► Marginal cost minus marginal revenue.
- ► Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ► Total revenue is less than total cost.
- ► Average revenue is less than average cost.
- ► Marginal revenue is less than marginal cost.
- ► **Marginal revenue is greater than marginal cost.**

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw8.pdf

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ► **They must intersect with TC cutting TR from below.**
- ► They must intersect with TC cutting TR from above.
- ► They must be tangent to each other.
- ► They must have the same slope.

http://quizlet.com/21886592/intermediate-microeconomics-flash-cards/

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

- ► 5Q.
- ► 5.
- ► **5 + (200/Q).**
- ► None of the given options.

ATC =AVC +AFC
ATC= 5Q + 200
ATC=5+200/Q

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ► **A fixed cost.**
- ► A variable cost.
- ► An implicit cost.
- ► An opportunity cost.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw7.pdf

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ► **Demand for a product.**
- ► Firm's behaviour.
- ► How firms should expand?
- ► Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

- ► Law of diminishing marginal returns.
- ► Marginal rate of substitution.
- ► **Marginal rate of factor substitution.**
- ► Marginal rate of production.

MARGINAL RATE OF TECHNICAL SUBSTITUTION (MRTS)

The slope of an isoquant is called marginal rate of technical substitution (MRTS)

MRTS is the amount of one factor, e.g. capital, that can be replaced by a one unit increase in the other factor e.g. labor, if output is to be held constant.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ► **Decreasing returns to scale.**
- ► Constant returns to scale.
- ► Increasing returns to scale.

► Diseconomies of scale.

Increasing Returns to Scale

When our inputs are increased by let say 10%, our output increases by more than 10%.

Constant Returns to Scale

When our inputs are increased by 10% our output increases by exactly 10%.

Decreasing Returns to Scale

When our inputs are increased by 10%, our output increases by less than 10%

Decreasing returns to scale results if long-run production changes are less than the proportional changes in all inputs used by a firm.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution**.
► The consumer's marginal utility.
► None of the given options.

The marginal rate of substitution is equal to the absolute value of the slope of an indifference curve
The absolute value of the slop of the indifference curve at any point is the marginal rate of substitution which is equal to the marginal utility of one good divided by the marginal utility of the another good.
Absolute value of the slope of the indifference curve= Marginal rate of substitution

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

If money income rises, the budget line will shift outwards/upward (parallel to the initial budget line).
Decrease in income will shift the budget line downward /left ward.

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These shift are parallel and change in income do not affect the budget line's slope.

http://quizlet.com/4762932/econ-test-2-flash-cards/

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► Upward-sloping.
► Downward-sloping.

The law of diminishing marginal utility is a explanation of the downward sloping demand curve

The marginal utility curve slopes downwards in a MU-Q graph showing the principle of diminishing marginal utility. The MU curve is exactly equal to the demand curve

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

► Goods are normal or inferior.
► Two goods are substitutes or complements.
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Cross elasticity of demand is positive for Substitutes

If the two goods are substitutes, when the price of one good rises, the quantity demanded of other good increases. Cross elasticity of demand is positive.

Cross elasticity of demand is negative for Complements

If the two goods are complements, when the price of one good rises, the quantity demanded of another good decrease. Cross elasticity of demand is negative.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► An increase in price will increase total revenue.
► None of the given options.

Inelastic demand of any product means that if price of that product increases there is very small effect on its quantity demanded. As price increases, total revenue also increases in case of inelastic demand.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course.**
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Inelastic demand of any product means that if price of that product increases there is very small effect on its quantity demanded. As price increases, total revenue also increases in case of inelastic demand.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Opportunity cost: A benefit, profit, or value of something that must be given up to acquire or achieve something else.
Opportunity cost is defined as the value of the best foregone alternative. In simpler term it is the cost of the next best choice available to you when you choose from various mutually exclusive choices.
The cost of any activity measured in terms of the value of the next best alternative forgone (that is not chosen)
[In given Mcq Aslam is choosing to stay at home and study instead of going with his friend, Aslam is not choosing to play with his friend and this is opportunity cost for Aslam]

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► **The economy will move from a point inside to a point closer to its production**

possibilities curve.

If the economy were to reduce its unemployment it would come closer to reaching its existing productive capacity. The economy would thus be operating closer to its given production possibilities frontier.

.

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

► Produced factors of production.

► "Organizational" resources.

► Physical and mental abilities of people.

► **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

► Significant.

► Extensive.

► **Nonexistent.**

► Limited.

Free market/capitalist economy:

A free market/capitalist economy is a system in which the questions about what to produce, how to produce and for whom to produce are decided primarily by the demand and supply interactions in the market.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.

► Unemployment and interest rates.

► The behavior of individual firms and investors.

► **The behavior of individual consumers and behavior of individual firms and investors.**

PAPER # 3

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a normative statement?

- ► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
- ► The minimum wage should not be increased, because to do so would increase unemployment.
- ► Smoking should be restricted on all airline flights.
- ► **All of the given options.**

http://collegebud.ca/public/pubcollegebud.ca/COMM220%20Q%20Bank.pdf

Question No: 2 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ► When the price of a good goes up, consumers buy less of it.
- ► When the price of a good goes up, firms produce more of it.
- ► When the Federal government sells bonds, interest rates rise and private investment is reduced.
- ► **All of the given options.**

http://collegebud.ca/public/pubcollegebud.ca/COMM220%20Q%20Bank.pdf

Question No: 3 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- ► **Consumer preferences.**
- ► The level of profits of firms.

http://www.bized.co.uk/learn/economics/qbank/micro.htm

In Free market economy what to produce is determined by consumers and how to produce is determined by produces and who get the goods is determined by the purchasing power of consumers.

Question No: 4 (Marks: 1) - Please choose one

Our economy is characterized by:

- ► **Unlimited wants and needs.**
- ► Unlimited material resources.
- ► No energy resources.
- ► Abundant productive labor.

Question No: 5 (Marks: 1) - Please choose one

When constructing a typical production possibilities curve, economists assume that:

- ► Economic resources are underutilized.
- ► Resources are equally productive in many alternative uses.
- ► **All available resources are employed efficiently**.
- ► Production technology is allowed to vary.

The production possibilities curve represents the maximum possible production of one good for a given amount of the other. This requires that all resources be fully employed.

http://highered.mcgrawhill.com/sites/1113273082/student_view0/chapter1/quiz_2.html

Question No: 6 (Marks: 1) - Please choose one

Which of the following would lead to an inward shift of a nation's production possibilities curve?

- ► Immigration of skilled workers into the nation.
- ► An increase in the size of the working-age population.
- ► **A decrease in the size of the working-age population**.
- ► Increased production of capital goods.

Feedback: The availability of additional resources will shift the curve out; a reduction in available resources will shift it in.

http://highered.mcgraw-hill.com/sites/1113273082/student_view0/chapter1/quiz_2.html

Question No: 7 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ► The economy's production possibilities curve will shift outward.
- ► The economy's production possibilities curve will become steeper.
- ► The economy will move downward along its production possibilities curve.
- ► **The economy will move from a point inside to a point closer to its production possibilities curve.**

If the economy were to reduce its unemployment it would come closer to reaching its existing productive capacity. The economy would thus be operating closer to its given production possibilities frontier.

Question No: 8 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- **► There is a shortage of the product.**
- ► There is a surplus of the product.
- ► The product is a normal good.
- ► The product is an inferior good.

Shortage:

A shortage is a situation in which demand exceeds supply, i.e. producers are unable to meet market demand for the product. Shortages cause prices to raise prompting producers to produce more and consumers to demand less.

Question No: 9 (Marks: 1) - Please choose one

When movie ticket prices decrease, families tend to spend more time at cinema for watching videos instead at home. This best reflects:

- ► The rationing function of markets.
- **► The substitution effect.**
- ► Diminishing marginal utility.
- ► The income effect.

The substitution effect is reflected in consumer responses to higher prices as they shift purchases away from the good or service whose price has risen, purchasing other alternatives instead

Question No: 10 (Marks: 1) - Please choose one

What happens in the market for airline travel when the price of traveling by rail decreases?

- **► The demand curve for airline travel shifts left.**
- ► The demand curve for airline travel shifts right.
- ► The supply curve of airline travel shifts left.
- ► The supply curve of airline travel shifts right.

Price of rail ticket decrease so demand of traveling by rail increase, and demand of airline travel decrease and shift left.

Question No: 11 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

- ► Demand equals output.

► There is downward pressure on price.
► **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price**.
► All buyers are able to find sellers willing to sell to them at the current price.

The price at which the amount consumers wish to purchase equals the amount firms wish to sell is called the Equilibrium price.

Question No: 12 (Marks: 1) - Please choose one

A demand curve is price inelastic when:

► **Changes in demand are proportionately smaller than changes in price.**
► Changes in demand are proportionately greater than changes in price.
► Changes in demand are equal to changes in price.
► None of the given options.

Demand curve price inelastic when change is demand are proportionately smaller than change in price.
Demand curve price elastic when Changes in demand are proportionately greater than changes in price

Question No: 13 (Marks: 1) - Please choose one

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

► None of the given options.
► The daily supply curve for fish slopes upward.
► **The daily supply curve for fish is perfectly inelastic.**
► The daily supply curve for fish is perfectly elastic.

Perfectly inelastic supply occurs when sellers have no choice in the production of a good.

Perfectly inelastic

An elasticity equal to zero; the elasticity of a type of goods for which quantity supplied does not change regardless of the price of the goods.

Question No: 14 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► **Negative.**
► Positive.

The negative slope of the marginal utility curve reflects the law of diminishing marginal utility

Question No: 15 (Marks: 1) - Please choose one

If your demand price for one unit of a good is $100 and the market price is $75, your consumer's surplus is:

► **$25**.
► $50.
► $75.
► $100.

Consumer surplus is the difference between the maximum price a consumer is willing to pay and the actual price they do pay
Consumer surplus is the value of a good minus the price paid for it – 100-75 =25

Question No: 16 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

► 50.
► **100.**
► 150.
► 200.

1000-9000 = 100

Question No: 17 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► **Indifference curves slope upwards**.
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

If there are only two goods, if more of good 1 is always preferred to less, and if less of good
2 is always preferred to more, then:
(a) Indifference curves slope downwards.
(b) Indifference curves slope upwards.
(c) Indifference curves may cross.
(d) Indifference curves could take the form of ellipses.
(e) None of the above.

Question No: 18 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

- ► An increase in the slope of the budget line.
- ► A decrease in the slope of the budget line.
- ► **An increase in the intercept of the budget line**.
- ► A decrease in the intercept of the budget line.

If money income rises, the budget line will shift outwards/upward (parallel to the initial budget line).
Decrease in income will shift the budget line downward /left ward.
These shifts are parallel and **change in income does not affect the budget line's slope**

http://web.uvic.ca/~okhan/Practice%20Question.pdf

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a correct statement about the substitution effect?

- ► **The substitution effect is always negative.**
- ► The substitution effect is positive for an inferior good.
- ► The substitution effect measures how demand changes when income changes.
- ► The substitution effect is positive for a Giffen good.

SUBSTITUTION EFFECT:

It is one of two reasons for law of demand and the negative slope of the market demand curve. The substitution effect occurs because a change in the price of a good makes it relatively higher or lower than the prices of other goods that might act as substitutes. A higher price means that a good is more expensive relative to other goods, while a lower price means it's less expensive. Or more simply we can say that if price of any good increases, people reduce its consumption and substitute any other good whose price is not increased. **Substitution effect is always negative.**

Question No: 20 (Marks: 1) - Please choose one

In any production process, the marginal product of labour equals:

- ► Total output divided by total labour inputs.
- ► Total output minus the total capital stock.
- ► **The change in total output resulting from a 'small' change on the labour input**.
- ► Total output produced by labour inputs.

http://www.kevinhinde.com/elearning/prod_costs/prod_costmchoice.htm

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements describes increasing returns to scale?

- ► Doubling the inputs used leads to double the output.
- ► Increasing the inputs by 50% leads to a 25% increase in output.
- ► **Increasing inputs by 1/4 leads to an increase in output of 1/3.**
- ► None of the given options.

¼=0.25, 1/3 = 0.34

Question No: 22 (Marks: 1) - Please choose one

An isoquant curve shows:

- ► **All the alternative combinations of two inputs that yield the same maximum total product.**
- ► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
- ► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
- ► None of the given options.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw6.pdf

Question No: 23 (Marks: 1) - Please choose one

In a production process, all inputs are increased by 10%; but output increases less than 10%. This means that the firm experiences:

- ► **Decreasing returns to scale.**
- ► Constant returns to scale.
- ► Increasing returns to scale.
- ► None of the given options.

Question No: 24 (Marks: 1) - Please choose one

A monopoly occurs when:

- ► Each firm produces a product that is slightly different from the other firms.
- ► **One firm sells a good that has no close substitutes and a barrier blocks entry for other firms**.
- ► There are many firms producing the same product.
- ► All of the given options.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost**.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

► Production losses are less than fixed costs.
► Only normal profits are earned.
► **Production losses exceed fixed costs.**
► Fixed costs are zero.

Question No: 27 (Marks: 1) - Please choose one

Discrimination based upon the quantity consumed is referred to as:

► **Second degree price discrimination**.
► Third-degree price discrimination.
► First-degree price discrimination.
► All of the given options.

2ND DEGREE PD

In this type, different prices charged to customers who purchase different quantities

Question No: 28 (Marks: 1) - Please choose one

The most important factor in determining the long-run profit potential in monopolistic competition is:

► **Free entry and exit.**
► The elasticity of the market demand curve.
► The elasticity of the firm's demand curve.
► The reaction of rival firms to a change in price.

https://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC8QFjAA&url=http%3A%2F%2Ffbemoodle.emu.edu.tr%2Fmod%2Fresource%2Fview.php%3Fid%3D11343&ei=IQ6OUcmfEKHE7Ablu4Fg&usg=AFQjCNEPDOHa7Ldjrh8ANFioNbzdJyc-_g&sig2=ZWuuOoZztZKlIMMAhBT3Uw&bvm=bv.46340616,d.ZGU

Question No: 29 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.
► Excess capacity.
► Product diversity.
► The fact that long-run average cost is not minimized.

Question No: 30 (Marks: 1) - Please choose one

Monopolistically competitive firms have monopoly power because they:

► Are great in number.

► Have freedom of entry.

► Are free to advertise.

► Face downward sloping demand curves.

https://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC8QFjAA&url=http%3A%2F%2Ffbemoodle.emu.edu.tr%2Fmod%2Fresource%2Fview.php%3Fid%3D11343&ei=IQ6OUcmfEKHE7Ablu4Fg&usg=AFQjCNEPDOHa7Ldjrh8ANFioNbzdJyc_g&sig2=ZWuuOoZztZKlIMMAhBT3Uw&bvm=bv.46340616,d.ZGU

Question No: 31 (Marks: 1) - Please choose one

A leftward shift in the demand curve for product E might be caused by:

► A decrease in income if E is an inferior good.
► An increase in income if E is a normal good.
► An increase in the price of a product that is a close substitute for E.
► An increase in the price of a product that is complementary to E.

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Question No: 32 (Marks: 1) - Please choose one

Assume that a firm is a price taker in its input markets. If the firm's technology is characterized by diminishing marginal physical product of its variable input in the short run, the firm's short run:

- ► Marginal cost curve rises as output rises.
- ► Average cost curve rises as output rises.
- **► Marginal cost curve falls as output rises.**
- ► Marginal cost curves and average cost curves rises as output rises.

Marginal Physical Product and Marginal Cost

The law of diminishing marginal returns says that as more units of the variable input are added, each one has fewer units of the fixed input to work with; consequently, output rises at a decreasing rate

As the marginal physical product curve rises, the marginal cost curve falls; and as the marginal physical product curve falls, the marginal cost curve rises

Question No: 33 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ► Consumers know their preferences.
- ► Consumers know their income levels.
- ► Consumers know the prices available.
- **► Consumers can anticipate price changes.**

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw8.pdf□

Question No: 34 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ► Must be inferior.
- ► Must be giffen.
- ► Can be normal or inferior.
- **► Must be normal.**

Demand curve for a normal good is downward sloping due to the combination of income and substitution effect.

A good with an upward-sloping demand curve is called a Giffen good

Question No: 35 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of ________, it is similar to other social sciences because they are all concerned with the study of ________.

► Limited resources, market behavior.
► Scarcity, human behavior.
► Social behavior, limited resources.
► Biological behavior, scarcity.

Question No: 36 (Marks: 1) - Please choose one

A normative economic statement:

► Is a statement of fact.
► Is a hypothesis used to test economic theory.
► Is a statement of what ought to be, not what is.
► Is a statement of what will occur if certain assumptions are true.

Question No: 37 (Marks: 1) - Please choose one

_____ questions have to do with explanation and prediction, _____ questions have to do with what ought to be.

► Positive; negative.
► Negative; normative.
► Normative; positive.
► Positive; normative.

Question No: 38 (Marks: 1) - Please choose one

If consumer incomes increase, the demand for product Y:

► Will necessarily remain unchanged.
► Will shift to the right if Y is a complementary good.
► Will shift to the right if Y is a normal good.
► Will shift to the right if Y is an inferior good.

The definition of a normal good is one for which demand increases (shifts to the right) when income increases.

http://highered.mcgraw-hill.com/sites/0073375691/student_view0/chapter3/quiz.html

Question No: 39 (Marks: 1) - Please choose one

Because of unusually warm weather, the supply of strawberries has substantially increased. This statement indicates that:

► The demand for strawberries will necessarily rise.
► The equilibrium quantity of strawberries will fall.
► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.

http://highered.mcgrawhill.com/sites/0073375691/student_view0/chapter3/quiz.html

Because of unusually good growing conditions, the supply of strawberries has substantially increased." This statement indicates that
The demand for strawberries will necessarily rise
The equilibrium quantity of strawberries will fall
The amount of strawberries that will be available at various prices has increased
The price of strawberries will rise

An increase in supply occurs when more is made available at each price. All else equal, the prices of strawberries will fall

Question No: 40 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► All of the given options.
► **Risk averse**.
► Risk neutral.
► Risk loving.

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PAPER # 4

Question No: 1 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

► All of the given options.
► Risk averse.
► Risk neutral.
► Risk loving.

Question No: 2 (Marks: 1) - Please choose one

Assume that the current market price is below the market clearing level. We would expect:

► A surplus to accumulate.
► Downward pressure on the current market price.
► Upward pressure on the current market price.
► Lower production during the next time period.

Price below the market clearing level indicates ceiling price and ceiling result shortage. A shortage means that quantity demanded is greater than quantity supplied. This will lead to upward pressure on price. As price rises, quantity demanded falls and quantity supplied rises. This will continue until quantity demanded is equal to quantity supplied

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► Consumers can anticipate price changes.

Question No: 4 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.
► A substitute good.
► A complementary good.
► Inferior good.

If the sign of income elasticity of demand is positive, the good is normal and if sign is negative, the good is inferior.

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Question No: 5 (Marks: 1) - Please choose one

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

- ► **Positive.**
- ► Strictly linear.
- ► Flat.
- ► Negative.

The notion that there is a positive correlation between risk and return.

Question No: 6 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

- ► **Law of large numbers.**
- ► Law of small numbers.
- ► Law of zero numbers.
- ► All of the given options.

In each and every field of insurance the law of large number is essential.

Question No: 7 (Marks: 1) - Please choose one

A demand schedule is best described as:

- ► **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
- ► A graphical representation of the law of demand.
- ► A systematic listing of all the variables that might conceivably bring about a change in demand.
- ► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 8 (Marks: 1) - Please choose one

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ► It is not a monopoly.
- ► It is in competition with other firms.
- ► **It is operating on the downward-sloping part of the average cost curve.**
- ► It produces at the minimum average cost.

Each firm in a monopolistically comp. market has excess capacity (operates on the downward sloping portion of the average total cost curve, below the efficient scale quantity and above the efficient scale price

Question No: 9 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

► The fact that price exceeds marginal cost.
► Excess capacity.
► **Product diversity.**
► The fact that long-run average cost is not minimized.

Inefficiency is that a monopolistically competitive firm has excess capacity. This occurs because the monopolistically competitive firm does not produce at the minimum point of its average cost curve
In monopolistic competition, price exceeds marginal cost, which is an indicator of inefficiency.
Inefficiency arises from product differentiation. so the inefficiency brings a gain for consumers by offering greater product variety.
Efficient scale
A term used in industrial organization to denote the smallest output that a plant (or firm) can produce such that its long run average costs are minimized.

Monopolistic competition is a market structure characterized by a large number of small firms producing similar but not identical products with relatively good resource mobility and extensive knowledge.

Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► **Engages in first-degree price discrimination.**

Question No: 11 (Marks: 1) - Please choose one

The break-even point occurs when:

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► Price < Average Variable Cost.
► Price < Average Total Cost.
► Price = Average Total Cost.
► Price > Average Variable Cost.

Price is greater than average total cost = firm makes profits
Price is less than average total cost = firm makes losses
Price is equal to average total cost = break even, no profit no loss

Question No: 12 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

► Long-run average total cost curve is equal to the economies of scope.
► Long-run average total cost curve is positively sloped.
► Long-run average total cost curve is horizontal.
► Long-run average total cost curve is negatively sloped.

In the case of economies of scale, long run total cost (LRTC) is an upward sloping curve but with falling slope. Note that the slope can never become zero or negative, though

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

► The trademark protecting Gatoraide.
► The talents of Tom Hanks.
► The local water company.
► The patent on an Intel processor.

Question No: 14 (Marks: 1) - Please choose one

A monopoly occurs when:

► Each firm produces a product that is slightly different from the other firms.
► One firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
► There are many firms producing the same product.
► All of the given options.

When one firm sells a good or service that has no close substitutes and a barrier blocks the entry of new firms, the market is monopoly

Question No: 15 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then the next unit produced:

► Will decrease profit.

► Will increase cost more than it increases revenue.
► Will increase revenue more than it increases cost.
► Will increase revenue without increasing cost.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw8.pdf

Question No: 16 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

► 200.
► 5Q.
► 5.
► 5 + (200/Q).

Question No: 17 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

► Average cost.
► Marginal cost.
► Fixed cost.
► Variable cost.

Question No: 18 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

► Output.
► Capital expenditures.
► Wages.
► Time.

Question No: 19 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

► Output is being produced at minimum cost.
► Output is not being produced at minimum cost.
► The two products are being produced at the medium input cost to the firm.
► The two products are being produced at the highest input cost to the firm.

http://www.google.com.pk/url?sa=t&rct=j&q=isocost+line+is+just+tangent+to+an+isoquant&source=web&cd=7&cad=rja&ved=0CEsQFjAG&url=http%3A%2F%2Fwww.gest.unipd.it%2F~birolo%2Fdidattica08%2Fmateriale07%2Fmateriale_Perloff%2Ftestbank-1%2Ftbch07.doc&ei=wneOUcr8Ke7g7Qbm0YHICA&usg=AFQjCNHHmT4GauwXS7W-D3HeTr-Xfukm5Q&bvm=bv.46340616,d.ZGU

Question No: 20 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

► Products with negative marginal utilities.
► Products with positive marginal utilities.
► Inputs with negative marginal products.
► **Inputs with positive marginal products.**

If both marginal products are positive, the slope of the isoquant *is* negative.

Firm uses two factors of production. Irrespective of how much of each factor is used, both factors always have positive marginal products which imply that
a. isoquants are relevant only in the long run
b. isoquants have negative slope
c. isoquants are convex
d. isoquants can become vertical or horizontal
e. none of the above

Question No: 21 (Marks: 1) - Please choose one
Diminishing marginal returns implies:

► Decreasing marginal costs.
► **Increasing marginal costs.**
► Decreasing average variable costs.
► Decreasing average fixed costs.

http://wps.pearsoned.co.uk/ema_uk_he_sloman_economics_6/41/10679/2733917.cw/content/index.html

If the isoquants are straight lines, then
a. inputs have fixed costs at all use rates.
b. the marginal rate of technical substitution of inputs is constant.
c. only one combination of inputs is possible.
d. there are constant returns to scale.

Question No: 22 (Marks: 1) - Please choose one
In economics, the "long run" is a time period in which:

► **All inputs are variable.**
► All inputs are paid for.
► All outputs are determined.
► All loans are repaid.

Question No: 23 (Marks: 1) - Please choose one
The following table shows a firm's Total Product of labor. What is the Marginal Product of labor between 20 and 30 units of labor?

Table

Quantity of Labor	Total Product
0	0
10	100
20	230
30	340
40	410
50	460

► 340 units.
► 220 units.
► 11 units.
► 110 units.

Marginal product = 340-230=110

Question No: 24 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

► Marginal physical product is greater than average physical product.
► Marginal physical product is less than average physical product.
► Marginal physical product is increasing.
► Marginal physical product is decreasing.

If the marginal physical product is above the average physical product, the average physical product will rise.

Question No: 25 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

► Decrease hours of work.
► Increase hours of work.
► Not change anything.
► All of the given options.

Question No: 26 (Marks: 1) - Please choose one

If a market basket is changed by adding more to at least one of the goods, then every consumer will:

► Rank the market basket more highly after the change.

► Rank the market basket more highly before the change.
► Rank the market basket just as desirable after the change.
► Be unable to decide whether he prefers the first market basket to the second or the second to the first.
http://www.hftutoring.com/notes/COMM_220_Multiple_Choice_Solutions.pdf

Question No: 27 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.
► **Indifference curves slope upwards.**
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

Question No: 28 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

► It would shift inward.
► It would rotate about the axis for food.
► It would rotate about the axis for racquetballs.
► **It would shift outward.**

If money income rises, the budget line will shift outwards/upward (parallel to the initial budget line).
Decrease in income will shift the budget line downward /left ward.
These shift are parallel and change in income do not affect the budget line's slope.

http://quizlet.com/4762932/econ-test-2-flash-cards/

Question No: 29 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

► 50.
► **100.**
► 150.
► 200.

1000- 900 = 100

Question No: 30 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

► The price of each good is exactly equal to the price of every other good consumed.

► The price of each good is exactly equal to the total utility derived from the consumption of every other good.

► **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good**.

► Marginal utility is equal to average utility.

http://highered.mcgrawhill.com/sites/0073511293/student_view0/chapter5/multiple_choice_quiz.html

Question No: 31 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.

► **The change in satisfaction from consuming one additional unit of the good**.

► The additional satisfaction gained by consumption of the last good.

► The per unit satisfaction of the good consumed.

http://highered.mcgrawhill.com/sites/0073511293/student_view0/chapter5/multiple_choice_quiz.html

Question No: 32 (Marks: 1) - Please choose one

Cross price elasticity between coffee and tea is 1.5. It means that:

► **Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.**

► Given a 1% increase in coffee price, we would expect a 1.5% decrease in tea demand.

► Given 1% increase in coffee price, there will be no change in tea demand.

► None of the given options.

Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.
Given a 1% decrease in coffee price, we would expect a 1.5% decrease in tea demand

Question No: 33 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.

► Unit elastic.

► Elastic.

► **Inelastic.**

PEoD = (% Change in Quantity Demanded)/(% Change in Price)
PEoD =8% /12% =0.67

If PEoD < 1 then Demand is Price Inelastic (Demand is not sensitive to price changes)

Question No: 34 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

► Period of falling farm prices due to unusually good harvests.

► Substantial increase in farm productivity due to applications of new technology in agriculture.

► **National security crisis leading to major shortages of essential goods.**

► Period of extraordinary large surpluses of farm goods.

Price ceiling keep prices from rising too high and lead to shortage of goods

Question No: 35 (Marks: 1) - Please choose one

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

► **Shifts to the left.**

► Shifts to the right.

► Remains constant.

► Shifts to the right initially and then returns to its original position.

Price of steak goes up demand fall and demand for potatoes also decline because both are complements

Question No: 36 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► **Shifting the supply curve to the right.**

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 37 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

► Votes taken by consumers.

► A central planning authority.

► **Consumer preferences.**

► The level of profits of firms.

http://www.bized.co.uk/learn/economics/qbank/micro.htm

Question No: 38 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

- ► **Price is relatively unimportant as a means of allocating resources.**
- ► Goods and services produced reflect consumer sovereignty.
- ► There is no incentive for people to work hard.
- ► All income is completely evenly distributed.

Resource planning decisions in a planned economy are made by the state planning process and prices tend to be relatively fixed. They do not change to reflect changes in supply and demand

http://www.bized.co.uk/learn/economics/qbank/micro.htm

Question No: 39 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ► When the price of a good goes up, consumers buy less of it.
- ► When the price of a good goes up, firms produce more of it.
- ► When the Federal government sells bonds, interest rates rise and private investment is reduced.
- ► **All of the given options.**

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ► The behavior of individual consumers.
- ► Unemployment and interest rates.
- ► The behavior of individual firms and investors.
- ► **The behavior of individual consumers and behavior of individual firms and investors.**

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PAPER # 5

Question No: 1
In a free-market economy, the allocation of resources is determined by:
► Votes taken by consumers.
► A central planning authority.
► Consumer preferences.
► The level of profits of firms.

Question No: 2
Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► "Naturally" occurring resources.

Question No: 3
Our economy is characterized by:

► Unlimited wants and needs.
► Unlimited material resources.
► No energy resources.
► Abundant productive labor.

Question No: 4
A market is said to be in equilibrium when:

► Demand equals output.
► There is downward pressure on price.
► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5
We know that the demand for a product is elastic:

► When price rises, total revenue rises.
► When price rises, total revenue falls.
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.

Question No: 6

The extra value that consumers receive above what they pay for that good is called:

► Producer surplus.
► Utility.
► Marginal utility.
► **Consumer surplus.**

Question No: 7

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► **Negative**.
► Positive.

Question No: 8

As long as all prices remain constant, an increase in money income results in:

► An increase in the slope of the budget line.
► A decrease in the slope of the budget line.
► **An increase in the intercept of the budget line**.
► A decrease in the intercept of the budget line.

Question No: 9

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant.**

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw6.pdf

Question No: 10

At the profit-maximizing level of output, marginal profit:

► Is positive.
► Is increasing.
► **Is zero.**
► Is also maximized.

Question No: 11
In monopoly, which of the following is TRUE at the output level, where price = marginal cost?
► The monopolist is maximizing profit.
► The monopolist is not maximizing profit and should increase output.
► The monopolist is not maximizing profit and should decrease output.
► The monopolist is earning a positive profit.

Which of the following is true at the output level where P=MC?

a. The monopolist is maximizing profit.
b. The monopolist is not maximizing profit and should increase output.
c. **The monopolist is not maximizing profit and should decrease output.**
d. The monopolist is earning a positive profit.

Question No: 12
A firm is charging a different price for each unit purchased by a consumer. This is called:
► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► None of the given options.

A policy of **first degree (or perfect) price discrimination** prices each unit sold at the consumer's maximum willingness to pay. This willingness to pay is directly observable by the monopolist

Question No: 13
If a sales tax on beer leads to reduced tax revenue, this means:
► Elasticity of demand is < 1.
► Elasticity of demand is > 1.
► Demand is upward-sloping.
► Demand is perfectly inelastic.

http://wps.aw.com/aw_perloff_microecon_4/44/11319/2897721.cw/content/index.html

Question No: 14
Which of the following is considered a market structure?
► Monopoly.

► Perfect competition.
► Oligopoly.
► All of the given are considered market structures.

Question No: 15
A natural monopoly is most likely to exist when:
► There are large barriers to entry.
► There are long term patents.
► There are large economies of scale.
► There is government regulation of the industry.

A natural monopoly is a monopoly that exists because the cost of producing the product (i.e., a good or a service) is lower due to economies of scale

Question No: 16
An individual whose attitude towards risk is known as:
► Risk averse.
► Risk loving.
► Risk neutral.
► None of the given options.

Question No: 17 , FIG missing , Mcq repeated- check above
In the above figure, the marginal utility of income is:

► Increasing as income increases.
► Constant for all levels of income.
► Diminishes as income increases.
► None of the given options.

Question No: 18
Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?
► **The demand curve for airline travel shifts left.**
► The demand curve for airline travel shifts right.
► The supply curve of airline travel shifts left.
► The supply curve of airline travel shifts right.

Rail tickets price decrease so demand for rail tickets increase and airline travel decline

Question No: 19
What is the assumption of constructing a production possibilities curve?

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► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► All available resources are employed efficiently.
► Production technology is allowed to vary.

Question No: 20

Production possibilities curve will shift downward if there is:
► Immigration of skilled workers into the nation.
► An increase in the size of the working-age population.
► A decrease in the size of the working-age population.
► Increased production of capital goods.

PPF will shift inward if the labor force shrinks

Question No: 21
Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?
► 10.
► 13.
► 20.
► 33.

43 – 33 = 10

Question No: 22
Which of the following is TRUE about an indifference curve?
► It is a collection of market baskets that are equally desirable to the consumer.
► It is a collection of market baskets that the consumer can buy.
► It is a curve whose elasticity is constant for every price.
► It is a curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

http://web.uvic.ca/~okhan/Practice%20Question.pdf

Question No: 23
Which of the following is TRUE for a Giffen good?
► Its marginal utility is zero.
► Its demand curve is perfectly elastic.
► Its substitution effect is positive.
► Its demand curve is positively sloped.

Giffen good has a positively sloped demand curve

Question No: 24

What is TRUE about the relationship between average product (AP) and marginal product (MP)?
► **If AP exceeds MP, then AP is falling**.
► If AP is at a maximum, then MP is also at maximum.
► If AP = MP, then total product is at a maximum.
► If Total Product is declining, then AP is negative.

If the marginal physical product is below the average physical product, the average physical product will fall

Question No: 25
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
► 5Q.
► 5.
► 5 + (200/Q).
► **200.**

Question No: 26
Which of the following is NOT included in the perfect information assumption of perfect competition?
► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► **Consumers can anticipate price changes.**

Question No: 27
What is the reason that monopolist has no supply curve?
► **Because the quantity supplied at any particular price depends on the monopolist's demand curve.**
► Because the monopolist's marginal cost curve changes considerably over time.
► Because the relationship between price and quantity depends on both marginal cost and average cost.
► Because although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 28
What will happen to the isocost line if the price of both goods decreases proportionality?
► It shifts farther away from the origin of the graph**.**
► **It shift inward.**
► It shifts outward.
► None of the given options.

Higher levels of total cost shift the isocost line outward and lower levels of total cost shift the isocost line inward.

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Question No: 29
The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?
► 500
► 30+ (500/Q)
► 30Q+500Q
► 30

Question No: 30
Average total costs are the sum of:
► Fixed costs and marginal costs
► Average variable costs and marginal costs
► Average fixed costs and average variable costs
► Average marginal costs and average variable costs

Question No: 31
What will happen if current output is more than the profit-maximizing output?
► The next unit produced will increase profit.
► The next unit produced will decrease revenue more than it increases cost.
► The next unit produced will decrease cost more than it increases revenue.
► The next unit produced will increase revenue without increasing cost.

Question No: 32
At the profit-maximizing level of output, the marginal cost is equal to:
► Average revenue
► Total revenue
► Marginal revenue
► None of the given options

Question No: 33
An increase in quantity demand is shown by:
► Shifting the demand curve to the left.
► Shifting the demand curve to the right.
► Upward movement along the demand curve.
► Downward movement along the demand curve.

A change in quantity demanded is a change in the specific quantity of a good that buyers are willing and able to buy. This change in quantity demanded is caused by a change in the demand price. It is illustrated by a movement along a given demand curve
Upward movement in the demand is also known as contraction of demand. Contraction of demand refers to fall in demand of a commodity

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Downward movement in demand is a increase in quantity demanded

Question No: 34
Slope and elasticity of demand have

► A direct relation.
► An inverse relationship.
► No relation between slope and elasticity.
► None of the given options.

Slope and elasticity of demand have an inverse relationship. When slope is high elasticity of. demand is low and vice versa

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PAPER # 6

Question No: 1
If the quantity demanded of a product is greater than the quantity supplied of a product, then:
► **There is a shortage of the product**.
► There is a surplus of the product.
► The product is a normal good.
► The product is an inferior good.

Question No: 2
If pen and ink are complements, then an increase in the price of pen will cause:
► An increase in the price of ink.
► **Less ink to be demanded at each price.**
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 3
A new technology which reduces costs for firms:

► **Shifts the supply curve to the right**.
► Shifts the supply curve to the left.
► Reduces the equilibrium quantity.
► Raises the equilibrium price.

Supply increase

Question No: 4
If the quantity supplied of oranges exceeds the quantity demanded then:
► There is a shortage of oranges.
► **Market forces will cause the price to fall.**
► Market forces will cause the price to rise.
► The market is in equilibrium.

Supply increase, surplus of oranges market forces will cause the price to fall

Question No: 5
A demand curve is price inelastic when:
► **Changes in demand are proportionately smaller than changes in price**.
► Changes in demand are proportionately greater than changes in price.
► Changes in demand are equal to changes in price.
► None of the given options.

Question No: 6
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:
► 20 percent decrease in the quantity of boots demanded.
► 2 percent increase in the quantity of boots demanded.
► 0.2 percent increase in the quantity of boots demanded.
► 20 percent increase in the quantity of boots demanded.

For example, if, in response to a 10% increase in income, the demand for a good increased by 20%, the income elasticity of demand would be 20%/10% = 2.

2/10=0.2

A positive income elasticity of demand is associated with normal goods; an increase in income will lead to a rise in demand. **If income elasticity of demand of a commodity is less than 1, it is a necessity good. If the elasticity of demand is greater than 1, it is a luxury good or a superior good.** A negative income elasticity of demand is associated with inferior goods

Question No: 7
Marginal utility is best described as:
► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 8
Increase in pension benefits leads to income and substitution effect which:
► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► Encourage workers to retire earlier.

The income associated with retiring earlier is higher when pension benefits increase: Income Effect.
An increase in pension benefits reduces the price of retirement, increasing the demand for leisure, encouraging the worker to retire earlier: Substitution Effect.

Question No: 9
Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:
► Decrease hours of work.
► Increase hours of work.
► Not change anything.

► All of the given options.

A person will work more hours when wages are higher. Higher wages induce both income effect and substitution effect

Income effect

As wage rate rises individual real income rises this lead to increase in the consumption of all normal goods, if leisure is a normal good the higher wage rate will induce the individual to consume a larger quantity of leisure time and reduce hours of works. This is income effect resulting from a wage increase

Substitution effect

Opportunity cost of leisure time rises as the wage rate increases, as leisure time become more costly individuals consume less leisure time and spend more time at work, this is the substitution effect resulting form a higher wage.

When the wage rate increases, the price of leisure increases. The increase in wage rate causes the worker to spend less time in leisure and more time in work. We call this the **substitution effect** of an increase in the wage rate

Net effect

If leisure is a normal good, as increase in the wage rate will cause the quantity of labor supplied to

Increase: if the substitution effect is larger than the income effect

Decrease: if the income effect is larger than the substitution effect

The substitution effect of a higher wage encourages the worker to work more, and the income effect encourages the worker to work less. If the substitution effect is stronger than the income effect, a worker will work more as a result of the wage increase. However, if the income effect is stronger than the substitution effect, the worker will work less as a result of the wage increase.

Question No: 10
If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

► Decreasing returns to scale.

► Constant returns to scale.
► Increasing returns to scale.
► Diseconomies of scale.

Question No: 11
A graph showing all the combinations of capital and labour available for a given total cost is the:
► Budget constraint.
► Expenditure set.
► Isoquant.
► **Isocost.**

http://wps.pearsoned.co.uk/ema_uk_he_sloman_economics_6/41/10679/2733917.cw/content/index.html

The isocost line represents all combination of two inputs which have the same total cost.

The Isoquant curve contains all combinations of 2 inputs that produce the same total output.

Question No: 12
Increasing returns to scale in production means:
► More than twice as much of only one input is required to double output.
► Isoquants must be linear.
► More than 10% as much of all inputs are required to increase output 10%.
► **Less than twice as much of all inputs are required to double output.**

Question No: 13
In monopolist market, a new entrant firm should produce where:
► Marginal Cost < Marginal Revenue.
► Marginal Cost > Marginal Revenue.
► **Marginal Cost = Marginal Revenue.**
► Marginal Cost = Average Revenue.

A new entrant firm in the market has to face high costs. New entrant firm should charge the same or lower price than the monopolist other wise people will not purchase from new entrant firm.
But in order to ensure that the new entrant will not enter the market, he can charge the price lower than earlier price.

Question No: 14
The market structure in which there is interdependence among firms is:
► Monopolistic competition.
► **Oligopoly.**
► Perfect competition.
► Monopoly.

Question No: 15
If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:
► Independent.
► Complements.
► Substitutes.
► Inferior.

Question No: 16
If the cross price elasticity of demand of two goods is -1.5, then both goods are:
► Normal.
► Inferior.
► Complements.
► Substitutes.

Question No: 17
Suppose an increase in income causes demand curve to shift to rightward. In this case, what will happen at any given price?
► The price elasticity of demand will remain unchanged.
► The price elasticity of demand will decrease in absolute terms.
► The price elasticity of demand will increase in absolute terms.
► The price elasticity of demand will increase, decrease or stay the same. It cannot be determined.

If an increase in income results in a rightward parallel shift of the demand curve, then at any given price, the price elasticity of demand will have
(a) Increased in absolute terms.
(b) Decreased in absolute terms.
(c) remained unchanged.
(d) Increased, decreased or stayed the same. It cannot be determined.

http://www.econ.washington.edu/user/haideh/Perloff-tb03-Ec300.pdf

Question No: 18
The supply curve is positively sloped because:
► As the price increases, consumers demand less.
► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
► None of the given options.
► As the price increases, so do costs.

Question No: 19
Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:
► Shifts to the left.

► Shifts to the right.
► Remains constant.
► Shifts to the right initially and then returns to its original position.

Question No: 20
What is meant by the term utility?
► Useless.
► Require.
► Necessary.
► Satisfaction.

Utility is the usefulness, benefit or satisfaction derived from the consumption of goods and services

Question No: 21
Which of the following is TRUE about the marginal product of labour in any production process?
► It is total output divided by total labour inputs.
► It is total output minus the total capital stock.
► It is the change in total output resulting from a 'small' change on the labour input.
► It is total output produced by labour inputs.

http://www.kevinhinde.com/elearning/prod_costs/prod_costmchoice.htm

Question No: 22
Suppose that 36 units of output are produced by using 12 units of labor. Which of the following is TRUE in this context?
► The marginal product of labor is 3.
► The total product of labor is 1/3.
► The average product of labor is 3.
► None of the given options.

The average product of labor is the total product of labor divided by the number of units of labor employed or Q/L

36/12 = 3

Question No: 23
Which of the following occur when an isocost line is just tangent to an isoquant?
► Output is being produced at minimum cost.
► Output is not being produced at minimum cost.
► The two products are being produced at the medium input cost to the firm.
► The two products are being produced at the highest input cost to the firm.
http://web.cjcu.edu.tw/~lcc/Courses/1_tb13.pdf

Question No: 24

Which of the following is the basic difference between oligopoly and monopolistic competition?
► Products are differentiated in oligopoly.
► There are no barriers to entry in oligopoly.
► There are barriers to entry in oligopoly.
► An oligopoly includes downward sloping demand curves facing the firm.

Freedom of entry in monopolistic competition=Unrestricted
Freedom of entry in Oligopoly = Restricted

Question No: 25
What will happen to the isocost line if the price of both goods decreases proportionality?
► It shifts farther away from the origin of the graph.
► It shift inward.
► It shifts outward.
►None of the given options.

Higher levels of total cost shift the isocost line outward and lower levels of total cost shift the isocost line inward.

An isocost line will be shifted further away from the origin
a. If the prices of both inputs increases
b. If total cost increases
c. If there is an advance in technology
d. All of the above are correct

Question No: 26
A price maker is:
► A firm that accepts different prices from different customers.
► A monopolistically competitive firm.
► An oligoplistic firm.
► A firm that can individually influence the market price.

Question No: 27
Concentration ratio is used to assess:
► The level of competition in an industry.
► The degree of control over prices.
► The technological gaps between the firms.
► Marginal cost and marginal benefit analysis.

Concentration ratio is used to assess the level of competition in an industry

Question No: 28
At the profit-maximizing level of output, marginal cost equals to:
► Average revenue
► Total revenue
► Marginal revenue
► None of the given options

Question No: 29
The long run average fix cost for a monopolist firm starts to decrease as the firm
► Increases its price.
► Decreases its output.
► Increases its output.
► None of the given options.

Question No: 30
It is not possible to identify any single equilibrium in
► Perfect competition.
► Monopoly.
► Oligopoly.
► Duopoly.
It is not possible to identify any single equilibrium in oligopoly. Theory of firm is not clearly discussed & established as the theory of firm in the other three market structures. Reason for that is the firms are interdependent.

Question No: 31
In cartels, there are a small number of sellers and usually involve
► Heterogeneous products.
► Large competition.
► Homogeneous products.
► Less demand in market.

Cartel
A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 32
Consumers can make about the rational decision by using:
► Total utility and marginal utility approach**.**
► Income and consumption analysis.
► Cost and benefit analysis.
► Working hours and leisure time.
Consumers can decide about the rational decision by using cost and benefit analysis

Question No: 33

Since bread and butter are complements. When the price of bread goes down, the demand curve for butter:
► Shifts to the left.
► Shifts to the right.
► Remains constant.
► Shifts to the right initially and then returns to its original position.

Question No: 34
If the cross price elasticity of demand between two goods A and B is negative; it means that goods are
► Independent.
► Inferior.
► Complements.
► Substitutes.

PAPER # 7

1- Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:
► The economy's production possibilities curve will shift outward.
► The economy's production possibilities curve will become steeper.
► The economy will move downward along its production possibilities curve.
► The economy will move from a point inside to a point closer to its production possibilities curve.

2- When government sets the price of a good and that price is above the equilibrium price, the result will be:
► A surplus of the good.
► A shortage of the good.
► An equilibrium.
► None of the given options.

3- If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:
► 20 percent decrease in the quantity of boots demanded.
► 2 percent increase in the quantity of boots demanded.
► 0.2 percent increase in the quantity of boots demanded.
► 20 percent increase in the quantity of boots demanded.

4- The numerical measurement of a consumer's preference is called:
► Use.
► Pleasure.
► Utility.
► Satisfaction.

5- Marginal utility is best described as:
► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

6- The law of diminishing marginal utility states:
► The supply curve slopes upward.
► **Your utility grows at a slower and slower rate as you consume more and more units of a good.**

► The elasticity of demand is infinite.
► None of the given options.

7- Consumers will maximize satisfaction when:
► The price of each good is exactly equal to the price of every other good consumed.
► The price of each good is exactly equal to the total utility derived from the consumption of every other good.
► **The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good**.
► Marginal utility is equal to average utility.

This state that a person will derive a maximum level of TU from consuming a particular bundle of goods when the utility derived from the last dollar spent on each good is the same

8- As long as all prices remain constant, an increase in money income results in:
► An increase in the slope of the budget line.
► A decrease in the slope of the budget line.
► **An increase in the intercept of the budget line.**
► A decrease in the intercept of the budget line.

9- Which of the following is TRUE about price-consumption curve for good X?
► Nominal income falls as the price of X falls.
► The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
► It is always downward sloping for a normal good.
► **It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.**

Price Consumption Curve:

Holding income and the prices of other goods constant, the price consumption curve for a good is the set of optimal bundles as the price of the good varies
A price consumption line connects the utility maximizing consumption bundles for various prices. Second, plot the price changes with corresponding changes in the quantity of X consumed. Connect the price-quantity coordinates to create the demand curve.

Income Consumption Curve:

Holding the price of all goods constant, the income consumption curve for a good is the set of optimal bundles as income varies

Upward-sloping if good X is normal

Downward-sloping if good X is inferior

Engel Curve:

The curve that plots the relationship between the quantity of a good consumed and income

10- _______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale.**
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

11- The rate at which a firm can substitute capital for labour and hold output constant is the:

► Law of diminishing marginal returns.
► Marginal rate of substitution.
► **Marginal rate of factor substitution.**
► Marginal rate of production.

12- Fixed costs are fixed with respect to changes in:

► **Output.**
► Capital expenditures.
► Wages.
► Time.

13- A price taker is:

► A firm that accepts different prices from different customers.
► A monopolistically competitive firm.
► **A firm that cannot influence the market price**.
► An oligopolistic firm.

14- If a firm experiences economies of scale, then the:

► Long-run average total cost curve is equal to the economies of scope.

► Long-run average total cost curve is positively sloped.
► Long-run average total cost curve is horizontal.
► Long-run average total cost curve is negatively sloped.

15- The break-even point occurs when:
► Price < Average Variable Cost.
► Price < Average Total Cost.
► Price = Average Total Cost.
► Price > Average Variable Cost.

16- Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a ______________ price and sell a ______________ quantity.
►Higher; larger.
►Lower; larger.
►Higher; smaller.
► Lower; smaller.

Monopolists produce lower quantities at higher prices compared to perfectly competitive firms

17- The principle economic difference between a competitive and a non-competitive market is:
► The number of firms in the market.
► The extent to which any firm can influence the price of the product.
► The size of the firms in the market.
► The annual sales made by the largest firms in the market.

18- Usually the shape of production possibilities curve is:
► Concave
► Convex.
► Linear.
► Positive.

PPFs are normally drawn as bulging upwards ("concave")

19- For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?
► They must intersect with TC cutting TR from below.
► They must intersect with TC cutting TR from above.
► They must be tangent to each other.

► They must have the same slope.

http://quizlet.com/21886592/intermediate-microeconomics-flash-cards/

20- A person with a diminishing marginal utility of income is said to be:
► Risk averse person.
► Risk neutral person.
► Risk loving person.
► None of the given options.

21- What questions are related with explanation? What questions are related with what ought to be?
► Positive, negative.
► Negative, normative.
► Normative, positive.
► Positive, normative.

22- Production possibilities curve will shift upward if there is:
► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► All of the given options.

23- What will happen to the demand for product X, if there is an increase in consumer's income?
► It will shift to the right if X is a complementary good.
► It will shift to the right if X is a normal good.
► It will shift to the right if X is an inferior good.
► It will necessarily remain unchanged.

Normal good, income increase, demand increase, and shift right

24- What will happen if there is an increase in the raw material costs, other things remaining the same?
►The supply curve will shift to the left.
► The supply curve will shift to the right.
►Output will increase regardless of the market price and the supply curve will shift upward.
►Output will decrease and the market price will also decrease.

In resource price of supply cause the supply curve shift to left, decrease in supply

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25- Suppose the total costs of first four units of an output produced are 20, 40, 60, and 80 respectively. What is the marginal cost of the second unit of output?
► 10.
► 20.
► 30.
► 40.

40-20 = 20

26- Which of the following determines the largest amount of output that a firm can produce with a given combination of inputs?
► Marginal product of labor.
► Gains from specialization.
► Cost function.
► Production function.

27- Suppose that 36 units of output are produced by using 12 units of labor. Which of the following is TRUE in this context?
► The marginal product of labor is 3.
► The total product of labor is 1/3.
► The average product of labor is 3.
► None of the given options.

28- Which of the following best defines the marginal rate of technical substitution?
► **The rate at which a producer is able to exchange, without affecting the quantity of output produced, a little bit of one input for a little bit of another input.**
► The rate at which a producer is able to exchange, without affecting the total cost of inputs, a little bit of one input for a little bit of another input.
► The rate at which a producer is able to exchange, without affecting the total inputs used, a little bit of one output for a little bit of another output.

► A measure of the ease or difficulty with which a producer can substitute one technique of production for another.

29-Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:
► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

30- The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?
► 500
► **30+ (500/Q)**
► $30Q^2+500Q$
► 30

31-If marginal cost is Rs.15,000/- and marginal revenue is Rs.20,000/-. The firm should:
► Reduce output until marginal revenue equals marginal cost.
► Do nothing without information about your fixed costs.
► **Expand output until marginal revenue equals marginal cost**.
► None of the given options.

32- It is not possible to identify any single equilibrium in
► Perfect competition.
► Monopoly.
► **Oligopoly**.
► Duopoly.

33- Theory of firm is not clearly discussed & established in
► Monopoly.
► Perfect competition.
► **Oligopoly.**
► None of the given options.

It is not possible to identify any single equilibrium in oligopoly. Theory of firm is not clearly discussed & established as the theory of firm in the other three market structures

34-If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:
► The marginal utility for the consumption of the fifth unit.
► The marginal utility for the consumption of the sixth unit.
► **The total utility for the consumption of the first five units**.
► The average utility for the consumption of the first five units.

PAPER # 8

1-In pure capitalism, freedom of enterprise means that:
► Businesses are free to produce products that consumers want.
► Consumers are free to buy goods and services that they want.
► Resources are distributed freely to businesses.
► Government is free to direct the actions of businesses.

Freedom of enterprise means that entrepreneurs and businesses have the freedom to obtain and use resources, to produce products of their choice, and to sell these products in the markets of their choice

http://www.mcgrawhill.ca/college/mcconnell8/olc/macro_olc/ma8_qq03.html?Rf1=&Rf1=&Rf1=&As2=1

2-The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

► The demand curve for chiken to shift to the left.
► The demand curve for chiken to shift to the right.
► Quantity demanded of chiken to increase.
► Quantity demanded for chiken to derease.

3-The supply curve is upward-sloping because:
► As the price increases, consumers demand less.
► As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
► None of the given options.
► As the price increases, so do costs.
http://www.econweb.com/MacroWelcome/sandd/quiz/

4-If the quantity supplied of oranges exceeds the quantity demanded then:
► There is a shortage of oranges.
► Market forces will cause the price to fall.
► Market forces will cause the price to rise.
► The market is in equilibrium.

5-A price ceiling might be an appropriate government response to a:
► Period of falling farm prices due to unusually good harvests.
► Substantial increase in farm productivity due to applications of new technology in agriculture.
► National security crisis leading to major shortages of essential goods.
► Period of extraordinary large surpluses of farm goods.

6-Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

► A surplus of credit.
► **A shortage of credit.**
► Greater profits for banks issuing credit.
► A perfectly inelastic supply of credit in the market place.

7-In order to calculate the price elasticity of supply, you need to know:

► **Two prices and two quantities supplied.**
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► The quantity supplied at two different prices, all else equal.

Price elasticity of supply is the percentage change in quantity supplied with respect to the percentage change in price.

8-When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

► Perfectly elastic.
► Unit elastic.
► Elastic.
► **Inelastic.**

PEoD = (% Change in Quantity Demanded)/(% Change in Price)
8/12= 0.6□
Elasticity = zero : perfectly inelastic demand
Zero < elasticity < one: inelastic demand.
Elasticity > one : elastic demand

9-The numerical measurement of a consumer's preference is called:

► **Use.**
► Pleasure.
► Utility.
► Satisfaction.

10-According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

► Vertical.
► U-shaped.
► **Upward-sloping.**
► Downward-sloping.

11-If your demand price for one unit of a good is \$100 and the market price is \$75, your consumer's surplus is:
► \$25.
► \$50.
► \$75.
► \$100.

12-Other things being equal, expected income can be used as a direct measure of well-being:
► No matter what a person's preference to risk.
► If and only if individuals are not risk-loving.
► If and only if individuals are risk averse.
► If and only if individuals are risk neutral.

Risk averse individual has, a constant marginal utility of income but a diminishing marginal utility of risk

13-If diminishing marginal utility holds and a person consumes less of a good then which of the following will happen; all else being equal?
► Marginal utility will decline.
► The price of the good will rise.
► Marginal utility will rise.
► Expenditure on the good will increase.

http://www.google.com.pk/url?sa=t&rct=j&q=f+diminishing+marginal+utility+holds+and+a+person+consumes+less+of+a+good+then+which+of+the+following+will+happen%3B+all+else+being+equal%3F++%E2%96%BA+Marginal+utility+will+decline.+%E2%96%BA+The+price+of+the+good+will+rise.+%E2%96%BA+Marginal+utility+will+rise.+%E2%96%BA+Expenditure+on+the+good+will+increase.+&source=web&cd=1&cad=rja&ved=0CC0QFjAA&url=http%3A%2F%2Fecon2.econ.iastate.edu%2Fclasses%2Fecon101%2Fmonchuk%2FPractice%2520Exam%2520%25232%2520-%2520compiled.pdf&ei=b36PUfOfFq2O7AbwmYCYDA&usg=AFQjCNHz-MO7J3-I_KlK69nCU6tax0ESoQ&bvm=bv.46340616,d.ZGU

14-Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:
► Indifference curves slope downwards.
► Indifference curves slope upwards.
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

15-If a consumer’s marginal rate of substitution equals 2 eggs for 1 hamburger then:
► The consumer’s indifference curve must be positively sloped.

► The consumer’s indifference curve must be convex with respect to the origin of the graph.
► The ratio of the consumer’s marginal utility of 1 egg to that of 1 hamburger must equal ½.
► All of the given options.

http://www.google.com.pk/url?sa=t&rct=j&q=If+a+consumer%E2%80%99s+marginal+rate+of+substitution+equals+2+eggs+for+1+hamburger+then%3A++%E2%96%BA+The+consumer%E2%80%99s+indifference+curve+must+be+positively+sloped.+%E2%96%BA+The+consumer%E2%80%99s+indifference+curve+must+be+convex+with+respect+to+the+origin+of+the+graph.+%E2%96%BA+The+ratio+of+the+consumer%E2%80%99s+marginal+utility+of+1+egg+to+that+of+1+hamburger+must+equal+%C2%BD.+%E2%96%BA+All+of+the+given+options&source=web&cd=1&cad=rja&ved=0CC0QFjAA&url=http%3A%2F%2Fweb.uvic.ca%2F~okhan%2FSolutions(Midterm).doc&ei=0n6PUcXGHMeL7AbH64CADw&usg=AFQjCNFKNqA1wqVHtIR8-SOOhozXrndl5A&bvm=bv.46340616,d.ZGU

16-An indifference curve is:
► A collection of market baskets that are equally desirable to the consumer.
► A collection of market baskets that the consumer can buy.
► A curve whose elasticity is constant for every price.
► A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.
http://web.uvic.ca/~okhan/Practice%20Question.pdf

17-Increase in pension benefits leads to income and substitution effect which:
► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► Encourage workers to retire earlier.

18-The substitution effect of a wage increase will lead a person to:
► Work more.
► Take more leisure.
► Not change anything.
► None of the given options.

When the wage rate increases, the price of leisure increases. The increase in wage rate causes the worker to spend less time in leisure and more time in work. We call this the **substitution effect** of an increase in the wage rate

19-Which of the following statements about indifference curves is NOT correct?
► Indifference curves are generally negatively sloped.

► Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
► Two indifference curves cannot intersect unless they are identical throughout.
► Two different indifference curves can intersect but only once.

20-The income effect of a price change:
► Is always positive.
► Is always negative.
► May be positive or negative.
► Is associated with a change in nominal income.

Income effect may be positive or negative, since the good may be normal or inferior.

http://www.udel.edu/johnmack/frec444/444lec04.htm

21-When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:
► An inferior good.
► A substitute good.
► An independent good.
► A normal good.
http://web.uvic.ca/~okhan/Practice%20Question.pdf

22-Which of the following statements describes the presence of diminishing returns holding at least one factor constant?
► The marginal product of a factor is positive and rising.
► The marginal product of a factor is positive but falling.
► The marginal product of a factor is falling and negative.
► The marginal product of a factor is constant.

The law of diminishing returns states that as one more unit of a variable factor is added to a given fixed factor, the productivity of that extra unit falls.

http://www.kevinhinde.com/elearning/prod_costs/prod_costmchoice.htm

23-Diminishing marginal returns implies:
► Decreasing marginal costs.
► Increasing marginal costs.
► Decreasing average variable costs.
► Decreasing average fixed costs.

The law of diminishing marginal returns states that as you increase the quantity of a variable factor together with a fixed factor, the returns (in terms of output) become less and less.

24-An isocost line reveals the:
► Cost of inputs needed to produce along an isoquant.
► Cost of inputs needed to produce along an expansion path.
► Input combinations that can be purchased with a given outlay of funds.
► Output combinations that can be produced with a given outlay of funds.
http://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC0QFjAA&url=http%3A%2F%2Fmarriottschool.net%2Femp%2FPJB%2FManEc300%2FMidterm%2520and%2520Key%252004.doc&ei=N4ePUaHTFYWV7AaOiYDIBw&usg=AFQjCNGTeNqlURLfRppem7cAJqWxgjjbWQ&bvm=bv.46340616,d.ZGU

25-Costs determine all of the following EXCEPT:
► Demand for a product.
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

26-If current output is less than the profit-maximizing output then which of the following must be TRUE?
► Total revenue is less than total cost.
► Average revenue is less than average cost.
► Marginal revenue is less than marginal cost.
► Marginal revenue is greater than marginal cost.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw8.pdf

If current output is less than the profit-maximizing output, then the next unit produced
a. will decrease profit.
b. will increase cost more than it increases revenue.
c. will increase revenue more than it increases cost.
d. will increase revenue without increasing cost.
e. may or may not increase profit.

27-In which market structure, each firm produces an identical product and there is freedom of entry and exit?
► Monopoly.
► Oligopoly.
► Perfect competition.
► Monopolistic competition.

http://www.glennvice.com/lahcfall03/econ1/quizzes/1q9.htm

28-For a monopolist, changes in demand will lead to changes in:

► Price with no change in output.
► Output with no change in price.
► Both price and quantity.
► None of the given options.

http://tutor2u.net/economics/content/topics/monopoly/monopoly_profits.htm
A change in demand will cause a change in price, output and profits.

. For a monopolist, changes in demand will lead to changes in

a. price with no change in output.

b. output with no change in price.

c. both price and quantity.

d. any of the above can be true

https://pantherfile.uwm.edu/ssa2/www/Econ301/ch10.htm

29-The maximum price that a consumer is willing to pay for a good is called:
► The reservation price.
► The market price.
► The first-degree price.
► The block price.

30-Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?
► The fact that price exceeds marginal cost.
► Excess capacity.
► Product diversity.
► The fact that long-run average cost is not minimized.

31-Which of the following would most likely shift the production possibilities curve for a nation outward?
► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► An increase in the production of consumer goods.

32-You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:
► The demand for houses has increased.

► The demand curve for houses must be upward-sloping.
► The supply of houses has increased.
► Housing construction costs must be decreasing.

33-If the income elasticity of demand is 1/2, the good is:
► A luxury.
► A normal good (but not a luxury).
► An inferior good.
► A Giffen good.

If income elasticity of demand of a commodity is less than 1, it is a necessity good For normal necessities *(*income elasticity of demand *is* positive but less than 1*)*

34-In monopoly, which of the following is NOT true?
► Products are differentiated.
► There is freedom of entry and exit into the industry in the long run.
► The firm is a price maker.
► There is one main seller.

Restricted or completely blocked

35-The principle economic difference between a competitive and a non-competitive market is:
► The number of firms in the market.
► The extent to which any firm can influence the price of the product.
► The size of the firms in the market.
► The annual sales made by the largest firms in the market.

36-The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.
► The firm's output is a small fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.

https://pantherfile.uwm.edu/ssa2/www/Econ301/ch8.htm

37-The basic difference between oligopoly and monopolistic competition is that.
► Products are differentiated in oligopoly.
► There are no barriers to entry in oligopoly.
► There are barriers to entry in oligopoly.

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► An oligopoly includes downward sloping demand curves facing the firm.

38-Because of unusually warm weather, the supply of strawberries has substantially increased. This statement indicates that:
► The demand for strawberries will necessarily rise.
► The equilibrium quantity of strawberries will fall.
► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.

39- The marginal rate of substitution between food and shelter for a given point on an indifference curve:

► Is equal to the absolute value of the slope of the indifference curve at that point.
► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.
► Reflects the relative values the consumer attaches to the two good.
► Is described, in part, by each of the given statements.

40-Suppose the first four units of an output produced incur corresponding total costs of 100,300, 600, 1000.The marginal cost of the third unit of output is:
► 100.
► 150.
► 200.
► 300.

600-300=300

PAPER#9

Question No: 1
In pure capitalism, the role of government is best described as:
► Significant.
► Extensive.
► Nonexistent.
► Limited.

Question No: 2
Ceteris paribus means:
► Equal access to public transportation.
► Other things being equal.
► Other things not being equal.
► All things considered.

Question No: 3
While moving from left to right, the typical production possibilities curve has:
► An increasingly steep negative slope.
► A decreasingly steep negative slope.
► An increasingly steep positive slope.
► A constant and negative slope.

As resources are typically not perfectly adaptable to production of alternative goods, increased production of one good will require increasing sacrifices of the other

http://highered.mcgraw-hill.com/sites/1113273082/student_view0/chapter1/quiz_1.html

Question No: 4
A market is said to be in equilibrium when:
► Demand equals output.
► There is downward pressure on price.
► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5
A demand curve is price inelastic when:
► Changes in demand are proportionately smaller than changes in price.
► Changes in demand are proportionately greater than changes in price.
► Changes in demand are equal to changes in price.
► None of the given options.

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Question No: 6
Which of the following will be TRUE if demand is inelastic?
► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► An increase in price will increase total revenue.
► None of the given options.

Question No: 7
As more of a good is consumed, then total utility typically:
► Increases at a decreasing rate.
► Decreases as long as marginal utility is negative.
► Decreases as long as marginal utility is positive.
► Is negative as long as marginal utility is decreasing.

Question No: 8
The numerical measurement of a consumer's preference is called:
► Use.
► Pleasure.
► Utility.
► Satisfaction.

Question No: 9
Marginal utility is best described as:
► The total satisfaction gained from the total consumption of the good.
► The change in satisfaction from consuming one additional unit of the good.
► The additional satisfaction gained by consumption of the last good.
► The per unit satisfaction of the good consumed.

Question No: 10
When the marginal utility of a good is zero, this implies that:
► The consumer would not spend any additional income to buy more of that good.
► Consumption of additional units would have positive marginal utility.
► Total utility is minimized.
► Total utility is also zero.

Question No: 11
Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
► Continue to buy the same quantities of pizza and jeans.

► Spend more time consuming pizza.

THE EQUI-MARGINAL PRINCIPLE

In the case of more than two goods, optimum consumption point can be arrived at by using the equimarginal principle. This state that a person will derive a maximum level of TU from consuming a particular bundle of goods when the utility derived from the last dollar spent on each good is the same:

MUa/ Pa = MUb/ Pa = MUc/Pc ……………

Question No: 12
Which of the following is TRUE about price-consumption curve for good X?
► Nominal income falls as the price of X falls.
► The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
► It is always downward sloping for a normal good.
► It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

Question No: 13
A production function:
► Relates inputs with output.
► Generates a curve that is upward sloping.
► Shows diminishing marginal product of an input, since it gets flatter as output rises.
► All of the given options.

Question No: 14 _______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► Economies of scale; constant returns to scale.
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 15
The budget line is the boundary between:
► Preferred and non preferred consumption combinations.
► Affordable and unaffordable consumption combinations.
► Income and expenditure.
► One point on a budget line.
Budget line marks the boundary between affordable and unaffordable.

Question No: 16
Marginal profit is equal to:
► Marginal revenue minus marginal cost

► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 17
Revenue is equal to:
► Price times quantity.
► Price times quantity minus total cost.
► Price times quantity minus average cost.
► Price times quantity minus marginal cost.

Question No: 18
A perfectly competitive firm maximizes profit by finding the level of production at which:
► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 19
When a firm charges each customer the maximum price that the customer is willing to pay, the firm:
► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.

Question No: 20
A market with few entry barriers and with many firms that sell differentiated products is:
► Purely competitive.
► A monopoly.
► Monopolistically competitive
► Oligopolistic.

Question No: 21
The textbook for your class was not produced in a perfectly competitive industry because:
► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price**.**
► Upper-division microeconomics texts are not all alike.
► It is not costless to enter or exit the textbook industry.
► All of the given options.

http://webs.wofford.edu/mcarthurjr/eco_301/quizzes/eco301PQ08.html

Question No: 22
A person with a diminishing marginal utility of income is said to be:
► **Risk averse person**.
► Risk neutral person.
► Risk loving person.
► None of the given options.

Question No: 23
Which of the following is TRUE in a planned economy?
► Goods and services produced reflect consumer sovereignty.
► **Price is relatively unimportant as a means of allocating resources.**
► There is no incentive for people to work hard.
► All income is completely evenly distributed.
http://www.bized.co.uk/learn/economics/qbank/micro.htm

Resource allocation decisions are made by the process of planning and prices change relatively little.

Question No: 24
What is the assumption of constructing a production possibilities curve?
► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► **All available resources are employed efficiently.**
► Production technology is allowed to vary.

Question No: 25

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► **10.**
► 13.
► 20.
► 33.

33-23=10

Question No26
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
► 5Q.
► 5.
► 5 + (200/Q).
► **200.**
TC = FC + VC

Question No: 27

Which of the following is TRUE for the total cost of producing a given level of output?
► It is maximized when a corner solution exists.
► It is minimized when the ratio of marginal product to input price is equal for all inputs.
► It is minimized when the marginal products of all inputs are equal.
► It is minimized when marginal product multiplied by input price is equal for all inputs.

http://faculty.arts.ubc.ca/sseverinov/Econ301/301pracfin.pdf

Question No: 28
"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?
► For monopoly.
► For oligopoly.
► For perfect competition.
► For monopolistic competition.

Question No: 29
Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:
► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 30
If average physical product (APP) is decreasing then which of the following must be true?
► Marginal physical product is more than the average physical product.
► Marginal physical product is less than the average physical product.
► Marginal physical product is decreasing.
► Marginal physical product is increasing.

If the marginal physical product is below the average physical product, the average physical product will fall.

Question No: 31
Which of the following statement describes decreasing returns to scale?
► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
► Increasing inputs by 1/2 leads to an increase in output of 1/6.
► Doubling the inputs used leads to double the output.
► None of the given options.

½=0.5 , 1 /6 = 0.167

¼% =25, 1 /2% = 50

4/100 = 0.04, 1/0.04 =25

Question No: 32
If different firms in the oligoplistic structures do not cooperate with each other is known as
► Collusive oligopoly.
► Cartel.
► Price leadership.
► Non-collusive oligopoly.

Question No: 33
Consumers can make about the rational decision by using:
► Total utility and marginal utility approach.
► Income and consumption analysis.
► Cost and benefit analysis.
► Working hours and leisure time.

Question No: 34
What might be the reason of a rightward shift in the demand curve for product X?
► An increase in income if X is a normal good.
► A decrease in income if X is an inferior good**.**
► An increase in the price of a product that is complementary to X.
► An increase in the price of a product that is substitute to X.

Normal goods are goods whose quantity demanded goes up as consumer income increases. [Increase in income shift demand right ward]
Inferior goods are goods whose quantity demanded goes down as consumer income increases. And quantity demanded goes up as consumer income decrease [decrease in income shift demand to rightward]

Due to increase in price of product that is substitute to X , that product demand decrease due to increase in price now consumer demand X , and demand for X shift rightward.

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PAPER # 10

Question No: 1
Land is best described as:

► Produced factors of production.
► "Organizational" resources.
► Physical and mental abilities of people.
► Naturally occurring resources.

Question No: 2
While moving from left to right, the typical production possibilities curve has:
► A increasingly steep negative slope.
► A decreasingly steep negative slope.
► An increasingly steep positive slope.
► A constant and negative slope.
As resources are typically not perfectly adaptable to production of alternative goods, increased production of one good will require increasing sacrifices of the other

http://highered.mcgraw-hill.com/sites/1113273082/student_view0/chapter1/quiz_1.html
Question No: 3
When government sets the price of a good and that price is above the equilibrium price, the result will be:
► A Surplus of the good
► A shortage of the good.
► An equilibrium.
► None of the given options.

Question No: 4

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► Less ink to be demanded at each price.
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 5
An increase in supply is shown by:
► Shifting the supply curve to the left.
► Shifting the supply curve to the right
► Upward movement along the supply curve.
► Downward movement along the supply curve.

Question No: 6

When an industry's raw material costs increase, other things remaining the same:

► The supply curve shifts to the right.

► Output increases regardless of the market price and the supply curve shifts upward.

► Output decreases and the market price also decrease.

► The supply curve shifts to the left

Question No: 7

Sugar can be refined from sugar beets. When the price of those beets falls:

► The demand curve for sugar would shift right.

► The demand curve for sugar would shift left.

► The supply curve for sugar would shift right

► The supply curve for sugar would shift left.

Question No: 8

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► Price

► Output.

PЄd = Percentage change in Quantity Demanded/Percentage change in Price

Question No: 9

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

► None of the given options.

► The daily supply curve for fish slopes upward.

► The daily supply curve for fish is perfectly inelastic

► The daily supply curve for fish is perfectly elastic.

Question No: 10

In order to calculate the price elasticity of supply, you need to know:

► The Prices and two quantities supplied

► The slope of the supply curve.

► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 11
Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.
► 100
► 150.
► 200.

150- 50 =100

Question No: 12
Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► Negative
► Positive.

Question No: 13
Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.
► 14
► 83.
► 97.

97- 83 = 14

Question No: 14
Suppose that the price of a pizza is $10 and price of jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:

► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
► Continue to buy the same quantities of pizza and jeans.
► Spend more time consuming pizza.

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Question No: 15
Which of the following is NOT an assumption of ordinal utility analysis?

► Consumers are consistent in their preferences.
► **Consumers can measure the total utility received from any given basket of good.**
► Consumers are non-satiated with respect to the goods they confront.

► All of the given options are true

http://web.uvic.ca/~okhan/Practice%20Question.pdf

Question No: 16
Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.
► **Decrease hours of work**
► Not change hours of work.
► None of the given options.

Question No: 17
Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► **Economies of scale.**
► Diseconomies of scale.
► Decreasing returns to the labor inputs.
► Increasing returns to the labor inputs.

Question No: 18
A graph showing all the combinations of capital and labour available for a given total cost is the:
► Budget constraint.
► Expenditure set.
► Isoquant.
► **Isocost**

Question No: 19
An isoquant curve shows:

► All the alternative combinations of two input that yield the same maximum total output.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw6.pdf

Isoquant:

Isoquant is a concept used in production it indicates various combinations of two factors of production for example labor and capital which give the same level of output per unit of time

An isoquant represents different combinations of factors of production that a firm can employ to produce the same level of output.

COMBINATIONS	UNITS OF CAPITAL	UNITS OF LABOUR	TOTAL OUTPUT
A	50	1	1500
B	45	2	1500
C	41	3	1500
D	38	4	1500

Isocost

Isocost curve shows the various combinations of L and K, each of which costs the producer the same amount of money.

Question No: 20

L-shaped isoquant:

► Indicate that capital and labor cannot be substituted for each other in production

► Is impossible.

► Indicate that the firm could switch from one output to another costlessly.

► Indicate that the firm could not switch from one output to another.

http://homepage.ntu.edu.tw/~chensyu/micro2008/hw6.pdf

Question No: 21

Costs determine all of the following EXCEPT:

► Demand for a product

► Firm's behaviour.

► How firms should expand?

► Firm's profitability.

Question No: 22
Total costs are the sum of:
- ► Marginal costs and variable costs.
- **► Fixed costs and variable costs.**
- ► Fixed costs and marginal costs.
- ► Average variable costs and marginal costs.

Question No: 23
To find the profit maximizing level of output, a firm finds the output level where:
- ► Price equals marginal cost.
- ► Marginal revenue and average total cost.
- ► Price equals marginal revenue.
- **►None of the given option.**

Question No: 24
The good produced by a monopoly:

- ► Has perfect substitutes.
- ► Has no substitutes at all.
- **► Has no close substitutes.**
- ► Can be easily duplicated.

A monopoly or a firm within monopolistic competition that has the power to influence the price it charges as the good it produces does not have perfect substitutes

http://www.glennvice.com/lahcfall03/econ1/quizzes/1q9.htm

Question No: 25
A perfectly competitive firm maximizes profit by finding the level of production at which:

- **► Price = Marginal Cost.**
- ► Price = Average Total Cost.
- ► Average Total Cost = Marginal Cost.
- ► Price < Marginal Cost.

Perfectly competitive firm's economic profit is maximized at the output level such that marginal revenue equals marginal cost.
Perfect competitive firm chooses its profit maximizing output level by setting marginal cost equal to the market pirce.

Question No: 26

The monopolist has no supply curve because:

► **The quantity supplied at any particular price depends on the monopolist's demand curve**

► The monopolist's marginal cost curve changes considerably over time.

► The relationship between price and quantity depends on both marginal cost and average cost.

► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► The monopolist is maximizing profit.

► The monopolist is not maximizing profit and should increase output.

► **The monopolist is not maximizing profit and should decrease output**.

► The monopolist is earning a positive profit.

Question No: 28

Following are the disadvantages of monopoly EXCEPT:

► Monopolists earn higher profits.

► **Monopolists produce high quality goods at higher prices**

► Most of the "surplus" (producer + consumer surplus) accrues to monopolists.

► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.

► Charges the average reservation price.

► Engages in second-degree price discrimination.

► **Engages in first-degree price discrimination.**

Question No: 30

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.

► Charging lower prices the greater the quantity purchased.

► The use of increasing block rate pricing.

► **Charging different prices to different groups based upon differences in elasticity of demand**

Question No: 31

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.
► The demand curve is tangent to average cost curve.
► The marginal cost curve is tangent to average cost curve.
► The demand curve is tangent to marginal revenue curve.

http://books.google.com.pk/books?id=Zqap9Ih7Li0C&pg=PA231&lpg=PA231&dq=long+run+equilibrium+for+a+firm+in+a+monopolistic+competitive+demand+curve+is+tangent+to+average+cost+curve&source=bl&ots=jSonBQLaA-&sig=aChg_zXg8l4gIBPumeyewfdM680&hl=en&sa=X&ei=1ayPUYWUEu-P7Abqx4Ew&ved=0CDEQ6AEwAQ#v=onepage&q=long%20run%20equilibrium%20for%20a%20firm%20in%20a%20monopolistic%20competitive%20demand%20curve%20is%20tangent%20to%20average%20cost%20curve&f=false
In the long run, equilibrium *of a* monopolistically competitive industry, the **...** The typical firm's demand curve *is just* tangent *to its* average *total* cost curve

Question No: 32
Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.
► An increase in the production of capital goods.
► A reduction in discrimination.
► A increase in the production of consumer goods.

Question No: 33
A demand schedule is best described as:

► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus
► A graphical representation of the law of demand.
► A systematic listing of all the variables that might conceivably bring about a change in demand.
► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 34
A partial explanation for the inverse relationship between price and quantity demanded is that a:

► Lower price shifts the supply curve to the left.
► Higher price shifts the demand curve to the left.
► Lower price shifts the supply curve to the right
► Higher price reduces the real incomes of buyers.

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The demand curve is the relationship between price and quantity demanded, all else equal. A change in price changes quantity demanded, but does not shift the demand curve. One explanation for the inverse relationship between price and quantity demanded along the curve is that a higher price reduces the purchasing power of buyers' incomes. For normal goods, this drop in purchasing power will reduce desired purchases.

Question No: 35

The total utility curve for a risk neutral person will be:

- ► **Straight line**
- ► Convex.
- ► Concave.
- ► None of the given options.

The total utility curve for a risk neutral person will be a straight line while that of a risk averse person will be convex. The greater the convexity (curvature) the more risk averse the person will be.

Question No: 36

A welfare loss occurs in monopoly where:

- ► **The price is greater than the marginal cost**.
- ► The price is greater than the marginal benefit
- ► The price is greater than the average revenue.
- ► The price is greater than the marginal revenue.

http://global.oup.com/uk/orc/busecon/economics/gillespie_econ2e/01student/mcqs/unit12/

A welfare loss occurs in monopoly where the price is greater than the marginal cost.

The marginal revenue curve in monopoly lies below and diverges from the demand curve
A monopolist faces: a monopolist faces a downward sloping demand curve

In monopoly in long run equilibrium:
The firm is productively efficient
The firm is allocatively inefficient
The firm produces where marginal cost is less than marginal revenue
The firm produces at the socially optimal level

Question No: 37

Which of the following is NOT a factor of production?

- ► Labour.
- ► Land.
- ► Capital.
- ► **Investment**

Question No: 38

Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.
► **The study of the economic behavior of individual decision making units such as consumers, resource owners, and business firms**
► The study of the cause of unemployment.
► The study of the cause of inflation.

Question No: 39
Demand is elastic when the elasticity of demand is:
► Greater than 0 but less than 1.
► **Greater than 1**
► Less than 0.
► Equal to 1.

Elasticity > one : elastic demand

EXTRA

1- A perfectly competitive firm's economic profit is maximized at the output level such that
A) Marginal revenue equals marginal cost.
B) Total revenue equals total variable cost.
C) Marginal revenue is equal to total revenue.
D) Total revenue equals total cost and marginal cost.

2- In the short run, a perfectly competitive firm might
A) Set its price above marginal cost.
B) Set its price above marginal revenue.
C) continue production even though it is incurring an economic loss.
D) Adjust the size of its fixed inputs.

3-Which of the following is a short-run decision for a firm?
A) Whether to increase or decrease its number of machines
B) Whether to produce or shut down
C) Whether to enter or exit an industry
D) None of the above are short-run decisions.

4-A nation's production possibilities curve might shift to the left (inward) as a result of:
Technological advancement
Increase in the size of the labor force
The depletion of its soil fertility due to over planting and overgrazing
Investing in more capital goods.

5-Government authorities have managed to reduce the unemployment rate from 6% to 4% in a hypothetical economy. As a result:

a. the economy's production possibilities curve has shifted outward

b. the economy has moved downward along its production possibilities curve

c. the economy has moved from a point inside to a point closer to its production possibilities curve

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d. the economy's production possibilities curve has become steeper

If the economy were to reduce its unemployment it would come closer to reaching its existing productive capacity. The economy would thus be operating closer to its given production possibilities frontier

6- Which of following is a key assumption of a perfectly competitive market?
a. Firms can influence market price
b. Commodities have few sellers
c. It is difficult for new sellers to enter the market.
d. Each seller has a very small share of the market.

7- The "perfect information" assumption of perfect competition includes all of the following except one. Which one?
a. Consumers know their preferences.
b. Consumers know their income levels.
c. Consumers know the prices available.
d. Consumers can anticipate price changes.
e. Firms know their costs, prices and technology.

8-If current output is less than the profit-maximizing output, then the next unit produced
a. will decrease profit.
b. will increase cost more than it increases revenue.
c. will increase revenue more than it increases cost.
d. will increase revenue without increasing cost.
e. may or may not increase profit.

9-If current output is less than the profit-maximizing output, which must be true?
a. Total revenue is less than total cost.
b. Average revenue is less than average cost.
c. Average revenue is greater than average cost.
d. Marginal revenue is less than marginal cost.
e. Marginal revenue is greater than marginal cost

10-A firm never operates
a. at the minimum of its ATC curve.
b. at the minimum of its AVC curve.
c. on the downward-sloping portion of its ATC curve.
d. on the downward-sloping portion of its AVC curve.

11-The supply curve for a competitive firm is
a. its entire MC curve.
b. the upward-sloping portion of its MC curve.

c. its MC curve above the minimum point of the AVC curve.
d. its MC curve above the minimum point of the ATC curve.
.

12-A firm's producer surplus equals its economic profit when
a. average variable costs are minimized.
b. average fixed costs are minimized.
c. marginal costs equal marginal revenue.
d. fixed costs are zero.

13-If the market price for a competitive firm's output doubles then
a. the profit maximizing output will double
b. the marginal revenue doubles
c. at the new profit maximizing output, price has increased more than marginal cost
d. at the new profit maximizing output, price has risen more than marginal revenue

14-The demand curve facing a perfectly competitive firm is
a. the same as the market demand curve.
b. downward-sloping and less flat than the market demand curve.
c. downward-sloping and more flat than the market demand curve.
d. perfectly horizontal.

15-At the profit-maximizing level of output, marginal profit
a. is also maximized.
b. is zero.
c. is positive.
d. is increasing.

16-Marginal profit is equal to

a. marginal revenue minus marginal cost.
b. marginal revenue plus marginal cost.
c. marginal cost minus marginal revenue.
d. marginal revenue times marginal cost.

17-Which of the following statements is true regarding the differences between economic and accounting costs?
a. Accounting costs include all implicit and explicit costs.
b. Economic costs include implied costs only.
c. Accountants consider only implicit costs when calculating costs.
d. Accounting costs include only explicit costs.

18-Prospective sunk costs

a. are relevant to economic decision-making.
b. are considered as investment decisions.
c. rise as output rises.
d. do not occur when output equals zero.

19-Incremental cost is the same concept as ______________ cost.
a. average
b. marginal
c. fixed
d. variable

20-Which of the following costs always declines as output increases?
a. average cost
b. marginal cost
c. fixed cost
d. average fixed cost
e. average variable cost

21-The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?
a. 200
b. 5Q
c. 5
d. 5 + (200/Q)
e. none of the above

22-When an isocost line is just tangent to an isoquant, we know that

a. output is being produced at minimum cost.
b. output is not being produced at minimum cost.
c. the two products are being produced at the least input cost to the firm.
d. the two products are being produced at the highest input cost to the firm

23-The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average fixed cost?
a. 500
b. 5Q
c. 5
d. none of the above

AFC = TFC/Q

24-The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?
a. 500
b. 5Q
c. 5
d. 5 + (200/Q)

25-The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the marginal cost?
a. 200
b. 5Q
c. 5
d. 5 + (200/Q)

26-The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the fixed cost?
a. 200
b. 5Q
c. 5
d. 5 + (200/Q)

27-Which of the following is a positive statement?
a. Intermediate microeconomics should be required of all economics majors to build a solid foundation in economic theory.
b. The minimum wage should not be increased because this action would increase unemployment
c. Smoking should be restricted on all airline flights.
d. All automobile passengers should be required to wear seatbelts in order to protect them against injury.
e. None of the above.

28-Which of the following is a positive statement?

- When the price of a good goes up, consumer buy less of it
- When the price of good goes up, firms produce more of it
- When the federal government sells bonds, interest rates rise and private investment is reduce

- **All of the above**

29-The key assumption underlying the theory of the firm is that

A firm is assumed to maximize sales revenue

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Managers are assumed to maximize the number of employees in their department

Firm are assumed to maximize profit

None of the above

30-The slope of an indifference curve reveals

Those preferences are complete

The marginal rate of substitution of one good for another good

The ratio of market prices

That preference is transitive

31-__________ question have to do with explanation and prediction, _______ question have to with what ought to be.

Positive, negative

Negative, normative

Affirmative, positive

Positive ,normative

32-Which of the following inputs are variable in the long run

Labor

Capital and equipment

Plant size

All of the given

33-The negative slope of the production possibilities curve illustrates that:

Some resources are always unemployed

An economy can produce more of one thing only by producing less of something else

Opportunity costs are constant

Business can sell more when prices are low

Each point on the production possibilities curve represents some maximum output of the two goods—the economy has achieved maximum production of one good for a given amount of the other. Increased production of any good requires sacrificing some of the other; the production possibilities curve will exhibit an inverse relationship between the two goods

34-Microeconomics:

Is particularly subject to the "fallacy of composition"

Is concerned with the economy as a whole

Studies how supply and demand determine prices in individual markets

Describes the aggregate flows of output and income

35-The scarcity problem:

Can be eliminated if all countries adopt laissez-faire capitalism

Will persist so long as productive resources are limited

Persists only in the developing countries

Will be eliminated if full employment is achieved

Feedback: The problem of scarcity arises because resources are limited relative to human wants. This condition will persist because our productive resources are limited while our wants are without limit

36-You should decide to study an extra hour tonight

If the marginal cost of studying an extra hour exceeds its marginal benefit

If the marginal benefit of studying an extra hour exceeds its marginal cost

If you got a lower than expected grade on your last exam

Because studying harder will improve your test scores

Feedback: Purposeful behavior in the face of scarcity entails comparing marginal benefit to marginal cost. Any activity whose marginal benefit exceeds its marginal cost should be expanded

https://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC8QFjAA&url=http%3A%2F%2Ffbemoodle.emu.edu.tr%2Fmod%2Fresource%2Fview.php%3Fid%3D11343&ei=IQ6OUcmfEKHE7Ablu4Fg&usg=AFQjCNEPDOHa7Ldjrh8ANFioNbzdJyc-_g&sig2=ZWuuOoZztZKlIMMAhBT3Uw&bvm=bv.46340616,d.ZGU

37-A market with few entry barriers and with many firms that sell differentiated products is

A) Purely competitive.
B) A monopoly.
C) Monopolistically competitive.
D) oligopolistic.

38-Monopolistically competitive firms have monopoly power because they

A) Face downward sloping demand curves.
B) Are great in number.
C) Have freedom of entry.
D) Are free to advertise.

39-A monopolistically competitive firm in long-run equilibrium:
A) Will make negative profit.
B) Will make zero profit.
C) Will make positive profit.
D) Any of the above are possible.

40-Which of the following is true for both perfect and monopolistic competition?
A) Firms produce a differentiated product.
B) Firms face a downward sloping demand curve.
C) Firms produce a homogeneous product.
D) There is freedom of entry and exit in the long run.

41-Which of the following is true for both perfectly competitive and monopolistically competitive firms in the long run?
A) P = MC.
B) MC = ATC.
C) P > MR.
D) Profit equals zero.

42-Which of the following is true in long-run equilibrium for a firm in monopolistic competition?
A) MC = ATC.
B) MC > ATC.
C) MC < ATC.
D) Any of the above may be true.

43-The market structure in which strategic considerations are most important is
A) Monopolistic competition.
B) oligopoly.
C) pure competition.
D) pure monopoly.

44-If a firm in a perfectly competitive market suffers an economic loss,
A) Price is less than its marginal cost.
B) Price is less than its marginal revenue.
C) Price is less than its average total cost.
D) None of the above

45-A monopoly may arise due to:
A) A patent
B) Net work externalities.
C) Large economies of scale
D) all of the above.

46-When drawing demand and supply curves, economists are assuming that the primary influence on production and purchasing decisions is

Price

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The cost of production

The overall state of the economy

Consumer incomes

Although there are many determinants of quantity demanded and quantity supplied, the demand and supply curves show the relationship between price and quantity, all other factors held constant. The primary factor is assumed to be the price

47-An improvement in production technology for a specific good will cause

Increase in demand and an increase in price

Increase in demand and a drop in price

Drop in price and increase in quantity demanded

Increase in supply and an increase in price

The improved technology will increase the supply of the product, thereby lowering the price and increasing the quantity demanded

48-When an economist says that the demand for a product has increased, this means that

Quantity demanded is greater at each possible price
Firms make less of the product available for sale
Consumers respond to a lower price by buying more
The demand curve becomes steeper

Demand is defined as the relationship between price and quantity demanded, all else equal. An "increase in demand" occurs if this relationship exhibits greater quantity demanded at each possible price

4-9-Decrease in the price of a product will increase the amount of it demanded because

Supply curves are up sloping

The lower price will decrease real incomes

The lower price induces consumers to use this product instead of similar products

Firms produce more at lower prices

A lower price makes this product a more desirable alternative relative to other similar products whose prices have not changed. This is the "substitution effect**.**

50-Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases

The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

The increased supply of X will decrease its price, increasing the demand for complementary good Y and decreasing the demand for substitute good Z.

51- **Which of the following definitions is correct?**

A. Accounting profit + economic profit = normal profit.

B. Economic profit - accounting profit = explicit costs.

C. Economic profit = accounting profit - implicit costs.

D. Economic profit - implicit costs = accounting profits.

52- **Diseconomies of scale:**
A. pertains to the long run.
B. is synonymous with diminishing returns.
C. pertains to the short run.
D. is synonymous with increasing returns.

53-Other things equal, if the fixed costs of a firm were to increase by $100,000 per year, which of the following would happen?
A. Marginal costs and average variable costs would both rise.
B. Average fixed costs and average variable costs would rise.
C. Average fixed costs and average total costs would rise.
D. Average fixed costs would rise, but marginal costs would fall.

54-The short-run average total cost curve is U-shaped because:
A. average fixed costs decline continuously as output increases.

B. of increasing and diminishing returns.
C. of economies and diseconomies of scale.
D. minimum efficient scale is encountered.

55-Which of the following will not shift a country's production possibilities frontier outward?
An advance in technology
An increase in the labour force
An increase in the capital stock
A reduction in unemployment

56-Which of the following is part of the opportunity cost of going on holiday?
The money you spent on a theatre show
The money you could have made if you had stayed at home and worked
The money you spent on airline tickets
The money you spent on food

57-Economic growth is depicted by
A shift in the production possibilities frontier outward
A movement from inside the curve toward the curve
A shift in the production possibilities frontier inward
A movement along a production possibilities frontier toward capital goods

58-What is meant by allocative efficiency?

Getting the right goods to the right people at the right price
Producing using the optimum factor combination
Ensuring that sufficient is spent on research and development to ensure the development of new goods and service
Giving appropriate incentives for firms and consumers

59-Which of the following goods or services would not be provided by a pure free-market economy?
Public transport system
Pensions
National Defense
Education

60-A rational person does not act unless
The action produces marginal costs that exceed marginal benefits
The action produces marginal benefits that exceed marginal costs
The action makes money for the person
None of these answers

61-Which of the following statements would you consider to be a normative one?

Faster economic growth should result if an economy has a higher level of investment
Changing the level of interest rates is a better way of managing the economy than using taxation and government expenditure
Higher levels of unemployment will lead to higher levels of inflation

The average level of growth in the economy was faster in the 1990s than the 1980s

62-Obtaining the highest value from available resources at the lowest possible cost refers to:

A. **Economic Efficiency**
B. Economic Equity
C. Economic Freedom
D. Economic Security

63-When the Marginal Utility perceived by a consumers is "Zero", then the total utility is:

A. Minimum
B. **Maximum**
C. Medium
D. Not defined

64-When the Price Elasticity of a good is greater than 1, it is said that:

A. **A 1% increase in price will cause a reduction in demand of more than 1%**
B. A 1% increase in price will cause a reduction in demand of less than 1%
C. A 1% increase in price will cause a increase in demand of more than 1%
D. Both B and C

65-Which of the following is regarded as a general determinant of price elasticity of demand?

A. Nature of the Good (luxury versus necessity)
B. Availability of Close Substitutes
C. Share of Consumer's Budget and Passage of Time
D. **All of the above**

66- Price ceiling

Is set below market equilibrium levels and results in a surplus.

Is set above market equilibrium levels and results in a surplus.

Is set below market equilibrium levels and results in a shortage.

Is set above market equilibrium levels and results in a surplus.

67-A price floor

Is set below market equilibrium levels and results in a surplus.

Is set above market equilibrium levels and results in a surplus.

Is set below market equilibrium levels and results in a shortage.

Is set above market equilibrium levels and results in a surplus.

68-If price elasticity of demand in the use of public transportation is approximately 3.5, this means that:

A. If we increase the bus fare by one percent, demand would fall by 3.5%
B. If we increase the bus fare by one percent, demand would rise by 3.5%
C. If we reduce the bus fare by one percent, demand would rise by 3.5%
D. **A and C**

69-______ is the extra value that consumers receive above what they pay for that good.

Producer surplus

Utility

Marginal utility

Consumer surplus

70-If goods X and Y are substitutes, an increase in the price of Y will cause _______ in the demand for good X.
An increase
A decrease
No change
An inversion

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71-Which of the following groups of goods are complements?

Steak and steak sauce
Gasoline and cars
CD-ROM's and computers
All of the above

72-**The income effect explains that when the price of a good increases, consumers will consume**

Less of the more expensive good and more of some other good.
More of the more expensive good and less of some other good.
More of the good because their real incomes are lower after the price increase.
less of the good because their real incomes are lower after the price increase.

The income effect explains that when the price of a good increases, consumers will consume less of the good because their real incomes are lower after the price increase

73-The substitution effect explains that when the price of a good increases, consumers will consume
Less of the more expensive good and more of some other good.
More of the more expensive good and less of some other good.
More of the good because their real incomes are lower after the price increase.
Less of the good because their real incomes are lower after the price increase.

The substitution effect explains why when the price of a good increases, consumers will consume less of the more expensive good and more of some other good

74-The demand curve generally slopes downward because:
A higher price increases the consumer's desired level of consumption.
A higher price decreases the consumer's desired level of consumption.
That’s just the way that it is.
None of the above.

75-The law of diminishing marginal utility states:
The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the above.

76-An upward sloping indifference curve defined over two goods violates which of the following assumptions from the theory of consumer behavior?
(a) Transitivity.
(b) Preferences are complete.
(c) More is preferred to less.
(d) all of the above.

77-Indifference curves are convex to the origin because of:
(a) Transitivity of consumer preferences.
(b) The assumption of a diminishing marginal rate of substitution.
(c) The assumption that more is preferred to less.
(d) The assumption of completeness..

78-If a profit-maximizing firm marginal revenue is greater than its marginal cost, the firm
(a) Must be making economic profit
(b) Will decrease its output
(c) Will increase its output
(d) Must be experiencing economic loses

79-A perfect competitive firm will produce output in the short run even if it makes losses, i.e., even if P < ATC because
(a) As long as P _ MC, the .firm can still operate as it is losing its fixed cost.
(b) As long as P _ AV C, the firm can still operate as it can minimizes its losses.
(c) If P < ATC, there is accounting profits
(d) Fixed costs are avoidable in the short run.

80-Economic costs of an input include
A) Only implicit costs.
B) Only explicit costs.
C) Both implicit and explicit costs.
D) Whatever management wishes to report the shareholders.

81-Which of the following best describes an inferior good?
A good for which price and quantity demanded are directly related
A good for which price and quantity demanded are inversely related
A good for which income and quantity demanded are directly related
A good for which income and quantity demanded are inversely related

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82-A leftward shift in the demand curve for product E might be caused by
A decrease in income if E is an inferior good
An increase in income if E is a normal good
An increase in the price of a product that is a close substitute for E
An increase in the price of a product that is complementary to E

83-At the equilibrium price:
There will be a shortage
There will be neither a shortage nor a surplus
There will be a surplus
There are forces that cause the price to change

84-If consumer incomes increase, the demand for product Y
Will necessarily remain unchanged
Will shift to the right if Y is a complementary good
Will shift to the right if Y is a normal good
Will shift to the right if Y is an inferior good

85-If the supply of a product decreases and the demand for that product simultaneously increases, then equilibrium
Price must rise
Price must fall
Quantity must rise
Quantity must fall

86-When an economist says that the demand for a product has increased, this means that:
Quantity demanded is greater at each possible price
Firms make less of the product available for sale
Consumers respond to a lower price by buying more
The demand curve becomes steeper

87-Which of the following is true at the output level where P=MC?

The monopolist is maximizing profit.
The monopolist is not maximizing profit and should increase output.
The monopolist is not maximizing profit and should decrease output.
The monopolist is earning a positive profit.

88-As the manager of a firm you calculate the marginal revenue is $152 and marginal cost is $200. You should

Expand output.
Do nothing without information about your fixed costs.
Reduce output until marginal revenue equals marginal cost.
Expand output until marginal revenue equals zero.
Reduce output beyond the level where marginal revenue equals zero

89-Monopoly power results from the ability to

Set price equal to marginal cost.
Equate marginal cost to marginal revenue.
Set price above average variable cost.
Set price above marginal cost.

90-Which of the following is NOT true regarding monopoly?

Monopoly is the sole producer in the market.
Monopoly price is determined from the demand curve.
Monopolist can charge as high a price as it likes.
Monopoly demand curve is downward sloping.

91- In long-run equilibrium, the perfectly competitive firm produces:
Where P=MC=AC.
At the lowest point on its long-run average cost curve.
Where its long-run average cost curve is tangent to its horizontal demand curve.
At a level of output such that all of the above are true.

92- Pure monopoly:
Is characterized by a single supplier.
Is a market structure in which there are no close substitute products available.
Exists when entry and survival of potential competitors is extremely unlikely.
Is characterized by all of the above.

93-All the following shift the demand curve for automobiles to the right except:

The local factory gives a big raise to its employees
A brand new automobile dealership opens in town.
The price of gasoline falls.
None of the Above

94- If the cost of computer components falls,
The demand curve for computers shifts to the left.
Then the demand curve for computers shifts to the right
The supply curve for computers shifts to the right
The supply curve for computers shifts to the left

95-The law of diminishing returns refers to diminishing
a. total returns.
b. marginal returns.
c. average returns.
d. all of these.

96-The slope of the total product curve is the
a. average product.
b. slope of a line from the origin to the point.
c. marginal product.
d. marginal rate of technical substitution.

97-An upward sloping isoquant
a. can be derived from a production function with one input
b. can be derived from a production function that uses more than one input where reductions in
the use of any input always reduces output
c. cannot be derived from a production function when a firm is assumed to maximize profits
d. can be derived whenever one input to production is available at zero cost to the firm
e. none of the above

98-The short run is
a. less than a year.
b. three years.
c. however long it takes to produce the planned output.
d. a time period in which at least one input is fixed.
e. a time period in which at least one set of outputs has been decided upon

99-A production function defines the output that can be produced
a. at the lowest cost, given the inputs available.
b. with the fewest amount of inputs.
c. if the firm is technically efficient.
d. in a given time period if no additional inputs are hired.
e. as technology changes over time.

100-A function that indicates the maximum output per unit of time that a firm can produce, for every combination of inputs with a given technology, is called
a. an isoquant.
b. a production possibility curve.
c. a production function.
d. an isocost function.

101-The marginal product of an input is
a. total product divided by the amount of the input used to produce this amount of output.
b. the addition to total output that adds nothing to total revenue.
c. the addition to total output that adds nothing to profit.
d. the addition to total output due to the addition of one unit of all other inputs.
e. the addition to total output due to the addition of the last unit of an input, holding all other inputs constant.

102-The law of diminishing returns assumes that
a. there is at least one fixed input.
b. all inputs are changed by the same percentage.
c. additional inputs are added in smaller and smaller increments.
d. all inputs are held constant.

103-According to the law of diminishing returns
a. the total product of an input will eventually be negative.
b. the total product of an input will eventually decline.
c. the marginal product of an input will eventually be negative.
d. the marginal product of an input will eventually decline.

104-The law of diminishing returns applies to
a. the short run only.
b. the long run only.
c. both the short and the long run.
d. neither the short nor the long run.

105-A straight-line isoquant
a. is impossible.
b. would indicate that the firm could switch from one output to another costlessly.
c. would indicate that the firm could not switch from one output to another.
d. would indicate that capital and labor cannot be substituted for each other in production.
e. would indicate that capital and labor are perfect substitutes in production.

106-An L-shaped isoquant
a. is impossible.
b. would indicate that the firm could switch from one output to another costlessly.
c. would indicate that the firm could not switch from one output to another.
d. would indicate that capital and labor cannot be substituted for each other in production.
e. would indicate that capital and labor are perfect substitutes in production.

107-A production function in which the inputs are perfectly substitutable would have isoquants that are
a. convex to the origin.
b. L-shaped.
c. linear.
d. concave to the origin.

108-Which would not increase the productivity of labor?
a. An increase in the size of the labor force.
b. An increase in the quality of capital.
c. An increase in the quantity of capital.
d. An increase in technology.
e. An increase in the efficiency of energy.

109-Elasticity of demand is zero if the consumer demand curve is

Stable
Horizontal
Upward-sloping
Vertical

110-A commodity with a positive income elasticity implies that the commodity

Requires complementary goods
Has no substitutes
Is an inferior good
Is a normal good

111-The demand for college education is
Elastic because of the choices available between public and private universities
Perfectly inelastic because you've got to get a college degree
Inelastic because there is not much choice available
All of the above

112-If elasticity of demand for golf clubs is unit elastic then
A 5 percent subsidy will cause sales to decline by 15 percent

A 10 percent increase in sale tax will decrease demand by 10 percent
Golf clubs will always be demand at all prices
A 5 percent increase in sales tax will cause the sales to decrease by 1 percent

113-Consider two commodities X and Y if the cross elasticity of demand is positive it mean the goods are
Inferior
Complements
Substitutes
Independent

114-The consumer of apple juice will pay the entire portion of a 10 percent specific tax if
A demand is perfectly elastic
Supply in inelastic
Demand is perfectly inelastic
Both A and B

1. When a firm has decreasing average costs over the entire range of market demand it is:
   A) a natural monopoly.
   B) an oligopoly.
   C) rent seeking.
   D) in a contestable market.

Answer: A

2) To maximize profit, an unregulated natural monopoly will produce at a level where:
   A) marginal revenue is greater than marginal cost.
   B) marginal revenue is greater than average revenue.
   C) marginal revenue is less than marginal cost.
   D) marginal revenue is equal to marginal cost.

Answer: D

12) A firm charges a price below its average total cost so that it drives out its competition. This is an example of:
   A) a tie-in sales.
   B) duopoly pricing.
   C) price discrimination.
   D) predatory pricing.

Answer: D

66) Other things being equal, as the diminishing marginal returns begin to occur, the marginal revenue product of labor:

A) decreases as more workers are used.

B) increases as more workers are used.

C) remains unchanged as more workers are used.

D) none of the above

Answer: A

65) The marginal product of labor is the:

A) change in labor necessary to produce an additional unit of output.

B) cost of additional labor necessary to produce an additional unit of output.

C) change in output resulting from adding an additional unit of labor.

D) change in revenue resulting from adding an additional unit of labor.

Answer: C

115-The income effect of a price change
a. is always positive.
b. is always negative.
c. may be positive or negative.
d. is associated with a change in nominal income.
e. is caused by changes in consumer tastes

116- If a good is normal, then the demand curve for that good must be
a. downward sloping.
b. upward sloping.
c. perfectly elastic.
d. completely inelastic.

117-When the substitution effect of a lowered price is counteracted by the income effect, the good in question is
a. an inferior good.
b. a substitute good.
c. an independent good.
d. a normal good.

118-If MUx/Px exceeds MUy/Py, then the consumer should
a. consume more of good X and less of good Y

b. consume less of good X and more of good Y
c. consume less of both goods X and Y
d. not change the consumption levels of X and Y

119-An increase in the price of a loaf of bread will
b. reduce the minimum number of loaves any individual consumer can purchase
c. increase the minimum number of loaves any individual consumer can purchase
d. increase the maximum number of loaves any individual consumer can purchase
e. reduce the maximum number of loaves any individual consumer can purchase

120-Which of the following formulas is *not* correct?
a. ATC = AVC + (TFC/Q)
b. TVC = TC/Q
c. TC = TFC + TVC
d. AFC = TFC/Q
e. TVC = AVC $\times$ Q

121-The market demand curve is
b. a relationship between total income and total quantity demanded
c. the horizontal sum of the individual demand curves of all consumers in the market
d. the vertical sum of the individual demand curves of all consumers in the market
e. the sum of the prices paid at each quantity demanded

122-Among all the combinations of goods attainable by a consumer, the one that maximizes total utility is the one that
a. maximizes the marginal utilities per dollar of each good.
b. maximizes the marginal utilities per pound (or other physical unit) of each good.
c. equates the marginal utilities per dollar of each good.
d. equates the marginal utilities per pound (or other physical unit) of each good.

123-An elasticity coefficient of -1 means that
a. the demand curve is perfectly inelastic.
b. the demand curve is perfectly elastic.
c. the relative changes in price and quantity are equal.
d. expenditures on the good would increase if prices were reduced.

124-The most important determinant of price elasticity is
a. the slope of the demand curve.
b. the availability of substitutes.
c. the price of other goods.
d. the income of the consumer.

125-The demand curve facing a perfectly competitive firm is
a. the same as the market demand curve.
b. downward-sloping and less flat than the market demand curve.
c. downward-sloping and more flat than the market demand curve.
d. perfectly horizontal.

126-If the market price for a competitive firm's output doubles then
a. the profit maximizing output will double
b. the marginal revenue doubles
c. at the new profit maximizing output, price has increased more than marginal cost
d. at the new profit maximizing output, price has risen more than marginal revenue

127-If price is between AVC and ATC, the best and most practical thing for a perfectly competitive firm to do is
a. raise prices.
b. lower prices to gain revenue from extra volume.
c. shut down immediately, but not liquidate the business.
d. continue operating, but plan to go out of business.

128-An improvement in technology would result in
a. upward shifts of MC and reductions in output.
b. upward shifts of MC and increases in output.
c. downward shifts of MC and reductions in output.
d. downward shifts of MC and increases in output.

129-The supply curve for a competitive firm is
a. its entire MC curve.
b. the upward-sloping portion of its MC curve.
c. its MC curve above the minimum point of the AVC curve.
d. its MC curve above the minimum point of the ATC curve

130- firm never operates
a. at the minimum of its ATC curve.
b. at the minimum of its AVC curve.
c. on the downward-sloping portion of its ATC curve.
d. on the downward-sloping portion of its AVC curve.

131-If a competitive firm's marginal cost curve is U-shaped then
a. its short run supply curve is the downward-sloping portion of the marginal cost curve
b. its short run supply curve is the upward-sloping portion of the marginal cost curve
c. its short run supply curve is the upward-sloping portion of the marginal cost curve that lies above the short run average variable cost curve
d. its short run supply curve is the upward-sloping portion of the marginal cost curve that lies above the short run average total cost curve

132-If current output is less than the profit-maximizing output, which must be true?
a. Total revenue is less than total cost.
b. Average revenue is less than average cost.
c. Average revenue is greater than average cost.
d. Marginal revenue is less than marginal cost.
e. Marginal revenue is greater than marginal cost.

133-Which of following is a key assumption of a perfectly competitive market?
a. Firms can influence market price
b. Commodities have few sellers
c. It is difficult for new sellers to enter the market.
d. Each seller has a very small share of the market.

134-For a firm buying labor competitively, the marginal input cost is equal to the:
- **► Wage.**
- ► Interest rate.
- ► Price of output.
- ► Cost of raw materials.

135-The total cost (TC) function is given as: TC = 200 + 5Q. What is the average total cost?
- ► 5Q.
- ► 5.
- **► 5 + (200/Q).**
- ► None of the given options.

- An L Shaped isoquant would indicate that the capital and labor cannot be substituted for the each other in production
- A straight line isoquant would indicate that capital and labor are perfect substitutes in production

- Marginal rate of technical substitution is equal to the absolute value of the slope of an isoquant, or the ratio of the marginal products of the inputs

- The law of diminishing returns applies to the short run only

- The law of diminishing returns assumes that there is at least one fixed input

PAPER # 11

Question No: 1 (Marks: 1) - Please choose one
Microeconomics is the branch of economics that deals with which of the following topics?

► The behavior of individual consumers.

► Unemployment and interest rates.

► The behavior of individual firms and investors.

► The behavior of individual consumers and behavior of individual firms and investors.

Question No: 2 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

► Demand equals output.

► There is downward pressure on price.

► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.

► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 3 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.

► The slope of the supply curve.

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► The equilibrium price and quantity in the market.

► The quantity supplied at two different prices, all else equal.

Question No: 4 (Marks: 1) - Please choose one

A demand curve is price elastic when:

► Changes in demand are proportionately greater than changes in price.

► Changes in demand are equal to changes in price.

► None of the given options.

► Changes in demand are proportionately smaller than changes in price.

Question No: 5 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.

► The percentage change in quantity demanded is same as the percentage change in the price.

► An increase in price will increase total revenue.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).

► Availability of close substitutes.

► Share of consumer's budget and passage of time.

► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

► Work more.

► Take more leisure.

► Not change anything.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

A production function:

► Relates inputs with output.

► Generates a curve that is upward sloping.

► Shows diminishing marginal product of an input, since it gets flatter as output rises.

► All of the given options.

Question No: 9 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.

► There is constant returns to scale.

► Inputs have fixed costs at all use rates.

► The marginal rate of technical substitution of inputs is constant.

Question No: 10 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

► Average revenue equals average cost.

► Average revenue equals average variable cost.

► Total costs are minimized.

► Marginal revenue equals marginal cost.

Question No: 11 (Marks: 1) - Please choose one

Producer surplus in a perfectly competitive industry is:

► The difference between profit at the profit-maximizing and profit-minimizing level of output**.**

► The difference between revenue and total cost.

► The difference between revenue and variable cost.

► The difference between revenue and fixed cost.

Producer surplus in a perfectly competitive industry is:

a. The difference between profit at the profit-maximizing output and profit at the profit-minimizing output.
b. The difference between total revenue and total cost.
c. The difference between total revenue and variable cost.
d. The difference between total revenue and fixed cost.
e. The same thing as total revenue.

https://www.google.com.pk/url?sa=t&rct=j&q=&esrc=s&source=web&cd=1&cad=rja&ved=0CC4QFjAA&url=https%3A%2F%2Fwww.msu.edu%2Fcourse%2Fec%2F301%2FMatraves%2FReview2.doc&ei=M6uTUZO3E4zT4QSt24GQAg&usg=AFQjCNFQwrm_JV3Gh6LclIWI1DJh30ZLww&bvm=bv.46471029,d.bGE

Question No: 12 (Marks: 1) - Please choose one

The good produced by a monopoly:

► Has perfect substitutes.

► Has no substitutes at all.

► Has no close substitutes.

► Can be easily duplicated.

Question No: 13 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.

► A monopoly.

► Monopolistically competitive.

► Oligopolistic.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

► The demand curve is tangent to marginal cost curve.

► The demand curve is tangent to average cost curve.

► The marginal cost curve is tangent to average cost curve.

► The demand curve is tangent to marginal revenue curve.

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Question No: 15 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► A higher price reduces quantity demanded.

► A lower price shifts the demand curve to the right.

Question No: 16 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

► The demand for houses has increased.

► The demand curve for houses must be upward-sloping.

► The supply of houses has increased.

► Housing construction costs must be decreasing.

Question No: 17 (Marks: 1) - Please choose one

Insurance companies operate under the principle of:

► Law of large numbers.

► Law of small numbers.

► Law of zero numbers.

► All of the given options.

Question No: 18 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

► Normal good.

► A substitute good.

► A complementary good.

► Inferior good.

Inferior good is one whose consumption decreases with increase in income

Question No: 19 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

► Products are differentiated.

► There is freedom of entry and exit into the industry in the long run.

► The firm is a price maker.

► There is one main seller.

Question No: 20 (Marks: 1) - Please choose one

No dig ????????

In the above figure, the marginal utility of income is:

► Increasing as income increases.

► Constant for all levels of income.

► Diminishes as income increases.

► None of the given options.

Question No: 21 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

► One.

► Two.

► Three.

► Four.

Question No: 22 (Marks: 1) - Please choose one

What is the assumption of constructing a production possibilities curve?

► Economic resources are underutilized.

► Resources are equally productive in many alternative uses.

► All available resources are employed efficiently.

► Production technology is allowed to vary.

Question No: 23 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

► Immigration of skilled workers into the nation.

► An increase in the size of the working-age population.

► A decrease in the size of the working-age population.

► Increased production of capital goods**.**

Question No: 24 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

► There will be a surplus to accumulate.

► There will be downward pressure on the current market price.

► There will be upward pressure on the current market price.

► There will be lower production during the next time period.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

► 5Q.

► 5.

► 5 + (200/Q).

► 200.

TC = FC + VC
TC=200 +5Q

Question No: 26 (Marks: 1) - Please choose one

If average physical product (APP) is decreasing then which of the following must be true?

► Marginal physical product is more than the average physical product.

► Marginal physical product is less than the average physical product.

► Marginal physical product is decreasing.

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► Marginal physical product is increasing.

RELATIONSHIP BETWEEN APP AND MPP

If the marginal physical product equals the average physical product, the average physical product will not change.

If the marginal physical product is above the average physical product, the average physical product will rise.

If the marginal physical product is below the average physical product, the average physical product will fall.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement describes decreasing returns to scale?

► Increasing the inputs by 1/4% leads to a 1/2% increase in output.

► Increasing inputs by 1/2 leads to an increase in output of 1/6.

► Doubling the inputs used leads to double the output.

► None of the given options.

Question No: 28 (Marks: 1) - Please choose one

All the factors of production become variable in:

► Law of increasing return.

► Long run.

► Law of decreasing cost.

► Short run.

Question No: 29 (Marks: 1) - Please choose one

Indifference curves that are concave to the origin reflect:

► **An increasing marginal rate of substitution**

► A decreasing marginal rate of substitution

► A constant marginal rate of substitution

► A marginal rate of substitution that first decreases then increases

Concave indifference curve
•if indifference curve bows toward the origin (concave)
• then (unusually) increasing *MRS*

Question No: 30 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 500 + 30Q. What is the average total cost?

► 500

► **30+ (500/Q)**

► $30Q^2$+500Q

► 30

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not included in the key ingredients of any market structure?

► Number of firms in the market/industry

► Extent of barriers to entry

► **Perfect knowledge**

► Degree of control over price

Question No: 32 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal cost equals to:

► Average revenue

► Total revenue

► Marginal revenue

► None of the given options

The profit maximizing or best level of output is given where MR=MC.

Question No: 33 (Marks: 1) - Please choose one

Monopolists produce lower quantities at higher prices compared to perfectly competitive firms, because monopolists do not produce where

► Marginal cost = marginal revenue

► Average revenue = marginal cost

► Price = average variable cost

► Price = marginal cost

Monopolists produce lower quantities at higher prices compared to perfectly competitive firms. This is because monopolists do not produce where P=MC (the point of allocative efficiency) nor at P= AC minimum (the point of cost efficiency)

Question No: 34 (Marks: 1) - Please choose one

An increase in quantity demand is shown by:

► Shifting the demand curve to the left.

► Shifting the demand curve to the right.

► Upward movement along the demand curve.

► Downward movement along the demand curve.

PAPER # 12

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 2 (Marks: 1) - Please choose one

At the equilibrium price:

► There will be a shortage.
► **There will be neither a shortage nor a surplus.**
► There will be a surplus.
► There are forces that cause the price to change.

Question No: 3 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.
► Quantity supplied.
► **Price.**
► Output.

Question No: 4 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

► **When price rises, total revenue rises.**
► **When price rises, total revenue falls.**
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.

Question No: 5 (Marks: 1) - Please choose one

The law of diminishing marginal utility states:

► The supply curve slopes upward.
► **Your utility grows at a slower and slower rate as you consume more and**

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more units of a good.

► The elasticity of demand is infinite.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

► The price of each good is exactly equal to the price of every other good consumed.

► The price of each good is exactly equal to the total utility derived from the consumption of every other good.

► The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.

► Marginal utility is equal to average utility.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

► An increasing marginal rate of substitution.

► A decreasing marginal rate of substitution.

► A constant marginal rate of substitution.

► A marginal rate of substitution that first decreases, then increases.

http://books.google.com.pk/books?id=IbvULY0ojiEC&pg=PA125&lpg=PA125&dq=convex+to+the+origin+Indifference+curves&source=bl&ots=2VNziJptGe&sig=_evW5ietQsHYcwxS52TCrSCtKWk&hl=en&ei=liLJTtWfIcW2hQep1YC_Dw&sa=X&oi=book_result&ct=result&resnum=8&ved=0CEYQ6AEwBzge#v=onepage&q=convex%20to%20the%20origin%20Indifference%20curves&f=false

Indifference curves are convex to origin : indidderence curves for normal goods are not only negatively sloping but are also convex to the orgin . the convexity of indifference curves implies

- That the two goods are imperfect substitutes for one another
- That the marginal rate of susstitution (MRS) between the two goods decrease as a consumer moves along an indifference curve.

Question No: 8 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

► Indifference curves slope downwards.

► Indifference curves slope upwards.
► Indifference curves may cross.
► Indifference curves could take the form of ellipses.

Question No: 9 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

► Encourage workers to retire later.
► Encourage workers to work more hours.
► Have no effect on incentive to retire.
► Encourage workers to retire earlier.

Question No: 10 (Marks: 1) - Please choose one

Increasing returns to scale in production means:

► More than twice as much of only one input is required to double output.
► Isoquants must be linear.
► More than 10% as much of all inputs are required to increase output 10%.
► Less than twice as much of all inputs are required to double output.

Question No: 11 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

► Production losses are less than fixed costs.
► Only normal profits are earned.
► **Production losses exceed fixed costs.**
► Fixed costs are zero.

Question No: 12 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

► The reservation price to each customer.
► Different prices for different blocks of the same good or service.
► Different groups of customers different prices for the same products.
► Each customer the maximum price that he or she is willing to pay.

Question No: 13 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

► Monopolistic competition.
► Oligopoly.
► Pure competition.
► Pure monopoly.

Question No: 14 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► A higher price reduces quantity demanded.
► A lower price shifts the demand curve to the right.

Law of demand:
The law of demand states that if the price of a certain commodity rises, its quantity demanded will go down, and vice-versa.

Question No: 15 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1.
► Elasticity of demand is > 1.
► Demand is upward-sloping.
► Demand is perfectly inelastic.

http://wps.aw.com/wps/grader

Question No: 16 (Marks: 1) - Please choose one

The textbook for your class was not produced in a perfectly competitive industry because:

► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.
► Upper-division microeconomics texts are not all alike.
► It is not costless to enter or exit the textbook industry.
► All of the given options.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.
► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
► It is the result of market power and production costs.
► **None of the given statements is true.**

Question No: 18 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

► It can be used no matter what a person's preference to risk.
► It can be used if and only if individuals are not risk-loving.
► It can be used if and only if individuals are risk averse.
► **It can be used if and only if individuals are risk neutral.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

► The demand curve for computers shifts to the right.
► The demand curve for computers shifts to the left.
► **The supply curve for computers shifts to the right.**
► The supply curve for computers shifts to the left.

Question No: 20 (Marks: 1) - Please choose one

What will happen if there is an increase in the raw material costs, other things remaining the same?

► **The supply curve will shift to the left.**
► The supply curve will shift to the right.
► Output will increase regardless of the market price and the supply curve will shift upward.
► Output will decrease and the market price will also decrease.

Question No: 21 (Marks: 1) - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► **10.**
► 13.
► 20.
► 33.

43-33 =10

Question No: 22 (Marks: 1) - Please choose one

Which of the following is TRUE for a Giffen good?

► Its marginal utility is zero.
► Its demand curve is perfectly elastic.

► Its substitution effect is positive.

► Its demand curve is positively sloped.

http://www.oup.com/uk/orc/bin/9780199286416/01student/questions/lipsey_student_ch05/page_01.htm

Question No: 23 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

► Output is being produced at minimum cost.

► Output is not being produced at minimum cost.

► The two products are being produced at the medium input cost to the firm.

► The two products are being produced at the highest input cost to the firm.

Question No: 24 (Marks: 1) - Please choose one

Indifference curves that are concave to the origin reflect:

► An increasing marginal rate of substitution

► A decreasing marginal rate of substitution

► A constant marginal rate of substitution

► A marginal rate of substitution that first decreases then increases

Question No: 25 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

► It shifts farther away from the origin of the graph.

► It shift inward.

► It shifts outward.

► None of the given options.

Higher levels of total cost shift the isocost line outward and lower levels of total cost shift the isocost line inward.

Question No: 26 (Marks: 1) - Please choose one

Average total costs are the sum of:

► Fixed costs and marginal costs

► Average variable costs and marginal costs

► Average fixed costs and average variable costs

► Average marginal costs and average variable costs

AVC + AFC = ATC or AC

Question No: 27 (Marks: 1) - Please choose one

At the profit-maximizing level of output, the marginal cost is equal to:

► Average revenue

► Total revenue

► **Marginal revenue**
► None of the given options

Question No: 28 (Marks: 1) - Please choose one

The amount of output for maximum profit that a firm decides to sell has an effect on the market price in a monopolistic competitive industry because:

► The firm supplies a different good than its rivals.
► **The firm's output is a considerable fraction of the entire industry's output.**
► The short run market price is determined solely by the firm's technology.
► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

When new firms enter in perfectly competitive industry for profits, the supply starts to:

► Increase in response to demand.
► **Increase in response to price.**
► Decrease in response to demand.
► Decrease in response to price.

New firm enter in the industry the market supply curve shift rightward as aconsequence equilibrium price falls.

Question No: 30 (Marks: 1) - Please choose one

Maximum number of firms in an oligopoly is about

► 2

► 10
► 15
► **20**

Small number of firms (about 2-20) in the market
Minimum =2
Maximum =20

Question No: 31 (Marks: 1) - Please choose one

Resources are governed by both government and individuals in

► Dictatorship.
► Command or planned economy.
► **A mixed economy.**
► Capitalist economy.

In Pakistan, there is mixed economic system. Resources are governed by both government and Individuals.

Question No: 32 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► The demand curve for eggs to shift rightward.
► **Quantity demanded of eggs to increase.**

Question No: 33 (Marks: 1) - Please choose one

An increase in quantity demand is shown by:

► Shifting the demand curve to the left.
► Shifting the demand curve to the right.
► Upward movement along the demand curve.
► **Downward movement along the demand curve.**

Question No: 34 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

► Demand is inelastic.
► **Demand is elastic.**
► Demand is perfectly elastic.
► Total revenue will remain constant.

PAPER # 13

Question No: 1 (Marks: 1) - Please choose one

Our economy is characterized by:

- ► **Unlimited wants and needs.**
- ► Unlimited material resources.
- ► No energy resources.
- ► Abundant productive labor.

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ► **Inferior good.**
- ► Complementary good.
- ► Normal good.
- ► None of the given options.

Inferior goods are goods whose quantity demanded goes down as consumer income increases.

Question No: 3 (Marks: 1) - Please choose one

If the equilibrium price of bread is $2 and the government imposes a $1.50 price ceiling on the price of bread:

- ► The demand for bread will decrease because suppliers will reduce their supply.
- ► A surplus of bread will emerge.
- ► More bread will be produced to meet the increased demand.
- ► **There will be a shortage of bread.**

Question No: 4 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► **Two prices and two quantities supplied.**
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Question No: 5 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ► Perfectly elastic.
- ► Unit elastic.

► Elastic.
► **Inelastic.**

Question No: 6 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

► A decrease in total revenue received by the course.
► **An increase in total revenue received by the course.**
► No change in total revenue received by the course.
► An increase in the amount of golf played on the course.

Question No: 7 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.
► The percentage change in quantity demanded is same as the percentage change in the price.
► **An increase in price will increase total revenue.**
► None of the given options.

.

Question No: 8 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

► Goods are normal or inferior.
► **Two goods are substitutes or complements.**
► Demand is elastic or inelastic.
► Supply is steeper than demand or vice versa.

Question No: 9 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

► **Work more.**
► Take more leisure.
► Not change anything.
► None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A production function:

► **Relates inputs with output.**
► Generates a curve that is upward sloping.
► Shows diminishing marginal product of an input, since it gets flatter as output

rises.

► All of the given options.

Question No: 11 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► **All of the given options.**

Question No: 12 (Marks: 1) - Please choose one

_______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale.**
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 13 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

► Budget constraint.
► Expenditure set.
► Isoquant.
► **Isocost.**

The isocost line represents all combination of two inputs which have the same total cost. The Isoquant curve contains all combinations of 2 inputs that produce the same total output.

Question No: 14 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

► **Output.**
► Capital expenditures.
► Wages.
► Time.

Question No: 15 (Marks: 1) - Please choose one

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Discrimination based upon the quantity consumed is referred to as:

- ► **Second degree price discrimination.**
- ► Third-degree price discrimination.
- ► First-degree price discrimination.
- ► All of the given options.

1ST DEGREE PD
In this type, everyone charged according to what he can pay.
2ND DEGREE PD
In this type, different prices charged to customers who purchase different quantities.
3RD DEGREE PD
In this type, seller charge different prices to different customers in different markets.

Question No: 16 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ► The reservation price.
- ► The market price.
- ► **The first-degree price.**
- ► The block price.

Question No: 17 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

- ► Supply schedule.
- ► **Demand schedule.**
- ► Quantity supplied schedule.
- ► Quantity demanded schedule.

Question No: 18 (Marks: 1) - Please choose one

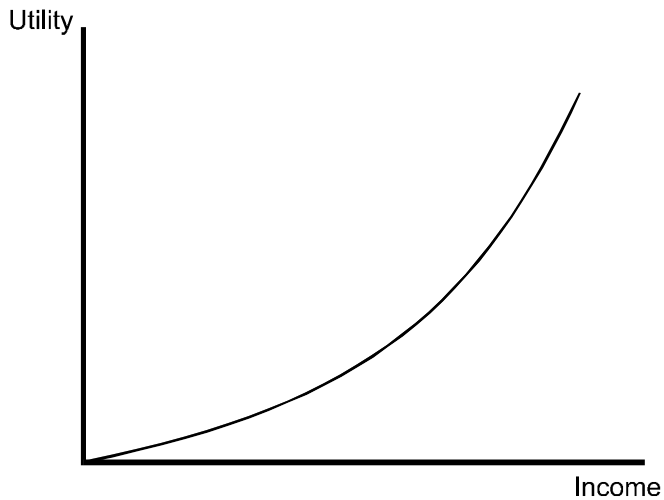
Which of the following is considered a market structure?

- ► Monopoly.
- ► Perfect competition.
- ► Oligopoly.
- ► **All of the given are considered market structures.**

MARKET STRUCTURES
Economists have identified four broad market structures:

• Perfect competition
• Monopoly
• Monopolistic competition
• Oligopoly

Question No: 19 (Marks: 1) - Please choose one



In the above figure, the marginal utility of income is:

► **Increasing as income increases.**
► Constant for all levels of income.
► Diminishes as income increases.
► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

A person with a diminishing marginal utility of income is said to be:

► **Risk averse person.**
► Risk neutral person.
► Risk loving person.
► None of the given options.

Question No: 21 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

► It means that some resources are always unemployed.
► **It means that an economy can produce more of one thing only by producing less of something else.**
► It means that opportunity costs are constant.
► It means that business can sell more when prices are low.

http://glencoe.mcgraw-hill.com/sites/0025694212/student_view0/chapter1/quiz.html

Question No: 22 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 20, 40, 60, and 80 respectively. What is the marginal cost of the second unit of output?

► 10.

► **20.**

► 30.

► 40.

Marginal costs indicate by how much the **total costs** changes because of modification in the production level **by one unit**.

40-20=20

Question No: 23 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the average total cost?

► 5Q.

► 5.

► **5 + (200/Q).**

► None of the given options.

AVC + AFC = ATC or AC

Question No: 24 (Marks: 1) - Please choose one

In which of the following situations, a monopoly occurs?

► When each firm produces a product that is slightly different from the other firms.

► **When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**

► When there are many firms producing the same product.

► In all of the given situations.

Monopoly
Number of firms= 1
Freedom of entry= Restricted or completely blocked
Nature of product = unique /No close substitutes

Question No: 25 (Marks: 1) - Please choose one

Which of the following is the basic difference between oligopoly and monopolistic competition?

► Products are differentiated in oligopoly.

► There are no barriers to entry in oligopoly.

► **There are barriers to entry in oligopoly.**

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► An oligopoly includes downward sloping demand curves facing the firm.

Question No: 26 (Marks: 1) - Please choose one

Suppose that 90 units of output are produced by using 15 units of labor. Which of the following is TRUE in this context?

► The marginal product of labor is 6.
► The total product of labor is 1/6.
► **The average product of labor is 6.**
► None of the given options.

Average Product: This is the amount of output produced per worker, found by dividing the total product by the number of workers.
90/15=6

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement describes decreasing returns to scale?

► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
► **Increasing inputs by 1/2 leads to an increase in output of 1/6.**
► Doubling the inputs used leads to double the output.
► None of the given options.

¼% = 1/4/100 = 25 , ½ = 1/2/100 = 50
½ =0.5 , 1/6 =0.167

Question No: 28 (Marks: 1) - Please choose one

At the profit-maximizing level of output, the marginal cost is equal to:

► Average revenue
► Total revenue
► **Marginal revenue**
► None of the given options

Profit is maximized at the point where MC=MR.

Question No: 29 (Marks: 1) - Please choose one

The amount of output for maximum profit that a firm decides to sell has an effect on the market price in a monopolistic competitive industry because:

► The firm supplies a different good than its rivals.
► **The firm's output is a considerable fraction of the entire industry's output.**
► The short run market price is determined solely by the firm's technology.
► None of the given options.

Question No: 30 (Marks: 1) - Please choose one

The characteristics of a monopolistically competitive market are almost the same as in

► Monopoly.
► Oligopoly.
► **Perfect competition.**

► Duopoly.

The characteristics of a monopolistically competitive market are almost the same as in perfect competition, with the exception of heterogeneous products, and that monopolistic competition involves a great deal of non-price competition

Question No: 31 (Marks: 1) - Please choose one

In price discrimination price elasticity of demand for different customers should be

► Same.
► Unit elastic.
► Infinite elastic.
► **Different.**

Question No: 32 (Marks: 1) - Please choose one

Resources are governed by both government and individuals in

► Dictatorship.
► Command or planned economy.
► **A mixed economy.**
► Capitalist economy.

Question No: 33 (Marks: 1) - Please choose one

Since bread and butter are complements. When the price of bread goes down, the demand curve for butter:

► Shifts to the left.

► **Shifts to the right.**

► Remains constant.

► Shifts to the right initially and then returns to its original position.

Question No: 34 (Marks: 1) - Please choose one

If the current market price is set above the market clearing level then which of the following will happen:

► **There will be downward pressure on the current market price.**
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.
► There will be a surplus to accumulate.

PAPER # 14

Question No: 1 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► Less ink to be demanded at each price.
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

► Inferior good.
► Complementary good.
► Normal good.
► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

At the equilibrium price:

► There will be a shortage.
► There will be neither a shortage nor a surplus.
► There will be a surplus.
► There are forces that cause the price to change.

Question No: 4 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:
► Demand equals output.
► There is downward pressure on price.
► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

► When price rises, total revenue rises.
► When price rises, total revenue falls.
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).
► Availability of close substitutes.
► Share of consumer's budget and passage of time.
► All of the given options.

Question No: 7 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

► Increases at a decreasing rate.
► Decreases as long as marginal utility is negative.
► Decreases as long as marginal utility is positive.
► Is negative as long as marginal utility is decreasing.

The amount of a person's total utility corresponds to the person's level of consumption. Usually, the more the person consumes, the larger his or her total utility will be. Marginal utility is the additional satisfaction, or amount of utility, gained from each extra unit of consumption.
Total utility tends to increase at a decreasing rate, as the first units of the good provide the highest utility and additional units eventually generate less utility (diminishing marginal utility

20) Which of the following is NOT an assumption of marginal utility theory?
A) A consumer derives utility from the goods consumed.
B) Each additional unit of consumption yields additional utility.
C) Consumers maximize their total utility.
D) As more of a good is consumed, the decrease in the marginal utility from the good means that the total utility from the good decreases also.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers

rank different goods and services?

- ► Satisfaction index.
- ► Goodness.
- ► **Utility.**
- ► None of the given options.

Question No: 9 (Marks: 1) - Please choose one

The extra value that consumers receive above what they pay for that good is called:

- ► Producer surplus.
- ► Utility.
- ► Marginal utility.
- ► **Consumer surplus**.

Question No: 10 (Marks: 1) - Please choose one

A risk-averse individual has:

- ► **A diminishing marginal utility of income.**
- ► An increasing marginal utility of risk.
- ► An increasing marginal utility of income.
- ► A diminishing marginal utility of risk.

Question No: 11 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

- ► An increase in the slope of the budget line.
- ► A decrease in the slope of the budget line.
- ► **An increase in the intercept of the budget line.**
- ► A decrease in the intercept of the budget line.

Question No: 12 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ► Increase hours of work.
- ► **Decrease hours of work.**
- ► Not change hours of work.
- ► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The budget line is the boundary between:

► Preferred and non preferred consumption combinations.
► **Affordable and unaffordable consumption combinations.**
► Income and expenditure.
► One point on a budget line.

Question No: 14 (Marks: 1) - Please choose one

An isoquant curve shows:

► **All the alternative combinations of two inputs that yield the same maximum total product.**
► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
► None of the given options.

Question No: 15 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

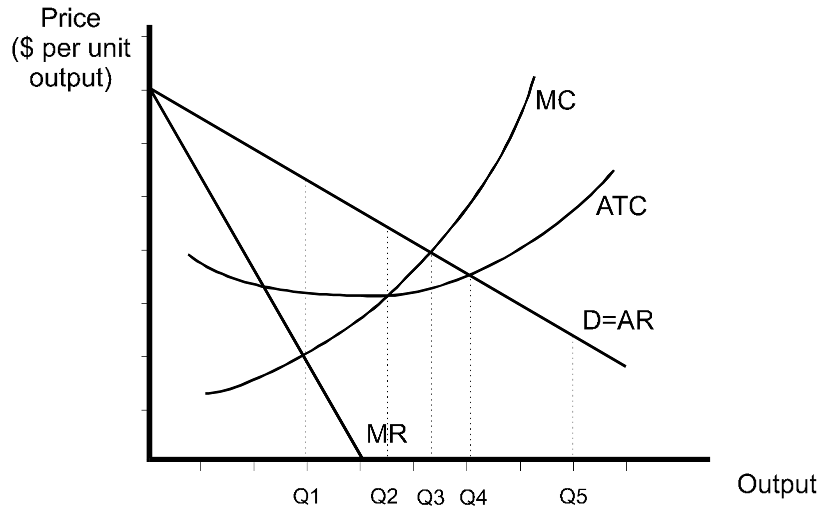
Question No: 16 (Marks: 1) - Please choose one

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a ______________ price and sell a ______________ quantity.

► Higher; larger.
► Lower; larger.
► **Higher; smaller.**
► Lower; smaller.

Question No: 17 (Marks: 1) - Please choose one

For the monopolist shown below, the profit maximizing level of output is:



► **Q1.**
► Q2.
► Q3.
► Q4.

The profit maximizing or best level of output is given where MR=MC.

Question No: 18 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► **Monopolistically competitive.**
► Oligopolistic.

Question No: 19 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**
► An inferior good.
► A Giffen good.

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

- ► Labour.
- ► Land.
- ► Capital.
- **► Investment.**

Question No: 21 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

- ► Equal to price.
- ► Equal to average cost.
- **► Less than price.**
- ► More than price.

For any firm facing a downward sloping demand curve, marginal revenue will be less than price

http://www2.econ.iastate.edu/classes/econ101/vandewetering/chapter13notes.htm

Question No: 22 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ► Immigration of skilled workers into the nation.
- ► An increase in the size of the working-age population.
- **► A decrease in the size of the working-age population**.
- ► Increased production of capital goods.

Question No: 23 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ► A reduction in unemployment.
- **► An increase in the production of capital goods**.
- ► A reduction in discrimination.
- ► All of the given options.

Question No: 24 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- **► Output is being produced at minimum cost.**
- ► Output is not being produced at minimum cost.
- ► The two products are being produced at the medium input cost to the firm.
- ► The two products are being produced at the highest input cost to the firm.

At point R, Isoquant curve is tangent to the budget line (Isocost). This is the optimal combination of factors of production.

Question No: 25 (Marks: 1) - Please choose one

Which of the following is TRUE about L-shaped isoquant?

► It indicates that the firm could switch from one output to another costlessly.
► It indicates that the firm could not switch from one output to another.
► It indicates that capital and labor cannot be substituted for each other in production.
► It is impossible.

Question No: 26 (Marks: 1) - Please choose one

Suppose that 90 units of output are produced by using 15 units of labor. Which of the following is TRUE in this context?

► The marginal product of labor is 6.
► The total product of labor is 1/6.
► The average product of labor is 6.
► None of the given options.

Question No: 27 (Marks: 1) - Please choose one

The following table shows a firm's total product of labor. What is the marginal product of labor between second and third unit of labor?

Table

Quantity of Labor	Total Product
1	0
2	100
3	230

► 100 units
► 130 units
► 110 units
► 230 units

230-100=130

Question No: 28 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

► It shifts farther away from the origin of the graph.
► It shift inward.
► It shifts outward.
► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

► The next unit produced will increase profit.
► The next unit produced will decrease revenue more than it increases cost.
► The next unit produced will decrease cost more than it increases revenue.
► The next unit produced will increase revenue without increasing cost.

Question No: 30 (Marks: 1) - Please choose one

A price maker is:

- ► A firm that accepts different prices from different customers.
- ► A monopolistically competitive firm.
- ► An oligoplistic firm.
- **► A firm that can individually influence the market price.**

Question No: 31 (Marks: 1) - Please choose one

A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

- ► Perfect competition.
- ► First-degree price discrimination.
- ► Monopoly.
- **► Second-degree price discrimination.**

Question No: 32 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

- **► Heterogeneous products.**
- ► Large competition.
- ► Homogeneous products.
- ► Less demand in market.

Question No: 33 (Marks: 1) - Please choose one

If the current market price is set above the market clearing level then which of the following will happen:

- ► **There will be downward pressure on the current market price.**
- ► There will be upward pressure on the current market price.
- ► There will be lower production during the next time period.
- ► There will be a surplus to accumulate.

Question No: 34 (Marks: 1) - Please choose one

If an increase in price increases the total revenue then:

- ► Demand is elastic.
- **► Demand is inelastic.**
- ► Supply is elastic.
- ► Supply is inelastic.

PAPER # 15

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ► Votes taken by consumers.
- ► A central planning authority.
- **► Consumer preferences.**
- ► The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

Ceteris paribus means:

- ► Equal access to public transportation.
- **► Other things being equal.**
- ► Other things not being equal.
- ► All things considered.

Question No: 3 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ► An increase in the price of ink.
- **► Less ink to be demanded at each price.**
- ► A decrease in the demand for pen.
- ► A rightward shift in the demand curve for ink.

Question No: 4 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- **► Inferior good.**
- ► Complementary good.
- ► Normal good.
- ► None of the given options.

Question No: 5 (Marks: 1) - Please choose one

Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

- ► Price elasticity of demand.
- ► Income elasticity of demand.
- **► Cross price elasticity of demand.**
- ► Price elasticity of supply.

Question No: 6 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► **Two prices and two quantities supplied.**
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Question No: 7 (Marks: 1) - Please choose one

A demand curve is price elastic when:

- ► **Changes in demand are proportionately greater than changes in price.**
- ► Changes in demand are equal to changes in price.
- ► None of the given options.
- ► Changes in demand are proportionately smaller than changes in price.

Question No: 8 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

- ► **Increases at a decreasing rate.**
- ► Decreases as long as marginal utility is negative.
- ► Decreases as long as marginal utility is positive.
- ► Is negative as long as marginal utility is decreasing.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

- ► Satisfaction index.
- ► Goodness.
- ► **Utility.**
- ► None of the given options.

Question No: 10 (Marks: 1) - Please choose one

If your demand price for one unit of a good is $100 and the market price is $75, your consumer's surplus is:

- ► **$25.**
- ► $50.
- ► $75.
- ► $100.

Question No: 11 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a

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wage rate increase will lead a person to:

► Increase hours of work.
► **Decrease hours of work.**
► Not change hours of work.
► None of the given options.

Question No: 12 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

► Prices fall.
► Prices rise.
► Incomes fall.
► **Incomes increase.**

Normal goods are goods whose quantity demanded goes up as consumer income increases.

Question No: 13 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

► Decreasing marginal costs.
► **Increasing marginal costs.**
► Decreasing average variable costs.
► Decreasing average fixed costs.

Question No: 14 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant.**

Question No: 15 (Marks: 1) - Please choose one

A firm maximizes profit by operating at the level of output where:

► Average revenue equals average cost.
► Average revenue equals average variable cost.
► Total costs are minimized.
► **Marginal revenue equals marginal cost.**

Question No: 16 (Marks: 1) - Please choose one

Producer surplus in a perfectly competitive industry is:

► The difference between profit at the profit-maximizing and profit-minimizing level of output.
► The difference between revenue and total cost.
► **The difference between revenue and variable cost.**

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► The difference between revenue and fixed cost.

When the demand curve is downward sloping, marginal revenue is:

a. Equal to price.
b. Equal to average revenue.
c. Less than price.
d. More than price.
e. Equal to marginal cost.

Question No: 17 (Marks: 1) - Please choose one

Monopolistically competitive firms have monopoly power because they:

► Are great in number.

► Have freedom of entry.

► Are free to advertise.

► Face downward sloping demand curves

Question No: 18 (Marks: 1) - Please choose one

Which of the following can be thought of as a barrier to entry?

► Scale economies.
► Patents.
► Strategic actions by incumbent firms.
► All of the given options.

Question No: 19 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

► The good is a necessity.
► The good is a luxury.
► The good is a Giffen good.
► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

► The market price is determined (through regulation) by the government.
► The firm supplies a different good than its rivals.

► The firm's output is a small fraction of the entire industry's output.
► The short run market price is determined solely by the firm's technology.

Question No: 21 (Marks: 1) - Please choose one

Because of unusual warm weather, the supply of strawberries has substantially increased. This statement indicates that:

► The demand for strawberries will necessarily rise.
► The equilibrium quantity of strawberries will fall.
► The quantity of strawberries that will be available at various prices has increased.
► The price of strawberries will fall.

Question No: 22 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

► Equal to price.
► Equal to average cost.
► Less than price.
► More than price.

Question No: 23 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

► The demand curve for airline travel shifts left.
► The demand curve for airline travel shifts right.
► The supply curve of airline travel shifts left.
► The supply curve of airline travel shifts right.

Question No: 24 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► The assumption of a diminishing marginal rate of substitution will be violated.
► The assumption of transitivity will be violated.
► The assumption of completeness will be violated.
► Consumers will minimize their satisfaction.

Question No: 25 (Marks: 1) - Please choose one

Which of the following determines the largest amount of output that a firm can produce with a given combination of inputs?

► Marginal product of labor.
► Gains from specialization.
► Cost function.
► Production function.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is TRUE about an isocost line?

- ► It shows the cost of inputs needed to produce along an isoquant.
- ► It shows the cost of inputs needed to produce along an expansion path.
- **► It shows the input combinations that can be purchased with a given outlay of funds.**
- ► It shows the output combinations that can be produced with a given outlay of funds.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is TRUE for the total cost of producing a given level of output?

- ► It is maximized when a corner solution exists.
- **► It is minimized when the ratio of marginal product to input price is equal for all inputs.**
- ► It is minimized when the marginal products of all inputs are equal.
- ► It is minimized when marginal product multiplied by input price is equal for all inputs.

Question No: 28 (Marks: 1) - Please choose one

In which of the following situations, a monopoly occurs?

- ► When each firm produces a product that is slightly different from the other firms.
- **► When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**
- ► When there are many firms producing the same product.
- ► In all of the given situations.

Question No: 29 (Marks: 1) - Please choose one

The shape of isoquant which indicates capital and labor cannot be substituted for each other in production is

- ► Concave.
- ► Convex.
- **► L-shaped.**
- ► None of the given options.

Question No: 30 (Marks: 1) - Please choose one

At the profit-maximizing level of output, the marginal cost is equal to:

- ► Average revenue
- ► Total revenue
- **► Marginal revenue**
- ► None of the given options

Question No: 31 (Marks: 1) - Please choose one

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of

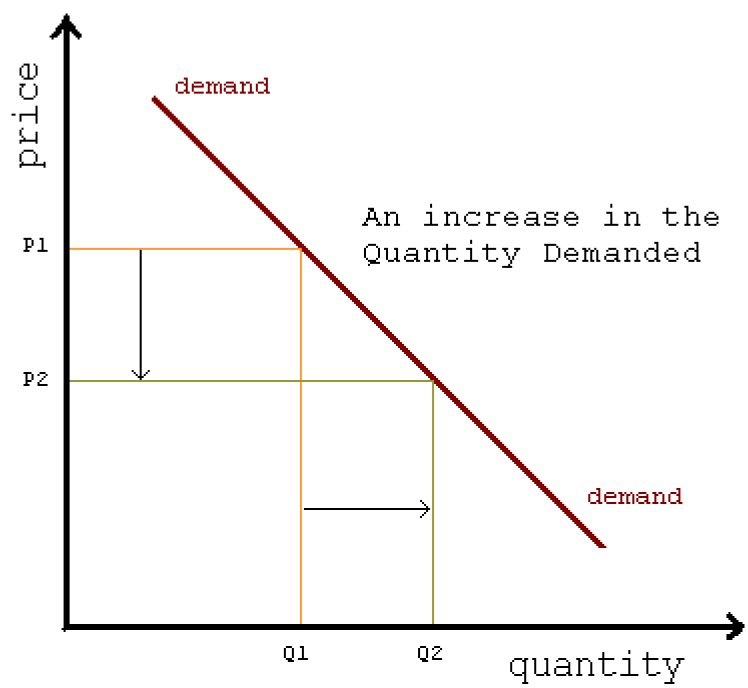
- ► Competition.
- ► **Entry barriers.**
- ► Price discrimination.
- ► All of the given options.

Question No: 32 (Marks: 1) - Please choose one

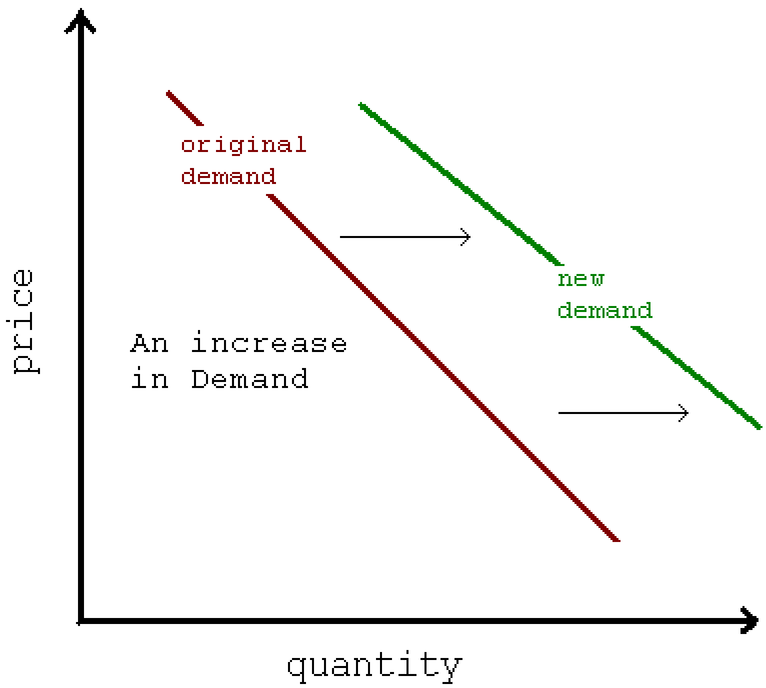
An increase in quantity demand is shown by:

- ► Shifting the demand curve to the left.
- ► Shifting the demand curve to the right.
- ► Upward movement along the demand curve.
- ► **Downward movement along the demand curve.**

When the price **decreases** from P_1 to P_2, the quantity demanded **increases** from Q_1 to Q_2.



Changes in things other than the price of the good or service may lead to changes the demand. So to an economist, demand is not the same as the quantity demanded.



Question No: 33 (Marks: 1) - Please choose one

Since bread and butter are complements. When the price of bread goes down, the demand curve for butter:

► Shifts to the left.

► Shifts to the right.

► Remains constant.

► Shifts to the right initially and then returns to its original position.

Question No: 34 (Marks: 1) - Please choose one

Slope and elasticity of demand have

► A direct relation.
► An inverse relationship.
► No relation between slope and elasticity.
► None of the given options.

Slope and elasticity of demand have *an* inverse relationship. When *slope* is high elasticity of. demand is low and vice versa

PAPER # 16

Marks:Question No: 1 (Marks: 1) - Please choose one

Which of the following is a normative statement?

► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.

► The minimum wage should not be increased, because to do so would increase unemployment.

► Smoking should be restricted on all airline flights.

► All of the given options.

Question No: 2 (Marks: 1) - Please choose one

Ceteris paribus means:

► Equal access to public transportation.

► Other things being equal.

► Other things not being equal.

► All things considered.

Ceteris paribus *simply* means "all things being equal"

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

► Shifting the supply curve to the left.

► Shifting the supply curve to the right.

► Upward movement along the supply curve.

► Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

► Price elasticity of demand.

► Income elasticity of demand.

► Cross price elasticity of demand.

► Price elasticity of supply.

Cross price elasticity of demand is the percentage change in quantity demanded of a specific good, with respect to the percentage change in the price of another related good.

Question No: 5 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ► **Two prices and two quantities supplied.**
- ► The slope of the supply curve.
- ► The equilibrium price and quantity in the market.
- ► The quantity supplied at two different prices, all else equal.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is the term that economists use to describe how consumers rank different goods and services?

- ► Satisfaction index.
- ► Goodness.
- ► **Utility.**
- ► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ► The consumer's indifference curve must be positively sloped.
- ► The consumer's indifference curve must be convex with respect to the origin of the graph.
- ► **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.**
- ► All of the given options.

Question No: 8 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

- ► An increase in the slope of the budget line.
- ► A decrease in the slope of the budget line.
- ► **An increase in the intercept of the budget line.**
- ► A decrease in the intercept of the budget line.

Question No: 9 (Marks: 1) - Please choose one

The income effect of a price change:

- ► Is always positive.
- ► Is always negative.
- ► **May be positive or negative.**
- ► Is associated with a change in nominal income.

Question No: 10 (Marks: 1) - Please choose one

Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► **All of the given options.**

Question No: 11 (Marks: 1) - Please choose one

_______________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____________ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale.**
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 12 (Marks: 1) - Please choose one

If isoquants are straight lines, it means that:

► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant.**

Question No: 13 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 14 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal profit:

► Is positive.
► Is increasing.
► **Is zero.**
► Is also maximized.

Question No: 15 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**

► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 16 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

► **High costs.**
► Low costs.
► Equal costs.
► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Cartels are likely to fail when:

► The members adhere to their output quotas.
► **The non-cartel members increase output.**
► The members charge identical prices.
► None of the given options.

http://wps.aw.com/aw_perloff_microcalc_1/76/19616/5021764.cw/content/index.html

Question No: 18 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 19 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► **Substitutes.**
► Inferior.

Question No: 20 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**

► An inferior good.
► A Giffen good.

Question No: 21 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.
► Must be giffen.
► **Can be normal or inferior.**
► Must be normal.

The downward slope reflects the interaction of the substitution effect and the income effect , for normal good both effects contribute to the downward slop of the demand curve. For an inferior good we can have confidence that the substitution effect dominates the income effect so once again the demand curve will slope downward.

The demand curve for a normal good is downward sloping due to

A) The substitution effect

B) Income effect

C) Giffen effect

D)The combination of income and substitution effects

Question No: 22 (Marks: 1) - Please choose one

What is meant by freedom of enterprise in pure capitalism?

► **It means that businesses are free to produce products that consumers want.**
► It means that consumers are free to buy goods and services that they want.
► It means that resources are distributed freely to businesses.
► It means that government is free to direct the actions of businesses.

Question No: 23 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

► Positive, negative.
► Negative, normative.
► Normative, positive.
► **Positive, normative.**

Question No: 24 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

► There will be a surplus to accumulate.
► There will be downward pressure on the current market price.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.

When price set below the market clearing level , there will be shortage of goods , and this casue upward pressure on prices. And supply increase equlibrium established

The amount of the good buyers are willing and able to purchase is the

a. demand.
b. quantity supplied.
c. quantity demanded.
d. supply.

. When there is a shortage in a market,

a. there is downward pressure on price.
b. there is upward pressure on price.
c. the market could still be in equilibrium.
d. the price must be above equilibrium.

Question No: 25 (Marks: 1) - Please choose one

What is meant by the term utility?

► Useless.
► Require.
► Necessary.
► Satisfaction.

Utility is the usefulness, benefit or satisfaction derived from the consumption of goods and services

Question No: 26 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

► 5Q.
► 5.
► 5 + (200/Q).
► 200.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

► Consumers know their preferences.
► Consumers know their income levels.

► Consumers know the prices available.

► Consumers can anticipate price changes.

Question No: 28 (Marks: 1) - Please choose one

Which of the following is TRUE for third-degree price discrimination?

► Charging different prices to different groups based upon differences in elasticity of demand.

► Charging each consumer the same two part tariff.

► The use of increasing block rate pricing.

► Charging lower prices the greater the quantity purchased.

Question No: 29 (Marks: 1) - Please choose one

The government can regulate monopolies to ensure that they set a price where the AR curve intersects the

► Marginal revenue curve.

► Average variable cost.

► Marginal cost curve.

► None of the given options.

The government can regulate monopolies to ensure that they set a price where the AR curve intersects the MC curve

Governments sometimes regulate monopolies at the point where the AR curve intersects the AC curve

Question No: 30 (Marks: 1) - Please choose one

A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

► Perfect competition.

► First-degree price discrimination.

► Monopoly.

► Second-degree price discrimination.

2ND DEGREE PD

In this type, different prices charged to customers who purchase different quantities.

Question No: 31 (Marks: 1) - Please choose one

When different prices are charged to customers who purchase different quantities, this is an example of

► Second-degree price discrimination.

► First-degree price discrimination.

► Monopoly.

► Perfect competition.

Question No: 32 (Marks: 1) - Please choose one

The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► The demand curve for eggs to shift rightward.
► **Quantity demanded of eggs to increase.**

Question No: 33 (Marks: 1) - Please choose one

Slope and elasticity of demand have

► A direct relation.
► **An inverse relationship.**
► No relation between slope and elasticity.
► None of the given options.

Question No: 34 (Marks: 1) - Please choose one

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

► The marginal utility for the consumption of the fifth unit.
► The marginal utility for the consumption of the sixth unit.
► **The total utility for the consumption of the first five units.**
► The average utility for the consumption of the first five units.

Each individual unit of a good or service has its own marginal utility, and the total utility is simply the sum of all the marginal utilities of the individual units

PAPER # 17

Question No: 1 (Marks: 1) - Please choose one

Which of the following is a positive statement?

► When the price of a good goes up, consumers buy less of it.
► When the price of a good goes up, firms produce more of it.
► When the Federal government sells bonds, interest rates rise and private investment is reduced.
► **All of the given options**.

Question No: 2 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

► The economic perspective.
► Marginal analysis.
► Allocative efficiency.
► **Opportunity cost.**

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be:

► **A surplus of the good.**
► A shortage of the good.
► An equilibrium.
► None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If the quantity supplied of oranges exceeds the quantity demanded then:

► There is a shortage of oranges.
► **Market forces will cause the price to fall.**
► Market forces will cause the price to rise.
► The market is in equilibrium.

Question No: 5 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► **The consumer would not spend any additional income to buy more of that good.**

► Consumption of additional units would have positive marginal utility.
► Total utility is minimized.
► Total utility is also zero.

Question No: 6 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

► Unity--otherwise there would be no indifference.
► **The marginal rate of substitution.**
► The consumer's marginal utility.
► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

A production function:

► **Relates inputs with output.**
► Generates a curve that is upward sloping.
► Shows diminishing marginal product of an input, since it gets flatter as output rises.
► All of the given options.

Question No: 8 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

► Products with negative marginal utilities.
► Products with positive marginal utilities.
► Inputs with negative marginal products.
► **Inputs with positive marginal products.**

The negative slope indicates that each input has a positive marginal product

Question No: 9 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.
► **Fixed costs and variable costs.**
► Fixed costs and marginal costs.
► Average variable costs and marginal costs.

Question No: 10 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.
► Marginal revenue and average total cost.

► Price equals marginal revenue.

► **None of the given options.**

MC =MR

At the profit-maximizing level of output, the marginal cost is equal to Marginal revenue

Question No: 11 (Marks: 1) - Please choose one

A price taker is:

► A firm that accepts different prices from different customers.

► A monopolistically competitive firm.

► **A firm that cannot influence the market price.**

► An oligopolistic firm.

Question No: 12 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive,then:

► Price < Average Total Cost.

► **Price > Average Total Cost.**

► Price < Average Variable Cost.

► Price = Marginal Cost.

Profit Maximization

The two key criteria are that price is greater than average total cost (P > ATC) and that marginal revenue is equal to marginal cost (MR = MC).

Production Alternatives	
Price and Cost	**Result**
P > ATC	Profit Maximization Produce the quantity that equates MR and MC. Generate positive economic profit.
ATC > P > AVC	Loss Minimization Produce the quantity that equates MR and MC. Incur economic loss less than fixed cost.

P < AVC	Shutdown Stop producing in the short run. Incur economic loss equal to fixed cost.

Question No: 13 (Marks: 1) - Please choose one

The break-even point occurs when:

► Price < Average Variable Cost.
► Price < Average Total Cost.
► **Price = Average Total Cost.**
► Price > Average Variable Cost.

Question No: 14 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

► The reservation price to each customer.
► **Different prices for different blocks of the same good or service.**
► Different groups of customers different prices for the same products.
► Each customer the maximum price that he or she is willing to pay.

Reservation price - the maximum amount a person would be willing to pay for a unit of output

Question No: 15 (Marks: 1) - Please choose one

What happens to an incumbent firm's demand curve in monopolistic competition as new firms enter?

► It shifts rightward.
► **It shifts leftward.**
► It becomes horizontal.
► New entrants will not affect an incumbent firm's demand curve.

Question No: 16 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

► **The demand for houses has increased.**
► The demand curve for houses must be upward-sloping.
► The supply of houses has increased.
► Housing construction costs must be decreasing.

Question No: 17 (Marks: 1) - Please choose one

A natural monopoly is most likely to exist when:

► There are large barriers to entry.
► There are long term patents.
► **There are large economies of scale.**
► There is government regulation of the industry.

A natural monopoly arise when there *are* large economies *of* scale relative to the industry'
A natural monopoly exists when there is great scope for economies of scale to be exploited over a very large range of output

A natural monopoly exists if:	average cost of production is lowest when only one firm produces the entire industry output

• Barriers to entry can take several forms **A natural monopoly occurs when**

a. the product is sold in its natural state (such as water or diamonds).
b. there are economies of scale over the relevant range of output.
c. the firm is characterized by a rising marginal cost curve.
d. production requires the use of free natural resources, such as water or air.

.

When a natural monopoly exists, it is

a. always cost effective for government-owned firms to produce the product.
b. never cost effective for one firm to produce the product.
c. always cost effective for two or more private firms to produce the product.
d. never cost effective for two or more private firms to produce the product.

When a firm's average total cost curve continually declines, the firm is a

a. government-created monopoly.
b. natural monopoly.
c. revenue monopoly.
d. All of the above are correct.

Question No: 18 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**
► An inferior good.
► A Giffen good.

Question No: 19 (Marks: 1) - Please choose one

Usually the shape of production possibilities curve is:

► **Concave.**
► Convex.
► Linear.
► Positive.

Question No: 20 (Marks: 1) - Please choose one
If average physical product (APP) is increasing then which of the following must be true?

► **Marginal physical product is above the average physical product.**
► Marginal physical product is less than average physical product.
► Marginal physical product is decreasing.
► None of the given statements is true…

RELATIONSHIP BETWEEN APP AND MPP

If the marginal physical product equals the average physical product, the average physical
product will not change.
If the marginal physical product is above the average physical product, the average physical
product will rise.
If the marginal physical product is below the average physical product, the average physical
product will fall.

Question No: 21 (Marks: 1) - Please choose one
Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.
► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
► It is the result of market power and production costs.
► **None of the given statements is true.**

Because the quantity supplied at any particular price depends on the monopolist's demand curve.

Question No: 22 (Marks: 1) - Please choose one
The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

► The demand curve for chicken to shift to the left.
► The demand curve for chicken to shift to the right.

► Quantity demanded of chicken to increase.
► Quantity demanded of chicken to decrease.

Question No: 23 (Marks: 1) - Please choose one

Suppose an increase in income causes demand curve to shift to rightward. In this case, what will happen at any given price?

► The price elasticity of demand will remain unchanged.
► The price elasticity of demand will decrease in absolute terms.
► The price elasticity of demand will increase in absolute terms.
► The price elasticity of demand will increase, decrease or stay the same. It cannot be determined.

Question No: 24 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

► 10.
► 20.
► 30.
► 40.

40-30=10

Question No: 25 (Marks: 1) - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► 10.
► 13.
► 20.
► 33.

33-23=10

Question No: 26 (Marks: 1) - Please choose one

Which of the following determines the largest amount of output that a firm can produce with a given combination of inputs?

► Marginal product of labor.
► Gains from specialization.
► Cost function.
► Production function.

Question No: 27 (Marks: 1) - Please choose one

Which of the following best defines the marginal rate of technical substitution?

► The rate at which a producer is able to exchange, without affecting the

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quantity of output produced, a little bit of one input for a little bit of another input.

► The rate at which a producer is able to exchange, without affecting the total cost of inputs, a little bit of one input for a little bit of another input.

► The rate at which a producer is able to exchange, without affecting the total inputs used, a little bit of one output for a little bit of another output.

► A measure of the ease or difficulty with which a producer can substitute one technique of production for another.

MRTS is the amount of one factor, e.g. capital, that can be replaced by a one unit increase in the other factor e.g. labor, if output is to be held constant.

Question No: 28 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 100 + 3Q. What is the marginal cost?

► 100

► 3Q

► 3

► 103

Marginal Cost (MC) = Delta TC / Delta = Derivative of the total cost function (**TC =100 + 60Q**)

= 60

Question No: 29 (Marks: 1) - Please choose one

The total cost (TC) function is given as TC = 200 + 5Q. What will be the average total cost if four units of commodity are produced?

► 20

► 55

► 50

► 220

Given Q=4

Average Cost or Average total cost (AC or ATC)

AVC + AFC = ATC or AC

TC=200+5(4)

=200+20

=220

Question No: 30 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

► Heterogeneous products.

► Large competition.
► **Homogeneous products.**
► Less demand in market.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 31 (Marks: 1) - Please choose one

If the current market price is set above the market clearing level then which of the following will happen:

► **There will be downward pressure on the current market price**.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.
► There will be a surplus to accumulate.

Above the market clearing point , there is surplus and , downward pressure on price to fall

Question No: 32 (Marks: 1) - Please choose one

As price increases total revenue decreases in case of

► Inelastic demand.
► Unit elastic demand.

► Zero elastic demand.

► **Elastic demand.**

Question No: 33 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods A and B is negative; it means that goods are

► Independent.
► Inferior.
► **Complements.**
► Substitutes.

.

Question No: 34 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- ► Demand is inelastic.
- **► Demand is elastic.**
- ► Demand is perfectly elastic.
- ► Total revenue will remain constant.

PEoD = (% Change in Quantity Demanded)/(% Change in Price)

10/7=1.4

If PEoD > 1 then Demand is Price Elastic (Demand is sensitive to price changes

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EXTRA

Which of the following best expresses the law of diminishing marginal utility?
The more a person consumes of a product, the smaller becomes the total utility that he receives from its consumption.

The more a person consumes of a product, the smaller becomes the additional utility that he receives from consuming each additional unit.

The less a person consumes of a product, the smaller becomes the total utility that he receives from its consumption.

The less a person consumes of a product, the smaller becomes the additional utility that he receives from consuming each additional unit.

It is marginal (additional), not total, utility that declines when additional units of a product are consumed.

Human behaviour that seeks to maximize total utility is called

Rational behavior
Consumer choice theory
Marginal utility
Substitution effect

Seeking to maximize total utility is called rational behaviour by economists

Marginal utility is positive, but declining, when total utility is positive and
Rising at an increasing rate.
Falling at an increasing rate.
Rising at a decreasing rate.
Falling at a decreasing rate.

Marginal utility - the extra utility from each additional unit - is declining when total utility is increasing, but at a slower rate

How does the law of diminishing marginal utility explain why a demand curve is downward sloping?

As the quantity consumed increases, marginal utility received from each successive unit decreases, so the price the consumer is willing to pay for higher quantities will fall

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As the quantity consumed increases, marginal utility from each successive unit increases, so the price the consumer is willing to pay for larger quantities will rise.
As the quantity consumed decreases, marginal utility from each successive unit increases, so the consumer is willing to pay less for smaller quantities of the good

As the quantity consumed decreases, marginal utility received from each successive unit decreases, so the consumer is willing to pay less for smaller quantities of the good.

One difference between perfect competition and monopolistic competition is that
A) a perfectly competitive industry has fewer firms.
B) monopolistic competition has barriers to entry.
C) firms in monopolistic competition face a downward-sloping demand curve.
D) in perfect competition, firms produce slightly differentiated products.

In monopolistically competitive industries,
A) firms are not sensitive to changes in consumer demand.
B) the amount of variety in products is the same as in perfectly competitive industries.
C) non-price competition through product differentiation is vigorous.
D) firms produce where marginal cost exceeds the marginal benefit to consumers

Firms in monopolistic competition make products that are
A) close but not perfect substitutes.
B) perfect substitutes.
C) close but not perfect complements.
D) perfect complements

Product differentiation is a defining characteristic of
A) perfectly elastic demand.
B) perfect competition.
C) oligopoly
D) monopolistic competition

A monopolistically competitive industry has
A) a small number of large firms.
B) differentiated products.
C) significant barriers to entry.
D) mutually dependent firms.

Firms in monopolistic competition can achieve product differentiation by
A) exploiting economies of scale in production.
B) advertising special characteristics.

C) expanding plant size.
D) setting the price equal to average revenue.

A characteristic of monopolistic competition is that each firm
A) faces perfectly elastic demand.
B) faces a downward-sloping demand curve.
C) has a perfectly inelastic supply.
D) has a perfectly elastic supply

For a firm in monopolistic competition, the marginal cost curve intersects the average total cost curve
A) at no point.
B) at the minimum average total cost.
C) to the left of the minimum average total cost.
D) to the right of the minimum average total cost.

In the short run, a monopolistically competitive firm chooses
A) its quantity but not its price.
B) neither its price nor its quantity.
C) its price but not its quantity
D) both its price and its quantity.

In long-run equilibrium, a firm in monopolistic competition earns
A) a normal profit.
B) an economic profit but the economic profit is less than it would be if the firm was a monopoly.
C) an economic profit that is higher than what it would be if the firm was a monopoly.
D) an economic profit that is the same amount as it would be if the firm was a monopoly.

I**n the long run, a firm in monopolistic competition will**

A) earn a positive economic profit.
B) earn a negative economic profit, that is, an economic loss.
C) earn zero economic profit, that is, a normal profit.
D) None of the above answers is necessarily correct because the amount of the profit or loss depends on the slope of the demand curve.

In the long run, a monopolistically competitive firm's price equals its
A) marginal cost but not its average total cost.
B) average total cost and its marginal cost.
C) average total cost but not its marginal cost.
D) neither marginal cost nor its average total cost.

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When only a small number of producers compete with each other is a defining characteristic of
A) monopolistic competition.
B) oligopoly.
C) efficient competition.
D) inelastic supply.

A monopolistically competitive firm has excess capacity because in the
A) long run it earns an economic profit.
B) short run its *ATC* is less than its *AVC*.
C) short run its *MR* exceeds its *MC*.
D) long run its *ATC* exceeds its minimum *ATC*.

Under conditions of pure monopoly:
A) there are close substitutes.
B) there is no advertising.
C) the firm is a price taker.
D) entry is blocked.

Which is a barrier to entry In Monopoly ?
A) patents
B) revenue maximization
C) profit maximization
D) elastic product demand

At the profit-maximizing level of output, a monopolist will always operate where:
A) price is greater than marginal cost.
B) price is greater than average revenue.
C) average total cost equals marginal cost.
D) total revenue is greater than total cost.

In the short run, a monopolist's profits:
A) may be positive, negative, or zero.
B) are positive because of the monopolist's market power.
C) are positive if the monopolist's elasticity of demand is less than 1.
D) are positive if the monopolist's selling price is above average variable cost.

Monopolists are said to be allocatively inefficient because:
A) they produce where MR > MC.
B) at the profit-maximizing output price is greater than AVC.
C) they produce only the type of product they desire and do not consider the consumer.
D) at the profit-maximizing output the marginal benefit to society of additional output is greater than the marginal cost to society.

Compared to competitive markets, monopolies charge:

a. higher prices, produce more output, but make lower profits.
b. higher prices, produce more output, and make higher profits.
c. higher prices, produce less output, and make higher profits.
d. lower prices, produce more output, and make higher profits.
e.

All other things equal, compared to a competitive market, a monopoly will have:

a. higher profits and greater efficiency.
b. lower profits and greater efficiency.
c. lower profits and lower efficiency.
d. higher profits and lower efficiency.

Economies of scale over a wide range of output:

a. are a barrier to entry.
b. mean that average cost decreases over a wide range of output.
c. lead to natural monopoly.
d. all of the above.

In long-run equilibrium, monopoly prices are set a level where:

(a) price exceeds marginal revenue.
(b) industry demand equals industry supply.
(c) industry demand is less than industry supply.
d) price exceeds average revenue.

At the profit maximizing level of output for a monopolist:

(a) P = AR and AR = AC
(b) P = MC and MR > MC
(c) P > MC and MR = MC
(d) P = MR and AC = MC

A **firm will earn normal profits when price:**

(a) equals average total cost.
(b) equals average variable cost.
(c) equals marginal cost.
(d) exceeds minimum average total cost

In the short run, a perfectly competitive firm will shut down and produce nothing if:

(a) excess profits equal zero.
(b) total cost exceeds total revenue.
(c) total variable cost exceeds total revenue.
(d) the market price falls below the minimum average total cost.

Which of the following is not characteristic of perfect competition?
(a) a differentiated product.
(b) no barriers to entry or exit.
(c) large number of buyers.
(d) complete knowledge of market price.

If a perfectly competitive firm incurs an economic loss, it should:
(a) shut down immediately.
(b) try to raise its price.
(c) shut down in the long run.
(d) shut down if this loss exceeds fixed cost.

When a firm produces at the point where MR = MC, the profit that it is earning is considered to be:
(a) maximum.
(b) normal.
(c) above normal.
(d) not enough information is provided.

we have following demand and supply function Qd = 100 – 10 P, Qs = 40 + 20 P, what is equilibrium price?

2
80
5
20

In equilibrium,
Qd = Qs
Therefore,
100 - 10P = 40 + 20P
20P + 10P = 100 - 40
30P = 60
P = 60/30
P = 2

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we have following demand and supply function Qd = 100 – 10 P, Qs = 40 + 20 P, what is equilibrium Quantity ?

2

80

40

10

In equilibrium,

Qd = Qs

Therefore,

100 - 10P = 40 + 20P

20P + 10P = 100 - 40

30P = 60

P = 60/30

P = 2

Putting the value of price in any of demand and supply equation,

Qd = 100 – 10 P

Q = 100 – 10x2

Q = 100 – 20

Q = 80

Qs = 40 + 20 P

Qs = 40 + 20 x2

Qs = 40 + 40

Qs = 80

The equilibrium price is 2 and the equilibrium quantity is 80

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ECO 401- QUIZ
+ Additional MCQ's

1-If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:

Price must rise.

Price must fall.

Quantity must rise.

Quantity must fall

2-Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:

Independent.

Complements.

Substitutes.

Inferior.

Cross elasticity for substitues = +
Corss elasticity for complements = -

3-If we observe that the production possibilities curve becomes steeper as we move down along the curve, then:

Opportunity costs are increasing.

Society's resources are limited.

Society's wants are unlimited.

Society's wants are unlimited.

4-The fact that the slope of the production possibilities curve becomes steeper as we move down along the curve indicates that:

The principle of increasing opportunity costs is relevant.

Society's resources are limited.

Resources are perfectly shiftable between alternative uses.

The opportunity cost of producing each product is constant

The idea of opportunity cost

http://www3.fitnyc.edu/itm/Yanez/SS141/StudyQuestions/Ch_2_Set3.pdf

5-The idea of opportunity cost:

Applies to consumers, but not to businesses.

Applies to businesses, but not to consumers.

Is relevant to economies of all ideological persuasions.

Would disappear if we were able to eliminate poverty.

6-If the cross price elasticity of demand between two products is +3.5, then:

One of the products is expensive and one is relatively inexpensive.

One product is a normal good and the other is an inferior good.

The two products are complements.

The two products are substitutes

Cross elasticity for substitues = +

Corss elasticity for complements = -

7-If there is a price ceiling, there will be:

Shortages

Surpluses.

Equilibrium.

None of the given options.

8-The production possibilities curve:

Shows all combinations of goods that society most desires.

Indicates that any combination of goods lying outside the curve is attainable.

Shows the maximum level of output that an economy can produce with all the Available resources.

Shows only those combinations of two goods that reflect "full production".

What does a Production possibilities table do
List the different combination of two products that can be produced with a specific set of resources (and with full employment and productive efficiency).
The PPC represents all of the possible combinations of capital goods and consumer goods that can be produced in a given period of time with the current quantity and quality of resources, or factor endowment, and the current state of technology in the country.

9-Which of the following is a characteristic of a mixed economy?

In mixed economy, resources are governed by both government and individuals.

Mixed economy utilizes the characteristics of both market economy and Planned economy to allocate goods and services.

People are free to make their decisions and government controls the Defense.

All of the given options are true.

10-The principle economic difference between a competitive and a noncompetitive Market is:

The number of firms in the market.

The extent to which any firm can influence the price of the product.

The size of the firms in the market.

The annual sales made by the largest firms in the market.

11-The opportunity cost of an action:

Will be the same for everyone.

Is the value of the next best alternative.

Measures the undesirable aspects of that action.

Is the average amount of unhappiness experienced by everyone involved.

12-Assume that the current market price is above the market clearing level. We Would expect:

A shortage to accumulate.

A surplus to accumulate.

Upward pressure on the current market price.

Lower production during the next time period.

13-Which of the following is true about the entrepreneur?

Select correct option:

An entrepreneur is an innovator.

An entrepreneur is someone who brings resources together and produces a product.

An entrepreneur is a risk taker.

All of the given options are correct.

14-An indifference curve is:

Select correct option:
A collection of market baskets that are equally desirable to the consumer.

A collection of market baskets that the consumer can buy.

A curve whose elasticity is constant for every price.

A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

15-Assume that the current market price is below the market clearing level. We Would expect:

Select correct option:
A surplus to accumulate.

Downward pressure on the current market price.

Upward pressure on the current market price.

Lower production during the next time period.

16-**If the cross price elasticity of demand between two products is +3.5, then:**

One of the products is expensive and one is relatively inexpensive.

One product is a normal good and the other is an inferior goo

The two products are complement

Substitute products

17-Sultan is running a logistics business and provides logistics services to the local business community. For his company, truck falls in the category of _______.

Capital

Labor

Entrepreneur

Land

18-Microeconomics is the branch of economics that deals with which of the following?

Individual consumers.

Individual firms and investors.

Unemployment and interest rate

Individual consumers, individual firms and investors.

19-Assume that the current market price is below the market clearing level. We would expect:

A surplus to accumulate.

Downward pressure on the current market price.

Upward pressure on the current market price.

Lower production during the next time period.

20-Other things remaining same, when raw material costs increase of an industry then:

The supply curve shifts to the left.

The supply curve shifts to the right.

Output increases regardless of the market price and the supply curve shifts upwards.

Output decreases & the market price also decreases.

21-Mujtaba has paid Rs. 75000 as rent last month which in his opinion has increased slightly as compared to previous months. Which of the following he has paid for?

Labor

Capital

Land

Entrepreneurship

22- When an industry's raw material costs decrease, other things remaining the same:

The supply curve shifts to the right

The supply curve shifts to the left.

Output increases regardless of the market price and the supply curve shifts upward.

Output decreases and the market price also decrease.

23-Sultan is running a logistics business and provides logistics services to the local business community. For parking trucks he has hired an open plot in the mid of the city. For his company, the open plot falls in the category of _________.

Labor

Capital

Land

Entrepreneurship

24-Although there are many reasons why a market can be non-competitive, the principal economic difference between a competitive and a non-competitive market is:

The number of firms in the market.

The extent to which any firm can influence the price of the product.

The size of the firms in the market.

The annual sales made by the largest firms in the market.

25-Accounts office of Z&X corporations has paid Rs.250000 on account of profit in the month of August 2011. Which of the following the accounts office has paid for?

Labor

Capita

Land

Entrepreneur

26-If the quantity demanded of mangoes exceeds the quantity supplied of mangoes:
There is a surplus of mangoes

Market force will cause the price to fall

Market force will cause the price to rise

The market is in equilibrium

27-The process by which we limit the supply or amount of some economic factor which is scarcely available is called:

Rationing

Budling

Price floor

Price ceiling

Rationing is a process by which we limit the supply or amount of some economic factor which is scarcely available.

28-A point on a nation's production possibility frontier shows:

An undesireable combination of good and services

An unatainable combination of good and services

That resources are fully employed in producing particulars goods and services

The level of production that will cause both unemployment and inflation

29-Which of the following factors would cause leftward shift in supply curve for bicycles?

Decrease in wages

Increase in price of input

Decrease in price of input

Use the latest technology in production of bicycle

30-Measurement of elasticites is made in percentage terms because:

It is easy to calculate

The resulting measurement is unit free

It give a more accurate answer

The answer is always negative way

31-Suppose quantity demanded of chicken increases by 5 percent in response to 2 percent increase in price of beef. The cross-price elasticity of demand for chicken with respect to price of beef is:

+2.5

-2.5

+.25

-.25

PЄd = Percentage change in Quantity Demanded / Percentage change in Price
PЄd = 5/2 = +2.5

32-Normally the shape of production possibility frontier is:

Positive

Convex

Lenear

Concave

33- **If desk lamps and bulbs are complementary goods, a fall in price of desk lamps will shift the demand curve for:**

Bulbs to the right

Bulbs to the right

Desk lamps to the right

Desk lamps to the left

34-The law of diminishing marginal utility indicates that the demand curve is:

Select correct option:

Vertical.

U shaped.

Upward Sloping

Downward sloping.

35-A normative economic statement:

Select correct option:

Is a statement of fact.

Is a hypothesis used to test economic theory.

Is a statement of what ought to be, not what is

Is a statement of what will occur if certain assumptions are true.

36-Oligopoly differs from monopolistic competition in that an oligopoly includes: Select correct option:

Product differentiation.

No barriers to entry.

Barriers to entry

Downward sloping demand curves facing the firm.

37-Which of the following shows the condition for consumer's equilibrium?

It can be expressed as marginal utility per dollar spent on each good being equalized across all goods.

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It can be expressed as the ratio of (marginal utility per unit of the good)/(price per unit of the good) being equalized across all goods.

It can be expressed as the ratio of marginal utilities being equated to the ratio of prices for all possible pairs of goods**.**

All of the given options.

Why does an individual's optimal choice on how much to consume entail equalizing the marginal utility per dollar spent across all goods and services?

Answer: This is the choice of goods that maximize the level of satisfaction for the consumer.

This ratio is particularly important in determining consumer equilibrium, which is reached when the marginal utility-price ratios are the same for all goods.

One condition for consumer equilibrium is that the marginal utility per dollar spent on a good must equal the marginal utility per dollar of the other goods.

Consumer equilibrium: a condition in which total utility cannot increase by spending more of a given budget on one good and spending less on another good.

The ratio of the marginal utility obtained from consuming a good to the price of the good. This ratio is particularly important in determining consumer equilibrium, which is reached when the marginal utility-price ratios are the same for all goods. **Equality between all marginal utility-price ratios is the rule of consumer equilibrium which is satisfied with utility maximization**.Consumer maximizes utility be equating the marginal utility-price ratio for each good purchased and consumed

To maximize total utility, a consumer equates

The total utility from each good.

The marginal utility from each good.

The marginal utility per dollar spent on each good.

The total utility per dollar spent on each good.

38-Which of the following is considered to be a variable cost in the long run?

Select correct option:

Expenditures for wages.

Expenditures for research and development.

Expenditures for raw materials.

All of the given Costs.

39-Which of the following can be thought of as a barrier to entry?

Select correct option:

Scale economies.

Patents.

Strategic actions by incumbent firms.

All of the given option are true

40-Marginal utility is best described as:

Select correct option:

The additional satisfaction gained by consumption of the last good.

The per unit satisfaction of the good consumed.

The total satisfaction gained from the total consumption of the good.

The change in satisfaction from consuming one additional unit of the good

If Competitive markets do not achieve equitable outcomes, then it is called:

Imperfect market structure.

Market failure.

Not rational consumers.

None of the given options.

Market failure occurs when resources are misallocated, or allocated inefficiently. There are four important sources of market failure, each of which results from the failure of one of the assumptions basic to the perfectly competitive model. Each also points to a potential role for government in the economy.

Competitive markets achieve an efficient allocation of resources as long as other market failures are not present. The lack of competition, also termed market control, is one key market failure. **Three noted market failures are externalities, public goods, and imperfect information.**

41-In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:
Select correct option:

Decreasing returns to scale.

Constant returns to scale.

Increasing returns to scale

Negative returns to scale.

42-If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by

Select correct option:

14%.

8%

16%.

20%.

PЄd = Percentage change in Quantity Demanded / Percentage change in Price
-0.4 = ? / 20

Quantity Demanded = -0.4 x 20 =8

43-What is the reason of leftward shift in the demand curve for product A?
Select correct option:

A decrease in income if A is an inferior good.

An increase in income if A is a normal good.

An increase in the price of a product that is a close substitute for A.

An increase in the price of a product that is complementary to A

44-Revenue is equal to price times:
Quantity.

Quantity minus total cost.

Quantity minus average cost.

Quantity minus marginal cost.

45-Mujtaba has paid Rs. 75000 as rent last month which in his opinion has increased slightly as compared to previous months. Which of the following he has paid for?

Labor

Capital

Land

Entrepreneurship

46-Arifa in her recent address in National assembly said that poverty should be reduced in Pakistan. Which category her statement falls in?

Normative

Positive

Negative

None of the given options

47-The law of diminishing marginal utility states:

The supply curve slopes upward.

The elasticity of demand is infinite.

Your utility grows at a slower and slower rate as you consume more and more units of a good.

Your utility grows at a slower and slower rate as you consume less units of a good.

http://highered.mcgraw-hill.com/sites/0073511293/student_view0/chapter5/multiple_choice_quiz.html

48-Suppose a person is willing to give up 20 units of good A (on the vertical axis) for 10 units of good B (on the horizontal axis), and his level of satisfaction is unchanged, the marginal rate of substitution is:

0.5.

2.

5.

10.

$$MRS_{xy} = \frac{\Delta Y}{\Delta X}$$

Marginal Rate of Substitution

Combination	Good X	Good Y	MRS of X for Y
1	1	13	--
2	2	9	4 : 1
3	3	6	3 : 1
4	4	4	2 : 1
5	5	3	1 : 1

If the marginal rate of substitution of hamburgers for hot dogs is 2, then the individual would be willing to give up 2 hamburgers in order to obtain 1 extra hot dog.

49-Zafar Iqbal stated in his opening note at University of Economics that food prices should be controlled for a comfortable living. Which category his statement falls in?

Normative

Positive

Negative

None of the given options

50-Asifa while addressing the young parliamentarians said that rising inflation in Pakistan was due to the high interest rates. Which category her statement falls in?

Normative

Positive

Negative

None of the given options

51-In a free market economy, resources are allocated on the basis of:

Votes taken by consumers.

A central planning authority.

Consumer preferences.

The level of profits of firms.

52-If the equilibrium price of Panadol tablet is Rs.2 and government imposes a Rs.1 price ceiling on the price of Panadol tablet, there will be ________ of Panadol tablet.

Surplus

Shortage

Increase in production

Decrease in demand

53-If price of MP3 players rises and as a result, the demand for headphones decreases, then one can say that MP3 players and headphones are:

Normal goods.

Substitutes.

Complements.

Inferior goods.

54-A farm can produce 100 kilogram of apples per year with 2 workers and 400 kilogram of apples per year with 3 workers. The marginal product of the third worker is:

100 kilogram.

300 kilogram.

400 kilogram.

500 kilogram.

400 -100 = 300

55-If inputs used in the production of wheat are increased by 30 percent and wheat production increases by 40 percent, then there must be:

Increasing returns to factor.
Constant returns to scale.
Increasing returns to scale.
Decreasing returns to scale.

56-Microeconomics is the branch of economics that deals with which of the following?

Individual consumers
Individual firms and investors
Unemployment and interest rates
Individual consumers and individual firms and investors

57-Atif Khan, Young minister for agriculture, has updated in a talk show that rise in food prices is due to the rising oil prices. Which category his statement falls in?

Normative
Positive
Negative
None of the given options

58-Our economy is characterized by:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

59-Ahmad spends all of his money on food and clothes. What would happen to Ahmad's budget line if his income increased by 20 percent holding prices constant?

It would shift inward.
It would shift outward.
It would rotate about the axis for food.
It would rotate about the axis for clothes.

60---------------- is the rate at which a firm can substitute capital for labor and hold output constant.

Diminishing marginal returns

Marginal rate of substitution

Marginal rate of production

Marginal rate of technical substitution

MRTS is the amount of one factor, e.g. capital, that can be replaced by a one unit increase in the other factor e.g. labor, if output is to be held constant.

61-Suppose a person is willing to give up 20 units of good A (on the vertical axis) for 10 units of good B (on the horizontal axis), and his level of satisfaction is unchanged, the marginal rate of substitution is:

0.5.

2

5.

10.

62-It is calculated as the percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good.

Select correct option:
Price elasticity of demand

Income elasticity of demand

Cross price elasticity of demand

Supply price elasticity

63-A Demand Curve is price inelastic when:
Select correct option:

Changes in demand are proportionately smaller than those in price

Changes in demand are proportionately greater than those in price

Changes in demand are equal than those in price

None of the given options.

64-A partial explanation for the inverse relationship between price and quantity demanded is that a:
Select correct option:

Lower price shifts the supply curve to the left

Higher price shifts the demand curve to the left

Lower price shifts the demand curve to the right

Higher price reduces the real incomes of buyers

65-A "Giffen good" is defined as one for which:
Select correct option:
Marginal utility is zero.

The demand curve is perfectly elastic.

The substitution effect is positive.

The demand curve is positively sloped.

66-A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:

Resources are not perfectly shiftable between productions of the two goods

Capital goods and consumer goods utilize the same production technology

Resources are scarce relative to human wants

Opportunity costs are decreasing

http://highered.mcgraw-hill.com/sites/0077230981/student_view0/chapter1/quiz.html

A "bowed out" production possibilities curve indicates that some resources are better suited in the production of one good over the other and that opportunity costs increase as more and more of that good are produced.
The production possibilities curve is bowed out from the origin because of increasing opportunity cost
The production possibilities curve is bowed outward if resources are not perfectly adaptable to different alternative uses

67-If diminishing marginal utility holds, and a person consumes less of a good, then all else being equal:
Select correct option:

The price of the good will rise.

Marginal utility will rise

Expenditure on the good will increase

Marginal utility will decline

68-If MUx/Px exceeds MUy/Py, then the consumer should

a. consume more of good X and less of good Y

b. consume less of good X and more of good Y

c. consume less of both goods X and Y

d. not change the consumption levels of X and Y

e. consume more of good Z

69-If the demand curve is a horizontal line,

a. demand is perfectly elastic

b. demand is perfectly inelastic

c. demand is unitary elastic

d. demand is relatively inelastic

e. total expenditure is maximized

70- **An increase in the price of a loaf of bread will**

a. reduce the minimum number of loaves any individual consumer can purchase

b. increase the minimum number of loaves any individual consumer can purchase

c. increase the maximum number of loaves any individual consumer can purchase

d. reduce the maximum number of loaves any individual consumer can purchase

71- The market demand curve is

a. any individual consumer's demand curve multiplied by the number of consumers in the market

b. a relationship between total income and total quantity demanded

c. the horizontal sum of the individual demand curves of all consumers in the

market

d. the vertical sum of the individual demand curves of all consumers in the market

e. the sum of the prices paid at each quantity demanded

72-Which of the following formulas is *not* correct?

a. ATC = AVC + (TFC/Q)

b. TVC = TC/Q

c. TC = TFC + TVC

d. AFC = TFC/Q

e. TVC = AVC × Q

73-According the law of diminishing returns:
Select correct option:

The marginal product falls as more units of a variable factor are added to a fixed factor.

Marginal utility falls as more units of a product are consumed.

The total product falls as more units of a variable factor are added to a fixed factor.

The marginal product increases as more units of a variable factor are added to a fixed factor.

74-If consumer incomes increase, the demand for product Y:
Select correct option:
Will necessarily remain unchanged

Will shift to the right if Y is a complementary good

Will shift to the right if Y is a normal good

Will shift to the right if Y is an inferior good

75-When drawing demand and supply curves, economists are assuming that the primary influence on production and purchasing decisions is:
Select correct option:

Price

Cost of production

The overall state of the economy

Consumer incomes

http://highered.mcgraw-hill.com/sites/0073375691/student_view0/chapter3/quiz.html

76-A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

Supply Scedule.

Demand Scedule.

Quantity supplied Scedule.

Quantity demanded Scedule.

77-Price floor results in:

Equilibrium.

Excess demand.

Excess supply.

All of the given options.

78-Which of the following will happen if there is an increase in the long term economic growth?

The production possibilities curve will shift outward.

The production possibilities curve will shift inward.

There will be a movement from inside the production possibilities curve to a point on the production possibilities curve

79-If a firm operates in a perfectly competitive market, then it will most likely:

Advertise its product on television.

Have difficult time obtaining information about the market price.

Settle for whatever price is offered.

Have an easy time keeping other firms out of the market.

80-The burden of a tax is shifted toward buyers if:

Demand is perfectly elastic.

Demand is relatively more elastic than supply.

Demand is relatively more inelastic than supply.

Demand and supply have equal elasticities.

81-Demand is said to be -------------- when the elasticity of demand is less than 1.

Increasing

Decreasing

Elastic

Inelastic

82-According to the law of diminishing marginal utility, as the consumption of particular good increases:

Total utility increases.

Marginal utility increases.

Total utility decreases.

Marginal utility decreases.

83-While drawing a given market demand curve,-------------- is not considered

constant.

Income.

The price of the good in question.

The prices of related goods.

Preferences.

On a market demand curve, only the price of the product and its quantity are allowed to vary.
An **individual demand curve** is a graphic representation between the price of a good and the quantity of it demanded by a person holding all other factors (preferences, the prices of other goods, and income) constant

84-Economists who are concerned about the behavior of individual households, firms and industries are studying:

Microeconomics

Macroeconomics

Positive economics

Normative economics

85-When an industry's raw material costs increase, other things remaining the same:

The supply curve shifts to the left.

The supply curve shifts to the right.

Output increases regardless of the market price and the supply curve shifts upward.

Output decreases and the market price also decrease.

86-A partial explanation for the inverse relationship between price and quantity demanded is that a:
Lower price shifts the supply curve to the left.

Higher price shifts the demand curve to the left.

Lower price shifts the demand curve to the right.

Higher price reduces the real incomes of buyers

87-If utility remains the same for original and new combination of goods consumed, the
effect of a change in the price of a good on the quantities consumed will be called as:

Substitution effect.

Real income effect.

Income effect.

Budget effect

88-Monopolistic competition and oligopoly share which characteristic?

Free entry and exit from the industry

Strategic behavior

Standardized products

Advertising

89-When the marginal revenue product is greater than the marginal input cost of labor, the profit maximizing firm will:

Hire more

Hire less

Maintain the same employment

Decrease output

90-In which market structure(s) will price exceed marginal revenue?

Differentiated oligopoly and monopoly only

Standardized oligopoly and pure competition only

Monopolistic competition and monopoly only

Monopolistic competition, oligopoly, and monopoly

http://novellaqalive.mhhe.com/sites/0073273090/student_view0/chapter11/quiz_2.html

91-Which of the following market structure(s) achieves allocative efficiency?

Pure competition only

Pure competition and monopolistic competition only

Pure competition and homogeneous oligopoly only

Monopolistic competition and differentiated oligopoly only

In all industry structures other than pure competition, price will exceed marginal cost, which is the condition required for allocative efficiency.

92-Suppose several firms in a purely competitive industry begin to experiment slightly with their product design, which allows them to modestly increase their prices. The industry would now more closely resemble:

Pure monopoly

Oligopoly

Monopolistic competition

Competitive monopoly

Monopolistic competition is characterized by product differentiation, but is otherwise similar to pure competition.

93-In which market structure do firms exist in very large numbers, each firm produces an identical product and there is freedom of entry and exit?

Monopoly

Oligopoly

Perfect competition

Monopolistic competition

94-More output could be produced with available resources if:

Resources are allocated efficiently.

Resources are imperfectly shiftable among alternative uses.

Prices are reduced.

The economy is operating at a point inside the production possibilities curve

95-The cross elasticity of demand of complements goods is:

Less than 0.
Equal to 0.
Greater than 0.
Between 0 and 1.

The cross elasticity of zero reveals that the two goods are neither complements nor substitutes.

96-Complementary goods have:
a) The same elasticities of demand
b) A positive cross-price elasticity of demand
c) A negative cross-price elasticity of demand
d) None of the above

The answer is C. When goods are complements the cross-price elasticity will be less than zero.

97-If tea and coffee are substitute goods, then the cross-price elasticity will be:

a) Positive

b) Negative

c) Equal to zero

d) None of the above

The answer is A. If two goods are substitutes then the cross-price elasticity will be greater than zero. For example if the price of coffee rises then the demand for tea will rise as consumers substitue it for coffee.

98-If the price of a GM cars fall by 8% and during the same time period the demand for a Ford car decreases by 2%. The cross-price elasticity of the demand for Ford cars is:

a) 0.5

b) 2.0

c) -0.25

d) 0.25

The answer is D. For cross-price elasticity it is the change in demand divided by the change in price (-2/-8). Also, the goods are substitues since the cross-price elasticity is greater than zero.

99-If computers and computer software are complementary goods. What should happen to the demand for computers if computer software prices increase?

a) Increase
b) Decrease
c) Remain The Same

The answer is B. Since the two goods are complements, and increase in the price of software will lead to a decrease in the demand for computers.

100-For substitue goods, we have cross-price elasticity

a) Always less than zero

b) Always greater than zero

c) Always equal to zero

d) None of the above

The answer is B. There is a direct relationship between the price of a good and the quantity demanded for the related good when they are substitue goods. Increase in the price of one good will lead to an increase in demand for the other and thus cross price elasticity will always be positive.

101-Cross-price elasticity equals to zero for

a) Complementary goods

b) Substitute goods

c) Unrelated goods

d) None of the above

The answer is C. When there is no relationship between two products, the cross price elasticity of demand is zero.

102-Moving from left to right, the typical production possibilities curve:

Is horizontal.

Has a constant positive slope.

Illustrates increasing opportunity costs.

Illustrates decreasing opportunity costs.

103-The numerical measurement of a consumer's preference is called:
Satisfaction.

Use.

Pleasure.

Utility.

104-The point at which AC intersects MC is where:

AC is decreasing.

MC is at its minimum.

AC is at its minimum.

AC is at its maximum.

105-If firms in a competitive industry are experiencing losses in the short run, then:

The firms will try to raise prices.

Some firms will choose to shut down.

The industry will cease to exist.

New firms will enter the industry.

106-The percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good is called:

Price elasticity of demand.

Income elasticity of demand.

Cross price elasticity of demand.

Supply price elasticity.

107-The extra value that consumers receive above what they pay for that good is called:
Producer surplus.

Utility.

Marginal utility.

Consumer surplus.

108-The law of increasing opportunity costs states that:
The more one is willing to pay for resources, the larger will be the possible level of

production.

Increasing the production of a particular good will cause the price of the good to rise.

In order to produce additional units of a particular good, it is necessary for society

tosacrifice increasingly larger amounts of alternative goods.

Only by keeping production constant can rising prices be avoided.

109-Which of the following is not one of the three core economic issues that must be resolved?
A. How to produce the goods and services we select
B. What to produce with unlimited resources
C. Who should get the goods and services we produce
D. What to produce with limited resources

Resources are not unlimited

110-The role of the entrepreneur in an economy is to:

A. Bring the factors of production together and assume the risk of production.
B. Work with government planners to determine what goods are produced.
C. Arrange bank financing for the owners of new businesses.
D. Ensure full employment of labor.

111-**In economics, the "long run" is a time period in which:**

All inputs are variable.

All inputs are paid for.

All outputs are determined.

All loans are repaid.

112-If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

More bread will be produced to meet the increased demand.

There will be a shortage of bread.

The demand for bread will decrease because suppliers will reduce their supply.

A surplus of bread will emerge

113-The price elasticity of supply shows us:

How steep the supply curve is.

How fast supply responds to price.

How much supply shifts when income changes.

How much quantity supplied responds to price changes.

114-The percentage change in quantity demanded given a percentage change in consumer's income is known as:

Price elasticity of demand.

Income elasticity of demand.

Supply price elasticity.

Cross price elasticity.

115-Marginal Cost is defined as:

The derivative of Variable Cost with respect to quantity produced.

The derivative of Average Cost with respect to quantity produced.

The derivative of Total Cost with respect to quantity produced.

The derivative of Average Variable Cost with respect to quantity produced.

116-The law of diminishing marginal utility:

Refers to the decrease in total satisfaction as more units of the good are consumed.

Refers to the fall in additional satisfaction created by consumption of more and more.

Refers to the units of a good.

Refers to the idea that total utility is negative.

117-A new technology which reduces costs for firms:

Shifts the supply curve to the right.

Shifts the supply curve to the left.

Reduces the equilibrium quantity.

Raises the equilibrium price.

118-In the long run, profits will equal zero in a competitive market because of:

The availability of information.

Identical products being produced by all firms.

Constant returns to scale.

Free entry and exit

119-The substitution effect of a price decrease for a good with a normal indifference curve pattern:

Is always inversely related to the price change.

Measures the change in consumption of the good that is due to the consumer's feeling of being richer.

Is measured by the horizontal distance between the original and the new indifference curves.

Is sufficient information to plot an ordinary demand curve for the commodity being considered.

120-Opportunity cost is:

A. Only measured in dollars and cents.

B. The dollar cost to society of producing the goods.

C. The difficulty associated with using one good in place of another.

D. The alternative that must be given up in order to get something else

121-A production-possibilities curve indicates the:

A. Combinations of goods and services an economy is actually producing.

B. Maximum combinations of goods and services an economy can produce given its available resources and technology.

C. Maximum combinations of goods and services an economy can produce given unlimited resources.

D. Average combinations of goods and services an economy can produce given its available resourcesand technology.

122-The points on a production-possibilities curve show:
A. Desired output.

B. Actual output.

C. Potential output.

D. All of the above.

123-If an economy is producing inside the production-possibilities curve, then:
A. There is full employment of resources.

B. It is operating efficiently.

C. It can produce more of one good without giving up some of another good.

D. There are not enough resources available to produce more output.

124-A mixed economy:
A. Is justified by the superiority of laissez faire over government intervention.

B. Utilizes both market and nonmarket signals to allocate goods and services.

C. Relies on the use of central planning by private firms rather than the government.

D. Is one that allows trade with other countries.

125-Which will cause the demand for hamburger to increase ?

A) a decrease in the price of hamburger
B) an increase in the price of catsup, which is a complementary good
C) an increase in the price of pizza, which is a substitute good
D) **a decrease in the price of feed (grain), which is used to produce hamburger**

126-Which will change only the quantity demanded of oranges ?

A) an increase in the population
B) a change in the price of oranges
C) a change in the price of tangerines
D) a decrease in the income of consumers

127-Other things being equal, the law of demand implies that as :

A) the demand for CDs increases, the price will decrease .
B) income increases, the quantity of CDs demanded will increase .
C) **the price of CDs increases, the quantity of CDs demanded will decrease** .
D) the price of CDs increases, the quantity of CDs demanded will increase

128-A lower price increases the quantity demanded because :

A) the purchasing power of individuals decreases .
B) the financial assets of individuals decrease .
C) individuals buy more of the product and less of a substitute .
individuals buy less of the product and more of a substitute

129-Which is consistent with the law of demand ?

A) A decrease in the price of turkey sandwiches causes a decrease in the quantity of turkey sandwiches demanded .
B) A decrease in the price of tacos causes no change in the quantity of tacos demanded .
C) An increase in the price of pizza causes an increase in the quantity of pizza demanded .
D) **An increase in the price of hamburgers causes a decrease in the quantity of hamburgers demanded**.

.

130- **If the price of oil, a close substitute for coal, increases, then the:**

A) Supply curve for coal will shift to the right .
B) **Demand curve for coal will shift to the right** .

C) Equilibrium price and quantity of coal will not change .
Demand curve for coal will shift to the left

131- A market will experience a ---------- when the price is above equilibrium, and a ---------- when price is below equilibrium .

A) Shortage , Shortage .
B) Surplus , Surplus .
C) Shortage , Surplus .
D) Surplus , Shortage .

132-Which of the following will *not* produce an outward shift of the production possibilities curve?

an upgrading of the quality of a nation's human resources

the reduction of unemployment

an increase in the quantity of a society's labor force

the improvement of a society's technological knowledge

133-The slope of the typical production possibilities curve:

Is positive.

Increases as one moves southeast along the curve.

Is constant as one moves down the curve.

Decreases as one moves southeast along the curve.

134-The typical production possibilities curve is:

An upsloping line that is concave to the origin.

A downsloping line that is convex to the origin.

A downsloping line that is concave to the origin.

A straight upsloping line.

135-Which of the following is assumed in constructing a typical production possibilities curve?

The economy is using its resources inefficiently.

Resources are perfectly shiftable among alternative uses.

Production technology is fixed.

the economy is engaging in international trade

136-If the production possibilities curve were a straight downsloping line, this would suggest that:

Resources are perfectly shiftable between the production of these two goods.

It is possible to produce more of both products.

Both products are equally capable of satisfying consumer wants.

the two products have identical prices

137-In drawing the production possibilities curve we assume that:

Technology is fixed.

Unemployment exists.

Economic resources are unlimited.

Wants are limited.

138-Any point inside the production possibilities curve indicates:

The realization of allocative efficiency.

That resources are imperfectly shiftable among alternative uses.

The presence of inflationary pressures.

that more output could be produced with available resources

139-The production possibilities curve:

Shows all combinations of goods that society most desires

Indicates that any combination of goods lying outside the curve is attainable

Separates all combinations of two goods that can be produced from those that cannot

Is bowed in toward the origin

The production possibilities curve is a frontier, indicating the maximum amount of one good achievable for a given amount of the other good. Combinations outside of this frontier are unattainable

140-The production possibilities curve illustrates the basic principle that

The production of more of any one good will in time require smaller and smaller sacrifices of other goods.

An economy will automatically obtain full employment of its resources.

If all the resources of an economy are in use, more of one good can be produced only if less of another good is produced.

An economy's capacity to produce increases in proportion to its population size.

141-Why does an individual's optimal choice on how much to consume entail equalizing the marginal utility per dollar spent across all goods and services?

This is the choice of goods that maximize the level of satisfaction for the consumer.

This is the choice where a consumer's income is entirely spent

This is the point where the substitution effect holds.

This is the point where the law of diminishing marginal utility holds

142-What is the substitution effect of a price change on the quantity demanded of a good or service

A price change affects the purchasing power of an individual's available income.

A price change leads to the consumer increasing consumption due to the law of diminishing marginal returns

The same as the water-diamond paradox.

A price change induces people to substitute among goods.

143-What is the difference between total utility and marginal utility?

Marginal utility is subject to the law of diminishing marginal utility while total utility is not.

Total utility represents the consumer optimum while marginal utility gives the total utility per dollar spent on the last unit

Total utility is the total amount of satisfaction derived from consuming a certain amount of a good while marginal utility is the additional satisfaction gained from consuming an additional unit of the good.

Marginal utility represents the consumer optimum while total utility gives the total utility per dollar spent on the last unit.

144-Why is the price of diamonds so much higher than the price of water even though people cannot survive long without water?

There are no good substitutes for diamonds while there are good substitutes for water.

A price change affects the purchasing power of an individual's available income.

This is an unsolved mystery

Marginal utility, not total utility determines how much a person is willing to pay for a good.

145-A consumer optimally allocates available income to consumption of all goods when

The marginal utilities per dollar spent on all goods are equalized

Total utility is zero

The marginal utility of all goods consumed is zero

The marginal utilities per dollar spent on all goods are equal to one.

146-If total utility from consuming 2 donuts is 12 and the marginal utility of the third donut is 3, total utility of consuming 3 donuts is

Uncertain without more information.

9

15

5

12 +3 = 15

147-Suppose that the marginal utility for the fifth donut consumed is 0 and for the sixth donut is -4. The consumer will:

Consume the fifth donut if there is no charge for it but not the sixth.

Refuse to consume either the fifth or sixth donut even if there is no charge for them.

Behave in an uncertain manner. We need more information.

Consume the fifth donut and the sixth donut if there is no charge for them.

148-Marginal utility is defined as:

The change in total utility divided by the change in consumption of a good.

Total utility divided by the change in consumption of a good.

Total utility divided by total consumption of a good.

The change in total utility divided by total consumption of a good.

For a monopolist to sell more units of output,
The price must be increased.
The price must be reduced.
Demand must become more elastic.
The other competing firms must sell fewer units.

In a monopoly, the market demand curve is

The same as the demand curve facing the firm.
The summation of all the individual firms demands curves.
Nonexistent.
the marginal cost curve above minimum average variable cost

Monopolist maximizes total revenue when its marginal revenue is ________.

positive
zero
negative
equal to price

For a monopolist, price

Equals marginal revenue.
Is less than marginal revenue.
Is greater than marginal revenue.
can be greater than or less than marginal revenue

For a monopolist, if total revenue increases as output decreases, then marginal revenue is

Equal to price.
Zero.
Positive.
negative

Relative to a competitively organized industry, a monopoly produces

More output, charges higher prices and, earns economic profits.
Less output, charges lower prices and, earns economic profits.
Less output, charges lower prices and, earns only a normal profit
Less output, charges higher prices and, earns economic profits.

Profit maximizing firm in a monopolistically competitive market structure behaves much like a ________ in the short run.

Perfectly competitive firm
Monopolistic firm
Dominant firm
Cournot duopolist

Monopolistically competitive firms in long run equilibrium produce at ______ the optimal scale

More than
Exactly
Less than
Sometimes more and sometimes less than

Income Effects

Price change	Income Effect	Therefore…
Price increase	Negative income effect	Normal Good
Price increase	Positive income effect	Inferior Good
Price decrease	Negative income effect	Inferior Good
Price decrease	Positive income effect	Normal Good

Mega Quiz File (ECO401)

by

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Special Thanks

to

Attock VU Group
VU Study Masti

&

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(*Please correct, if your find any mistake*)
Highlighted in Red are not sure or unsolved

A study of how increases in the minimum wage rate will affect the national unemployment rate is an example of

descriptive economics.
normative economics.
macroeconomics.
microeconomics.

The total demand for goods and services in an economy is known as

aggregate demand.
national demand.
gross national product.
economy-wide demand.

Deflation is

an increase in the overall level of economic activity.
an increase in the overall price level.
a decrease in the overall level of economic activity.
a decrease in the overall price level.

A recession is

a period of declining prices.
a period during which aggregate output declines.
a period of declining unemployment.
a period of falling trade volumes.

Involuntary unemployment means that
people are not willing to work at the going wage rate.
at the going wage rate, there are people who want to work but cannot find work.
there are some people who will not work at the going wage rate.
there is excess demand in the labour market.

A cut in the income tax rate designed to encourage household consumption is an example of

expansionary demand-side policy.
contractionary demand-side policy.
expansionary supply-side policy.
contractionary supply-side policy.

A cut in the tax rate designed to reduce the cost of capital and hence encourage business investment is an example of

expansionary demand-side policy.
contractionary demand-side policy.
expansionary supply-side policy.
contractionary supply-side policy.

Macroeconomics is the branch of economics that deals with

the economy as a whole.
imperfectly competitive markets.
only the long run adjustments to equilibrium in the economy.
the functioning of individual industries and the behaviour of individual decision-making units - business firms and households.

A group of modern economists who believe that price and wage rigidities do not provide the only rationale for macroeconomic policy activism are called:

New-Keynesians.
Keynesians.
Monetarists.
The Classical school.

Macroeconomic theory that emphasised the theories of Keynes and de-emphasised the Classical theory developed as the result of the failure of

economic theory to explain the simultaneous increases in inflation and unemployment during the 1970s.
fine tuning during the 1960s.
the economy to grow at a rapid rate during the 1950s.
the Classical model to explain the prolonged existence of high unemployment during the Great Depression.

Keynes believed falling wages were not a solution to persistent unemployment because

falling wages demoralised workers.
this would reduce the purchasing power of labourers as consumers. This in turn would bleaken firms' prospects of selling more goods, hence inducing them to cut their investment (and hence labour) demand.
the unemployment was caused by frictional and structural factors.
wages would fall more than required to clear the labour market.

The practice of using fiscal and monetary policy to stabilise the economy is known as

fine tuning of demand

monetarism
laissez faire economics
supply side economics

According to Classical models, the level of employment is determined primarily by

interest rates.
the level of prices.
the level of aggregate supply in the economy
the level of aggregate demand for goods and services.

According to Keynes, the level of employment is determined by

interest rates.
the level of prices.
the level of aggregate supply in the economy
the level of aggregate demand for goods and services.

According to the Classical model, unemployment

could not persist because wages would fall to eliminate the excess supply of labour.
could persist for long periods of time because wages are not flexible.
could be eliminated only through government intervention.
could never exist.

To get the economy out of a slump, Keynes believed that the government should

increase both taxes and government spending.
increase taxes and/or decrease government spending.
cut both taxes and government spending.
decrease taxes and/or increase government spending.

Aggregate demand refers to the total demand for all domestically produced goods and services in an economy generated from

the household and government sectors.
the household sector.
all sectors except the rest of the world.
all sectors including the rest of the world.

Government policies that focus on increasing production rather than demand are called:

fiscal policies.
monetary policies.
incomes policies.
supply-side policies.

Prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity demanded are

market prices.
sticky prices.
fixed prices.
regulatory prices.

The economists who emphasised wage-flexibility as a solution for unemployment were

Monetarists.
New-Keynesians.
Classical economists.
Keynesians.

According to the Classical economists, the economy

requires fine tuning to reach full employment.
should not be left to market forces.
will never be at full employment.
is self correcting.

Monetarism became popular because it was able to, unlike Classical or Keynesian economics, explain

stagflation in the late 1970s.
demand-pull inflation in the 1960s.
low growth rates in the 1950s.
the prolonged existence of high unemployment during the Great Depression.

Keynes' explanation for low firm investment during the Great Depression was

low savings, which placed a constraint on investment
high real borrowing rates, which discouraged firm borrowing
high savings, which left consumers with less money to spend on goods and serviced produced by firms
A permanent change in Europe’s corporate ownership structures.

Rapid increases in the price level during periods of recession or high unemployment are known as

slump.
stagnation.
stagflation.
inflation.

The hypothesis that people know the 'true model' of the economy and that they use this model and all available information to form their expectations of the future is the

rational-expectations hypothesis.
active-expectations hypothesis.
static-expectations hypothesis.
adaptive-expectations hypothesis.

Neo-Classical theories were an attempt to explain

how unemployment could have persisted for so long during the Great Depression.
the stagflation of the 1970s.
why policy changes that are perceived as permanent have more of an impact on a person's behaviour than policy changes that are viewed as temporary.
the increase in the growth rate of real output in the 1950s.

A group of modern economists who believe that markets clear very rapidly and that expanding the money supply will always increase prices rather than employment are the

New-Keynesians.
Keynesians.
Monetarists.
The Classical school.

Say’s law states that:

Supply creates its own demand.
Demand creates its own supply.
There is no such things as a free lunch
Macroeconomic policy activism is essential to ensure full-employment.

The aggregate supply (AS) curve and aggregate demand (AD) curve in a realistic Keynesian world are:

AS: fully horizontal; AD: downward sloping
AS: horizontal only till the full capacity level; AD: downward sloping
AS: vertical; AD: upward sloping
AS: horizontal; AD: vertical

By how much has real GDP grown from 2001 to 2002?

-10%
12.5%
20%
0%

By how much has per capita nominal GNP changed from 2001 to 2002?
-10%
12.5%
20%
0%

Based on the above information, we can say that:

Poverty has fallen in the country
Per capita real GDP is falling
Income inequality has worsened
Real growth in the informal sector is 0%

In the circular flow of income, Keynesian equilibrium obtains when

All the individual sectors are in equilibrium: S=I, T=G, M=X
The aggregate injections equal aggregate withdrawals S+T+M = I+G+X
There is no inflation or unemployment
The interest rate and exchange rate are at their market clearing levels

Under conditions of Keynesian equilibrium:

aggregate demand equals aggregate supply
aggregate demand equals national income
both A and B
none of the above

Which of the following is a determinant of consumption

expectations about future prices
level of indebtedness of consumers
the price level
all of the above

Which is the most volatile component of aggregate demand

Net exports
consumption
investment
government spending

Which of the following is not an obvious or direct determinant of a country's imports

real exchange rate
income
tariff rates
interest rate

When consumption is 650, income is 750; when consumption is 620, income is 700. Assuming there is no government, I=100, net exports are 10, what is the level of equilibrium income?

500
625
775
850

Which of the following is not true?

Starting from no growth, a positive output growth rate would be associated with even higher rates of investment (the accelerator effect)
Higher investment causes a multiplied increase in income
Such increases in income would continue to induce higher investment, which in turn would continue to cause multiplied increases in output.
All of the above.

In the equation C = a + bY, which describes the aggregate consumption function, 'a' stands for

the amount of consumption when income is zero.
the marginal propensity to consume.
the amount of consumption when income is Maximum.
the average consumption level.

Total consumption divided by total income gives us:

the average propensity to consume.
the marginal propensity to save.
the marginal propensity of expenditure.
the marginal propensity to consume.

Disposable income is the part of households' income left after the deduction of

pension contributions.
income tax and social security payments.
income tax.
savings.

As the MPS increases, the multiplier will

increase.
either increase or decrease depending on the size of the change in investment.
remain constant.
decrease.

In macroeconomics, equilibrium is defined as that point at which

planned aggregate expenditure equals aggregate output.
planned aggregate expenditure equals consumption.
aggregate output equals consumption minus investment.

saving equals consumption.

The ratio of the change in the equilibrium level of output to a change in some autonomous component of aggregate demand is the

elasticity coefficient.
multiplier.
marginal propensity of the autonomous variable.
automatic stabiliser.

Assuming there are no taxes (and no foreign sector), if the MPC is .8, the multiplier is

2.5.
8.
5.
2.

Assuming the net income tax rate is 25% (and there is no foreign sector), if the MPC is 0.8, the multiplier is

2.5.
8.
5.
2.

Assuming there is no foreign sector, if the multiplier is 3, and the net income tax rate is 20%, the MPC is

3/4
4/5
5/6
6/7

Assume there is no government or foreign sector. If the MPC is .75, a Rs.20 billion decrease in planned investment will cause aggregate output to decrease by

Rs. 80 billion.
Rs. 20 billion.
Rs. 26.67 billion.
Rs. 15 billion.

According to the 'paradox of thrift,' increased efforts to save will cause

an increase in income and an increase in overall saving.
a decrease in income and an overall decrease in saving.
a decrease in income but an increase in saving.
an increase in income but no overall change in saving.

If injections are less than withdrawals at the full-employment level of national income, there is

an inflationary gap.
equilibrium.
a deflationary gap.
hyperinflation.

The accelerator theory of investment says that induced investment is determined by

the rate of change of national income.
expectations.
the level of national income.
the level of aggregate demand.

The diagram that shows the money received and paid out by each sector of the economy is the

income-price diagram.
income-expenditures diagram.
circular flow diagram.
aggregate demand-aggregate supply diagram.

If both the no. of unemployed people and the size of the labour force increase by 10,000, then

the unemployment rate will remain the same.
the unemployment rate will increase.
the unemployment rate will decrease.
we cannot tell.

Which of the following could be a reason for the problem of “lack of jobs” being overestimated:

the existence of disguised unemployment
people are underemployment
people holding only one job (as opposed to multiple jobs)
the existence of child labour

Which of the following is not a cost of voluntary unemployment?

potential output of the economy is greater than actual output
government loses tax revenue
firms lose (potential) revenues due to operating below capacity
mental stress undergone by the unemployed persons

“Because higher wages are less likely to induce people who are structurally or physically unable to participate on the labour force. On the other hand people already on the labour force are more likely to respond to higher wages by accepting jobs.”

The above statement is an answer to which question?

Why is the AJ curve more elastic than the LF curve
Why is the LF curve not totally vertical
Why is the AJ curve not completely vertical
Why is it difficult to completely remove the horizontal distance between the AJ and LF curves

Which of the following would constitute sound government policy if you subscribed to the Monetarist view on unemployment?

increase aggregate demand through monetary or fiscal policy
reduce the obstacles to downward wage rigidity (like unions, unemployment benefits, minimum wage legislations etc.)
Reduce the marginal income tax rate (to increase the incentive to work)
All of the the above

The persistence of a phenomenon, such as unemployment, even when its causes have been removed is called

The paradox of thrift.
hysteresis.

structural unemployment.
ceteris paribus.

Cyclical unemployment is the

portion of unemployment that is due to changes in the structure of the economy that result in a significant loss of jobs in certain industries.
unemployment that results when people become discouraged about their chances of finding a job so they stop looking for work.
portion of unemployment that is due to seasonal factors.
unemployment that occurs during recessions and depressions.

The natural rate of unemployment is generally thought of as the

ratio of the frictional unemployment rate to the cyclical unemployment rate.
sum of frictional unemployment and cyclical unemployment.
sum of frictional unemployment and structural unemployment.
sum of structural unemployment and cyclical unemployment.

One of the tenets of the Classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur

slowly.
instantly.
very infrequently.
very quickly.

According to Keynesian economists, those who are not working

have given up looking for a job, but would accept a job at the current wage if one were offered to them.
are too productive to be hired at the current wage.
have chosen not to work at the market wage.
are unable to find a job at the current wage rate.

The index used most often to measure inflation is the

consumer price index.
wholesale price index.
student price index.
producer price index.

If you were the owner of a cycle manufacturing firm, would you be particularly worried if wage inflation were higher than price inflation?

No. Because you would still be able to sell your goods at the higher price.
Yes. Because the cost of your input is growing faster than the revenue obtained from your output
Yes. Because both price and wage inflation are bad.
No. Because any loss to the firm will be offset by the gain to the workers.

Which of the following is not a major cost of inflation:

Resource wastage: as people spend time and money to guard against the “purchasing power erosion” effects of inflation, while firms suffer menu costs (i.e. the costs of frequently issuing “revised” price lists).
Uncertainty: firms defer investment when inflation is high and volatile as the latter complicates predicting future cashflows.
Worsened income inequality: inflation is a regressive tax on the people that does not take into account the taxpayers’ “ability to pay”. As such, there is a redistribution of wealth from the poor to the rich.
Money printing costs: inflation requires more currency notes to be printed and this raises the government’s printing costs.

In the long run, the Phillips curve will be vertical at the natural rate of unemployment if

the long-run supply curve is horizontal at the natural rate of inflation.
the long-run aggregate demand curve is vertical at potential GDP.
the long-run aggregate demand curve is horizontal at the natural rate of inflation.
the long-run aggregate supply curve is vertical at potential GDP.

According to the monetarists, the measured unemployment rate can

be reduced below the natural rate only in the short run, and not without inflation.
be reduced below the natural rate only in the long run, and only if the price level is constant.
be reduced below the natural rate only in the short run, and only if the price level is constant.
be reduced below the natural rate only in the long run, and not without inflation.

If the prices of all inputs seem to be rising, can you be absolutely sure that it is cost-push inflation?

No, because cost-push inflation is caused by an increase in the cost of only one input.
Yes, because that is exactly the definition of cost-push inflation.
No, because such a situation can also be caused by particular demand pressures in the economy.
Yes, because this is exactly what happens in stagflation.

The quantity theory of money implies that, provided velocity of money is constant, a given percentage change in the money supply will cause

an equal percentage change in nominal GDP.
a larger percentage change in nominal GDP.
an equal percentage change in real GDP.
a smaller percentage change in nominal GDP.

If input prices adjusted very slowly to output prices, the Phillips curve would be

downward sloping.
vertical or nearly vertical.
upward sloping.
horizontal or nearly horizontal.

If inflationary expectations increase, the short-run Phillips curve will

become vertical.
become upwarding sloping.
shift to the right.
shift to the left.

The record of a country's transactions in goods, services, and assets with the rest of the world is its _____________; while the difference between a country's merchandise exports and its merchandise imports is the ____________.

current account; trade balance.
capital account; balance of payments.
balance of trade; capital account.
balance of payments; balance of trade.

Assuming there is no government intervention in the foreign exchange market, which of the following statements must clearly be FALSE, given that?

If the capital account is in surplus, then the current account is likely to be in deficit.
If the current account is in deficit, then the capital account is likely to be in surplus.
If the current account is in balance, the capital account is also likely to be in balance.
None of the above.

Which of the following statements is necessarily TRUE?

A country runs a current account deficit if it imports more goods and services than it exports.
The sum of the current and capital accounts must be zero.
If both the current and capital accounts are in surplus, the exchange rate must appreciate.
None of the above.

All currencies other than the domestic currency of a given country are referred to as

reserve currencies.
near monies.
foreign exchange.
hard currency.

Exchange rates that are determined by the unregulated forces of supply and demand are

floating exchange rates.
pegged exchange rates.
fixed exchange rates.
managed exchange rates.

If the State Bank of Pakistan reduces the money supply, a floating exchange rate will help in reducing inflation because

as the money supply is decreased, the interest rate will increase, and the price of both Pakistani exports and Pakistani imports will rise.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will rise and the price of Pakistani imports will fall.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will fall and the price of Pakistani imports will rise.

as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports and Pakistani imports will fall.

The fall (rise) in value of one currency relative to another is

a floating (fixing) of the currency.
an appreciation (depreciation) of a currency.
a depreciation (appreciation) of a currency.
a strengthening (weakening) of a currency.

If purchasing power parity prevails absolutely in a two country world, the real exchange rate between the two countries should be:

1.
constantly changing.
relatively stable, but not constant
none of the above

The interest parity equation implies that there is a general tendency for:

exchange rates to be insensitive to the differential rates of interest between countries.
the currencies of relatively low-interest countries to appreciate.
the currencies of relatively high-interest countries to appreciate.
the currencies of relatively low-interest countries to depreciate.

Note that currencies with low rates of interest also typically have low inflation rates. This follows from the Fischer equation which maintains that the nominal interest rate = real interest rate + expected inflation.

Which of the following is (are) correct statement(s) about the current account deficit?

A current account deficit is bad, if it is being caused by excessive consumer spending
A current account deficit is bad, if it is fuelled by high fiscal deficits
A current account deficit is good, if it is caused by the excess of productive domestic investment over domestic savings
All of the above

The J-curve effect refers to the observation that

GDP usually decreases before it increases after a currency depreciation.

GDP usually decreases before it increases after a currency appreciation.
the trade balance usually gets worse before it improves after a currency appreciation.
the trade balance usually gets worse before it improves after a currency depreciation.

If Japan exports more direct investment capital abroad than expected, then the yen will tend to

appreciate.
fluctuate more than if exports were lower.
depreciate.
not be affected.

Today is Tuesday morning. If currency dealers expect the value of the dollar to fall by 10% on Wednesday, then, ceteris paribus, what will happen by the end of today to the Rs./dollar exchange rate? It will:

Rise by more than 10%.
Rise by exactly 10%.
Fall by less than 10%.
Remain constant.

According to traditional thinking on the subject, which of the following would not generate economic growth in an economy?

an increase in the size of the labour force.
an increase in the productivity of capital.
a move to more capital intensive production methods
discovery of a major mineral resource in the country

When referring to economic growth, we normally refer to:

growth in actual real per capita output
growth in potential real per capita output
growth in actual nominal per capita output
growth in potential real per capita output

A variable whose value is determined by the model of which it is a part is termed ___________.

endogenous

exogenous
independent
constant

An example of capital deepening, given an increasing L, would be:

K increases so as to maintain a constant K/L
K increases so much that K/L increases
K remains constant so that L/K increases
K falls, so as to reduce K/L

The neo-classical growth model says that:

poor countries should catch-up (or converge to) with richer countries
higher savings (or rates of capital accumulation) cannot raise a country's steady state growth rate
the steady state growth rate of real output depends on the sum of the (exogenous) growth rates in population and technical progress.
All of the above.

The length of a business cycle would be measured from

peak to trough.
trough to peak.
peak to peak.
the slump to the expansion.

If the economy is in the expansionary phase of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______ , and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

If the economy is at the peak of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______ , and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

If the economy is approaching the trough phase of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______, and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

Which of the following is not true regarding the effects of growth on the balance of payments and vice versa?

Generally, growth raises incomes which will translate into higher consumption and higher imports, causing the current account of the BOPs to deteriorate.
If growth is "export-led", it will boost the current account surplus of the BOPs.
If the current account deficit reflects an underlying private sector resource deficit, it is likely to be bad for future growth.
If the current account reflects rising imports of military equipment by the government, it might not be beneficial for economic growth.

A country has high inflation and is running a current account deficit. What should it do in the context of the Salter-Swan diagram?

Reduce government spending and revalue the exchange rate
Increase government spending and devalue the exchange rate
Reduce the money supply and devalue the exchange rate
Increase government spending and revalue the exchange rate

A government's attempt to reduce its defence expenditure is an example of __(i)__, while a government effort to raise interest rates is an example of __(ii)__. _

(ii)

A.	monetary policy.	fiscal policy.
B.	**fiscal policy.**	**monetary policy.**
C.	incomes policy.	incomes policy.

D. supply-side policy. supply-side policy.

According to the Laffer curve, as tax rates increase, tax revenues

decrease continuously.
initially decrease and then increase.
rise continuously.
initially increase and then decrease.

The government imposes a new income tax legislation under which every male taxpayer must pay 15% of his income as taxes, while every female taxpayer must pay 20% of her income as taxes. Such tax legislation violates which equity principle?

Both horizontal equity and vertical equity
Vertical equity only
Horizontal equity only
Neither

A 15% VAT is a(n):

Proportional income tax.
Fixed excise duty.
Ad valorem indirect tax.
None of the above.

Tax incidence is the

ultimate distribution of a tax's burden.
measure of the impact the tax has on employment and output.
behaviour of shifting the tax to another party.
structure of the tax.

You know that all taxes are distortionary. Under what conditions will this knowledge lead you to oppose the imposition of every single tax in the economy?

If you live in a 1st best world
If you live in a 2nd best world
If the tax rates on some of the items are prohibitively high
Either of the above

The automatic stabilisation function of fiscal policy ensures that government expenditures ______(i)______ and government revenues _____(ii)_____ during recessions.

(ii)

A. decrease decrease

B. decrease increase

C. increase decrease

D. increase increase

Let us say assume the Pakistani government is facing a fiscal deficit. Which of the following would not constitute a possible method of financing this deficit?

printing rupees (borrowing from the central bank)

selling dollars in the foreign exchange market

imposing new taxes or raising existing tax rates

borrowing from an international financial institution

Which of the following is not a correct argument against a fiscal policy expansion – say a tax cut – aimed at lifting aggregate demand?

The expansion might become pro-cyclical ex-post, given the lag time required to change fiscal policy.

Fiscal policy works with a lag, thus a tax cut introduced today would not have an expansionary effect on aggregate demand till many months later.

The fiscal expansion would increase distortion in the economy.

Lower taxes would increase the government's borrowing requirement, which in turn would cause interest rates to rise, which in turn would i) cause the exchange rate to appreciate, which in turn would cause the current account to move into deficit, and ii) crowd out private investment.

The increase in base money divided by the corresponding induced increase in commercial bank deposits is the

bank's line of credit.

reserve ratio.

current ratio.

money multiplier.

If the State Bank of Pakistan wished to pursue a 'tight' monetary policy, it would

lower the required reserve ratio and the statutory liquidity ratio.

lower interest rates.

buy government securities on the open market.
sell government securities on the open market.

An item designated as money that is intrinsically worthless could be

a currency note.
a silver coin.
a barter item.
any tradeable commodity.

A checking deposit (or current account) held at a commercial bank is considered __________ of that bank.

an asset.
net worth.
a liability.
capital.

Which of the following activities is one of the responsibilities of the State Bank of Pakistan?

Monitoring the financial health of banks and non-bank financial insitutions.
Auditing the various agencies and departments of the government.
Issuing bonds on international capital markets to finance the fiscal deficit.
Loaning money to other countries that are friendly to Pakistan.

A bank has excess liquidity reserves to lend but is unable to find a willing borrower. This will __________ the size of the money multiplier.

reduce
increase
have no effect on
double

The quantity of money demanded increases with income. Thus if income increases, the opportunity cost of holding money must go up in order to reduce money demand and re-establish equilibrium in the money market. This relation is captured by:

an upward sloping LM curve.
a downward sloping L curve.
a downward sloping IS curve.

the circular flow of money in the economy.

When economists speak of the 'demand for money,' which of the following questions are they asking?

How much cash do you wish you could have?
How much wealth would you like?
How much income would you like to earn?
What proportion of your financial assets do you want to hold in non-interest bearing forms?

Which of the following will not cause money supply to expand, given a fully floating exchange rate regime and a fixed supply of dollars in the market

The central bank buying foreign currency in the foreign exchange market
redemption of central bank liquidity paper
build-up of commercial banks' deposits held with the central bank
decrease in the central bank discount rate

Which of the following events will lead to a decrease in the demand for money?

An increase in the level of aggregate output.
A decrease in the supply of money.
A decrease in the interest rate.
A decrease in the price level.

Which of the following is neither a determinant of the slope of the IS curve nor a determinant of the slope of the LM curve?

the sensitivity of interest rates to investment
the sensitivity of money demand to income
the sensitivity of money demand to interest rates
the sensitivity of income to investment

Given a Keynesian world, a cut in taxes coupled with a lower reserve ratio for banks would have what effect on equilibrium income and interest rate?

Both income and the interest rate will remain unchanged
income will come down, but the interest rate will go up
income will go up, but the effect on the interest rate cannot be predicted
interest rates will go down, but the effect on income cannot be predicted

If the government increases its spending, but this causes prices to rise, what will "eventually" happen to the equilibrium income and interest rate?

Both income and the interest rate will remain unchanged
income will come down, but the interest rate will go up
income will go up, but the effect on the interest rate cannot be predicted
interest rates will go down, but the effect on income cannot be predicted

If the income elasticity of money demand and the Keynesian multiplier, both increase in an economy (ceteris paribus), how will the relative effectiveness of monetary and fiscal policy change?

Fiscal policy will become relatively more effective than monetary policy
Fiscal policy will become relatively less effective than monetary policy
The relative effectiveness of fiscal and monetary policy will remain unchanged
Both fiscal and monetary policy will become more effective.

The intersection of the IS and LM curves captures:

the equilibrium of the demand and supply sides of the economy
the equivalence of monetary and fiscal policy
joint equilibrium in the goods and money markets
all of the above

Disposable Income is obtained by subtracting _____________taxes from personal income:

Indirect Taxes
Direct Taxes
Subsidies
None

Per capita income is obtained by dividing National Income by:

Total labor Force in the Country
Unemployed Youth in the Country
Total population of that country.
None

The investment demand curve shows the relationship between the levels of:

Investment and Consumption
Consumption and Interest Rate
Investment and Interest Rate
None

The situation in which the imports are greater than exports is termed as:

Trade Surplus
Trade Deficit
Budget Surplus
None

Fiscal policy is the government programme with respect to it's:

Steel Mill Privatization
Unemployment Reduction
Expenditure and Tax revenue
None

Imports for any economy are considered as:

Injections
Leakages
Brain Drain
None

The accelerator is a related concept which formalizes the investment response to:

Consumption
Interest rate
Output
None

According to Keynes macroeconomic equilibrium is attained when:

Prime Minister is PhD in Macroeconomics
Aggregate Demand Equals Aggregate Supply
Inflation Exists in Economy.
None

There are ___________________methods of measuring GDP:

Four
Three
Five
None

Intermediate goods are meant for:

Direct use by the consumers
further processing
The term do not exist
None

Fiscal policy refers to:

The actions of the central bank in controlling the money supply.
The spending and taxing policies used by the government to influence the economy.
The government's regulation of financial intermediaries.
None of the given options.

Disposable income is:

Total income plus transfer payments
Total income minus saving.
Total income plus net taxes.
Total income minus net taxes.

The deficit tends to decrease when:

GDP decreases slightly.
GDP decreases rapidly.
GDP increases.
GDP remains unchanged.

Money or paper currency serves at least _______________ functions:

Four
Three
Five
Seven

The economic logic behind granting central banks independence from government in the conduct of monetary policy is:

To eliminate seignior age.
To allow open market operations.
To enhance the credibility of monetary policy.
None of the above.

An expansionary fiscal policy can:

Raise the national debt.
Decrease the national debt.
Have no effect on national debt.
None of above.

Which is high powered money?

M1
M2
Mo
None

There are _________major instruments of monetary policy:

Three
Four
Five
None

The rate at which central bank lends to commercial banks is known as:

Reserve rate.
Discount rate.
Open market operation.
None.

Identify the three motives of money demand:

Accumulative, speculative, precautionary
Speculative, transaction, precautionary
Precautionary special, transaction
None

If, in a fully employed, closed economy, the supply of money and the velocity of circulation of money both increase, then in the short-run.

Unemployment of factors will result
Real national output will expand
The volume of transactions will increase
The average level of prices will rise

An increase in the rate of inflation which is not accompanied by any change in the volume of consumer goods sold will automatically increase the:

Revenue from Value Added Tax
Level of company profits
Level of unemployment
Average level of wages

The increase in the Public Sector Borrowing Requirement (PSBR) to almost £50 billion this year will automatically lead to:

A higher rate of inflation
A fall in the rate of unemployment
An increase in the National Debt
A deterioration in the Balance of Payments

The investment demand curve shows the relationship between the levels of:

Investment and Consumption
Consumption and Interest Rate
Investment and Interest Rate
None

According to Classical models, the level of employment is determined primarily by:

The level of aggregate demand for goods and services.
Prices and wages.
Government taxation.

Government spending.

Which of the following is not an important variable in growth accounting calculations?

Productivity growth
Money supply growth
Labor growth
Capital growth

The per-worker production function relates:

Output per worker to capital per worker.
Output per worker to production per worker.
Output per worker to factors of production per worker.
Production per worker to the size of the work force.

In a steady-state economy:

Net investment equals depreciation rate.
Per capita capital stock grows at the rate of labour growth.
Per capita capital stock remains constant.
Net investment equals the consumption.

The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?

Cost-pull
Cost-push
Demand-pull
Demand-push

The IMF is an agency charged with providing:

Technical assistance to stock market and financial market problems.
Loans for post-World War II reconstruction.
Short-term credit for international balance of payments deficits.
Bonds denominated in U.S. dollars as a loan to LDCs.

In a portfolio investment:

Investors are directly involved in managing the operations.
As in direct investment, investors export goods and services abroad.
Investors transfer the technology to local investors.
Investors have no control over operations.

Inflation:

Reduces both the purchasing power of the dollar and one's real income
reduces the purchasing power of the dollar and increases one's real income
Reduces the purchasing power of the dollar but may have no impact on one's real income
Increases the purchasing power of the dollar and reduces one's real income

One of the tenets of the classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur:

Slowly.
Quickly.
Very infrequently.
Instantly.

Those that hold the classical view of the labour market are likely to believe that:

Monetary, but not fiscal policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Fiscal, but not monetary policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

Potential GDP is the level of aggregate output:

That can be produced if structural unemployment is zero.
That can be produced at a zero unemployment rate.
That can be sustained in the long run, if the inflation rate is zero.
That can be sustained in the long run without inflation.

Which school of economic thought suggested that one possible cause of inflation was a 'push' from the cost side?

New classical economists.
Monetarists.

Marxists.
Keynesians.

An unspoken agreement between workers and firms that the firm will not cut wages is known as:

An explicit contract.
An implicit or social contract.
Employment-at-will.
A relative-wage contract.

To offset the downswing in the business cycle, the government announces a major increase in public expenditure.

Technological Unemployment
Demand Deficient Unemployment
Real Wage Unemployment
Regional Unemployment

The government puts pressure on trade unions to make pay claims which are below the increase in productivity over the past year.

Frictional Unemployment
Technological Unemployment
Structural Unemployment
Real Wage Unemployment

In which case is total expenditure in an economy not equal to total income?

If total saving is larger than total investment
If net exports are not zero
If inventory investment is negative
None of the above--they are always equal

Marginal utility measures:

The slope of the indifference curve.
The additional satisfaction from consuming one more unit of a good.
The slope of the budget line.
The marginal rate of substitution.

Which of the following best expresses the law of diminishing marginal utility?

The more a person consumes of a product, the smaller becomes the utility which he receives from its consumption.
The more a person consumes of a product, the smaller becomes the additional utility which she receives as a result of consuming an additional unit of the product.
The less a person consumes of a product, the smaller becomes the utility which she receives from its consumption.
The less a person consumes of a product, the smaller becomes the additional utility which he receives as a result of consuming an additional unit of the product.

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line.
An isoquant.
An indifference curve.
A demand curve.

The marginal rate of substitution:

May rise or fall, depending on the slope of the budget line.
Rises as you move downward along an indifference curve.
Falls as you move downward along an indifference curve.
Remains the same along a budget line.

Which of the following is a characteristic of the indifference curves?

They are concave to the origin.
They are convex to the origin.
Curves closer to the origin have the highest level of total utility.
Curves closer to the origin have the highest level of marginal utility.

In the diagram given below, the budget line is best represented by the line:

AB
AD
FG
DG

The endpoints (horizontal and vertical intercepts) of the budget line:

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

If prices and income in a two-good society double, what will happen to the budget line?

The intercepts of the budget line will increase.
The intercepts of the budget line will decrease.
The slope of the budget line may either increase or decrease.
There will be no effect on the budget line.

If Px = Py, then when the consumer maximizes utility,

X must equal Y.
MU(X) must equal MU(Y).
MU(X) may equal MU(Y), but it is not necessarily so.
X and Y must be substitutes.

The difference between what a consumer is willing to pay for a unit of a good and what must be paid when actually buying it is called:

Producer surplus.
Consumer surplus.
Cost-benefit analysis.
Net utility.

Which of following is a key assumption of a perfectly competitive market?

Firms can influence market price.
Commodities have few sellers.
It is difficult for new sellers to enter the market.
Each seller has a very small share of the market.

A firm maximizes profit by operating at the level of output where:

Average revenue equals average cost.

Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

The demand curve facing a perfectly competitive firm is:

Downward-sloping and less flat than the market demand curve.
Downward-sloping and more flat than the market demand curve.
Perfectly horizontal.
Perfectly vertical.

The monopolist has no supply curve because:

The quantity supplied at any particular price depends on the monopolist's demand curve.
The monopolist's marginal cost curve changes considerably over time.
The relationship between price and quantity depends on both marginal cost and average cost.
There is a single seller in the market.

A doctor sizes up patients' income and charges wealthy patients more than poorer ones. This pricing scheme represents a form of:

First-degree price discrimination.
Second-degree price discrimination.
Third-degree price discrimination.
Pricing at each consumer’s reservation price.

For which of the following market structures is it assumed that there are barriers to entry?

Perfect competition
Monopolistic competition
Monopoly
All of the above

A market with few entry barriers and with many firms that sell differentiated products is:

Purely competitive.
A monopoly.

Monopolistically competitive.
Oligopolistic.

Welfare economics is a branch of economics dealing with:

Social issues.
Normative issues.
Political issues.
None of the given options.

____________________ are goods that people must get a flavor of before they can consider buying them.

Experience goods.
Giffen goods.
Normal goods.
None of the given options.

Which of the following does not refer to macroeconomics?

The study of aggregate level of economic activity.
The study of causes of unemployment.
The study of causes of inflation.
The study of the economic behavior of individual decision-making units such as consumers, resource owners and business firms.

----------------- is the entire satisfaction one derives from consuming goods or services:

Total utility
Scarcity
Marginal utility
Rationing

The law of diminishing marginal utility states that:

As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit falls
As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit rises

As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit remains the same
As consumer consumes less and less units of any commodity, the utility that consumer derives from each additional unit falls

The equi marginal principle states that:

MUa = MUb = MUc = ---------------------------=MUn
Pa Pb Pc Pn
MUa > MUb > MUc > --------------------------->MUn
Pa Pb Pc Pn
MUa < MUb < MUc < ---------------------------<MUn
Pa Pb Pc Pn
None of the given options

Marginal utility measures:

The slope of the indifference curve
The additional satisfaction from consuming one more unit of a good
The slope of the budget line
The marginal rate of substitution

----------------- is the difference between willingness to pay and what the consumer actually has to pay:

Total Utility
Consumer surplus
Producer surplus
Total product

-------------- is the ratio of the probability of success to the probability of failure:

Input output ratio
Odds ratio
Price earning ratio
Price sales ratio

------------------- operate under the principle of law of large numbers:

Banks
Insurance companies

Government sponsored enterprises
None of the given options

The optimum consumption point for the consumer is a point where:

The slopes of the indifference curve and budget line are equal
The slopes of the indifference curve and total product are equal
The slopes of the total utility curve and budget line are equal
The slopes of the total product curve and total utility curve are equal

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line
An isoquant
An indifference curve
A demand curve

The slope of an indifference curve reveals that:

The preferences are complete
The marginal rate of substitution of one good for another good
The ratio of market prices
That preferences are transitive

The law of diminishing returns applies to

The short run only
The long run only
Both the short and the long run
Neither the short nor the long run

In the long run:

All inputs are fixed
All inputs are variable
At least one input is variable and one input is fixed
At most one input is variable and one input is fixed

According to the law of diminishing returns

The total product of an input will eventually be negative
The total product of an input will eventually decline
The marginal product of an input will eventually be negative
The marginal product of an input will eventually decline

The slope of the total product curve is the

Average product
Slope of a line from the origin to the point
Marginal product
Marginal rate of technical substitution

The short run is

Less than a year
Three years
However long it takes to produce the planned output
A time period in which at least one input is fixed

The marginal product of an input is

Total product divided by the amount of the input used to produce this amount of output
The addition to total output that adds nothing to profit
The addition to total output due to the addition of one unit of all other inputs
The addition to total output due to the addition of the last unit of an input, holding all other inputs constant

Average product is defined as:

Total product divided by the total cost
Total product divided by marginal product
Total product divided by the variable input
Marginal product divided by the variable input

Marginal product crosses the horizontal axis (is equal to zero) at the point where:

Average product is maximized
Total product is maximized
Diminishing returns set in
Output per worker reaches a maximum

The law of diminishing returns refers to diminishing

Total returns
Marginal returns
Average returns
All of the given options

The law of diminishing returns assumes that

There is at least one fixed input
All inputs are changed by the same percentage
Additional inputs are added in smaller and smaller increments
All inputs are held constant

The study of economics is primarily concerned with:

Demonstrating that capitalistic economies are superior to socialistic economies.
Determining the most equitable distribution of society's output.
Keeping private businesses from losing money.
Choices which are made in seeking to use scarce resources efficiently.

Opportunity cost is:

That which we forego, or give up, when we make a choice or a decision.
A cost that cannot be avoided, regardless of what is done in the future.
The additional cost of producing an additional unit of output.
The additional cost of buying an additional unit of a product.

Periods of less than full employment correspond to:

Points outside the ppf.(production possibility frontier).
Points inside the ppf.
Points on the ppf.
Either points inside or outside the ppf.

In a free-market economy the allocation of resources is determined by:

votes taken by consumers
a central planning authority

Consumer preferences
the level of profits of firms

A firm produces chairs. An economist working for the firm predicts that 'if people's incomes rise next year, then the demand for our chairs will increase, ceteris paribus.' The accuracy of the economist's prediction depends on whether the chairs that firm produces:

Have many complementary goods.
Have few substitutes.
Have few complementary goods.
Are normal goods.

According to law of demand, a demand curve is:

Horizontal
Vertical
Downward sloping
Directly related to law of supply

A rational decision maker will take only those actions for which the marginal benefit:

Is positive.
Is at its maximum level.
Is less than marginal cost.
Is greater than or equal to the expected marginal cost.

All of the following are determinants of supply except:

Price
Income levels
Objectives of the firm
Level of technology

Normative economics:

Deals solely with the facts
Is never studied in the colleges
Involves opinions and interpretations
Is clearly preferable to positive economics

The transformation of resources into economic goods and services is:

Technical efficiency
Input
Production
Increasing returns

The price elasticity of demand is defined as the absolute value of the ratio of:

Price over quantity demanded.
Change in price over change in quantity demanded.
Percentage change in price over the percentage change in quantity demanded.
Percentage change in quantity demanded over the percentage change in price.

If a good is a luxury, its income elasticity of demand is:

positive and less than 1
negative but greater than -1
positive and greater than 1
zero

A resource is something that:

Is used to produce goods and services.
Is provided by nature, not made by society.
Exists in unlimited quantities.
Must be produced by a firm.

If the cross-price elasticity between home personal computers and video game units for TV is positive, one can conclude that

These products are substitutes for one another.
These products complement one another.
These products are over-priced.
Consumers are irrational.

As one moves along a convex isoquant, which of the following does not change?

The marginal rate of technical substitution.

The capital-labor ratio.
The marginal product of labor relative to the marginal product of capital.
The level output produced.

Of the following goods, the one where the law of diminishing marginal utility is least likely to apply is:

Water.
Cigarettes.
Toothpaste.
Rap music.

The optimal purchasing rule states that total utility is maximized when a consumer:

Consumes as much as possible of all good.
Consumes the same quantities of all goods.
Completely uses up their income.
Consumes to the point where the marginal utility per dollar spent on all goods is the same.

Which of the following pairs come closest to being complementary goods?

Apples and oranges.
Cameras and films.
A free hotel room and a free meal.
Cream and milk.

A Giffen good:

Is a good that people buy more of as their incomes fall.
Is a good which people buy more of as its price increases.
Is a good on which people spend a small portion of their income.
Has a vertical demand curve.

When an industry expands its costs of production will:

Increase.
Decrease.
stay the same.
none of the above.

Which of the following would shift the demand curve for new textbooks to the right?

A fall in the price of paper used in publishing texts.
A fall in the price of equivalent used text books.
An increase in the number of students attending college.
A fall in the price of new text books.

Which of these measures the responsiveness of the quantity of one good demanded to an increase in the price of another good?

Price elasticity.
Income elasticity.
Cross?price elasticity.
Cross?substitution elasticity.

Assume that the current market price is below the market clearing level. We would expect:

A surplus to accumulate.
Downward pressure on the current market price.
Upward pressure on the current market price.
Lower production during the next time period.

The income elasticity of demand is the:

Absolute change in quantity demanded resulting from a one?unit increase in income.
Percent change in quantity demanded resulting from the absolute increase in income.
Percent change in quantity demanded resulting from a one percent increase in income.
Percent change in income resulting from a one percent increase in quantity demanded.

Which of the following statements about the diagram below is true?

Demand is infinitely elastic.
Demand is completely inelastic.
Demand becomes more inelastic the lower the price.
Demand becomes more elastic the lower the price.

In the long run, new firms can enter an industry and so the supply elasticity tends to be:

More elastic than in the short?run.
Less elastic than in the short?run.
Perfectly elastic.
Perfectly inelastic.

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line.
An isoquant.
An indifference curve.
A demand curve.

The magnitude of the slope of an indifference curve is:

Called the marginal rate of substitution.
Equal to the ratio of the total utility of the goods.
Always equal to the ratio of the prices of the goods.
All of the above.

Which of the following is a positive statement?

Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
The minimum wage should not be increased, because to do so would increase unemployment.
Smoking should be restricted on all airline flights.
None of the above.

A supply curve reveals:

The quantity of output consumers are willing to purchase at each possible market price.
The difference between quantity demanded and quantity supplied at each price.
The maximum level of output an industry can produce, regardless of price.
The quantity of output that producers are willing to produce and sell at each possible market price.

The slope of an indifference curve reveals:

That preferences are complete.

The marginal rate of substitution of one good for another good.
The ratio of market prices.
That preferences are transitive.

An increase in income, holding prices constant, can be represented as:

A change in the slope of the budget line.
A parallel outward shift in the budget line.
An outward shift in the budget line with its slope becoming flatter.
A parallel inward shift in the budget line.

If prices and income in a two-good society double, what will happen to the budget line?

The intercepts of the budget line will increase.
The intercepts of the budget line will decrease.
The slope of the budget line may either increase or decrease.
There will be no effect on the budget line.

An individual consumes only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?

MRSxy is at a maximum.
Px/Py = money income.
MRSxy = money income.
MRSxy = Px/Py.

Which of the following is true regarding income along a price consumption curve?

Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility.

An individual with a constant marginal utility of income will be

Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision.

A function that indicates the maximum output per unit of time that a firm can produce, for every combination of inputs with a given technology, is called:

An isoquant.
A production possibility curve.
A production function.
An isocost function.

The short run is:

Less than a year.
Three years.
However long it takes to produce the planned output.
A time period in which at least one input is fixed.

The rate at which one input can be reduced per additional unit of the other input, while holding output constant, is measured by the:

Marginal rate of substitution.
Marginal rate of technical substitution.
Slope of the isocost curve.
Average product of the input.

Alpha Corporation produces chairs. An economist working for the firm predicts that 'if people's incomes rise next year, then the demand for our chairs will increase, ceteris paribus.' The accuracy of the economist's prediction depends on whether the chairs Alpha produce

are normal goods.
have few complementary goods.
have many complementary goods.
have few substitutes.

When the decrease in the price of one good causes the demand for another good to decrease, the goods are

complements.
normal.
inferior.
substitutes.

The price elasticity of demand is the

ratio of the percentage change in quantity demanded to the percentage change in price.
ratio of the change in price to the change in quantity demanded.
ratio of the change in quantity demanded to the change in price**.**
ratio of the percentage change in price to the percentage change in quantity demanded.

The price of apples falls by 5% and quantity demanded increases by 6%. Demand for apples is:

inelastic.
perfectly inelastic.
elastic.
perfectly elastic.

The price of bread increases by 22% and the quantity of bread demanded falls by 25%. This indicates that demand for bread is

elastic.
inelastic.
unitarily elastic
perfectly elastic

If the cross-price elasticity of demand between two goods is negative, then the two goods are

unrelated goods.
substitutes.
complements.
normal goods.

If the quantity demanded of beef increases by 5% when the price of chicken increases by 20%, the cross-price elasticity of demand between beef and chicken is

-4.
4.
-0.25.
0.25.

The government is considering placing a tax on cigarettes to raise revenue to finance health-care projects. The demand for cigarettes is price inelastic. Which of the following statements is TRUE?

This is a very good way to raise revenue both in the short term and in the long term because there are no substitutes for cigarettes.
The tax on cigarettes will raise substantial revenue in the short term, but may not raise as much revenue as anticipated in the long term because the demand for cigarettes is likely to become more elastic over time.
This tax will not raise much revenue either in the short term or the long term since demand is price inelastic.
No tax revenue can be raised in this way because sellers of cigarettes will just lower their price by the amount of the tax and therefore the price of cigarettes to consumers will not change.

The burden (incidence) of a tax will fall mainly on the producers if:

The producers are the ones legally obliged to pay the tax**.**
Supply is inelastic and demand is elastic.
Demand is inelastic and supply is elastic.
There are many producers in the market.

Income elasticity of demand is the % change in quantity demanded divided by the % change in income. Which type of goods have negative income elasticity of demand?

Inferior goods.
Normal goods.
Substitute goods.
Complementary goods.

If total revenue rises by 10% when price increases by 5%, this means:

demand is price inelastic
demand is price elastic
demand is unit elastic
demand is perfectly inelastic

If a 5% increase in price causes no change in total revenue, this means:
demand is price inelastic

demand is price elastic

demand is unit elastic
demand is perfectly inelastic

Which of the following statements is true:

Because a straight line demand curve has constant slope, price elasticity of demand will remain constant as we move along various points on the curve.
Three supply curves, with different slopes, but all originating from the origin will have different price elasticities of supply.
We only need to know the magnitude of the elasticity, not its sign, to determine whether it falls in the elastic or inelastic range

A straight line demand curve with a slope of -1 delivers unit elasticity.
95. When firms advertise their product, they are trying to:

Shift the demand curve to the right
Make the demand curve steeper
Make demand for the product more inelastic
All of the above

"It is possible for milk to be treated as an inferior good and a normal good by different population segments in the same economy."

False. A good can only have one characterization in an economy, normal or inferior, not both
False. Milk is always and everywhere a normal good.
True. Rich people will spend less on milk as their incomes increase, while poor people will spend more on milk as their incomes increase.
True. Some people in the economy like milk, others don't.

A lower income country, Z, that exports primary products and imports luxury goods eventually runs into balance of payments problems because:

the income elasticity of demand for Z's exports is low, while the income elasticity of demand for Z's imports is high
Z's exports grow at a slower rate than the rate of growth of the world income; Z's imports rise at a faster rate than the rate of growth of Z's income
Z's terms of trade (price of exports / price of imports) deteriorate
All of the above.

"The government of a lower income country, K, is worried that rising domestic prices will lead to higher imports and therefore cause balance of payments problems." This most closely illustrates which elasticity concept:

Price elasticity of demand
Price elasticity of supply
Income elasticity of demand
Cross price elasticity of demand

Economists use the term utility to mean

the value of a product before it has been advertised.
the satisfaction a consumer obtains from a good or service.
any characteristic of a good or service which cannot be measured.
the contribution a good or service makes to social welfare.

Economists use the term marginal utility to mean

additional satisfaction gained divided by additional cost of the last unit.
additional satisfaction gained by the consumption of one more unit of a good.
total satisfaction gained when consuming a given number of units.
the process of comparing marginal units of all goods which could be purchased.

The law of diminishing marginal utility states that

total satisfaction will decrease as more units of the good are consumed.
the satisfaction derived from each additional unit of a good consumed will decrease.
total utility will become negative.
Both the first and third option.

By total consumer surplus economists mean (in P-Q space)

The area of the triangle formed by the demand curve, the price axis and the equilibrium price line.
the area between the average revenue and marginal revenue curves.
the difference between the maximum price the consumer is willing to pay for a good (vertical-intercept of demand curve) and the minimum price the producer is willing to sell at (vertical intercept of supply curve).
A and C.

The equation for Rida's demand curve for bouquets of flowers is P = 40 - 2Q. If the price of a bouquet is Rs18, her consumer surplus will be

Rs198
Rs121.
Rs11.
Rs242.

The price of an ice cream cone is $1.50 and you buy three ice cream cones per week. If the price of an ice cream cone falls to $1.25 and you still buy three ice cream cones per week, which of the following is (are) correct?

The marginal utility of the fourth ice cream cone per week must be worth less than $1.25 to you.
The total utility of the four ice cream cones per week must be worth less than $5.75 (=3*$1.50 +$1.25) to you.
The total utility of the four ice cream cones per week must be less than $5.00 (3*$1.25+$1.25) to you.
None of the above.

Economists have used the idea of diminishing marginal utility to explain why
demand curves slope downwards.
demand curves become flatter at lower prices.
demand curves are inelastic.
Both the first and second option.

A consumer will buy more units of a good if the value of the good's

total utility is greater than price.
marginal utility is less than price.
marginal utility is greater than price.
total utility is less than price.

The diamond-water paradox can be explained by suggesting that the price of a product is determined by

consumer incomes.
its marginal utility.
consumer surplus.
diminishing marginal utility.

A utility-maximising consumer changes her spending on goods X and Y until

MUx = MUy
Px (MUx) = Py(MUy)
TUx/Px = TUy/Py
MUx (Py) = MUy (Px)

The MUx/MUy ratio is 10 and the Px/Py ratio is 8, so the consumer should buy

less X and more Y.
more X and more Y.
more X and less Y.
less X and less Y.

Economists define an indifference curve as the set of points

at which the consumer is in equilibrium as the consumer's income changes.
which yield the same marginal utility.
which yield the same total utility.
At which the consumer is in equilibrium as prices change.

Which of the following is a property of an indifference curve?

the marginal rate of substitution is constant as you move along an indifference curve.
marginal utility is constant as you move along an indifference curve.
it is convex to the origin.
total utility is greatest where the 45 degree line cuts the indifference curve.

The limits imposed on household choices by income, wealth, and product prices are

captured by the
budget constraint.
choice set.
assumption of perfect knowledge.
preference set.

Waris has Rs5000 a week to spend on units of food and clothing. The unit price of food is Rs100 and the unit price of clothing is Rs250. Which of the following pairs of food and clothing are in the Waris's choice set?

50 units of clothing and 50 units of food.

20 units of clothing and 50 units of food.
10 units of clothing and 25 units of food.
0 units of clothing and 50 units of food.

If a household's money income is doubled,

the budget constraint will shift in and parallel to the old one.
the budget constraint is not affected.
the budget constraint will swivel outward at the Y-intercept.
the budget constraint will shift out parallel to the old one.

The curve that is traced out when we keep indifference curves constant and move the budget line parallel to its original position is

the income-consumption curve.
the Engel curve.
the demand curve.
the income-demand curve.

The curve that is traced out when we keep indifference curves constant and swivel the budget line at the Y-intercept to reflect a change the price of good X, is

the Engel curve.
the demand curve for X.
the substitution curve.
the price-consumption curve for X.

The curve that is traced out when we keep indifference curves and the total effective budget constant and only change the relative price of good X (i.e. slope of budget line) is:

A the Engel curve.
the demand curve for X.
the substitution curve.
the price-consumption curve for X.

If the income and substitution effects of a price increase work in the same direction the good whose price has changed is a

inferior good.
Giffen good.

normal good.
superior good.

If the price (or budget) line has a slope of -2 and it cuts indifference curve ICa at points P and R (given that the slope of ICa at point P is -4 and at point R is -1), the consumer can maximize utility by:

choosing consumption bundle P
choosing consumption bundle R
moving to a higher indifference curve
we don't enough information to answer the question

Indifference curves cannot

be L shaped
be straight lines
intersect
all of the above

The main problem with marginal utility analysis is:

that it cannot solve problems involving more than two goods
its cardinal measurement of utility
its inability to explain the diamond-water paradox
all of the above

This question is about the demand for washing machines under uncertainty about whether the machine will turn out to be a good buy or a bad one. The odds ratio (OR) is defined as the ratio of the probability of the machine being good to the probability of the machine being bad. Let's say the OR is < 1, and the consumer does not buy the machine. What can you conclude about the consumer's attitude towards risk?

She is risk averse
She is risk neutral
She is risk loving
We do not have enough information to answer the question

The concept of diminishing marginal utility of income (DMUy) helps explain:

why a marginal dollar might have higher utility for a pauper than a millionaire

why the total utility curve (in Utility-Income space) is convex
why the average consumer is risk-averse
all of the above

“Moral hazard” and “adverse selection” are problems related to asymmetric information, that arise

in ex-ante and ex-post contexts, respectively
in ex-post and ex-ante contexts, respectively
in ex-ante contexts
in ex-post contexts

Profit-maximising firms want to maximize the difference between

total revenue and total cost.
marginal revenue and marginal cost.
marginal revenue and average cost.
total revenue and marginal cost.

Which statement is FALSE?

Fixed costs do not depend on the firm's level of output.
Fixed costs are zero if the firm is producing nothing.
Fixed costs are the difference between total costs and total variable costs.
There are no fixed costs in the long run.

Which of the following is most likely to be a variable cost for a firm?

The monthly rent on office space that it leased for a year.
The franchiser's fee that a restaurant must pay to the national restaurant chain.
The interest payments made on loans.
Workers’ wages.

The costs that depend on output in the short run are
total variable costs only.
both total variable costs and total costs.
total costs only.
total fixed cost only.

The short run, as economists use the phrase, is characterized by

a period where the law of diminishing returns does not hold.
at least one fixed factor of production, and firms neither leaving nor entering the industry.
all inputs being variable.
no variable inputs - that is all of the factors of production are fixed.

Diminishing marginal returns implies

increasing average fixed costs.
decreasing marginal costs.
decreasing average variable costs.
increasing marginal costs.

Which of the following is a correct statement about the relationship between average product (AP) and marginal product (MP)?

If AP is at a maximum, then MP is also.
If TP is declining then AP is negative.
If AP exceeds MP, then AP is falling.
If AP = MP, then total product is at a maximum.

If the total product of two workers is 80 and the total product of 3 workers is 90, then the marginal product of the third worker is _____ and the average product of the third worker is _______.

270; 160
3.33; 10
10; 30
30; 10

Engineers for Imran Bike Company have determined that a 15% increase in "all" inputs will cause a 15% increase in output. Assuming that input prices remain constant, you correctly deduce that such a change will cause _________ as output increases.

Long-run average costs to increase
Long-run marginal costs to increase
Long-run average costs to remain constant
Long-run average costs to decrease

Suppose Isa Khan's Ice Cream experiences economies of scale up to a certain point and diseconomies of scale beyond that point. Its long-run average cost curve is most likely to be

upward sloping to the right.
U-shaped.
horizontal.
downward sloping to the right.

A graph showing all the combinations of capital and labour that can be used to produce a given amount of output is

an isocost line.
a production function.
an isoquant.
an indifference curve.

The rate at which a firm can substitute capital for labour and hold output constant is the

law of diminishing marginal returns.
marginal rate of technical substitution.
marginal rate of substitution.
marginal rate of production.

A graph showing all the combinations of capital and labour available for a given total cost is the

budget constraint.
isoquant.
expenditure set.
isocost line.

The formula for average fixed costs is

dTFC/dq.
TFC/q.
q/TFC.
TFC - q.

The formula for AVC is

q/TVC.
dTVC/dq.
dq/dTVC.
TVC/q.

Marginal revenue is

the additional profit the firm earns when it sells an additional unit of output.
the added revenue that a firm takes in when it increases output by one additional unit.
the difference between total revenue and total costs.
the ratio of total revenue to quantity.

A firm in a perfectly competitive industry is producing 50 units, its profit-maximising quantity. Industry price is Rs 2,000; total fixed costs are 25,000 and average variable costs are Rs 800. The firm's economic profit is

Rs 15,000.
Rs 25,000.
Rs 35,000.
Zero.

The amount of profit a firm makes can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm's choice of profit-maximising output can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm will shut down in the short run if

total variable costs exceed total revenues.
average cost exceeds price.

total costs exceed total revenues.
it is suffering a loss.

The concept of "interdependence of markets" can refer to the interdependence between:

two or more factor markets
goods and factor markets
goods markets
all of the above

The 'law of demand' implies that

as prices fall, quantity demanded increases.
as prices fall, demand increases.
as prices rise, quantity demanded increases.
as prices rise, demand decreases.

What effect is working when the price of a good falls and consumers tend to buy it instead of other goods?

the **substitution effect.**
the ceteris paribus effect.
the total price effect.
the income effect.

The quantity demanded (Qd) of a soft drink brand A has decreased. This could be because:

A's consumers have had an increase in income.
the price of A has increased.
A's advertising is not as effective as in the past.
the price of rival brand B has increased.

Demand curves in P-Q space are derived while holding constant

consumer tastes and the prices of other goods.
incomes, tastes, and the price of the good.
incomes and tastes.
incomes, tastes, and the prices of other goods.

Suppose the demand for good Z goes up when the price of good Y goes down. We can say that goods Z and Y are

perfect substitutes.
unrelated goods.
complements.
substitutes.

If the demand for coffee decreases as income decreases, coffee is

a normal good.
a complementary good.
an inferior good.
a substitute good.

Which of the following will NOT cause a shift in the demand curve for compact discs?

a change in the price of pre-recorded cassette tapes.
a change in wealth.
a change in income.
a change in the price of compact discs.

Which of the following is consistent with the law of supply?

As the price of calculators rises, the supply of calculators increases, ceteris paribus.
As the price of calculators falls, the supply of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators decreases, ceteris paribus.

The price of computer chips used in the manufacture of personal computers has fallen. This will lead to __________ personal computers.

a decrease in the supply of
a decrease in the quantity supplied of
an increase in the supply of
an increase in the quantity supplied of

When there is excess demand in an unregulated market, there is a tendency for

quantity demanded to increase.
quantity supplied to decrease.
price to fall.
price to rise.

Equilibrium in the market for good A obtains

when there is no surplus or shortage prevailing in the market
where the demand and supply curves for A intersect
when all of what is produced of A is consumed
all of the above

A shift in the demand curve (drawn in the traditional Price-Quantity space) to the left may be caused by

a decrease in supply.
a fall in income.
a fall in the price of a complementary good.
a fall in the number of substitute goods.

Assume the good is normal
A shift in the demand curve (drawn in Income-Quantity space) to the left may be caused by

a fall in the price of a complementary good.
a fall in income.
a change in tastes such that consumers prefer the good more.
a rise in the number of substitute goods.

Assume the good is normal
A movement along the demand curve (drawn in Quantity-Price space) to the left may be caused by

an increase in supply.
a rise in income.
a rise in the price of a complementary good.
a fall in the number of substitute goods.

Assume the good is normal
When the market operates without interference, price increases will distribute what is available to those who are willing and able to pay the most. This process is known as

price fixing.
quantity setting.
quantity adjustment.
price rationing.

How many different equilibria can obtain when you allow for shifts in the demand and/or the supply curves?

2
4
8
16

What will happen to equilibrium price and quantity when the demand curve shifts to the left and the supply curve shifts to the right

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

What will happen to equilibrium price and quantity when both the demand and supply curves shift to the left

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

A price ceiling imposed by the government can cause a shortage (excess demand)

when the price ceiling is above the free (or unregulated) market price
when the price ceiling is below the free (or unregulated) market price
when the price ceiling is equal to the free (or unregulated) market price
either of the above

What is the effect of imposing a fixed per unit tax on a good on its equilibrium price and quantity?

Price falls, quantity rises
Price rises, quantity falls
Both price and quantity fall
Both price and quantity rise

A price floor is

a maximum price usually set by government, that sellers may charge for a good or service.
a minimum price usually set by government, that sellers must charge for a good or service.
the difference between the initial equilibrium price and the equilibrium price after a decrease in supply.
the minimum price that consumers are willing to pay for a good or service.

The need for rationing a good arises when

there is a perfectly inelastic demand for the good.
supply exceeds demand.
demand exceeds supply.
a surplus exists.

If the "regulated-market" price is below the equilibrium (or "free-market" price) price,

the quantity demanded will be greater than quantity supplied.
demand will be less than supply.
quantity demanded will be less than quantity supplied.
quantity demanded will equal quantity supplied.

If a government were to fix a minimum wage for workers that was higher than the market-clearing equilibrium wage, economists would predict that

more workers would become employed.
there would be more unemployment.
the costs and prices of firms employing cheap labour would increase.
wages in general would fall as employers tried to hold down costs.

The process by which resources are transformed into useful forms is

capitalisation.
consumption.
allocation.
production.

The concept of choice would become irrelevant if

capital were eliminated.
scarcity were eliminated.
we were dealing with a very simple, one-person economy.
poverty were eliminated.

Which of the following is not a resource as the term is used by economists?

money.
land.
buildings.
labour.

Capital, as economists use the term,

is the money the firm spends to hire resources.
is money the firm raises from selling stock.
refers to the process by which resources are transformed into useful forms.
refers to things that have already been produced that are in turn used to produce other goods and services.

Opportunity cost, most broadly define, is

the additional cost of producing an additional unit of output.
what we forgo, or give up, when we make a choice or a decision.
a cost that cannot be avoided, regardless of what is done in the future.
the additional cost of buying an additional unit of a product.

A graph showing all the combinations of goods and services that can be produced if all of society's resources are used efficiently is a

demand curve.

supply curve
production possibility frontier.
circular-flow diagram.

Periods of “less than full employment” of resources correspond to

points on the ppf.
points outside the ppf.
either points inside or outside the ppf.
points inside the ppf.

What lies is at the heart of the allocation of goods and services in a free-market economy?

Concerns of equity or equal distribution among individuals.
The order or command of the ruling government or dictator.
The wishes of consumers in the market.
The price mechanism.

The phrase 'ceteris paribus' is best expressed as

'all else equal.'
'everything affects everything else.'
'scarcity is a fact of life.'
'there is no such thing as a free lunch.'

Laboratory (or controlled) experiments cannot be performed in economics because:

of resource scarcity.
economics is a natural science.
of the difficulty of distinguishing between normative and positive statements.
economics is a social science.

Positive statements are:

value judgments
verifiable or testable
statements in the affirmative
good statements

The former Soviet Union was an example of:

a **planned economy**
free-market/capitalism
dictatorship
a mixed economy

Rational choice or rational decision-making involves

comparing the net benefit of a choice with the total net benefit foregone of all the alternatives combined
weighing up total costs and total benefits associated with a decision
weighing up marginal costs and marginal benefits associated with a decision
all of the above.

The PPF can be used to illustrate:

the principle of opportunity costs and increasing opportunity costs
the distinction between micro and macroeconomics
efficient, infeasible and inefficient production combinations
all of the above

If you were running a firm in a perfectly competitive industry you would be spending your time making decisions on

how much of each input to use.
how much to spend on advertising.
what price to charge.
the design of the product.

Market power is

a firm's ability to charge any price it likes.
a firm's ability to raise price without losing all demand for its product.
a firm's ability to sell any amount of output it desires at the market-determined price.
a firm's ability to monopolise a market completely.

When ______ substitutes exist, a monopolist has ______ power to raise price.

more; more
fewer; less

no; infinite
more; less

If a firm has some degree of market power, then output price

becomes a decision variable for the firm.
is determined by the actions of other firms in the industry.
no longer influences the amount demanded of the firm's product.
is guaranteed to be above a firm's average cost.

Relative to a competitively organised industry, a monopoly

produces less output, charges lower prices and earns economic profits.
produces more output, charges higher prices and earns economic profits.
produces less output, charges higher prices and earns economic profits.
produces less output, charges lower prices and earns only a normal profit.

The cosmetics industry is not considered by economists to be a good example of perfect competition because

firms spend a large amount of money on advertising.
profit margins are very high for both producers and retailers.
there are a very large number of firms in the industry.
there are many government health controls on cosmetic products.

If firms can neither enter nor leave an industry, the relevant time period is the

long run.
immediate run.
intermediate run.
short run.

In the long run

there are no fixed factors of production.
all firms must make economic profits.
a firm can vary all inputs, but it cannot change the mix of inputs it uses.
a firm can shut down, but it cannot exit the industry.

A normal rate of profit

is the rate of return on investments over the interest rate on risk-free government bonds.
is the rate that is just sufficient to keep owners or investors satisfied.
Means zero return for owners or investors.
is the difference between total revenue and total costs.

If Wafa Enterprises is earning a rate of return greater than the return necessary for the business to continue operations, then

total costs exceed normal profit.
the firm is earning an economic profit.
normal profit is zero.
total costs exceed total revenue.

Economic profits are

the difference between total revenue and total costs.
anything greater than the normal opportunity cost of investing.
a rate of profit that is just sufficient to keep owners and investors satisfied.
the opportunity costs of all inputs.

The slope of the marginal revenue curve is

the same as the slope of the demand curve.
half as steep as the demand curve.
twice as steep as the demand curve.
always equal to one.

In a monopoly, marginal revenue is

less than price at low levels of output and greater than price at high levels of output.
always greater than price.
lower than price for all units other than the first.
always equal to price.

Suppose we know that a monopolist is maximising her profits. Which of the following is a correct inference? The monopolist has

maximised the difference between marginal revenue and marginal cost.
maximised its total revenue.
equated marginal revenue and marginal cost.

set price equal to its average cost.

An industry that realises such large economies of scale in producing its product that single-firm production of that good or service is most efficient is called

an economies of scale monopoly.
a natural monopoly.
a government franchise monopoly.
a fixed cost monopoly.

How can a government regulate a monopoly firm making supernormal profits so that a "socially optimal" outcome obtains:

set the firm's price (and quantity) corresponding to the point where the MC curve intersects the AC curve from below.
set the firm's price (and quantity) corresponding to the point where the MC curve intersects the MR curve from below.
set the firm's price (and quantity) corresponding to the point where the MR curve intersects the AC curve and AC>MR after that point.
set the firm's price (and quantity) corresponding to the point where the AR curve intersects the MC curve and MC>AR after that point.

Monopolistic competition differs from perfect competition primarily because

in perfect competition, firms can differentiate their products.
in monopolistic competition, firms can differentiate their products.
in monopolistic competition, there are relatively few firms.
in perfect competition, there are no barriers to entry.

In monopolistic competition, firms achieve some degree of market power

by producing differentiated products.
because of barriers to entry into the industry.
because of barriers to exit from the industry.
by virtue of size alone.

A monopolistically competitive firm that is incurring a loss will produce as long as the price that the firm charges is sufficient to cover

advertising costs.
fixed costs.

marginal costs.
variable costs.

A firm in a monopolistically competitive industry

must lower price to sell more output.
sells a fixed amount of output regardless of price.
can sell an infinite amount of output at the market-determined price.
must raise price to sell more output.

The "long-run" equilibrium outcomes in monopolistic competition and perfect competition are similar in the sense that under both market structures

firms will only earn a normal profit.
the efficient output level will be produced in the long run.
firms will be producing at minimum average cost.
firms realise all economies of scale.

A form of industry structure characterised by a few firms each large enough to influence market price is

monopolistic competition.
monopoly.
perfect competition.
oligopoly.

When one firm in the cooking oil market started an advertising campaign that stressed the nutritional value of its cooking oil, all other cooking oil manufacturers started similar advertising campaigns. This suggests that the cooking oil market is

monopolistically competitive.
oligopolistic.
perfectly competitive.
indeterminate from this information.

An industry that has a relatively small number of firms that dominate the market is called

a natural monopoly.
a colluding industry.
a merged industry.

a concentrated industry.

Assume that firms in an oligopoly are currently colluding to set price and output to maximise total industry profit. If the oligopolists are forced to stop colluding, the price charged by the oligopolists will _______ and the total output produced will ________.

increase; decrease
increase; increase
decrease; decrease
decrease; increase

A group of firms that gets together to make price and output decisions is called

a non-collusive oligopoly.
price leadership.
a cartel.
a concentrated industry.

In which of the following circumstances would a cartel be most likely to work?

The coffee market, where the product is standardised and there are a large number of coffee growers.
The automobile industry, where there are few producers but there is great product differentiation.
The market for copper, where there are very few producers and the product is standardised.
The fast-food market, where there are a large number of producers but the demand for fast food is inelastic.

A collusive oligopoly (with a dominant price leader) will produce a level of output

that would prevail under perfect competition.
between that which would prevail under perfect competition and that which a monopolistic competitor would choose in the same industry.
between that which would prevail under perfect competition and that which a monopolist would choose in the same industry.
equal to what a monopolist would choose in the same industry.

The kinked demand curve model of oligopoly assumes that the price elasticity of demand

in response to a price increase is more than the elasticity of demand in response to a price decrease.
is constant regardless of whether price increases or decreases.
is infinite if price increases and zero if price decreases.
in response to a price increase is less than the elasticity of demand in response to a price decrease.

Price discrimination involves

firms selling different products at different prices to different consumers.
firms selling the same product at different prices to different consumers.
consumers discriminating between different sellers on the basis of the different prices they quote for different products.
consumers discriminating between different sellers on the basis of the different prices they quote for the same product.

Price discrimination often favours public interest because it

allows some products to be produced that would otherwise not be produced in the economy due to the fear of making losses.
opens consumption possibilities to consumers that would otherwise not be inaccessible (or unaffordable) if a single price prevailed in the market.
allows firms to make supernormal profits which in turn allows them to sustain price wars when breaking into new markets.
all of the above

Oligopolistic firms making their price-output decisions keeping in view the current and possible future decisions of their rival firms, is an example of:

Strategic interaction
Prisoner's dilemma
Price leadership
None of the above

Given the following table, what would Firm A, which is a firm operating in a duopoly (along with firm B) do, if it were following a maximin strategy?

(p stands for profit or payoff)		**STRATEGY FOR FIRM A**	
		Not lower price	Lower price
STRATEGY	Not lower price	p_A = Rs 400m	p_A = Rs 300m

FOR FIRM B	Lower price	p_A = Rs 100m	p_A = Rs 200m

Lower its price
Not lower its price
We do not have information on p_B so we cannot answer the question
None of the abov

Which of the following would NOT constitute a pure public good?

National defense.
A new national holiday.
Free health service.
National environmental protection.

One of the characteristics of a public good, X, is that it is "non-rival". It means:

It is not possible to exclude anyone from using (or benefiting from) X.
There is no substitute for X.
One person's use of X does not affect another person's ability to use (or benefit from) X.
None of the above.

Why might advertising exceed its socially optimal level?

Because the marginal social costs of advertising are less than the marginal private costs.
Because private firms do not or cannot incorporate marginal external costs when deciding how much to advertise.
The marginal external benefit to advertising is not taken into account by firms.
None of the above.

If $MSB_X > MPB_X$, what can the government do to align the market outcome with the social optimum:
Impose a consumption tax.
Impose a production tax.
Provide a consumption subsidy.
Provide a production subsidy

If the VMP for labour > the MRP for labour, and there is no government intervention, you can conclude that the underlying market structure is:

a monopoly.
perfect competition.
not perfect competition.
none of the above.

A backward bending labour supply curve (roughly similar in shape to an inverted C) obtains when the income effect of a wage rise (beyond a certain wage level) dominates the substitution effect. If it was also the case that the income effect of a wage reduction (below a certain wage level) dominated the substitution effect, what would the complete labour supply curve roughly look like in "wage-hours worked" space?

a 3.
an inverted 3.
an S.
an inverted S.

A firm is considering the project of buying an ice-cream producing machine costing Rs.1,000,000 that will serve for 10 years and then have a scrap value of Rs. 110,000 at the end of 10 years. If the present value of the net ice-cream sales revenues that the machine will generate is Rs.900,000, then, assuming a 10% annual discount rate:

the firm should not buy the machine because the NPV associated with the overall project is negative.
the firm should be indifferent between buying and not buying because the NPV of the overall project is zero.
The firm should buy the machine because the NPV of the overall project is positive.
None of the above.

If the quarterly rent from a house is Rs.5,000, the annual interest rate is fixed at 5%, and housing market conditions are stable, what would you expect the market price of the house to be?

Rs.100,000
Rs.200,000
Rs.400,000
Rs.800,000

There are many differences between labour and land as factors of production, for e.g.:

Labour cannot be purchased like land, it can only be rented.
There is no obvious reason why landowners will reduce the supply of land when the rental price of land goes up.
The decision to hire labour does not directly depend on the interest rate.
All of the above.

Information products are unique in that the marginal cost of __________ the product is virtually zero.

producing
distributing
accessing
all of the above

Marginal utility measures:

The slope of the indifference curve.
The additional satisfaction from consuming one more unit of a good.
The slope of the budget line.
The marginal rate of substitution.

Which of the following best expresses the law of diminishing marginal utility?

The more a person consumes of a product, the smaller becomes the utility which he receives from its consumption.
The more a person consumes of a product, the smaller becomes the additional utility which she receives as a result of consuming an additional unit of the product.
The less a person consumes of a product, the smaller becomes the utility which she receives from its consumption.
The less a person consumes of a product, the smaller becomes the additional utility which he receives as a result of consuming an additional unit of the product.

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line.
An isoquant.
An indifference curve.
A demand curve.

The marginal rate of substitution:

May rise or fall, depending on the slope of the budget line.
Rises as you move downward along an indifference curve.
Falls as you move downward along an indifference curve.
Remains the same along a budget line.

Which of the following is a characteristic of the indifference curves?

They are concave to the origin.
They are convex to the origin.
Curves closer to the origin have the highest level of total utility.
Curves closer to the origin have the highest level of marginal utility.

In the diagram given below, the budget line is best represented by the line:

AB
AD
FG
DG

The endpoints (horizontal and vertical intercepts) of the budget line:

Measure its slope.
Measure the rate at which one good can be substituted for another.
Measure the rate at which a consumer is willing to trade one good for another.
Represent the quantity of each good that could be purchased if all of the budget were allocated to that good.

If prices and income in a two-good society double, what will happen to the budget line?

The intercepts of the budget line will increase.
The intercepts of the budget line will decrease.
The slope of the budget line may either increase or decrease.
There will be no effect on the budget line.

If Px = Py, then when the consumer maximizes utility,

X must equal Y.
MU(X) must equal MU(Y).
MU(X) may equal MU(Y), but it is not necessarily so.

X and Y must be substitutes.

The difference between what a consumer is willing to pay for a unit of a good and what must be paid when actually buying it is called:

Producer surplus.
Consumer surplus.
Cost-benefit analysis.
Net utility.

Which of following is a key assumption of a perfectly competitive market?

Firms can influence market price.
Commodities have few sellers.
It is difficult for new sellers to enter the market.
Each seller has a very small share of the market.

A firm maximizes profit by operating at the level of output where:

Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

The demand curve facing a perfectly competitive firm is:

Downward-sloping and less flat than the market demand curve.
Downward-sloping and more flat than the market demand curve.
Perfectly horizontal.
Perfectly vertical.

The monopolist has no supply curve because:

The quantity supplied at any particular price depends on the monopolist's demand curve.
The monopolist's marginal cost curve changes considerably over time.
The relationship between price and quantity depends on both marginal cost and average cost.
There is a single seller in the market.

A doctor sizes up patients' income and charges wealthy patients more than poorer ones. This pricing scheme represents a form of:

First-degree price discrimination.
Second-degree price discrimination.
Third-degree price discrimination.
Pricing at each consumer’s reservation price.

For which of the following market structures is it assumed that there are barriers to entry?

Perfect competition
Monopolistic competition
Monopoly
All of the above

A market with few entry barriers and with many firms that sell differentiated products is:

Purely competitive.
A monopoly.
Monopolistically competitive.
Oligopolistic.

Welfare economics is a branch of economics dealing with:

Social issues.
Normative issues.
Political issues.
None of the given options.

___________________ are goods that people must get a flavor of before they can consider buying them.

Experience goods.
Giffen goods.
Normal goods.
None of the given options.

Which of the following does not refer to macroeconomics?

The study of aggregate level of economic activity.
The study of causes of unemployment.
The study of causes of inflation.
The study of the economic behavior of individual decision-making units such as consumers, resource owners and business firms.

The slope of an indifference curve reveals:

That preferences are complete.
The marginal rate of substitution of one good for another good.
The ratio of market prices.
That preferences are transitive.

Alvin's preferences for good X and good Y are shown in the diagram below. Based on Figure it can be inferred that:

Alvin does not consider good X as "good."
Alvin will never purchase any of good Y.
Alvin regards good X and good Y as perfect substitutes.
Alvin regards good X and good Y as perfect complements.

An increase in income, holding prices constant, can be represented as:

A change in the slope of the budget line.
A parallel outward shift in the budget line.
An outward shift in the budget line with its slope becoming flatter.
A parallel inward shift in the budget line.

If prices and income in a two-good society double, what will happen to the budget line?

The intercepts of the budget line will increase.
The intercepts of the budget line will decrease.
The slope of the budget line may either increase or decrease.
There will be no effect on the budget line.

An individual consumes only two goods, X and Y. Which of the following expressions represents the utility maximizing market basket?

MRSxy is at a maximum.
Px/Py = money income.

MRSxy = money income.
MRSxy = Px/Py.

Which of the following is true regarding income along a price consumption curve?

Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility.

An individual with a constant marginal utility of income will be

Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision.

A function that indicates the maximum output per unit of time that a firm can produce, for every combination of inputs with a given technology, is called:

An isoquant.
A production possibility curve.
A production function.
An isocost function.

The short run is:

Less than a year.
Three years.
However long it takes to produce the planned output.
A time period in which at least one input is fixed.

The rate at which one input can be reduced per additional unit of the other input, while holding output constant, is measured by the:

Marginal rate of substitution.
Marginal rate of technical substitution.
Slope of the isocost curve.
Average product of the input.

If, in a fully employed, closed economy, the supply of money and the velocity of circulation of money both increase, then in the short-run.

Unemployment of factors will result
Real national output will expand
The volume of transactions will increase
The average level of prices will rise

An increase in the rate of inflation which is not accompanied by any change in the volume of consumer goods sold will automatically increase the:

Revenue from Value Added Tax
Level of company profits
Level of unemployment
Average level of wages

The increase in the Public Sector Borrowing Requirement (PSBR) to almost £50 billion this year will automatically lead to:

A higher rate of inflation
A fall in the rate of unemployment
An increase in the National Debt
A deterioration in the Balance of Payments

The investment demand curve shows the relationship between the levels of:

Investment and Consumption
Consumption and Interest Rate
Investment and Interest Rate
None

According to Classical models, the level of employment is determined primarily by:

The level of aggregate demand for goods and services.
Prices and wages.
Government taxation.
Government spending.

Which of the following is not an important variable in growth accounting calculations?

Productivity growth
Money supply growth
Labor growth
Capital growth

The per-worker production function relates:

Output per worker to capital per worker.
Output per worker to production per worker.
Output per worker to factors of production per worker.
Production per worker to the size of the work force.

In a steady-state economy:

Net investment equals depreciation rate.
Per capita capital stock grows at the rate of labour growth.
Per capita capital stock remains constant.
Net investment equals the consumption.

The war in Iraq sent oil prices spiraling upwards, resulting in an increase in the overall price level. This is an example of which type of inflation?

Cost-pull
Cost-push
Demand-pull
Demand-push

The IMF is an agency charged with providing:

Technical assistance to stock market and financial market problems.
Loans for post-World War II reconstruction.
Short-term credit for international balance of payments deficits.
Bonds denominated in U.S. dollars as a loan to LDCs.

In a portfolio investment:

Investors are directly involved in managing the operations.
As in direct investment, investors export goods and services abroad.
Investors transfer the technology to local investors.
Investors have no control over operations.

Inflation:

Reduces both the purchasing power of the dollar and one's real income
reduces the purchasing power of the dollar and increases one's real income
Reduces the purchasing power of the dollar but may have no impact on one's real income
Increases the purchasing power of the dollar and reduces one's real income

One of the tenets of the classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur:

Slowly.
Quickly.
Very infrequently.
Instantly.

Those that hold the classical view of the labour market are likely to believe that:

Monetary, but not fiscal policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Fiscal, but not monetary policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

Potential GDP is the level of aggregate output:

That can be produced if structural unemployment is zero.
That can be produced at a zero unemployment rate.
That can be sustained in the long run, if the inflation rate is zero.
That can be sustained in the long run without inflation.

Which school of economic thought suggested that one possible cause of inflation was a 'push' from the cost side?

New classical economists.
Monetarists.
Marxists.
Keynesians.

An unspoken agreement between workers and firms that the firm will not cut wages is known as:

An explicit contract.
An implicit or social contract.
Employment-at-will.
A relative-wage contract.

To offset the downswing in the business cycle, the government announces a major increase in public expenditure.

Technological Unemployment
Demand Deficient Unemployment
Real Wage Unemployment
Regional Unemployment

The government puts pressure on trade unions to make pay claims which are below the increase in productivity over the past year.

Frictional Unemployment
Technological Unemployment
Structural Unemployment
Real Wage Unemployment

In which case is total expenditure in an economy not equal to total income?

If total saving is larger than total investment
If net exports are not zero
If inventory investment is negative
None of the above--they are always equal

An expansionary fiscal policy can:

Raise the national debt.
Decrease the national debt.
Have no effect on national debt.
None of above.

Which is high powered money?

M1
M2
Mo

None

There are _________major instruments of monetary policy:

Three
Four
Five
None

The rate at which central bank lends to commercial banks is known as:

Reserve rate.
Discount rate.
Open market operation.
None.

Identify the three motives of money demand:

Accumulative, speculative, precautionary
Speculative, transaction, precautionary
Precautionary special, transaction
None

If purchasing power parity prevails absolutely in a two country world, the real exchange rate between the two countries should be:

1.
constantly changing.
relatively stable, but not constant
none of the above

The interest parity equation implies that there is a general tendency for:

exchange rates to be insensitive to the differential rates of interest between countries.
the currencies of relatively low-interest countries to appreciate.
the currencies of relatively high-interest countries to appreciate.
the currencies of relatively low-interest countries to depreciate.

Which of the following is (are) correct statement(s) about the current account deficit?

A current account deficit is bad, if it is being caused by excessive consumer spending
A current account deficit is bad, if it is fuelled by high fiscal deficits
A current account deficit is good, if it is caused by the excess of productive domestic investment over domestic savings
All of the above

The J-curve effect refers to the observation that

GDP usually decreases before it increases after a currency depreciation.
GDP usually decreases before it increases after a currency appreciation.
the trade balance usually gets worse before it improves after a currency appreciation.
the trade balance usually gets worse before it improves after a currency depreciation.

If Japan exports more direct investment capital abroad than expected, then the yen will tend to

appreciate.
fluctuate more than if exports were lower.
depreciate.
not be affected.

Today is Tuesday morning. If currency dealers expect the value of the dollar to fall by 10% on Wednesday, then, ceteris paribus, what will happen by the end of today to the Rs./dollar exchange rate? It will:

Rise by more than 10%.
Rise by exactly 10%.
Fall by less than 10%.
Remain constant.

According to traditional thinking on the subject, which of the following would not generate economic growth in an economy?

an increase in the size of the labour force.
an increase in the productivity of capital.
a move to more capital intensive production methods
discovery of a major mineral resource in the country

When referring to economic growth, we normally refer to:

growth in actual real per capita output
growth in potential real per capita output
growth in actual nominal per capita output
growth in potential real per capita output

A variable whose value is determined by the model of which it is a part is termed ___________.

endogenous
exogenous
independent
constant

An example of capital deepening, given an increasing L, would be:

K increases so as to maintain a constant K/L
K increases so much that K/L increases
K remains constant so that L/K increases
K falls, so as to reduce K/L

The neo-classical growth model says that:

poor countries should catch-up (or converge to) with richer countries
higher savings (or rates of capital accumulation) cannot raise a country's steady state growth rate
the steady state growth rate of real output depends on the sum of the (exogenous) growth rates in population and technical progress.
All of the above.

The length of a business cycle would be measured from

peak to trough.
trough to peak.
peak to peak.
the slump to the expansion.

If the economy is in the expansionary phase of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______ , and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

If the economy is at the peak of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______ , and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

If the economy is approaching the trough phase of the business cycle, aggregate demand is likely to be ______ , unemployment is likely to be ______ , inflation is likely to be ______, and the current account of the balance of payments is likely to be moving towards ______.

rising; falling; rising; deficit
static; low; rising; deficit
falling; falling; falling; surplus
falling; rising; falling; surplus

Which of the following is not true regarding the effects of growth on the balance of payments and vice versa?

Generally, growth raises incomes which will translate into higher consumption and higher imports, causing the current account of the BOPs to deteriorate.
If growth is “export-led”, it will boost the current account surplus of the BOPs.
If the current account deficit reflects an underlying private sector resource deficit, it is likely to be bad for future growth.
If the current account reflects rising imports of military equipment by the government, it might not be beneficial for economic growth.

A country has high inflation and is running a current account deficit. What should it do in the context of the Salter-Swan diagram?

Reduce government spending and revalue the exchange rate

Increase government spending and devalue the exchange rate
Reduce the money supply and devalue the exchange rate
Increase government spending and revalue the exchange rate

----------------- is the entire satisfaction one derives from consuming goods or services:

Total utility
Scarcity
Marginal utility
Rationing

The law of diminishing marginal utility states that:

As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit falls
As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit rises
As consumer consumes more and more units of any commodity, the utility that consumer derives from each additional unit remains the same
As consumer consumes less and less units of any commodity, the utility that consumer derives from each additional unit falls

The equi marginal principle states that:

$$\frac{MUa}{Pa} = \frac{MUb}{Pb} = \frac{MUc}{Pc} = \text{---------------------------} = \frac{MUn}{Pn}$$

$$\frac{MUa}{Pa} > \frac{MUb}{Pb} > \frac{MUc}{Pc} > \text{---------------------------} > \frac{MUn}{Pn}$$

$$\frac{MUa}{Pa} < \frac{MUb}{Pb} < \frac{MUc}{Pc} < \text{---------------------------} < \frac{MUn}{Pn}$$

None of the given options

Marginal utility measures:

The slope of the indifference curve
The additional satisfaction from consuming one more unit of a good
The slope of the budget line
The marginal rate of substitution

---------------- is the difference between willingness to pay and what the consumer actually has to pay:

Total Utility
Consumer surplus
Producer surplus
Total product

------------- is the ratio of the probability of success to the probability of failure:

Input output ratio
Odds ratio
Price earning ratio
Price sales ratio

------------------ operate under the principle of law of large numbers:

Banks
Insurance companies
Government sponsored enterprises
None of the given options

The optimum consumption point for the consumer is a point where:

The slopes of the indifference curve and budget line are equal
The slopes of the indifference curve and total product are equal
The slopes of the total utility curve and budget line are equal
The slopes of the total product curve and total utility curve are equal

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line
An isoquant
An indifference curve
A demand curve

The slope of an indifference curve reveals that:

The preferences are complete
The marginal rate of substitution of one good for another good
The ratio of market prices
That preferences are transitive

The law of diminishing returns applies to

The short run only
The long run only
Both the short and the long run
Neither the short nor the long run

In the long run:

All inputs are fixed
All inputs are variable
At least one input is variable and one input is fixed
At most one input is variable and one input is fixed

According to the law of diminishing returns

The total product of an input will eventually be negative
The total product of an input will eventually decline
The marginal product of an input will eventually be negative
The marginal product of an input will eventually decline

The slope of the total product curve is the

Average product
Slope of a line from the origin to the point
Marginal product
Marginal rate of technical substitution

The short run is

Less than a year
Three years
However long it takes to produce the planned output
A time period in which at least one input is fixed

The marginal product of an input is

Total product divided by the amount of the input used to produce this amount of output
The addition to total output that adds nothing to profit
The addition to total output due to the addition of one unit of all other inputs
The addition to total output due to the addition of the last unit of an input, holding all other inputs constant

Average product is defined as:

Total product divided by the total cost
Total product divided by marginal product
Total product divided by the variable input
Marginal product divided by the variable input

Marginal product crosses the horizontal axis (is equal to zero) at the point where:

Average product is maximized
Total product is maximized
Diminishing returns set in
Output per worker reaches a maximum

The law of diminishing returns refers to diminishing

Total returns
Marginal returns
Average returns
All of the given options

The law of diminishing returns assumes that

There is at least one fixed input
All inputs are changed by the same percentage
Additional inputs are added in smaller and smaller increments
All inputs are held constant

Since TR= P×Q, suppose a perfectly competitive firm increases its production from 10 units to 11 units. If the market price is $20 per unit, total revenue for 11 units is:

$20
$200
$210
$220

The profit-maximizing level of output for a perfectly competitive firm occurs where:

Marginal revenue equals marginal cost
Total revenue equals total cost
Average revenue equals average total cost
Average revenue equals average variable cost

A downward-sloping demand curve exists for:

A monopoly, but not for a perfectly competitive firm
A perfectly competitive firm, but not for a monopoly
Both a monopoly and a perfectly competitive firm
Neither a monopoly nor a perfectly competitive firm

Average revenue for a monopolist is:

Greater than price
Less than price
Less than marginal revenue
Greater than marginal revenue

Food chains are operating in Pakistan like Mc Donald, KFC and Pizza Hut etc. These food chains sell their products in different countries at different prices. This is an example of:

First-degree price discrimination
Second-degree price discrimination
Third-degree price discrimination
Monopolistic competition

You go to the market to purchase mangoes. Suppose 1 KG of mangoes = Rs. 45. If you purchase 1 KG of mangoes, seller will not discount the rate. But if you purchase mangoes in bulk amount then he will sell you at lower price. This is an example of:

First-degree price discrimination
Second-degree price discrimination
Third-degree price discrimination
Monopolistic competition

Which of the following is true for both perfect and monopolistic competition?

Firms produce a differentiated product
Firms face a downward sloping demand curve
Firms produce a homogeneous product
There is freedom of entry and exit in the long run

A feature of monopolistic competition that makes it similar to monopoly is the:

Inability to influence the price
Downward sloping demand curve
Ease of entry into the industry
Horizontal marginal revenue curve

Monopolistic competition is a market structure characterized by:

A single buyer and several sellers
A product with no close substitutes
Barriers to entry and exit
Differentiated products

A feature of oligopoly that makes it similar to monopoly is the:

Inability to influence the price
Downward-sloping demand curve
Freedom of entry into the industry
Horizontal marginal revenue curve

The market structure in which each firm is independent in decisions is known as:

Monopolistic competition
Oligopoly

Perfect competition
Monopoly

In the kinked demand curve model, if one firm reduces its price:

Other firms will also reduce their price
Other firms will compete on a non-price basis
Other firms will raise their price
All of the given options

The origins of classical economics can be traced to the work of:

Karl Marx
Milton Friedman
John Maynard Keynes
Adam Smith

Say's Law is a proposition underlying classical economics stating that:

Supply creates its own demand
Leakages are greater than injections
Unemployment is a common condition
Consumption expenditures are a function of disposable income

According to classical economics, the economy was unlikely to experience:

Full employment
Flexible wages and prices
Equality between saving and investment
High rates of unemployment

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

Monetarism
Rational expectations
Keynesian economics
Neoclassical economics

Keynesian economics was largely developed to address the economic

problems of the:

Stagflation of the 1970s
Great Depression of the 1930s
English industrial revolution of the late 1700s
American industrial revolution of the late 1800s

Keynesian economics was the predominant economic theory:

Prior to the late 1700s
From the late 1700s to the early 1900s
From the 1930s to the 1970s
Since the 1970s

Keynesian economics rejected the classical assumption that:

Supply creates its own demand
Prices and wages are inflexible
Self-correction takes a long time
Consumption expenditures depend on disposable income

Aggregate demand curve is downward sloping due to the:

Interest rate effect
Wealth effect
International purchasing power effect
All of the given option

A primary implication of Keynesian economics is:

The best government is the least government
Flexible wages and prices ensure full employment
Self-correction is the best way to eliminate unemployment
Economic instability is best corrected through the interference of government

Demand-management policies are designed to shift the:

Aggregate Demand curve
Aggregate Supply curve
Philips curve
Production possibilities curve

Aggregate supply is the relation between real production and:

Scarcity
The price level
Aggregate expenditures
Foreign trade

The long-run aggregate supply curve is:

Downward sloping
Upward sloping
Vertical at the full-employment level
Horizontal at the full-employment level

A leftward shift of the SRAS curve is a (n):

Increase in long-run aggregate supply
Decrease in long-run aggregate supply
Increase in short-run aggregate supply
Decrease in short-run aggregate supply

The price elasticity of demand is defined as the absolute value of the ratio of:

Price over quantity demanded.
Change in price over change in quantity demanded.
Percentage change in price over the percentage change in quantity demanded.
Percentage change in quantity demanded over the percentage change in price.

If a good is a luxury, its income elasticity of demand is:

positive and less than 1
negative but greater than -1
positive and greater than 1
zero

A resource is something that:

Is used to produce goods and services.
Is provided by nature, not made by society.

Exists in unlimited quantities.
Must be produced by a firm.

If the cross-price elasticity between home personal computers and video game units for TV is positive, one can conclude that

These products are substitutes for one another.
These products complement one another.
These products are over-priced.
Consumers are irrational.

As one moves along a convex isoquant, which of the following does not change?

The marginal rate of technical substitution.
The capital-labor ratio.
The marginal product of labor relative to the marginal product of capital.
The level output produced.

Of the following goods, the one where the law of diminishing marginal utility is least likely to apply is:

Water.
Cigarettes.
Toothpaste.
Rap music.

The optimal purchasing rule states that total utility is maximized when a consumer:

Consumes as much as possible of all good.
Consumes the same quantities of all goods.
Completely uses up their income.
Consumes to the point where the marginal utility per dollar spent on all goods is the same.

Which of the following pairs come closest to being complementary goods?

Apples and oranges.
Cameras and films.
A free hotel room and a free meal.
Cream and milk.

A Giffen good:

Is a good that people buy more of as their incomes fall.
Is a good which people buy more of as its price increases.
Is a good on which people spend a small portion of their income.
Has a vertical demand curve.

When an industry expands its costs of production will:

Increase.
Decrease.
stay the same.
none of the above.

Disposable Income is obtained by subtracting _____________taxes from personal income:

Indirect Taxes
Direct Taxes
Subsidies
None

Per capita income is obtained by dividing National Income by:

Total labor Force in the Country
Unemployed Youth in the Country
Total population of that country.
None

The investment demand curve shows the relationship between the levels of:

Investment and Consumption
Consumption and Interest Rate
Investment and Interest Rate
None

The situation in which the imports are greater than exports is termed as:

Trade Surplus
Trade Deficit

Budget Surplus
None

Fiscal policy is the government programme with respect to it's:

Steel Mill Privatization
Unemployment Reduction
Expenditure and Tax revenue
None

Imports for any economy are considered as:

Injections
Leakages
Brain Drain
None

The accelerator is a related concept which formalizes the investment response to:

Consumption
Interest rate
Output
None

According to Keynes macroeconomic equilibrium is attained when:

Prime Minister is PhD in Macroeconomics
Aggregate Demand Equals Aggregate Supply
Inflation Exists in Economy.
None

There are ___________________methods of measuring GDP:

Four
Three
Five
None

Intermediate goods are meant for:

Direct use by the consumers
further processing
The term do not exist
None

By how much has real GDP grown from 2001 to 2002?

-10%
12.5%
20%
0%

By how much has per capita nominal GNP changed from 2001 to 2002?

-10%
12.5%
20%
0%

Based on the above information, we can say that:

Poverty has fallen in the country
Per capita real GDP is falling
Income inequality has worsened
Real growth in the informal sector is 0%

In the circular flow of income, Keynesian equilibrium obtains when

All the individual sectors are in equilibrium: S=I, T=G, M=X
The aggregate injections equal aggregate withdrawals S+T+M = I+G+X
There is no inflation or unemployment
The interest rate and exchange rate are at their market clearing levels

Under conditions of Keynesian equilibrium:

aggregate demand equals aggregate supply
aggregate demand equals national income
both A and B
none of the above

Which of the following is a determinant of consumption

expectations about future prices
level of indebtedness of consumers
the price level
all of the above

Which is the most volatile component of aggregate demand

Net exports
consumption
investment
government spending

Which of the following is not an obvious or direct determinant of a country's imports

real exchange rate
income
tariff rates
interest rate

When consumption is 650, income is 750; when consumption is 620, income is 700. Assuming there is no government, I=100, net exports are 10, what is the level of equilibrium income?

500
625
775
850

Which of the following is not true?

Starting from no growth, a positive output growth rate would be associated with even higher rates of investment (the accelerator effect)
Higher investment causes a multiplied increase in income
Such increases in income would continue to induce higher investment, which in turn would continue to cause multiplied increases in output.
All of the above.

In the equation C = a + bY, which describes the aggregate consumption function, 'a' stands for

the amount of consumption when income is zero.
the marginal propensity to consume.
the amount of consumption when income is Maximum.
the average consumption level.

Total consumption divided by total income gives us:

the average propensity to consume.
the marginal propensity to save.
the marginal propensity of expenditure.
the marginal propensity to consume.

Disposable income is the part of households' income left after the deduction of

pension contributions.
income tax and social security payments.
income tax.
savings.

As the MPS increases, the multiplier will

increase.
either increase or decrease depending on the size of the change in investment.
remain constant.
decrease.

In macroeconomics, equilibrium is defined as that point at which

planned aggregate expenditure equals aggregate output.
planned aggregate expenditure equals consumption.
aggregate output equals consumption minus investment.
saving equals consumption.

The ratio of the change in the equilibrium level of output to a change in some autonomous component of aggregate demand is the

elasticity coefficient.
multiplier.

marginal propensity of the autonomous variable.
automatic stabiliser.

Assuming there are no taxes (and no foreign sector), if the MPC is .8, the multiplier is

2.5.
8.
5.
2.

Assuming the net income tax rate is 25% (and there is no foreign sector), if the MPC is 0.8, the multiplier is

2.5.
8.
5.
2.

Assuming there is no foreign sector, if the multiplier is 3, and the net income tax rate is 20%, the MPC is

3/4
4/5
5/6
6/7

Assume there is no government or foreign sector. If the MPC is .75, a Rs.20 billion decrease in planned investment will cause aggregate output to decrease by

Rs. 80 billion.
Rs. 20 billion.
Rs. 26.67 billion.
Rs. 15 billion.

According to the 'paradox of thrift,' increased efforts to save will cause

an increase in income and an increase in overall saving.
a decrease in income and an overall decrease in saving.
a decrease in income but an increase in saving.
an increase in income but no overall change in saving.

If injections are less than withdrawals at the full-employment level of national income, there is

an inflationary gap.
equilibrium.
a deflationary gap.
hyperinflation.

The accelerator theory of investment says that induced investment is determined by

the rate of change of national income.
expectations.
the level of national income.
the level of aggregate demand.

The diagram that shows the money received and paid out by each sector of the economy is the

income-price diagram.
income-expenditures diagram.
circular flow diagram.
aggregate demand-aggregate supply diagram.

If both the no. of unemployed people and the size of the labour force increase by 10,000, then

the unemployment rate will remain the same.
the unemployment rate will increase.
the unemployment rate will decrease.
we cannot tell.

Which of the following could be a reason for the problem of “lack of jobs” being overestimated:

the existence of disguised unemployment
people are underemployment
people holding only one job (as opposed to multiple jobs)
the existence of child labour

Which of the following is not a cost of voluntary unemployment?

potential output of the economy is greater than actual output
government loses tax revenue
firms lose (potential) revenues due to operating below capacity
mental stress undergone by the unemployed persons

“Because higher wages are less likely to induce people who are structurally or physically unable to participate on the labour force. On the other hand people already on the labour force are more likely to respond to higher wages by accepting jobs.”
The above statement is an answer to which question?

Why is the AJ curve more elastic than the LF curve
Why is the LF curve not totally vertical
Why is the AJ curve not completely vertical
Why is it difficult to completely remove the horizontal distance between the AJ and LF curves

Which of the following would constitute sound government policy if you subscribed to the Monetarist view on unemployment?

increase aggregate demand through monetary or fiscal policy
reduce the obstacles to downward wage rigidity (like unions, unemployment benefits, minimum wage legislations etc.)
Reduce the marginal income tax rate (to increase the incentive to work)
All of the the above

The persistence of a phenomenon, such as unemployment, even when its causes have been removed is called

The paradox of thrift.
hysteresis.
structural unemployment.
ceteris paribus.

Cyclical unemployment is the

portion of unemployment that is due to changes in the structure of the economy that result in a significant loss of jobs in certain industries.
unemployment that results when people become discouraged about their chances of finding a job so they stop looking for work.

portion of unemployment that is due to seasonal factors.
unemployment that occurs during recessions and depressions.

The natural rate of unemployment is generally thought of as the

ratio of the frictional unemployment rate to the cyclical unemployment rate.
sum of frictional unemployment and cyclical unemployment.
sum of frictional unemployment and structural unemployment.
sum of structural unemployment and cyclical unemployment.

One of the tenets of the Classical view of the labour market is that the wage adjustments that are necessary to clear the labour market occur

slowly.
instantly.
very infrequently.
very quickly.

According to Keynesian economists, those who are not working

have given up looking for a job, but would accept a job at the current wage if one were offered to them.
are too productive to be hired at the current wage.
have chosen not to work at the market wage.
are unable to find a job at the current wage rate.

The index used most often to measure inflation is the

consumer price index.
wholesale price index.
student price index.
producer price index.

If you were the owner of a cycle manufacturing firm, would you be particularly worried if wage inflation were higher than price inflation?

No. Because you would still be able to sell your goods at the higher price.
Yes. Because the cost of your input is growing faster than the revenue obtained from your output
Yes. Because both price and wage inflation are bad.
No. Because any loss to the firm will be offset by the gain to the workers.

Which of the following is not a major cost of inflation:

Resource wastage: as people spend time and money to guard against the “purchasing power erosion” effects of inflation, while firms suffer menu costs (i.e. the costs of frequently issuing “revised” price lists).
Uncertainty: firms defer investment when inflation is high and volatile as the latter complicates predicting future cashflows.
Worsened income inequality: inflation is a regressive tax on the people that does not take into account the taxpayers’ “ability to pay”. As such, there is a redistribution of wealth from the poor to the rich.
Money printing costs: inflation requires more currency notes to be printed and this raises the government’s printing costs.

In the long run, the Phillips curve will be vertical at the natural rate of unemployment if

the long-run supply curve is horizontal at the natural rate of inflation.
the long-run aggregate demand curve is vertical at potential GDP.
the long-run aggregate demand curve is horizontal at the natural rate of inflation.
the long-run aggregate supply curve is vertical at potential GDP.

According to the monetarists, the measured unemployment rate can

be reduced below the natural rate only in the short run, and not without inflation.
be reduced below the natural rate only in the long run, and only if the price level is constant.
be reduced below the natural rate only in the short run, and only if the price level is constant.
be reduced below the natural rate only in the long run, and not without inflation.

If the prices of all inputs seem to be rising, can you be absolutely sure that it is cost-push inflation?

No, because cost-push inflation is caused by an increase in the cost of only one input.
Yes, because that is exactly the definition of cost-push inflation.
No, because such a situation can also be caused by particular demand pressures in the economy.
Yes, because this is exactly what happens in stagflation.

The quantity theory of money implies that, provided velocity of money is constant, a given percentage change in the money supply will cause

an equal percentage change in nominal GDP.
a larger percentage change in nominal GDP.
an equal percentage change in real GDP.
a smaller percentage change in nominal GDP.

If input prices adjusted very slowly to output prices, the Phillips curve would be

downward sloping.
vertical or nearly vertical.
upward sloping.
horizontal or nearly horizontal.

If inflationary expectations increase, the short-run Phillips curve will

become vertical.
become upwarding sloping.
shift to the right.
shift to the left.

The record of a country's transactions in goods, services, and assets with the rest of the world is its _____________; while the difference between a country's merchandise exports and its merchandise imports is the ____________.

current account; trade balance.
capital account; balance of payments.
balance of trade; capital account.
balance of payments; balance of trade.

Assuming there is no government intervention in the foreign exchange market, which of the following statements must clearly be FALSE, given that?

If the capital account is in surplus, then the current account is likely to be in deficit.
If the current account is in deficit, then the capital account is likely to be in surplus.
If the current account is in balance, the capital account is also likely to be in balance.
None of the above.

Which of the following statements is necessarily TRUE?

A country runs a current account deficit if it imports more goods and services than it exports.
The sum of the current and capital accounts must be zero.
If both the current and capital accounts are in surplus, the exchange rate must appreciate.
None of the above.

All currencies other than the domestic currency of a given country are referred to as

reserve currencies.
near monies.
foreign exchange.
hard currency.

Exchange rates that are determined by the unregulated forces of supply and demand are

floating exchange rates.
pegged exchange rates.
fixed exchange rates.
managed exchange rates.

If the State Bank of Pakistan reduces the money supply, a floating exchange rate will help in reducing inflation because

as the money supply is decreased, the interest rate will increase, and the price of both Pakistani exports and Pakistani imports will rise.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will rise and the price of Pakistani imports will fall.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports will fall and the price of Pakistani imports will rise.
as the money supply is decreased, the interest rate will increase, and the price of Pakistani exports and Pakistani imports will fall.

The fall (rise) in value of one currency relative to another is

a floating (fixing) of the currency.
an appreciation (depreciation) of a currency.
a depreciation (appreciation) of a currency.
a strengthening (weakening) of a currency.

Which of the following would shift the demand curve for new textbooks to the right?

A fall in the price of paper used in publishing texts.
A fall in the price of equivalent used text books.
An increase in the number of students attending college.
A fall in the price of new text books.

Which of these measures the responsiveness of the quantity of one good demanded to an increase in the price of another good?

Price elasticity.
Income elasticity.
Cross‑price elasticity.
Cross‑substitution elasticity.

Assume that the current market price is below the market clearing level. We would expect:

A surplus to accumulate.
Downward pressure on the current market price.
Upward pressure on the current market price.
Lower production during the next time period.

The income elasticity of demand is the:

Absolute change in quantity demanded resulting from a one‑unit increase in income.
Percent change in quantity demanded resulting from the absolute increase in income.
Percent change in quantity demanded resulting from a one percent increase in income.
Percent change in income resulting from a one percent increase in quantity demanded.

Which of the following statements about the diagram below is true?

Demand is infinitely elastic.
Demand is completely inelastic.
Demand becomes more inelastic the lower the price.
Demand becomes more elastic the lower the price.

In the long run, new firms can enter an industry and so the supply elasticity tends to be:

More elastic than in the short‑run.

Less elastic than in the short-run.
Perfectly elastic.
Perfectly inelastic.

A curve that represents all combinations of market baskets that provide the same level of utility to a consumer is called:

A budget line.
An isoquant.
An indifference curve.
A demand curve.

The magnitude of the slope of an indifference curve is:

Called the marginal rate of substitution.
Equal to the ratio of the total utility of the goods.
Always equal to the ratio of the prices of the goods.
All of the above.

Which of the following is a positive statement?

Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
The minimum wage should not be increased, because to do so would increase unemployment.
Smoking should be restricted on all airline flights.
None of the above.

A supply curve reveals:

The quantity of output consumers are willing to purchase at each possible market price.
The difference between quantity demanded and quantity supplied at each price.
The maximum level of output an industry can produce, regardless of price.
The quantity of output that producers are willing to produce and sell at each possible market price.

A study of how increases in the minimum wage rate will affect the national unemployment rate is an example of

descriptive economics.
normative economics.

macroeconomics.
microeconomics.

Aggregate supply is the total amount

of goods and services produced in an economy.
produced by the government.
of products produced by a given industry.
of labour supplied by all households.

The total demand for goods and services in an economy is known as

aggregate demand.
national demand.
gross national product.
economy-wide demand.

Deflation is

an increase in the overall price level.
an increase in the overall level of economic activity.
a decrease in the overall level of economic activity.
a decrease in the overall price level.

A recession is

a period of declining prices.
a period during which aggregate output declines.
a period of declining unemployment.
a period of falling trade volumes.

Involuntary unemployment means that

people are not willing to work at the going wage rate.
at the going wage rate, there are people who want to work but cannot find work.
there are some people who will not work at the going wage rate.
there is excess demand in the labour market.

A cut in the income tax rate designed to encourage household consumption is an example of

expansionary demand-side policy.
contractionary demand-side policy.
expansionary supply-side policy.
contractionary supply-side policy.

A cut in the tax rate designed to reduce the cost of capital and hence encourage business investment is an example of

expansionary demand-side policy.
contractionary demand-side policy.
expansionary supply-side policy.
contractionary supply-side policy.

Macroeconomics is the branch of economics that deals with

the economy as a whole.
imperfectly competitive markets.
only the long run adjustments to equilibrium in the economy.
the functioning of individual industries and the behaviour of individual decision-making units - business firms and households.

A group of modern economists who believe that price and wage rigidities do not provide the only rationale for macroeconomic policy activism are called:

New-Keynesians.
Keynesians.
Monetarists.
The Classical school.

Macroeconomic theory that emphasised the theories of Keynes and de-emphasised the Classical theory developed as the result of the failure of

economic theory to explain the simultaneous increases in inflation and unemployment during the 1970s.
fine tuning during the 1960s.
the economy to grow at a rapid rate during the 1950s.
the Classical model to explain the prolonged existence of high unemployment during the Great Depression.

Keynes believed falling wages were not a solution to persistent unemployment because

falling wages demoralised workers.
this would reduce the purchasing power of labourers as consumers. This in turn would bleaken firms' prospects of selling more goods, hence inducing them to cut their investment (and hence labour) demand.
the unemployment was caused by frictional and structural factors.
wages would fall more than required to clear the labour market.

The practice of using fiscal and monetary policy to stabilise the economy is known as

fine tuning of demand
monetarism
laissez faire economics
supply side economics

According to Classical models, the level of employment is determined primarily by

interest rates.
the level of prices.
the level of aggregate supply in the economy
the level of aggregate demand for goods and services.

According to Keynes, the level of employment is determined by

interest rates.
the level of prices.
the level of aggregate supply in the economy
the level of aggregate demand for goods and services.

According to the Classical model, unemployment

could not persist because wages would fall to eliminate the excess supply of labour.
could persist for long periods of time because wages are not flexible.
could be eliminated only through government intervention.
could never exist.

To get the economy out of a slump, Keynes believed that the government should

increase both taxes and government spending.
increase taxes and/or decrease government spending.
cut both taxes and government spending.
decrease taxes and/or increase government spending.

Aggregate demand refers to the total demand for all domestically produced goods and services in an economy generated from

the household and government sectors.
the household sector.
all sectors except the rest of the world.
all sectors including the rest of the world.

Government policies that focus on increasing production rather than demand are called:

fiscal policies.
monetary policies.
incomes policies.
supply-side policies.

Prices that do not always adjust rapidly to maintain equality between quantity supplied and quantity demanded are

market prices.
sticky prices.
fixed prices.
regulatory prices.

The economists who emphasised wage-flexibility as a solution for unemployment were

Monetarists.
New-Keynesians.
Classical economists.
Keynesians.

According to the Classical economists, the economy

requires fine tuning to reach full employment.
should not be left to market forces.

will never be at full employment.
is self correcting.

Monetarism became popular because it was able to, unlike Classical or Keynesian economics, explain

stagflation in the late 1970s.
demand-pull inflation in the 1960s.
low growth rates in the 1950s.
the prolonged existence of high unemployment during the Great Depression.

Keynes' explanation for low firm investment during the Great Depression was

low savings, which placed a constraint on investment
high real borrowing rates, which discouraged firm borrowing
high savings, which left consumers with less money to spend on goods and serviced produced by firms
A permanent change in Europe's corporate ownership structures.

Rapid increases in the price level during periods of recession or high unemployment are known as

slump.
stagnation.
stagflation.
inflation.

The hypothesis that people know the 'true model' of the economy and that they use this model and all available information to form their expectations of the future is the

rational-expectations hypothesis.
active-expectations hypothesis.
static-expectations hypothesis.
adaptive-expectations hypothesis.

Neo-Classical theories were an attempt to explain

how unemployment could have persisted for so long during the Great Depression.
the stagflation of the 1970s.

why policy changes that are perceived as permanent have more of an impact on a person's behaviour than policy changes that are viewed as temporary.
the increase in the growth rate of real output in the 1950s.

A group of modern economists who believe that markets clear very rapidly and that expanding the money supply will always increase prices rather than employment are the

New-Keynesians.
Keynesians.
Monetarists.
The Classical school.

Say's law states that:

Supply creates its own demand.
Demand creates its own supply.
There is no such things as a free lunch
Macroeconomic policy activism is essential to ensure full-employment.

The aggregate supply (AS) curve and aggregate demand (AD) curve in a realistic Keynesian world are:

AS: fully horizontal; AD: downward sloping
AS: horizontal only till the full capacity level; AD: downward sloping
AS: vertical; AD: upward sloping
AS: horizontal; AD: vertical

A price taker is:

A firm that accepts different prices from different customers.
A consumer who accepts different prices from different firms.
A firm that cannot influence the market price.
Both (b.) and (c.).

Which of following is a key assumption of a perfectly competitive market?

Firms can influence market price.
Commodities have few sellers.
It is difficult for new sellers to enter the market.
Each seller has a very small share of the market.

A firm maximizes profit by operating at the level of output where:

Average revenue equals average cost.
Average revenue equals average variable cost.
Total costs are minimized.
Marginal revenue equals marginal cost.

The demand curve facing a perfectly competitive firm is:

Downward-sloping and less flat than the market demand curve.
Downward-sloping and more flat than the market demand curve.
Perfectly horizontal.
Perfectly vertical.

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a ______________ price and sell a ______________ quantity:

Higher; larger
Lower; larger
Higher; smaller
Lower; smaller

The monopolist has no supply curve because:

The quantity supplied at any particular price depends on the monopolist's demand curve.
The monopolist's marginal cost curve changes considerably over time.
The relationship between price and quantity depends on both marginal cost and average cost.
There is a single seller in the market.

A doctor sizes up patients' income and charges wealthy patients more than poorer ones. This pricing scheme represents a form of:

First-degree price discrimination.
Second-degree price discrimination.
Third-degree price discrimination.
Pricing at each consumer’s reservation price.

For which of the following market structures is it assumed that there are barriers to entry?

Perfect competition
Monopolistic competition
Monopoly
All of the above

A market with few entry barriers and with many firms that sell differentiated products is:

Purely competitive.
A monopoly.
Monopolistically competitive.
Oligopolistic.

Which of the following does not refer to macroeconomics?

The study of aggregate level of economic activity.
The study of causes of unemployment.
The study of causes of inflation.
The study of the economic behavior of individual decision-making units such as consumers, resource owners and business firms.

The study of economics is primarily concerned with:

Demonstrating that capitalistic economies are superior to socialistic economies.
Determining the most equitable distribution of society's output.
Keeping private businesses from losing money.
Choices which are made in seeking to use scarce resources efficiently.

Opportunity cost is:

That which we forego, or give up, when we make a choice or a decision.
A cost that cannot be avoided, regardless of what is done in the future.
The additional cost of producing an additional unit of output.
The additional cost of buying an additional unit of a product.

Periods of less than full employment correspond to:

Points outside the ppf.(production possibility frontier).

Points inside the ppf.
Points on the ppf.
Either points inside or outside the ppf.

In a free-market economy the allocation of resources is determined by:

votes taken by consumers
a central planning authority
Consumer preferences
the level of profits of firms

A firm produces chairs. An economist working for the firm predicts that 'if people's incomes rise next year, then the demand for our chairs will increase, ceteris paribus.' The accuracy of the economist's prediction depends on whether the chairs that firm produces:

Have many complementary goods.
Have few substitutes.
Have few complementary goods.
Are normal goods.

According to law of demand, a demand curve is:

Horizontal
Vertical
Downward sloping
Directly related to law of supply

A rational decision maker will take only those actions for which the marginal benefit:

Is positive.
Is at its maximum level.
Is less than marginal cost.
Is greater than or equal to the expected marginal cost.

All of the following are determinants of supply except:

Price
Income levels
Objectives of the firm
Level of technology

Normative economics:

Deals solely with the facts
Is never studied in the colleges
Involves opinions and interpretations
Is clearly preferable to positive economics

The transformation of resources into economic goods and services is:

Technical efficiency
Input
Production
Increasing returns

Economists use the term utility to mean

the value of a product before it has been advertised.
the satisfaction a consumer obtains from a good or service.
any characteristic of a good or service which cannot be measured.
the contribution a good or service makes to social welfare.

Economists use the term marginal utility to mean

additional satisfaction gained divided by additional cost of the last unit.
additional satisfaction gained by the consumption of one more unit of a good.
total satisfaction gained when consuming a given number of units.
the process of comparing marginal units of all goods which could be purchased.

The law of diminishing marginal utility states that

total satisfaction will decrease as more units of the good are consumed.
the satisfaction derived from each additional unit of a good consumed will decrease.
total utility will become negative.
Both the first and third option.

By total consumer surplus economists mean (in P-Q space)

The area of the triangle formed by the demand curve, the price axis and the equilibrium price line.

the area between the average revenue and marginal revenue curves.
the difference between the maximum price the consumer is willing to pay for a good (vertical-intercept of demand curve) and the minimum price the producer is willing to sell at (vertical intercept of supply curve).
A and C.

The equation for Rida's demand curve for bouquets of flowers is P = 40 - 2Q. If the price of a bouquet is Rs18, her consumer surplus will be

Rs198
Rs121.
Rs11.
Rs242.

The price of an ice cream cone is $1.50 and you buy three ice cream cones per week. If the price of an ice cream cone falls to $1.25 and you still buy three ice cream cones per week, which of the following is (are) correct?

The marginal utility of the fourth ice cream cone per week must be worth less than $1.25 to you.
The total utility of the four ice cream cones per week must be worth less than $5.75 (=3*$1.50 +$1.25) to you.
The total utility of the four ice cream cones per week must be less than $5.00 (3*$1.25+$1.25) to you.
None of the above.

Economists have used the idea of diminishing marginal utility to explain why

demand curves slope downwards.
demand curves become flatter at lower prices.
demand curves are inelastic.
Both the first and second option.

A consumer will buy more units of a good if the value of the good's

total utility is greater than price.
marginal utility is less than price.
marginal utility is greater than price.
total utility is less than price.

The diamond-water paradox can be explained by suggesting that the price of a product is determined by

consumer incomes.
its marginal utility.
consumer surplus.
diminishing marginal utility.

A utility-maximising consumer changes her spending on goods X and Y until

MUx = MUy
Px (MUx) = Py(MUy)
TUx/Px = TUy/Py
MUx (Py) = MUy (Px)

The MUx/MUy ratio is 10 and the Px/Py ratio is 8, so the consumer should buy

less X and more Y.
more X and more Y.
more X and less Y.
less X and less Y.

Economists define an indifference curve as the set of points

at which the consumer is in equilibrium as the consumer's income changes.
which yield the same marginal utility.
which yield the same total utility.
At which the consumer is in equilibrium as prices change.

Which of the following is a property of an indifference curve?

the marginal rate of substitution is constant as you move along an indifference curve.
marginal utility is constant as you move along an indifference curve.
it is convex to the origin.
total utility is greatest where the 45 degree line cuts the indifference curve.

The limits imposed on household choices by income, wealth, and product prices are captured by the

budget constraint.
choice set.

assumption of perfect knowledge.
preference set.

Waris has Rs5000 a week to spend on units of food and clothing. The unit price of food is Rs100 and the unit price of clothing is Rs250. Which of the following pairs of food and clothing are in the Waris's choice set?

50 units of clothing and 50 units of food.
20 units of clothing and 50 units of food.
10 units of clothing and 25 units of food.
0 units of clothing and 50 units of food.

If a household's money income is doubled,

the budget constraint will shift in and parallel to the old one.
the budget constraint is not affected.
the budget constraint will swivel outward at the Y-intercept.
the budget constraint will shift out parallel to the old one.

The curve that is traced out when we keep indifference curves constant and move the budget line parallel to its original position is

the income-consumption curve.
the Engel curve.
the demand curve.
the income-demand curve.

The curve that is traced out when we keep indifference curves constant and swivel the budget line at the Y-intercept to reflect a change the price of good X, is

the Engel curve.
the demand curve for X.
the substitution curve.
the price-consumption curve for X.

The curve that is traced out when we keep indifference curves and the total effective budget constant and only change the relative price of good X (i.e. slope of budget line) is:

the Engel curve.
the demand curve for X.

the substitution curve.
the price-consumption curve for X.

If the income and substitution effects of a price increase work in the same direction the good whose price has changed is a

inferior good.
Giffen good.
normal good.
superior good.

If the price (or budget) line has a slope of -2 and it cuts indifference curve ICa at points P and R (given that the slope of ICa at point P is -4 and at point R is -1), the consumer can maximize utility by:

choosing consumption bundle P
choosing consumption bundle R
moving to a higher indifference curve
we don't enough information to answer the question

Indifference curves cannot

be L shaped
be straight lines
intersect
all of the above

The main problem with marginal utility analysis is:

that it cannot solve problems involving more than two goods
its cardinal measurement of utility
its inability to explain the diamond-water paradox
all of the above

This question is about the demand for washing machines under uncertainty about whether the machine will turn out to be a good buy or a bad one. The odds ratio (OR) is defined as the ratio of the probability of the machine being good to the probability of the machine being bad. Let's say the OR is < 1, and the consumer does not buy the machine. What can you conclude about the consumer's attitude towards risk?

She is risk averse
She is risk neutral
She is risk loving
We do not have enough information to answer the question

The concept of diminishing marginal utility of income (DMUy) helps explain:

why a marginal dollar might have higher utility for a pauper than a millionaire
why the total utility curve (in Utility-Income space) is convex
why the average consumer is risk-averse
all of the above

“Moral hazard” and “adverse selection” are problems related to asymmetric information, that arise

in ex-ante and ex-post contexts, respectively
in ex-post and ex-ante contexts, respectively
in ex-ante contexts
in ex-post contexts

Profit-maximising firms want to maximize the difference between

total revenue and total cost.
marginal revenue and marginal cost.
marginal revenue and average cost.
total revenue and marginal cost.

Which statement is FALSE?

Fixed costs do not depend on the firm's level of output.
Fixed costs are zero if the firm is producing nothing.
Fixed costs are the difference between total costs and total variable costs.
There are no fixed costs in the long run.

Which of the following is most likely to be a variable cost for a firm?

The monthly rent on office space that it leased for a year.
The franchiser's fee that a restaurant must pay to the national restaurant chain.
The interest payments made on loans.
Workers’ wages.

The costs that depend on output in the short run are

total variable costs only.
both total variable costs and total costs.
total costs only.
total fixed cost only.

The short run, as economists use the phrase, is characterized by

a period where the law of diminishing returns does not hold.
at least one fixed factor of production, and firms neither leaving nor entering the industry.
all inputs being variable.
no variable inputs - that is all of the factors of production are fixed.

Diminishing marginal returns implies

increasing average fixed costs.
decreasing marginal costs.
decreasing average variable costs.
increasing marginal costs.

Which of the following is a correct statement about the relationship between average product (AP) and marginal product (MP)?

If AP is at a maximum, then MP is also.
If TP is declining then AP is negative.
If AP exceeds MP, then AP is falling.
If AP = MP, then total product is at a maximum.

If the total product of two workers is 80 and the total product of 3 workers is 90, then the marginal product of the third worker is _____ and the average product of the third worker is _______.

270; 160
3.33; 10
10; 30
30; 10

Engineers for Imran Bike Company have determined that a 15% increase in "all" inputs will cause a 15% increase in output. Assuming that input prices remain constant, you correctly deduce that such a change will cause _________ as output increases.

Long-run average costs to increase
Long-run marginal costs to increase
Long-run average costs to remain constant
Long-run average costs to decrease

Suppose Isa Khan's Ice Cream experiences economies of scale up to a certain point and diseconomies of scale beyond that point. Its long-run average cost curve is most likely to be

upward sloping to the right.
U-shaped.
horizontal.
downward sloping to the right.

A graph showing all the combinations of capital and labour that can be used to produce a given amount of output is

an isocost line.
a production function.
an isoquant.
an indifference curve.

The rate at which a firm can substitute capital for labour and hold output constant is the

law of diminishing marginal returns.
marginal rate of technical substitution.
marginal rate of substitution.
marginal rate of production.

A graph showing all the combinations of capital and labour available for a given total cost is the

budget constraint.
isoquant.
expenditure set.
isocost line.

The formula for average fixed costs is

dTFC/dq.
TFC/q.
q/TFC.
TFC - q.

The formula for AVC is

q/TVC.
dTVC/dq.
dq/dTVC.
TVC/q.

Marginal revenue is

the additional profit the firm earns when it sells an additional unit of output.
the added revenue that a firm takes in when it increases output by one additional unit.
the difference between total revenue and total costs.
the ratio of total revenue to quantity.

A firm in a perfectly competitive industry is producing 50 units, its profit-maximising quantity. Industry price is Rs 2,000; total fixed costs are 25,000 and average variable costs are Rs 800. The firm's economic profit is

Rs 15,000.
Rs 25,000.
Rs 35,000.
Zero.

The amount of profit a firm makes can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm’s choice of profit-maximising output can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm will shut down in the short run if

total variable costs exceed total revenues.
average cost exceeds price.
total costs exceed total revenues.
it is suffering a loss.

If you were running a firm in a perfectly competitive industry you would be spending your time making decisions on

how much of each input to use.
how much to spend on advertising.
what price to charge.
the design of the product.

Market power is

a firm's ability to charge any price it likes.
a firm's ability to raise price without losing all demand for its product.
a firm's ability to sell any amount of output it desires at the market-determined price.
a firm's ability to monopolise a market completely.

When ______ substitutes exist, a monopolist has ______ power to raise price.

more; more
fewer; less
no; infinite
more; less

If a firm has some degree of market power, then output price

becomes a decision variable for the firm.
is determined by the actions of other firms in the industry.
no longer influences the amount demanded of the firm's product.
is guaranteed to be above a firm's average cost.

Relative to a competitively organised industry, a monopoly

produces less output, charges lower prices and earns economic profits.
produces more output, charges higher prices and earns economic profits.
produces less output, charges higher prices and earns economic profits.
produces less output, charges lower prices and earns only a normal profit.

The cosmetics industry is not considered by economists to be a good example of perfect competition because

firms spend a large amount of money on advertising.
profit margins are very high for both producers and retailers.
there are a very large number of firms in the industry.
there are many government health controls on cosmetic products.

If firms can neither enter nor leave an industry, the relevant time period is the

long run.
immediate run.
intermediate run.
short run.

In the long run

there are no fixed factors of production.
all firms must make economic profits.
a firm can vary all inputs, but it cannot change the mix of inputs it uses.
a firm can shut down, but it cannot exit the industry.

A normal rate of profit

is the rate of return on investments over the interest rate on risk-free government bonds.
is the rate that is just sufficient to keep owners or investors satisfied.
Means zero return for owners or investors.
is the difference between total revenue and total costs.

If Wafa Enterprises is earning a rate of return greater than the return necessary for the business to continue operations, then

total costs exceed normal profit.
the firm is earning an economic profit.
normal profit is zero.
total costs exceed total revenue.

Economic profits are

the difference between total revenue and total costs.
anything greater than the normal opportunity cost of investing.
a rate of profit that is just sufficient to keep owners and investors satisfied.
the opportunity costs of all inputs.

The slope of the marginal revenue curve is

the same as the slope of the demand curve.
half as steep as the demand curve.
twice as steep as the demand curve.
always equal to one.

In a monopoly, marginal revenue is

less than price at low levels of output and greater than price at high levels of output.
always greater than price.
lower than price for all units other than the first.
always equal to price.

Suppose we know that a monopolist is maximising her profits. Which of the following is a correct inference? The monopolist has

maximised the difference between marginal revenue and marginal cost.
maximised its total revenue.
equated marginal revenue and marginal cost.
set price equal to its average cost.

An industry that realises such large economies of scale in producing its product that single-firm production of that good or service is most efficient is called

an economies of scale monopoly.
a natural monopoly.
a government franchise monopoly.
a fixed cost monopoly.

How can a government regulate a monopoly firm making supernormal profits so that a "socially optimal" outcome obtains:

set the firm's price (and quantity) corresponding to the point where the MC curve intersects the AC curve from below.
set the firm's price (and quantity) corresponding to the point where the MC curve intersects the MR curve from below.
set the firm's price (and quantity) corresponding to the point where the MR curve intersects the AC curve and AC>MR after that point.
set the firm's price (and quantity) corresponding to the point where the AR curve intersects the MC curve and MC>AR after that point.

Monopolistic competition differs from perfect competition primarily because

in perfect competition, firms can differentiate their products.
in monopolistic competition, firms can differentiate their products.
in monopolistic competition, there are relatively few firms.
in perfect competition, there are no barriers to entry.

In monopolistic competition, firms achieve some degree of market power

by producing differentiated products.
because of barriers to entry into the industry.
because of barriers to exit from the industry.
by virtue of size alone.

A monopolistically competitive firm that is incurring a loss will produce as long as the price that the firm charges is sufficient to cover

advertising costs.
fixed costs.
marginal costs.
variable costs.

A firm in a monopolistically competitive industry

must lower price to sell more output.
sells a fixed amount of output regardless of price.
can sell an infinite amount of output at the market-determined price.
must raise price to sell more output.

The “long-run” equilibrium outcomes in monopolistic competition and perfect competition are similar in the sense that under both market structures

firms will only earn a normal profit.
the efficient output level will be produced in the long run.
firms will be producing at minimum average cost.
firms realise all economies of scale.

A form of industry structure characterised by a few firms each large enough to influence market price is

monopolistic competition.
monopoly.
perfect competition.
oligopoly.

When one firm in the cooking oil market started an advertising campaign that stressed the nutritional value of its cooking oil, all other cooking oil manufacturers started similar advertising campaigns. This suggests that the cooking oil market is

monopolistically competitive.
oligopolistic.
perfectly competitive.
indeterminate from this information.

An industry that has a relatively small number of firms that dominate the market is called

a natural monopoly.
a colluding industry.
a merged industry.
a concentrated industry.

Assume that firms in an oligopoly are currently colluding to set price and output to maximise total industry profit. If the oligopolists are forced to stop colluding, the price charged by the oligopolists will _______ and the total output produced will ________.

increase; decrease
increase; increase

decrease; decrease
decrease; increase

A group of firms that gets together to make price and output decisions is called

a non-collusive oligopoly.
price leadership.
a cartel.
a concentrated industry.

In which of the following circumstances would a cartel be most likely to work?

The coffee market, where the product is standardised and there are a large number of coffee growers.
The automobile industry, where there are few producers but there is great product differentiation.
The market for copper, where there are very few producers and the product is standardised.
The fast-food market, where there are a large number of producers but the demand for fast food is inelastic.

A collusive oligopoly (with a dominant price leader) will produce a level of output

that would prevail under perfect competition.
between that which would prevail under perfect competition and that which a monopolistic competitor would choose in the same industry.
between that which would prevail under perfect competition and that which a monopolist would choose in the same industry.
equal to what a monopolist would choose in the same industry.

The kinked demand curve model of oligopoly assumes that the price elasticity of demand

in response to a price increase is more than the elasticity of demand in response to a price decrease.
is constant regardless of whether price increases or decreases.
is infinite if price increases and zero if price decreases.
in response to a price increase is less than the elasticity of demand in response to a price decrease.

Price discrimination involves

firms selling different products at different prices to different consumers.
firms selling the same product at different prices to different consumers.
consumers discriminating between different sellers on the basis of the different prices they quote for different products.
consumers discriminating between different sellers on the basis of the different prices they quote for the same product.

Price discrimination often favours public interest because it

allows some products to be produced that would otherwise not be produced in the economy due to the fear of making losses.
opens consumption possibilities to consumers that would otherwise not be inaccessible (or unaffordable) if a single price prevailed in the market.
allows firms to make supernormal profits which in turn allows them to sustain price wars when breaking into new markets.
all of the above

Oligopolistic firms making their price-output decisions keeping in view the current and possible future decisions of their rival firms, is an example of:

Strategic interaction
Prisoner’s dilemma
Price leadership
None of the above

Fiscal policy refers to:

The actions of the central bank in controlling the money supply.
The spending and taxing policies used by the government to influence the economy.
The government's regulation of financial intermediaries.
None of the given options.

Disposable income is:

Total income plus transfer payments
Total income minus saving.
Total income plus net taxes.
Total income minus net taxes.

The deficit tends to decrease when:

GDP decreases slightly.
GDP decreases rapidly.
GDP increases.
GDP remains unchanged.

Money or paper currency serves at least _______________ functions:

Four
Three
Five
Seven

The economic logic behind granting central banks independence from government in the conduct of monetary policy is:

To eliminate seignior age.
To allow open market operations.
To enhance the credibility of monetary policy.
None of the above.

An expansionary fiscal policy can:

Raise the national debt.
Decrease the national debt.
Have no effect on national debt.
None of above.

Which is high powered money?

M1
M2
Mo
None

There are __________major instruments of monetary policy:

Three
Four
Five
None

The rate at which central bank lends to commercial banks is known as:

Reserve rate.
Discount rate.
Open market operation.
None.

Identify the three motives of money demand:

Accumulative, speculative, precautionary
Speculative, transaction, precautionary
Precautionary special, transaction
None

Microeconomics is concerned with:

The establishing of an overall view of the operation of the economic system.
A detailed examination of specific economic units which comprise the economic system.
The aggregate or total levels of income, employment and output.
None of the given option

What is the difference between the positive and the normative in economics?

A positive question is one for which the answer is yes while normative question is one for which the answer is no.
Positive questions concern matters of opinion, while normative questions concern matters of fact.
Positive questions concern matters of fact, while normative questions concern matters of opinion.
Economic theory can answer normative questions, but not positive ones.

Which of the following is characteristic of a product whose demand is elastic?

The price elasticity coefficient is less than 1.
Total revenue decreases if price decreases.
Buyers are relatively insensitive to price changes.
The percentage change in quantity is greater than the percentage change in price.

A Giffen good:

Is a good that people buy more of it as their incomes fall.
Is a good which people buy more of as its price increases.
Has a vertical demand curve.
Is another name for a free good.

An indifference curve is a curve which shows the different combinations of two products that:

Give a consumer equal marginal utilities.
Give the customer equal total utilities.
Cost a consumer equal amounts.
Have the same prices.

A study shows that the coefficient of the cross price elasticity of Coke and Sprite is negative. This information indicates that Coke and Sprite are:

Normal goods.
Complementary goods.
Substitute goods.
Independent goods.

Elasticity of supply is defined as the ratio of:

Price over quantity supplied.
Change in price over change in quantity supplied.
Percentage change in quantity supplied over percentage change in price.
Percentage change in price over percentage change in quantity supplied.

The change in total revenue divided by a one-unit change in output sold is known as:

Average revenue.
Average profit.
Marginal cost.
Marginal revenue.

Marginal cost:

Is the cost of hiring the last unit of labor

Is another word for average cost
Is rising when marginal product is rising
Should be avoided

in perfect competition, product price is:

Greater than marginal revenue.
Equal to marginal revenue.
Equal to total revenue.
Greater than total revenue.

According to the Laffer curve, as tax rates increase, tax revenues

decrease continuously.
initially decrease and then increase.
rise continuously.
initially increase and then decrease.

The government imposes a new income tax legislation under which every male taxpayer must pay 15% of his income as taxes, while every female taxpayer must pay 20% of her income as taxes. Such tax legislation violates which equity principle?

Both horizontal equity and vertical equity
Vertical equity only
Horizontal equity only
Neither

A 15% VAT is a(n):

Proportional income tax.
Fixed excise duty.
Ad valorem indirect tax.
None of the above.

Tax incidence is the

ultimate distribution of a tax's burden.
measure of the impact the tax has on employment and output.
behaviour of shifting the tax to another party.
structure of the tax.

You know that all taxes are distortionary. Under what conditions will this knowledge lead you to oppose the imposition of every single tax in the economy?

If you live in a 1st best world
If you live in a 2nd best world
If the tax rates on some of the items are prohibitively high
Either of the above

Let us say assume the Pakistani government is facing a fiscal deficit. Which of the following would not constitute a possible method of financing this deficit?

printing rupees (borrowing from the central bank)
selling dollars in the foreign exchange market
imposing new taxes or raising existing tax rates
borrowing from an international financial institution

Which of the following is not a correct argument against a fiscal policy expansion – say a tax cut – aimed at lifting aggregate demand?

The expansion might become pro-cyclical ex-post, given the lag time required to change fiscal policy.
Fiscal policy works with a lag, thus a tax cut introduced today would not have an expansionary effect on aggregate demand till many months later.
The fiscal expansion would increase distortion in the economy.
Lower taxes would increase the government's borrowing requirement, which in turn would cause interest rates to rise, which in turn would i) cause the exchange rate to appreciate, which in turn would cause the current account to move into deficit, and ii) crowd out private investment.

The increase in base money divided by the corresponding induced increase in commercial bank deposits is the

bank's line of credit.
reserve ratio.
current ratio.
money multiplier.

If the State Bank of Pakistan wished to pursue a 'tight' monetary policy, it would

lower the required reserve ratio and the statutory liquidity ratio.
lower interest rates.

buy government securities on the open market.
sell government securities on the open market.

An item designated as money that is intrinsically worthless could be

a currency note.
a silver coin.
a barter item.
any tradeable commodity.

A checking deposit (or current account) held at a commercial bank is considered __________ of that bank.

an asset.
net worth.
a liability.
capital.

Which of the following activities is one of the responsibilities of the State Bank of Pakistan?

Monitoring the financial health of banks and non-bank financial insitutions.
Auditing the various agencies and departments of the government.
Issuing bonds on international capital markets to finance the fiscal deficit.
Loaning money to other countries that are friendly to Pakistan.

A bank has excess liquidity reserves to lend but is unable to find a willing borrower. This will __________ the size of the money multiplier.

reduce
increase
have no effect on
double

The quantity of money demanded increases with income. Thus if income increases, the opportunity cost of holding money must go up in order to reduce money demand and re-establish equilibrium in the money market. This relation is captured by:

an upward sloping LM curve.
a downward sloping L curve.
a downward sloping IS curve.

the circular flow of money in the economy.

When economists speak of the 'demand for money,' which of the following questions are they asking?

How much cash do you wish you could have?
How much wealth would you like?
How much income would you like to earn?
What proportion of your financial assets do you want to hold in non-interest bearing forms?

Which of the following will not cause money supply to expand, given a fully floating exchange rate regime and a fixed supply of dollars in the market

The central bank buying foreign currency in the foreign exchange market
redemption of central bank liquidity paper
build-up of commercial banks' deposits held with the central bank
decrease in the central bank discount rate

Which of the following events will lead to a decrease in the demand for money?

An increase in the level of aggregate output.
A decrease in the supply of money.
A decrease in the interest rate.
A decrease in the price level.

Which of the following is neither a determinant of the slope of the IS curve nor a determinant of the slope of the LM curve?

the sensitivity of interest rates to investment
the sensitivity of money demand to income
the sensitivity of money demand to interest rates
the sensitivity of income to investment

Given a Keynesian world, a cut in taxes coupled with a lower reserve ratio for banks would have what effect on equilibrium income and interest rate?

Both income and the interest rate will remain unchanged
income will come down, but the interest rate will go up
income will go up, but the effect on the interest rate cannot be predicted
interest rates will go down, but the effect on income cannot be predicted

If the government increases its spending, but this causes prices to rise, what will "eventually" happen to the equilibrium income and interest rate?

Both income and the interest rate will remain unchanged
income will come down, but the interest rate will go up
income will go up, but the effect on the interest rate cannot be predicted
interest rates will go down, but the effect on income cannot be predicted

If the income elasticity of money demand and the Keynesian multiplier, both increase in an economy (ceteris paribus), how will the relative effectiveness of monetary and fiscal policy change?

Fiscal policy will become relatively more effective than monetary policy
Fiscal policy will become relatively less effective than monetary policy
The relative effectiveness of fiscal and monetary policy will remain unchanged
Both fiscal and monetary policy will become more effective.

The intersection of the IS and LM curves captures:

the equilibrium of the demand and supply sides of the economy
the equivalence of monetary and fiscal policy
joint equilibrium in the goods and money markets
all of the above

The concept of "interdependence of markets" can refer to the interdependence between:

two or more factor markets
goods and factor markets
goods markets
all of the above

The 'law of demand' implies that

as prices fall, quantity demanded increases.
as prices fall, demand increases.
as prices rise, quantity demanded increases.
as prices rise, demand decreases.

What effect is working when the price of a good falls and consumers tend to buy it instead of other goods?

the substitution effect.
the ceteris paribus effect.
the total price effect.
the income effect.

The quantity demanded (Qd) of a soft drink brand A has decreased. This could be because:

A's consumers have had an increase in income.
the price of A has increased.
A's advertising is not as effective as in the past.
the price of rival brand B has increased.

Demand curves in P-Q space are derived while holding constant

consumer tastes and the prices of other goods.
incomes, tastes, and the price of the good.
incomes and tastes.
incomes, tastes, and the prices of other goods.

Suppose the demand for good Z goes up when the price of good Y goes down. We can say that goods Z and Y are

perfect substitutes.
unrelated goods.
complements.
substitutes.

If the demand for coffee decreases as income decreases, coffee is

A normal good.
A complementary good.
An inferior good.
A substitute good.

Which of the following will NOT cause a shift in the demand curve for compact discs?

a change in the price of pre-recorded cassette tapes.
a change in wealth.
a change in income.
a change in the price of compact discs.

Which of the following is consistent with the law of supply?

As the price of calculators rises, the supply of calculators increases, ceteris paribus.
As the price of calculators falls, the supply of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators decreases, ceteris paribus.

The price of computer chips used in the manufacture of personal computers has fallen. This will lead to __________ personal computers.

a decrease in the supply of
a decrease in the quantity supplied of
an increase in the supply of
an increase in the quantity supplied of

When there is excess demand in an unregulated market, there is a tendency for

quantity demanded to increase.
quantity supplied to decrease.
price to fall.
price to rise.

Equilibrium in the market for good A obtains

when there is no surplus or shortage prevailing in the market
where the demand and supply curves for A intersect
when all of what is produced of A is consumed
all of the above

A shift in the demand curve (drawn in the traditional Price-Quantity space) to the left may be caused by

a decrease in supply.
a fall in income.

a fall in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

A shift in the demand curve (drawn in Income-Quantity space) to the left may be caused by

a fall in the price of a complementary good.
a fall in income.
a change in tastes such that consumers prefer the good more.
a rise in the number of substitute goods.
Assume the good is normal

A movement along the demand curve (drawn in Quantity-Price space) to the left may be caused by

an increase in supply.
a rise in income.
a rise in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

When the market operates without interference, price increases will distribute what is available to those who are willing and able to pay the most. This process is known as

price fixing.
quantity setting.
quantity adjustment.
price rationing.

How many different equilibria can obtain when you allow for shifts in the demand and/or the supply curves?

2
4
8
16

What will happen to equilibrium price and quantity when the demand curve shifts to the left and the supply curve shifts to the right

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

What will happen to equilibrium price and quantity when both the demand and supply curves shift to the left

price falls unambiguously but the effect on quantity cannot be determined
B both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

A price ceiling imposed by the government can cause a shortage (excess demand)

when the price ceiling is above the free (or unregulated) market price
when the price ceiling is below the free (or unregulated) market price
when the price ceiling is equal to the free (or unregulated) market price
either of the above

What is the effect of imposing a fixed per unit tax on a good on its equilibrium price and quantity?

Price falls, quantity rises
Price rises, quantity falls
Both price and quantity fall
Both price and quantity rise

A price floor is

a maximum price usually set by government, that sellers may charge for a good or service.
a minimum price usually set by government, that sellers must charge for a good or service.
the difference between the initial equilibrium price and the equilibrium price after a decrease in supply.
the minimum price that consumers are willing to pay for a good or service.

The need for rationing a good arises when

there is a perfectly inelastic demand for the good.
supply exceeds demand.
demand exceeds supply.
a surplus exists.

If the “regulated-market” price is below the equilibrium (or “free-market” price) price,

the quantity demanded will be greater than quantity supplied.
demand will be less than supply.
quantity demanded will be less than quantity supplied.
quantity demanded will equal quantity supplied.

If a government were to fix a minimum wage for workers that was higher than the market-clearing equilibrium wage, economists would predict that

more workers would become employed.
there would be more unemployment.
the costs and prices of firms employing cheap labour would increase.
wages in general would fall as employers tried to hold down costs.

Alpha Corporation produces chairs. An economist working for the firm predicts that 'if people's incomes rise next year, then the demand for our chairs will increase, ceteris paribus.' The accuracy of the economist's prediction depends on whether the chairs Alpha produce

are normal goods.
have few complementary goods.
have many complementary goods.
have few substitutes.

When the decrease in the price of one good causes the demand for another good to decrease, the goods are

complements.
normal.
inferior.
substitutes.

The price elasticity of demand is the

ratio of the percentage change in quantity demanded to the percentage change in price.
ratio of the change in price to the change in quantity demanded.
ratio of the change in quantity demanded to the change in price.
ratio of the percentage change in price to the percentage change in quantity demanded.

The price of apples falls by 5% and quantity demanded increases by 6%. Demand for apples is:

inelastic.
perfectly inelastic.
elastic.
perfectly elastic.

The price of bread increases by 22% and the quantity of bread demanded falls by 25%. This indicates that demand for bread is

elastic.
inelastic.
unitarily elastic
perfectly elastic

If the cross-price elasticity of demand between two goods is negative, then the two goods are

unrelated goods.
substitutes.
complements.
normal goods.

If the quantity demanded of beef increases by 5% when the price of chicken increases by 20%, the cross-price elasticity of demand between beef and chicken is

-4.
4.
-0.25.
0.25.

The government is considering placing a tax on cigarettes to raise revenue to finance health-care projects. The demand for cigarettes is price inelastic. Which of the following statements is TRUE?

This is a very good way to raise revenue both in the short term and in the long term because there are no substitutes for cigarettes.
The tax on cigarettes will raise substantial revenue in the short term, but may not raise as much revenue as anticipated in the long term because the demand for cigarettes is likely to become more elastic over time.
This tax will not raise much revenue either in the short term or the long term since demand is price inelastic.
No tax revenue can be raised in this way because sellers of cigarettes will just lower their price by the amount of the tax and therefore the price of cigarettes to consumers will not change.

The burden (incidence) of a tax will fall mainly on the producers if:

The producers are the ones legally obliged to pay the tax.
Supply is inelastic and demand is elastic.
Demand is inelastic and supply is elastic.
There are many producers in the market.

Income elasticity of demand is the % change in quantity demanded divided by the % change in income. Which type of goods have negative income elasticity of demand?

Inferior goods.
Normal goods.
Substitute goods.
Complementary goods.

If total revenue rises by 10% when price increases by 5%, this means:

demand is price inelastic
demand is price elastic
demand is unit elastic
demand is perfectly inelastic

If a 5% increase in price causes no change in total revenue, this means:

demand is price inelastic
demand is price elastic
demand is unit elastic
demand is perfectly inelastic

Which of the following statements is true:

Because a straight line demand curve has constant slope, price elasticity of demand will remain constant as we move along various points on the curve.
Three supply curves, with different slopes, but all originating from the origin will have different price elasticities of supply.
We only need to know the magnitude of the elasticity, not its sign, to determine whether it falls in the elastic or inelastic range
A straight line demand curve with a slope of -1 delivers unit elasticity.

When firms advertise their product, they are trying to:

Shift the demand curve to the right
Make the demand curve steeper
Make demand for the product more inelastic
All of the above

"It is possible for milk to be treated as an inferior good and a normal good by different population segments in the same economy."

False. A good can only have one characterization in an economy, normal or inferior, not both
False. Milk is always and everywhere a normal good.
True. Rich people will spend less on milk as their incomes increase, while poor people will spend more on milk as their incomes increase.
True. Some people in the economy like milk, others don't.

A lower income country, Z, that exports primary products and imports luxury goods eventually runs into balance of payments problems because:

the income elasticity of demand for Z's exports is low, while the income elasticity of demand for Z's imports is high
Z's exports grow at a slower rate than the rate of growth of the world income; Z's imports rise at a faster rate than the rate of growth of Z's income
Z's terms of trade (price of exports / price of imports) deteriorate
All of the above.

"The government of a lower income country, K, is worried that rising domestic prices will lead to higher imports and therefore cause balance of payments problems." This most closely illustrates which elasticity concept:

Price elasticity of demand
Price elasticity of supply
Income elasticity of demand
Cross price elasticity of demand

The theory of aggregate supply is one of the most controversial in macroeconomics because:

modern models, while similar in their starting points, reach widely different results in explaining the AS curve
economists cannot agree whether the Keynesian or the classical AS curve is a better reflection of reality
economists cannot agree whether wages are completely flexible or rigid in the long run
economists cannot agree whether wages are completely flexible or rigid in the short run
economists do not completely understand why wages and prices are slow to adjust after demand-side disturbances

If the aggregate supply curve can be seen as an adequate description of the mechanism by which prices rise or fall over time then:

fixed prices in the short run mean the aggregate supply curve is horizontal
variable prices in the long run mean the aggregate supply curve is positively sloped
the vertical long-run aggregate supply curve is a result of the classical quantity theory of money
all of the above
only B) and C)

The stylised link between GDP growth and changes in unemployment over the business cycle is called:

the Laffer curve
the Friedman curve
the Phillips curve
the Law of Supply
Okun's law

In general, Okun's law states that one extra percentage point in unemployment causes:

GDP to fall by 2%
GDP to fall by 0.5%

the rate of inflation to decline by 2%
the rate of inflation to decline by 0.5%
both GDP and the rate of inflation to decline by 2%

The link between inflation and unemployment is called:

Okun's law
the Lucas curve
the Phillips curve
the replacement ratio
the sacrifice ratio

The Phillips curve shows a relationship between:

the level of output and prices
the level of wages and unemployment
the level of prices and unemployment
the rate of change in prices (or wages) and the rate of unemployment
the rate of price changes and wage rate changes

For many macroeconomic policy makers, the Phillips curve initially:

implied a trade-off between lowering unemployment at the cost of higher inflation or lowering inflation at the cost of higher unemployment
gave hope that economic stabilisation policy will always work if applied correctly
relieved concern about an increase in unemployment, since the economy could always be expected to adjust at the natural rate
was a way to gain more support for unpopular actions needed to decrease inflation
implied that frictional unemployment can be lowered by expansionary monetary policy

When there is an increase in the natural rate of unemployment then:

the Phillips curve will shift to the left
the Phillips curve will shift to the right
the inflation rate will be increased along the Phillips curve
the Phillips curve will become flatter
the Phillips curve will become steeper

In the medium run the aggregate supply curve is upward sloping since:

workers immediately realise that nominal wage increases are only the result of price increases
firms encounter costs in resetting prices and are willing to pay workers above market-clearing prices
wages and prices always immediately change in proportion to the money stock
there is always natural friction in the labour market that prevents unemployment from reaching zero
none of the above

Which of the following is NOT used in deriving the AS curve in Chapter 6?

the link between output and employment
the price-cost relation
the Phillips curve
the quantity theory of money
all of the above are used

The upward-sloping AS curve will shift to the left if:

labour force productivity increases
actual output is lower than the full-employment level
the markup over labour cost falls
actual output is higher than the full-employment level
the level of potential output increases

Wages are considered to be sticky rather than flexible because:

firms are never willing to pay above market-clearing wages solely to keep workers motivated
labour contracts contain cost-of-living adjustments
firms tend to look at labour as an expendable resource
firms are unsure about their competitors' behaviour and only reluctantly change prices and wages following a change in aggregate demand
all of the above

The fact that nominal wages are fixed by a contract at the beginning of a period while prices of goods may change within that period implies that:

unanticipated changes in the money supply do not affect the level of output
the AS curve is vertical

firms want to supply more output when prices increase since the real wage rate is lower
real money balances decrease following expansionary monetary policy
money supply changes affect prices but not unemployment

The coordination approach to the Phillips curve focuses on the fact that:

the administration has problems coordinating its fiscal policy with the monetary policy of the RBA
long-term labour contracts tend to expire at different times and thus firms cannot coordinate their hiring
unemployed workers are not organised enough to influence wage negotiations
firms are unsure about their competitors' behaviour and are therefore reluctant to change wages and prices following a change in aggregate demand
workers have imperfect information about their real wages

The insider–outsider model refers to:

policy making in the ALP
the fact that the unemployed do not take part in collective bargaining
the fact that wages do not respond significantly to unemployment
slow price adjustments in an imperfectly competitive environment
both B) and C)

The efficiency wage theory of aggregate supply implies that:

the AS curve is vertical
paying employees higher wages will not induce them to work harder
even unanticipated changes in monetary or fiscal policy have no effect on the level of output
since the cost of changing wages and prices is low, wages can easily be adjusted in proportion to price changes to maintain full employment
none of the above

Efficiency wage theory implies that:

labour productivity depends positively on the level of wages paid
paying higher wages less frequently is efficient because it reduces transaction costs
even unanticipated changes in monetary or fiscal policy have no effect on the level of output
since the cost of changing wages and prices is low, wages can easily be adjusted in proportion to price changes to maintain full employment

none of the above

Restrictive monetary policy will eventually affect the upward-sloping AS curve since:

higher interest rates will increase the cost of production
higher interest rates will reduce the capital stock, thus reducing potential GDP
the resulting unemployment will cause downward pressure on nominal wages and decrease the cost of production
real wages will decline in proportion to the change in money supply and this will cause a change in unemployment
firms will start laying off workers in anticipation of a decline in aggregate demand

If nominal wage rates were completely flexible then:

fiscal policy would still affect real money balances and output
the AS curve would be horizontal
periods of unemployment would probably be much less frequent
frictional unemployment would not exist
monetary policy would be ineffective in changing the price level

Assume the RBA restricts money supply. Which of the following is the most likely result if the AS curve is upward sloping?

the interest rate will increase but output, prices and real money balances will fall
the levels of the interest rate, output and prices will all decline
the price and output levels will fall but real money balances will increase
real money balances will remain unchanged, since money supply and prices will decrease proportionally
real money balances and prices will fall proportionally

One explanation why the economy does not self correct quickly is:

With less consumption and more savings the interest rate will drop
In the short run workers are fully employed and cannot produce enough to get to long run equilibrium
Wages and prices are flexible
Wages and prices are sticky

When the marginal revenue product is greater than the marginal input cost of labor, the profit maximizing firm will:

Hire more
Hire less
Maintain the same employment
Decrease output

In which case, total expenditure in an economy is not equal to total income?

If total saving is larger than total investment.
If net exports are not zero.
If inventory investment is negative.
None of the given options--they are always equal.

The oligopoly model that predicts that oligopoly prices will tend to be very rigid is the _______________ model.

Cournot
Stackelberg
Dminant firm
kinked demand

To make the equation of exchange into the quantity theory of money:

V and Q are assumed to be constant.
The money supply is assumed to be produced by the banking system and not exclusively in currency.
The quantity of money is assumed to determine the amount of Real GDP.
M and P are considered constant.

Which of the following shows the condition for consumer's equilibrium?

It can be expressed as marginal utility per dollar spent on each good being equalized across all goods.
It can be expressed as the ratio of (marginal utility per unit of the good)/(price per unit of the good) being equalized across all goods.
It can be expressed as the ratio of marginal utilities being equated to the ratio of prices for all possible pairs of goods.
All of the given options.

While drawing a given market demand curve,---------------- is not considered constant

Income.
The price of the good in question.
The prices of related goods.
Preferences.

Which of the following concepts apply to oligopoly more than to any other market structure?

Advertising and product differentiation
Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence

If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:

The price the firm paid divided by twelve.
Zero.
The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.

The slope of the consumption function (or line) is the:

Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

Product diversity.
Excess capacity.
The fact that price exceeds marginal cost.
The fact that long-run average cost is not minimized.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.

Cannot decide without more information.

GDP is:

A stock
A flow.
Both a stock and a flow.
Neither a stock nor a flow.

The upward-sloping aggregate supply curve indicates that:

As firms increase their level of output, the cost of producing an extra unit increases
An increase in aggregate demand causes little, if any increase in real output
The economy is operating in the long run
Any increase in aggregate demand causes the output of producers to fall because the general price level rises

If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:

Substitution effect.
Real income effect.
Income effect.
Budget effect.

The law of diminishing returns assumes:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

The trend of unemployment over the last forty years is:

A decrease in unemployment.
It has remained largely unchanged.
An increase in unemployment.
It is too difficult to tell so don't bother.

Which of the following is true about the total cost curve?

It relates output with total cost.
It is usually upward sloping.
Gets steeper as output rises, due to diminishing marginal product of an input.
All of the given options are true.

A negatively sloped isoquant implies

Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products.

The slope of the saving function (or line) is the:

Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

The economic perspective.
Marginal analysis.
Allocative efficiency.
Opportunity cost.

A good for which income and quantity demanded are inversely related is known as:

Inferior good.
Complementary good.
Normal good.

None of the given options.

An increase in supply is shown by:

Shifting the supply curve to the left.
Shifting the supply curve to the right.
Upward movement along the supply curve.
Downward movement along the supply curve.

Price floor results in:

All of the given options.
Excess supply.
Equilibrium.
Excess demand.

The price elasticity of demand measures the responsiveness of quantity demanded to:

Quantity demanded.
Quantity supplied.
Price.
Output.

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

-14.
14.
83.
97.

Indifference curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases, then increases.

To find the profit maximizing level of output, a firm finds the output level where:

Price equals marginal cost.
Marginal revenue and average total cost.
Price equals marginal revenue.
None of the given options.

As compared to existing firms, a new firm entering in monopolist market has:

High costs.
Low costs.
Equal costs.
None of the given options.

A firm is charging a different price for each unit purchased by a consumer. This is called:

First-degree price discrimination.
Second-degree price discrimination.
Third-degree price discrimination.
None of the given options.

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

Collusion.
Price discrimination.
Two-part tariff.
Bundling.

Price discrimination is a practice of selling goods or services at different prices to different buyers, even though sales costs are the same for all the transactions. Buyers may be discriminated against on the basis of income, ethnicity, age, or geographic location. The price elasticity of demand for any good must be less than or equal to zero unless:

The good is a necessity.
The good is a luxury.
The good is a Giffen good.
None of the given options.

In monopoly, which of the following is NOT true?

Products are differentiated.
There is freedom of entry and exit into the industry in the long run.
The firm is a price maker.
There is one main seller.

Welfare economics is the branch of economics which deals with:

Positive issues.
Normative issues.
Micro issues.
Macro issues.

Under the kinked demand curve model, an increase in marginal cost will lead to:

An increase in output level and a decrease in price.
A decrease in output level and an increase in price.
A decrease in output level and no change in price.
Neither a change in output level nor a change in price.

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

Duopoly.
Cartel.
Market sharing monopoly.
Natural monopoly.

In the complete classical model, a rightward shift of the labor supply curve will:

Decrease the price level and increase the nominal wage.
Decrease the nominal wage and increase the price level.
Decrease both the price level and the nominal wage.
Increase both the price level and the nominal wage.

Which of the following events could cause the aggregate demand curve to shift to the right?

An increase in the rate of inflation.
A decrease in government expenditures.

A decrease in investment spending.
A decrease in income tax rates.

The Great Depression of 1930s opened the door to the __________ revolution in macroeconomic theory.

Keynesian.
New classical.
Old classical.
New Keynesian.

Keynesian economics was the predominant economic theory:

Prior to the late 1700s.
From the late 1700s to the early 1900s.
From 1930s to 1970s.
Since 1970s.

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

Monetarism.
Rational expectations.
Keynesian economics.
Neoclassical economics.

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

Both prices and output to rise.
Prices to fall and output to remain unchanged.
Both prices and output to fall.
Prices to rise and output to remain unchanged.

Intermediate goods are meant for:

Direct use by the consumers.
Further processing.
The term do not exist.
None of the given options.

Final goods are meant for:

Direct use by the consumers.
Further processing.
The term do not exist.
None of the given options.

Which of the following is a flow variable?

The value of the house in which you live.
The balance in your savings account.
Your monthly consumption on food items.
The number of carrots in your refrigerator at the beginning of the month.

Which of the following is NOT a stock variable?

Government debt.
Capital.
The amount of money held by the public.
Inventory investment.

The stock variables are those variables which do not have any time restriction.
All other things remain the same, Gross Domestic Product (GDP) will rise if:

Imports rises.
Exports falls.
Durable goods consumption rises.
Military spending falls.

If disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

1.0.
0.8.
5/7 = 0.71.
6/7.8 = 0.77.

Marginal propensity to consume (MPC) is the extra amount that people consume when they receive an extra dollar of disposable income.

The slope of the consumption function (or line) is the:

Average propensity to save.
Average propensity to consume.
Marginal propensity to save.
Marginal propensity to consume.

The slope of the consumption function is the marginal propensity to consume, defined as the change in consumption associated with a change in disposable income. Suppose that your income increases from $100,000 to $150,000 and your consumption increases from $80,000 to $120,000. Your Marginal Propensity to Save (MPS) is:

0.2.
0.4.
0.6.
0.8.

The unemployment rate is equal to:

Number of employed / labour force x 100.
Number of unemployed / labour force.
(Number of unemployed / labour force) x 100.
None of the given options.

The unemployment rate is defined as the ratio of the no. of unemployed people divided by the sum of the employed and unemployed people.
The traditional Phillips Curve shows the:

Inverse relationship between the rate of inflation and unemployment rate.
Inverse relationship between the nominal and real wage.
Direct relationship between unemployment and demand-pull inflation.
Tradeoff between the short run and long run.

Deflation is:

An increase in the overall level of economic activity.
An increase in the overall price level.
A decrease in the overall level of economic activity.
A decrease in the overall price level.

Is Grosss Domestic Product (GDP) an accurate measure of a country’s well being?

Yes, it is the best measure of national well being.
Yes, provided we use real GDP and not nominal GDP.
Uncertain, depending on whether GDP is rising or falling.
No, it is not.

Real Gross Domestic Product (GDP):

Is nominal GDP adjusted for changes in the price level.
Is also called nominal GDP.
Measures GDP minus depreciation of capital.
Will always change when prices change.

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

A higher output level than before.
The same output level as before.
A lower output level than before.
The Golden Rule output level.

A currency appreciation:

Reduces aggregate demand and increases aggregate supply.
Reduces both aggregate demand and aggregate supply.
Increases aggregate demand and reduces aggregate supply.
Increases both aggregate demand and aggregate supply.

M1 component of money supply consists of:

Paper currency and coins.
Paper currency, coins and check writing deposits.
Paper currency, coins, check writing deposits and savings deposits.
Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Personal income:

Is income received by individuals during a given year.

Is the income individuals have available for spending during a given year.
Equals national income minus indirect taxes.
Is the sum of wages plus interest received by individuals during a given year.

Real Gross National Product (GNP) is best defined as:

The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
The current pound value of all new and used goods produced and sold in the economy during a particular time period.
The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

Real GDP includes only goods; nominal GDP includes goods and services.
Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.
Real GDP is equal to nominal GDP less the depreciation of the capital stock.
Real GDP is equal to nominal GDP multiplied by the CPI.

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

GNP = GDP – Net income from abroad.
GNP = GDP + Net income from abroad.
GNP = NNP – Net income from abroad.
GNP = NNP + Net income from abroad.

Gross domestic product (GDP) is the market value of:

All transactions in an economy during one-year period.
All goods and services exchanged in an economy during one-year period.
All final goods and services exchanged in an economy during one-year period.
All final goods and services produced in a domestic economy during one-year period.

Which of the following shows the Fisher equation of exchange?

MT=PV.
VT=PM.
MV=PQ
MY=VP.

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

Overvalued exchange rate.
Undervalued exchange rate.
Fixed exchange rate.
Flexible exchange rate.

In the Keynesian cross model, the 45-degree line has a slope of:

45.
Infinity.
1.
0.

In Keynesian economics, equilibrium can occur:

Only at full employment level.
Only at levels less than full employment.
Only at levels greater than full employment.
At any level of aggregate output which is equal to aggregate expenditures.

After a decrease in the wage, the substitution effect implies that:

Only the amount demanded of capital decreases.
Only the amount demanded of labor decreases.
Only the amount demanded of capital increases.
The amount demanded of all inputs increases.

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.

Not the same as either its marginal revenue curve or its average revenue curve.

Goods produced by oligopolistic industries are typically:

Standardized
Differentiated
Differentiated if industrial goods
Differentiated if consumer goods

When an industry's raw material costs decrease, other things remaining the same:

The supply curve shifts to the right.
The supply curve shifts to the left.
Output increases regardless of the market price and the supply curve shifts upward.
Output decreases and the market price also decrease.

In monopolist market, a new entrant firm should produce where:

Marginal Cost < Marginal Revenue.
Marginal Cost > Marginal Revenue.
Marginal Cost = Marginal Revenue.
Marginal Cost = Average Revenue.

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

The most important factor in determining the long-run profit potential in monopolistic competition is:

Free entry and exit.
The elasticity of the market demand curve.
The elasticity of the firm's demand curve.
The reaction of rival firms to a change in price.

If a monopolist sets his output such that marginal revenue, marginal cost and average total cost are equal, economic profit must be:

Negative.
Positive.
Zero.
Indeterminate from the given information.

If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:

Rs.25.
Rs.50.
Rs.75.
Rs.100.

In pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

Which of the following is true about the market mechanism?

It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?

For Monopoly.
For Oligopoly.
For Perfect competition.
For Monopolistic competition.

Which of the following will happen if there is an increase in the long term economic growth?

The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.
Economy grows when its production capacity increases (outward shift of production possibilities curve).

Which of the following can be thought of as a barrier to entry?

Scale economies.
Patents.
Strategic actions by incumbent firms.
All of the given options are true.

The principle that states that a change in investment causes a magnified change in income is termed as the:

Water paradox.
Paradox of thrift.
Saving theorem.
Multiplier effect.

Goods produced by oligopolistic industries are typically:

Standardized
Differentiated
Differentiated if industrial goods
Differentiated if consumer goods

The relationship between consumer spending and income is known as the:

45-degree line.
Consumption function.
Investment function.
Consumer price index.

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

Product diversity.
Excess capacity.
The fact that price exceeds marginal cost.
The fact that long-run average cost is not minimized.

Is GDP an accurate measure of a country's well being?

Yes, it is the best measure of national well being
Yes, provided we use real GDP and not nominal GDP.
Uncertain, depending on whether GDP is rising or falling.
No, it is not.

If a country has flexible exchange rates and has more rapid inflation than other countries, its currency will:

Appreciate.
Depreciate.
Not change.
All of the given conditions may be possible.

Those who hold the classical view of the labour market are likely to believe that:

Monetary, but not fiscal policy will have an effect on output and employment
Fiscal but not monetary policy will have an effect on output and employment.
Both monetary and fiscal policy will have an effect on output and employment.
Neither monetary nor fiscal policy will have an effect on output and employment.

The fundamental problem of economics implies that:

governments must be relied upon to supply essential goods and services
inflation and unemployment are unavoidable
growing populations will deplete natural resources
individuals and communities must make choices among competing alternatives

An economy that has achieved "full production" has achieved

Both allocative and productive efficiency
Allocative but not productive efficiency

Productive but not allocative efficiency
Neither allocative nor productive efficiency

Government authorities have managed to reduce the unemployment rate from 6% to 4% in a hypothetical economy. As a result:

the economy's production possibilities curve has shifted outward
the economy has moved downward along its production possibilities curve
the economy has moved from a point inside to a point closer to its production possibilities curve
the economy's production possibilities curve has become steeper

Consider an economy that can produce either capital goods or consumer goods. If the opportunity cost of consumer goods is always 5 capital goods, then:

the production possibilities curve is a straight line
the opportunity cost of capital goods is always 5 consumer goods
the production possibilities curve is upward sloping
the production possibilities curve is bowed inward

Which of the following would most likely shift the production possibilities curve for a nation outward?

A reduction in unemployment
An increase in the production of capital goods
A reduction in discrimination
An increase in the production of consumer goods

Margaret decides to stay home and study for her exam rather than going out with her friends to a movie. Her dilemma is an example of:

the economic perspective
marginal analysis
allocative efficiency
opportunity cost

A nation achieves "allocative efficiency" if:

it produces at a point on, rather than inside, its production possibilities curve
it produces that combination of goods most desired by society
all available resources are fully employed

marginal benefit exceeds marginal cost for every possible good

In the circular flow diagram, firms:

receive revenue and supply resources in the resource market
receive revenue and demand resources in the product market
incur costs and demand resources in the resource market
incur costs and supply goods and services in the product market

Which of the following can be thought of as a barrier to entry?

Scale economies.
Patents.
Strategic actions by incumbent firms.
All of the given options are true.

A new technology which reduces costs for firms':

Shifts the supply curve to the right
Shifts the supply curve to the left
Reduces the equilibrium quantity
Raises the equilibrium price

The point at which AC intersects MC is where:

AC is decreasing.
MC is at its minimum.
AC is at its minimum.
AC is at its maximum.

A normative economic statement:

Is a statement of fact
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.

If the income elasticity of demand is 1/2, the good is:

A luxury

A normal good (but not a luxury).
An inferior good.
A Giffen good.

And another question that derives from above is If the income elasticity of demand is 2, the good is:

A luxury
A normal good(but not a luxury)
An inferior good.
A Giffen good.

Which of the following can be thought of as a barrier to entry?

Scale economies.
Patents.
Strategic actions by incumbent firms.
All of the given options are true.

A new technology which reduces costs for firms':

Shifts the supply curve to the right
Shifts the supply curve to the left
Reduces the equilibrium quantity
Raises the equilibrium price

The process by which resources are transformed into useful forms is

capitalisation.
consumption.
allocation.
production.

The concept of choice would become irrelevant if

capital were eliminated.
scarcity were eliminated.
we were dealing with a very simple, one-person economy.
poverty were eliminated.

Which of the following is not a resource as the term is used by economists?

money.
land.
buildings.
labour.

Capital, as economists use the term,

is the money the firm spends to hire resources.
is money the firm raises from selling stock.
refers to the process by which resources are transformed into useful forms.
refers to things that have already been produced that are in turn used to produce other goods and services.

Opportunity cost, most broadly define, is

the additional cost of producing an additional unit of output.
what we forgo, or give up, when we make a choice or a decision.
a cost that cannot be avoided, regardless of what is done in the future.
the additional cost of buying an additional unit of a product.

A graph showing all the combinations of goods and services that can be produced if all of society's resources are used efficiently is a

demand curve.
supply curve
production possibility frontier.
circular-flow diagram.

Periods of "less than full employment" of resources correspond to

points on the ppf.
points outside the ppf.
either points inside or outside the ppf.
points inside the ppf.

What lies is at the heart of the allocation of goods and services in a free-market economy?

Concerns of equity or equal distribution among individuals.
The order or command of the ruling government or dictator.
The wishes of consumers in the market.

The price mechanism.

The phrase 'ceteris paribus' is best expressed as

'all else equal.'
'everything affects everything else.'
'scarcity is a fact of life.'
'there is no such thing as a free lunch.'

Laboratory (or controlled) experiments cannot be performed in economics because:

of resource scarcity.
economics is a natural science.
of the difficulty of distinguishing between normative and positive statements.
economics is a social science.

Positive statements are:

value judgments
verifiable or testable
statements in the affirmative
good statements

The former Soviet Union was an example of:

a planned economy
free-market/capitalism
dictatorship
a mixed economy

Rational choice or rational decision-making involves

comparing the net benefit of a choice with the total net benefit foregone of all the alternatives combined
weighing up total costs and total benefits associated with a decision
weighing up marginal costs and marginal benefits associated with a decision
all of the above.

The PPF can be used to illustrate:

the principle of opportunity costs and increasing opportunity costs
the distinction between micro and macroeconomics
efficient, infeasible and inefficient production combinations
all of the above

Note for students: Unless otherwise stated, you should assume that we are operating in P-Q space.
The concept of "interdependence of markets" can refer to the interdependence between:

two or more factor markets
goods and factor markets
goods markets
all of the above

The 'law of demand' implies that

as prices fall, quantity demanded increases.
as prices fall, demand increases.
as prices rise, quantity demanded increases.
as prices rise, demand decreases.

What effect is working when the price of a good falls and consumers tend to buy it instead of other goods?

the substitution effect.
the ceteris paribus effect.
the total price effect.
the income effect.

The quantity demanded (Qd) of a soft drink brand A has decreased. This could be because:

A's consumers have had an increase in income.
the price of A has increased.
A's advertising is not as effective as in the past.
the price of rival brand B has increased.

Demand curves in P-Q space are derived while holding constant

consumer tastes and the prices of other goods.
incomes, tastes, and the price of the good.
incomes and tastes.
incomes, tastes, and the prices of other goods.

Suppose the demand for good Z goes up when the price of good Y goes down. We can say that goods Z and Y are

perfect substitutes.
unrelated goods.
complements.
substitutes.

If the demand for coffee decreases as income decreases, coffee is

a normal good.
a complementary good.
an inferior good.
a substitute good.

Which of the following will NOT cause a shift in the demand curve for compact discs?

a change in the price of pre-recorded cassette tapes.
a change in wealth.
a change in income.
a change in the price of compact discs.

Which of the following is consistent with the law of supply?

As the price of calculators rises, the supply of calculators increases, ceteris paribus.
As the price of calculators falls, the supply of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators decreases, ceteris paribus.

The price of computer chips used in the manufacture of personal computers has fallen. This will lead to __________ personal computers.

a decrease in the supply of
a decrease in the quantity supplied of
an increase in the supply of
an increase in the quantity supplied of

When there is excess demand in an unregulated market, there is a tendency for

quantity demanded to increase.
quantity supplied to decrease.
price to fall.
price to rise.

Equilibrium in the market for good A obtains

when there is no surplus or shortage prevailing in the market
where the demand and supply curves for A intersect
when all of what is produced of A is consumed
all of the above

A shift in the demand curve (drawn in the traditional Price-Quantity space) to the left may be caused by

a decrease in supply.
a fall in income.
a fall in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

A shift in the demand curve (drawn in Income-Quantity space) to the left may be caused by

a fall in the price of a complementary good.
a fall in income.
a change in tastes such that consumers prefer the good more.
a rise in the number of substitute goods.
Assume the good is normal

A movement along the demand curve (drawn in Quantity-Price space) to the left may be caused by

an increase in supply.

a rise in income.
a rise in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

When the market operates without interference, price increases will distribute what is available to those who are willing and able to pay the most. This process is known as

price fixing.
quantity setting.
quantity adjustment.
price rationing.

How many different equilibria can obtain when you allow for shifts in the demand and/or the supply curves?

2
4
8
16

What will happen to equilibrium price and quantity when the demand curve shifts to the left and the supply curve shifts to the right

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

What will happen to equilibrium price and quantity when both the demand and supply curves shift to the left

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

A price ceiling imposed by the government can cause a shortage (excess demand)

when the price ceiling is above the free (or unregulated) market price

when the price ceiling is below the free (or unregulated) market price
when the price ceiling is equal to the free (or unregulated) market price
either of the above

What is the effect of imposing a fixed per unit tax on a good on its equilibrium price and quantity?

Price falls, quantity rises
Price rises, quantity falls
Both price and quantity fall
Both price and quantity rise

A price floor is

a maximum price usually set by government, that sellers may charge for a good or service.
a minimum price usually set by government, that sellers must charge for a good or service.
the difference between the initial equilibrium price and the equilibrium price after a decrease in supply.
the minimum price that consumers are willing to pay for a good or service.

The need for rationing a good arises when

there is a perfectly inelastic demand for the good.
supply exceeds demand.
demand exceeds supply.
a surplus exists.

If the "regulated-market" price is below the equilibrium (or "free-market" price) price,

the quantity demanded will be greater than quantity supplied.
demand will be less than supply.
quantity demanded will be less than quantity supplied.
quantity demanded will equal quantity supplied.

If a government were to fix a minimum wage for workers that was higher than the market-clearing equilibrium wage, economists would predict that

more workers would become employed.

there would be more unemployment.
the costs and prices of firms employing cheap labour would increase.
wages in general would fall as employers tried to hold down costs.

A market with few entry barriers and with many firms that sell differentiated products is known as:

Purely competitive
A monopoly
Monopolistically competitive
Oligopolistic

The cross elasticity of demand of complements goods is:

Less than 0.
Equal to 0.
Greater than 0.
Between 0 and 1.

The production possibilities curve:

Shows all combinations of goods that society most desires
Indicates that any combination of goods lying outside the curve is attainable
Separates all combinations of two goods that can be produced from those that cannot
Shows only those combinations of two goods that reflect "full production"

According to classical economists, the:

Aggregate demand curve is downward sloping and the aggregate supply curve is vertical
Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is upward sloping
Aggregate demand curve is vertical and the aggregate supply curve is horizontal

From year 2002 to year 2003, personal income rose by $500 billion. If the Marginal Propensity to Consume = 0.9, then personal consumption expenditures rose by:

$45.0 billion.
$500 billion.
$450 billion.

$50 billion.

The ____________________ is a graph of the ____________________ of a good and the ____________________.

Supply curve, price, quantity supplied
Demand curve, price, quantity supplied
Supply curve, price, quantity demanded
Supply curve, quantity supplied, income of consumers

An economist will define the exchange rate between two currencies as the:

Amount of one currency that must be paid in order to obtain one unit of another currency.
Difference between total exports and total imports within a country.
Price at which the sales and purchases of foreign goods takes place.
Ratio of import prices to export prices for a particular country.

Inflation:

Reduces both the purchasing power of the dollar and one's real income.
Reduces the purchasing power of the dollar and increases one's real income.
Reduces the purchasing power of the dollar but may have no impact on one's real income.
Increases the purchasing power of the dollar and reduces one's real income.

Monopolistic competition and oligopoly share which characteristic?

Free entry and exit from the industry
Strategic behavior
Standardized products
Advertising

The effect of a change in income on the quantity of the good consumed is called the:

Income effect
Budget effect
Substitution effect
Real income effect

Deflation is:

An increase in the overall level of economic activity.
An increase in the overall price level.
A decrease in the overall level of economic activity.
A decrease in the overall price level.

If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:

Rs.25.
Rs.50.
Rs.75.
Rs.100.

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

A demand schedule is best described as:

A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.

Our economy is characterized by:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

When government sets the price of a good and that price is above the equilibrium price, the result will be:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

In pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Price elasticities are measured in percentage terms because:

It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way.

If the cross price elasticity of demand between two products is +3.5, then:

One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

Which of the following is true about the market mechanism?

It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.

It works because prices serve as a means of communication between consumers and producers.

In a free-market economy, the allocation of resources is determined by:

Votes taken by consumers.
A central planning authority.
Consumer preferences.
The level of profits of firms

The effect of a change in income on the quantity of the good consumed is called the:

Income effect.
Budget effect.
Substitution effect.
Real income effect.

While drawing a given market demand curve,---------------- is not considered constant.

Income.
The price of the good in question.
The prices of related goods.
Preferences.

If a decrease in price increases total revenue:

Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic

There is a price ceiling, there will be:

Shortages.
Surpluses.
Equilibrium.
None of the given options

The quantity supplied of mangoes exceeds the quantity demanded of mangoes:

There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium

Price floor results in:

Equilibrium.
Excess demand.
Excess supply.
All of the given options

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

Which of the following defines the opportunity cost?

It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

Law of diminishing marginal utility indicates that the demand curve is:

Vertical.
U shaped.
Upward sloping.

Downward sloping.

At the equilibrium price:

There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

The effect of a change in income on the quantity of the good consumed is called the:

Income effect.
Budget effect.
Substitution effect.
Real income effect

Which of the following might be considered to be a characteristic of a planned economy?

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

The law of increasing opportunity costs states that:

The more one is willing to pay for resources, the larger will be the possible level of production.
Increasing the production of a particular good will cause the price of the good to rise.
In order to produce additional units of a particular good, it is necessary for society to sacrifice increasingly larger amounts of alternative goods.
Only by keeping production constant can rising prices be avoided.

The production possibilities curve:

Shows all combinations of goods that society most desires.
Indicates that any combination of goods lying outside the curve is attainable.
Shows the maximum level of output that an economy can produce with all the available resources.
Shows only those combinations of two goods that reflect "full production".

Production possibility frontier (PPF) is the curve which joins all the points showing the maximum amount of goods and services which the country can produce in a given time with limited resources, given a specific state of technology.

If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:

Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall

If a decrease in price increases total revenue:

Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Assume that the current market price is below the market clearing level. We would expect:

A surplus to accumulate.
Downward pressure on the current market price.
Upward pressure on the current market price.
Lower production during the next time period.

The percentage change in quantity demanded given a percentage change in consumer's income is known as:

Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.

Cross price elasticity.

Suppose the price of railway ticket decreases, what will happen in the market for airline travel?

The demand curve for airline travel shifts left.
The demand curve for airline travel shifts right.
The supply curve of airline travel shifts left.
The supply curve of airline travel shifts right.

Demand is said to be ---------------- when the elasticity of demand is less than 1.

Increasing
Decreasing
Elastic
Inelastic

A new technology which reduces costs for firms:

Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.

When government sets the price of a good and that price is above the equilibrium price, the result will be:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Moving from left to right, the typical production possibilities curve:

Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

The demand for houses has increased
The demand curve for houses must be upward-sloping
The supply of houses has increased
Housing construction costs must be decreasing

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged
Will shift to the right if Y is a complementary good
Will shift to the right if Y is a normal good
Will shift to the right if Y is an inferior good

If marginal product is below average product:

The total product will fall
The average product will fall
Average variable costs will fall
Total revenue will fall

It is calculated as the percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good.

Price elasticity of demand
Income elasticity of demand
Cross price elasticity of demand
Supply price elasticity

A Demand Curve is price inelastic when:

Changes in demand are proportionately smaller than those in price
Changes in demand are proportionately greater than those in price

Changes in demand are equal than those in price
None of the given options.

A partial explanation for the inverse relationship between price and quantity demanded is that a:

Lower price shifts the supply curve to the left
Higher price shifts the demand curve to the left
Lower price shifts the demand curve to the right
Higher price reduces the real incomes of buyers

If a sales tax on beer leads to reduced tax revenue, this means:

Elasticity of demand is < 1.
Elasticity of demand is > 1.
Demand is upward-sloping.
Demand is perfectly inelastic.

A "Giffen good" is defined as one for which:

Marginal utility is zero.
The demand curve is perfectly elastic.
The substitution effect is positive.
The demand curve is positively sloped.

A nation's production possibilities curve is "bowed out" from the origin because:

Resources are not perfectly shiftable between productions of the two goods
Capital goods and consumer goods utilize the same production technology
Resources are scarce relative to human wants
Opportunity costs are decreasing

If diminishing marginal utility holds, and a person consumes less of a good, then all else being equal:

The price of the good will rise.
Marginal utility will rise
Expenditure on the good will increase
Marginal utility will decline

According the law of diminishing returns:

The marginal product falls as more units of a variable factor are added to a fixed factor.
Marginal utility falls as more units of a product are consumed.
The total product falls as more units of a variable factor are added to a fixed factor.
The marginal product increases as more units of a variable factor are added to a fixed factor.

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged
Will shift to the right if Y is a complementary good
Will shift to the right if Y is a normal good
Will shift to the right if Y is an inferior good

The concept of a risk premium applies to a person that is:

Risk averse
Risk neutral
Risk loving
All of the given options

When drawing demand and supply curves, economists are assuming that the primary influence on production and purchasing decisions is:

Price
Cost of production
The overall state of the economy
Consumer incomes

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

A surplus of credit.
A shortage of credit.
Greater profits for banks issuing credit.
A perfectly inelastic supply of credit in the market place.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

We know that the demand for a product is elastic if:

When price rises, revenue rises
When price rises, revenue falls
When price rises, quantity demanded rises
When price falls, quantity demanded rises

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged
Will shift to the right if Y is a complementary good
Will shift to the right if Y is a normal good
Will shift to the right if Y is an inferior good

Due to capacity constraints, the price elasticity of supply for most products is:

The same in the long run and the short run.
Greater in the long run than in the short run.
Greater in the short run than in the long run.
Too uncertain to be estimated.

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

If a sales tax on beer leads to reduced tax revenue, this means:

Elasticity of demand is < 1.
Elasticity of demand is > 1.
Demand is upward-sloping.
Demand is perfectly inelastic.

The numerical measurement of a consumer's preference is called:

Satisfaction
Use
Pleasure
Utility

It is expected that the sign of cross elasticity between two complementary goods would be:

Positive
Negative
Zero
None of the given options.

Indifference curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases, then increases.

A Demand Curve is price inelastic when:
Select correct option:

Changes in demand are proportionately smaller than those in price
Changes in demand are proportionately greater than those in price
Changes in demand are equal than those in price
None of the given options.

The production possibilities curve:

Shows all combinations of goods that society most desires
Indicates that any combination of goods lying outside the curve is attainable
Separates all combinations of two goods that can be produced from those that cannot
Shows only those combinations of two goods that reflect "full production"

The demand for chicken is downward-sloping. Suddenly the price of chicken rises from $130 per kilo to $140 per kilo. This will cause:

The demand curve to shift to the left
The demand curve to shift to the right
Quantity demanded to increase
Quantity demanded to decrease

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:

The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

A nation's production possibilities curve is "bowed out" from the origin because:

Resources are not perfectly shiftable between productions of the two goods
Capital goods and consumer goods utilize the same production technology
Resources are scarce relative to human wants
Opportunity costs are decreasing

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

We know that the demand for a product is elastic if:

When price rises, revenue rises
When price rises, revenue falls
When price rises, quantity demanded rises
When price falls, quantity demanded rises

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged
Will shift to the right if Y is a complementary good

Will shift to the right if Y is a normal good
Will shift to the right if Y is an inferior good

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Elasticity of demand is > 1.
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Demand is perfectly inelastic.

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Use
Pleasure
Utility

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Positive
Negative
Zero
None of the given options.

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Changes in demand are proportionately greater than those in price
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The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

A nation's production possibilities curve is "bowed out" from the origin because:

Resources are not perfectly shiftable between productions of the two goods

Capital goods and consumer goods utilize the same production technology
Resources are scarce relative to human wants
Opportunity costs are decreasing

Due to capacity constraints, the price elasticity of supply for most products is:

The same in the long run and the short run.
Greater in the long run than in the short run.
Greater in the short run than in the long run.
Too uncertain to be estimated

An individual with a constant marginal utility of income will be:

Risk averse
Risk neutral
Risk loving
Not enough information.

At the equilibrium price:

There will be a shortage
There will be neither a shortage nor a surplus
There will be a surplus
There are forces that cause the price to change

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

P = MR
P = AVC
AR = MR
P = MC

In the long run, competitive firms MUST be profit maximizes, because if they do not maximize profits:

They will attract new competitors.
They will not be price takers.
The profits that they do earn will only cover variable costs.
They will not survive.

If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:

The price the firm paid divided by twelve.
Zero.
The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.

The oligopoly model that predicts that oligopoly prices will tend to be very rigid is the ______________ model.

Cournot
Stackelberg
Dominant firm
kinked demand

In which market structure(s) will price exceed marginal revenue?

Differentiated oligopoly and monopoly only
Standardized oligopoly and pure competition only
Monopolistic competition and monopoly only
Monopolistic competition, oligopoly, and monopoly

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

If a sales tax on beer leads to reduced tax revenue, this means:

Elasticity of demand is < 1.
Elasticity of demand is > 1.
Demand is upward-sloping.
Demand is perfectly inelastic.

Which of the following is a correct statement about the substitution effect?

The substitution effect is always negative.
The substitution effect is positive for an inferior good.
The substitution effect measures how demand changes when income changes.
The substitution effect is positive for a Giffen good.

In the long run, profits will equal zero in a competitive market because of:

The availability of information.
Identical products being produced by all firms.
Constant returns to scale.
Free entry and exit

While drawing a given market demand curve,------------- is not considered constant.

Income.
The price of the good in question.
The prices of related goods.
Preferences.

If diminishing marginal utility holds and a person consumes less of a good, then all else being equal:

The price of the good will rise.
Marginal utility will rise.
Expenditure on the good will increase.
Marginal utility will decline.

Our economy is characterized by:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged.
Will shift to the right if Y is a complementary good.
Will shift to the right if Y is a normal good.
Will shift to the right if Y is an inferior good.

The law of diminishing returns assumes:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

A price taker is:

A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.

The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

Positive.
Strictly linear.
Flat.
Negative.

The percentage change in quantity demanded of a given good, with respect to the percentage change in the price of “another” good is called:

Price elasticity of demand.
Income elasticity of demand.
Cross price elasticity of demand.
Supply price elasticity.

Moving from left to right, the typical production possibilities curve:

Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs.

Which of the following does NOT refer to macroeconomics?

The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.)
The study of the cause of unemployment.
The study of the cause of inflation.

In pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

At any given point on an indifference curve, the the slope is equal to:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

The concept of a risk premium applies to a person that is:

Risk averse
Risk neutral
Risk loving
All of the given options

The law of diminishing marginal utility states:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the given options.

The demand curve faced by an individual firm in a competitive market is:

Upward sloping.
Downward sloping.
Horizontal.
Vertical.

More output could be produced with available resources if:

Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve

According to the law of diminishing marginal utility, as the consumption of particular good increases:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases.

A demand schedule is best described as:

A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.

The price elasticity of demand measures the responsiveness of quantity demanded to:

Quantity demanded.
Quantity supplied.
Price.
Output.

Economists who are concerned about the behavior of individual households, firms and industries are studying:

Microeconomics
Macroeconomics
Positive economics
Normative economics

If the demand curve for a good is downward sloping, then the good:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.

The extra value that consumers receive above what they pay for that good is called:

Producer surplus.
Utility.
Marginal utility.
Consumer surplus.

In pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Which of the following is a characteristic of a mixed economy?

In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true.

The law of diminishing marginal utility indicates that the demand curve is:

Vertical.

U shaped.
Upward sloping.
Downward sloping.

In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:

Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

The burden of a tax is shifted toward buyers if:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities.

If the demand curve for a good is downward sloping, then the good:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.

Which of the following does NOT refer to macroeconomics?

The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.

Which of the following is considered to be a variable cost in the long run?

Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs.

If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:

Increase output.
Operate at a loss.
Shut down.
Decrease output.

If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:

Substitution effect.
Real income effect.
Income effect.
Budget effect.

The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?

200.
5Q.
5.
5 + (200/Q).

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.

We know that the demand for a good or service is inelastic if:

When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.

An individual with a constant marginal utility of income will be:

Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

A normative economic statement:

Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.

Which of the following might be considered to be a characteristic of a planned economy?

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

If consumer incomes increase, the demand for product Y:

Will necessarily remain unchanged.
Will shift to the right if Y is a complementary good.
Will shift to the right if Y is a normal good.
Will shift to the right if Y is an inferior good.

If a decrease in price increases total revenue:

Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic.

If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:

14%.
8%.
16%.
20%.

Which of the following is a characteristic of a mixed economy?

In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true.

If a firm operates in a perfectly competitive market, then it will most likely:

Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

Which of the following is TRUE about the production function?

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true.

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:

The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Which of the following best describes an inferior good?

A good for which price and quantity demanded are directly related.
A good for which price and quantity demanded are inversely related.
A good for which income and quantity demanded are directly related.
A good for which income and quantity demanded are inversely related.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:

More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

If the cost of computer components falls, then

The demand curve for computers shifts to the right.
The demand curve for computers shifts to the left.
The supply curve for computers shifts to the right.
The supply curve for computers shifts to the left.

More output could be produced with available resources if:

Resources are allocated efficiently.

Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.

The law of diminishing returns assumes:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

Production possibilities analysis assumes that:

Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way

Average physical product is equal to:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

If two goods were perfect complements, their indifference curves would be:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

The percentage change in quantity demanded given a percentage change in consumer's income is known as:

Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.

Microeconomics is the branch of economics that deals with which of the following topics?

The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors.

At any given point on an indifference curve, the the slope is equal to:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.

Demand is said to be ------------- when the elasticity of demand is less than 1.

Increasing
Decreasing
Elastic
Inelastic

We know that the demand for a good or service is inelastic if:

When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.

Which of the following is true about the entrepreneur?

An entrepreneur is an innovator.

An entrepreneur is someone who brings resources together and produces a product.
An entrepreneur is a risk taker.
All of the given options are correct.

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

Diminishing marginal returns implies:

Decreasing marginal costs.
Increasing marginal costs.
Decreasing average variable costs.
Decreasing average fixed costs.

Which of the following is true about the point on a nation's production-possibilities curve?

It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

Which of the following is true about the market mechanism?

It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

200.

5Q.
5.
5 + (200/Q).

A market is said to be in equilibrium when:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

The concept of a risk premium applies to a person that is:

Risk averse
Risk neutral
Risk loving
All of the given options

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:

20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.

At the equilibrium price:

There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

Cartels are likely to fail when:

The members adhere to their output quotas.
The non-cartel members increase output.
The members charge identical prices.
None of the given options.

pure capitalism, freedom of enterprise means that:

Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses

At the equilibrium price:

There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change.

a perfectly competitive market:

Firms can freely enter and exit.
Firms sell a differentiated product.
Transaction costs are high.
All of the given options

If a firm operates in a perfectly competitive market, then it will most likely:

Advertise its product on television.
Have difficult time obtaining information about the market price.
Settle for whatever price is offered.
Have an easy time keeping other firms out of the market.

marginal product is above the average product:

The total product will fall
The average product will rise
Average variable costs will fall
Total revenue will fall

demand curve facing a perfectly competitive firm is:

Upward sloping.
Downward sloping.
Horizontal.

Vertical.

If two goods were perfect complements, their indifference curves would be:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

The marginal rate of substitution is equal to the:

Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line

If the demand curve for a good is downward sloping, then the good:

Must be normal.
Must be inferior.
Must be Giffen.
Can be normal or inferior.

The concept of a risk premium applies to a person that is:

Risk averse
Risk neutral
Risk loving
All of the given options

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:

The demand for both Y and Z will increase.
The demand for Y will increase while the demand for Z will decrease.
The demand for Y will decrease while the demand for Z will increase.
The demand for both Y and Z will decrease.

Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:

The demand for both Y and Z will increase.
The demand for Y will increase while the demand for Z will decrease.
The demand for Y will decrease while the demand for Z will increase.
The demand for both Y and Z will decrease.

Which of the following statements describes the presence of diminishing returns.

The marginal product of a factor is positive and rising.
The marginal product of a factor is positive but falling.
The marginal product of a factor is falling and negative.
The marginal product of a factor is constant.

Which of the following defines the opportunity cost?

It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

The substitution effect of a price decrease for a good with a normal indifference curve pattern:

Is always inversely related to the price change.
Measures the change in consumption of the good that is due to the consumer's feeling of being richer.
Is measured by the horizontal distance between the original and the new indifference curves.
Is sufficient information to plot an ordinary demand curve for the commodity being considered.

The demand curve faced by an individual firm in a competitive market is:

Upward sloping.
Downward sloping.
Horizontal.
Vertical.

Price floor results in:

Equilibrium.

Excess demand.
Excess supply.
All of the given options.

In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:

Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

When government sets the price of a good and that price is below the equilibrium price, the result will be:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Which of the following is true about the point on a nation's production-possibilities curve?

It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.

It shows that resources are fully employed in producing a particular combination of goods and services.

According to the law of diminishing marginal utility, as the consumption of particular good increases:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases.

More output could be produced with available resources if:

Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

The demand curve facing a perfectly competitive firm is:

Upward sloping.
Downward sloping.
Horizontal.
Vertical.

The marginal rate of substitution is equal to the:

Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line

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Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

Price floor results in:

Equilibrium.
Excess demand.
Excess supply.
All of the given options.

A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.

Average physical product is equal to:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF

In the long run, profits will equal zero in a competitive market because of:

The availability of information.
Identical products being produced by all firms.
Constant returns to scale.
Free entry and exit

Which of the following is true about the total cost curve?

It relates output with total cost.
It is usually upward sloping.
Gets steeper as output rises, due to diminishing marginal product of an input.
All of the given options are true

The shape of production possibilities curve is:

Concave.
Convex.
Linear.
Positive.

Which best expresses the law of demand?

A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

“Each firm produces an identical product and there is freedom of entry and exit”. This is TRUE for which of the following market structures?

For Monopoly.
For Oligopoly.
For Perfect competition.
For Monopolistic competition.

Production possibilities analysis assumes that:

Resources and technology increase with production.
Resources are used to produce thousands of goods. Not sure
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options

A negatively sloped isoquant implies:

Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

In economics, the “long run” is a time period in which:

All inputs are variable.
All inputs are paid for.
All outputs are determined.
All loans are repaid.

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Scedule.

If marginal product is below average product:

The total product will fall
The average product will fall
Average variable costs will fall
Total revenue will fall

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.

Decreasing.
Elastic.
Inelastic

Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:

Demand is inelastic.
The elasticity of demand is 2.
Total revenue will decrease.
Demand is unit elastic.

Indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

The burden of a tax is shifted toward buyers if:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.
Decreasing.
Elastic.
Inelastic.

If firms in a competitive industry are experiencing losses in the short run, then:

The firms will try to raise prices.
Some firms will choose to shut down.
The industry will cease to exist.
New firms will enter the industry.

A price taker is:

A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.

Moving from left to right, the typical production possibilities curve:

Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

At any given point on an indifference curve, the slope is equal to:

Unity.
The marginal rate of substitution.
The consumer’s marginal utility.
None of the given options.

A market is said to be in equilibrium when:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

We know that the demand for a product is elastic if:

When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

Revenue is equal to:

Price times quantity.

Price times quantity minus total cost.
Price times quantity minus average cost.
Price times quantity minus marginal cost.

If two goods were perfect complements, their indifference curves would be:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

Which of the following statements describes increasing returns to scale:

Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3.
None of the given options.

Curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases then increases.

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

The numerical measurement of a consumer's preference is called:

Satisfaction.
Use.
Pleasure.
Utility.

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

200.
5Q
5.
5 + (200/Q).

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve

Insurance companies operate under the principle of:

Law of large numbers.
Law of small numbers.
Law of zero numbers.
All of the given options

The opportunity cost of an action:

Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

Which of the following is TRUE about the production function?

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true

"Decreases in aggregate demand decrease real output but leave the price level largely unaffected". This is the point of view of which of the following schools of thought?

Monetarist school of thought.
New Classical school of thought.

Real business cycle school of thought.
Keynesian school of thought.

The average propensity to consume is the ratio of:

A change in consumption to a change in disposable income.
A change in consumption to total disposable income at a specific income level.
Total consumption to total disposable income at a specific income level.
Total consumption to a change in disposable income.

It measures the percentage change in demand given a percentage change in consumer's income.

Price elasticity of demand
Income elasticity of demand
Supply price elasticity
Cross price elasticity

Which of the following concepts apply to oligopoly more than to any other market structure?

Advertising and product differentiation
Easy entry and more than one firm in the market
Homogeneous product and perfect information
Concentration and interdependence

Goods produced by oligopolistic industries are typically:

Standardized
Differentiated
Differentiated if industrial goods
Differentiated if consumer goods

(NDP), start with Gross Domestic Product and subtract:

Depreciation.
Depreciation and indirect business taxes.
Depreciation, indirect business taxes and corporate profits.
Depreciation, indirect business taxes, corporate profits and social insurance contributions

Which of the following statements is true regarding the differences between economic and accounting costs?

Accounting costs include all implicit and explicit costs.
Economic costs include implied costs only.
Accountants consider only implicit costs when calculating costs.
Accounting costs include only explicit costs.

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive, but can be resold, and are therefore an example of

a fixed cost.
a variable cost.
an implicit cost.
an opportunity cost.

Incremental cost is the same concept as -------- cost.

average
marginal
fixed
variable

Which of the following costs always declines as output increases?

average cost
marginal cost
fixed cost
average fixed cost
average variable cost

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the variable cost?

200
5Q
5
5 + (200/Q)
non of the above

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the fixed cost?

200
5Q
5
5 + (200/Q)

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the marginal cost?

200
5Q
5
5 + (200/Q)

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average total cost?

500
5Q
5
5 + (200/Q)

The total cost (TC) of producing computer software diskettes (Q) is given as: TC = 200 + 5Q. What is the average fixed cost?

500
5Q
5
none of the above

An isocost line reveals the

costs of inputs needed to produce along an isoquant.
costs of inputs needed to produce along an expansion path.
input combinations that can be purchased with a given outlay of funds.
output combinations that can be produced with a given outlay of funds.

Assume that a firm spends $500 on two inputs, labor (graphed on the horizontal axis) and capital (graphed on the vertical axis). If the wage rate is $20 per hour and the rental cost of capital is $25 per hour, the slope of the isocost curve will be

500.
25/500.
-4/5.
25/20 or 1/4.

Which of the following is NOT an expression for the cost minimizing combination of inputs?

MRTS = MPL /MPK.
MPL/w = MPK/r.
MRTS = w/r.
MPL/MPK = w/r.

When an isocost line is just tangent to an isoquant, we know that

output is being produced at minimum cost.
output is not being produced at minimum cost.
the two products are being produced at the least input cost to the firm.
the two products are being produced at the highest input cost to the firm.

Suppose that the price of labor (PL) is $10 and the price of capital (PK) is $20. What is the equation of the isocost line corresponding to a total cost of $100?

PL + 20PK
100 = 10L + 20K
100 = 30(L+K)
100 + 30 (PL + PK)
none of the above

A firm employs 100 workers at a wage rate of $10 per hour, and 50 units of capital at a rate of $21 per hour. The marginal product of labor is 3, and the marginal product of capital is 5. The firm

is producing its current output level at the minimum cost.
could reduce the cost of producing its current output level by employing more capital and less labor.
could reduce the cost of producing its current output level by employing more labor and less capital.

could increase its output at no extra cost by employing more capital and less labor.

Assume that a firm's production process is subject to increasing returns to scale over a broad range of outputs. Long run average costs over this output will tend to

increase.
decline.
remain constant.
fall to a minimum and then rise.

The cost-output elasticity is used to measure:

economies of scope.
economies of scale.
the curvature in the fixed cost curve.
steepness of the production function.

Cost-output elasticity can be written and calculated as

MC/AC.
AC/MC
(AC)(MC)
(AC)2(MC)
(AC)(MC)2.

When there are economies of scale,

MC > AC, so cost-output elasticity is greater than AC.
MC < AC, so cost-output elasticity is less than AC.
MC < AC, so cost-output elasticity is greater than 1.
MC < AC, so cost-output elasticity is less than 1.

Generally, economies of scope are present when

economies of scale are present in the production of two or more goods.
economies of scale are constant in the joint production of two products.
joint output is less from a single firm than could be achieved from two different firms each producing a single product (assuming equivalent production inputs in both situations).

joint output is greater from a single firm producing two goods than could be achieved by two

Economies of scope refer to

changes in technology.
the very long run.
multiproduct firms.
single product firms that utilize multiple plants.

Two firms, each producing different goods, can achieve a greater output than one firm producing both goods with the same inputs.   We can conclude that the production process involves

diseconomies of scope.
economies of scale.
decreasing returns to scale.
increasing returns to scale.

The fundamental problem of economics implies that:

governments must be relied upon to supply essential goods and services
inflation and unemployment are unavoidable
growing populations will deplete natural resources
individuals and communities must make choices among competing alternatives

An economy that has achieved "full production" has achieved:

Both allocative and productive efficiency
Allocative but not productive efficiency
Productive but not allocative efficiency
Neither allocative nor productive efficiency

Government authorities have managed to reduce the unemployment rate from 6% to 4% in a hypothetical economy. As a result:

the economy's production possibilities curve has shifted outward
the economy has moved downward along its production possibilities curve
the economy has moved from a point inside to a point closer to its production possibilities curve
the economy's production possibilities curve has become steeper

Consider an economy that can produce either capital goods or consumer goods. If the opportunity cost of consumer goods is always 5 capital goods, then:

the production possibilities curve is a straight line
the opportunity cost of capital goods is always 5 consumer goods
the production possibilities curve is upward sloping
the production possibilities curve is bowed inward

Which of the following would most likely shift the production possibilities curve for a nation outward?

A reduction in unemployment
An increase in the production of capital goods
A reduction in discrimination
An increase in the production of consumer goods

Margaret decides to stay home and study for her exam rather than going out with her friends to a movie. Her dilemma is an example of:

the economic perspective
marginal analysis
allocative efficiency
opportunity cost

A nation achieves "allocative efficiency" if:

it produces at a point on, rather than inside, its production possibilities curve
it produces that combination of goods most desired by society
all available resources are fully employed
marginal benefit exceeds marginal cost for every possible good

In the circular flow diagram, firms:

receive revenue and supply resources in the resource market
receive revenue and demand resources in the product market
incur costs and demand resources in the resource market
incur costs and supply goods and services in the product market

The process by which resources are transformed into useful forms is

Capitalization.
Consumption.
Allocation.
Production.

The concept of choice would become irrelevant if

Capital was eliminated.
Scarcity were eliminated.
we were dealing with a very simple, one-person economy.
poverty were eliminated.

Which of the following is not a resource as the term is used by economists?

money.
land.
buildings.
labor.

Capital, as economists use the term,

is the money the firm spends to hire resources.
is money the firm raises from selling stock.
refers to the process by which resources are transformed into useful forms.
refers to things that have already been produced that are in turn used to produce other goods and services.

Opportunity cost, most broadly define, is

the additional cost of producing an additional unit of output.
what we forgo, or give up, when we make a choice or a decision.
a cost that cannot be avoided, regardless of what is done in the future.
the additional cost of buying an additional unit of a product.

A graph showing all the combinations of goods and services that can be produced if all of society's resources are used efficiently is a

demand curve.
supply curve
production possibility frontier.

circular-flow diagram.

Periods of “less than full employment” of resources correspond to

points on the ppf.
points outside the ppf.
either points inside or outside the ppf.
points inside the ppf.

What lies is at the heart of the allocation of goods and services in a free-market economy?

Concerns of equity or equal distribution among individuals.
The order or command of the ruling government or dictator.
The wishes of consumers in the market.
The price mechanism.

The phrase 'ceteris paribus' is best expressed as

'all else equal.'
'everything affects everything else.'
'scarcity is a fact of life.'
'there is no such thing as a free lunch.'

Laboratory (or controlled) experiments cannot be performed in economics because:

of resource scarcity.
economics is a natural science.
of the difficulty of distinguishing between normative and positive statements.
economics is a social science.

Positive statements are:

value judgments
verifiable or testable
statements in the affirmative
good statements

The former Soviet Union was an example of:

a planned economy
free-market/capitalism
dictatorship
a mixed economy

Rational choice or rational decision-making involves

comparing the net benefit of a choice with the total net benefit foregone of all the alternatives combined
weighing up total costs and total benefits associated with a decision
weighing up marginal costs and marginal benefits associated with a decision
all of the above.

The PPF can be used to illustrate:

the principle of opportunity costs and increasing opportunity costs
the distinction between micro and macroeconomics
efficient, infeasible and inefficient production combinations
all of the above

The concept of "interdependence of markets" can refer to the interdependence between:

two or more factor markets
goods and factor markets
goods markets
all of the above

The 'law of demand' implies that

as prices fall, quantity demanded increases.
as prices fall, demand increases.
as prices rise, quantity demanded increases.
as prices rise, demand decreases.

What effect is working when the price of a good falls and consumers tend to buy it instead of other goods?

the substitution effect.
the ceteris paribus effect.
the total price effect.

the income effect.

The quantity demanded (Qd) of a soft drink brand A has decreased. This could be because:

A’s consumers have had an increase in income.
the price of A has increased.
A’s advertising is not as effective as in the past.
the price of rival brand B has increased.

Demand curves in P-Q space are derived while holding constant

consumer tastes and the prices of other goods.
incomes, tastes, and the price of the good.
incomes and tastes.
incomes, tastes, and the prices of other goods.

Suppose the demand for good Z goes up when the price of good Y goes down. We can say that goods Z and Y are

perfect substitutes.
unrelated goods.
complements.
substitutes.

If the demand for coffee decreases as income decreases, coffee is

a normal good.
a complementary good.
an inferior good.
a substitute good.

Which of the following will NOT cause a shift in the demand curve for compact discs?

a change in the price of pre-recorded cassette tapes.
a change in wealth.
a change in income.
a change in the price of compact discs.

Which of the following is consistent with the law of supply?

As the price of calculators rises, the supply of calculators increases, ceteris paribus.
As the price of calculators falls, the supply of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators increases, ceteris paribus.
As the price of calculators rises, the quantity supplied of calculators decreases, ceteris paribus.

The price of computer chips used in the manufacture of personal computers has fallen. This will lead to __________ personal computers.

a decrease in the supply of
a decrease in the quantity supplied of
an increase in the supply of
an increase in the quantity supplied of

When there is excess demand in an unregulated market, there is a tendency for

quantity demanded to increase.
quantity supplied to decrease.
price to fall.
price to rise.

Equilibrium in the market for good A obtains

when there is no surplus or shortage prevailing in the market
where the demand and supply curves for A intersect
when all of what is produced of A is consumed
all of the above

A shift in the demand curve (drawn in the traditional Price-Quantity space) to the left may be caused by

a decrease in supply.
a fall in income.
a fall in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

A shift in the demand curve (drawn in Income-Quantity space) to the left may be caused by

a fall in the price of a complementary good.
a fall in income.
a change in tastes such that consumers prefer the good more.
a rise in the number of substitute goods.
Assume the good is normal

A movement along the demand curve (drawn in Quantity-Price space) to the left may be caused by

an increase in supply.
a rise in income.
a rise in the price of a complementary good.
a fall in the number of substitute goods.
Assume the good is normal

When the market operates without interference, price increases will distribute what is available to those who are willing and able to pay the most. This process is known as

price fixing.
quantity setting.
quantity adjustment.
price rationing.

How many different equilibria can obtain when you allow for shifts in the demand and/or the supply curves?

2
4
8
16

What will happen to equilibrium price and quantity when the demand curve shifts to the left and the supply curve shifts to the right

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

What will happen to equilibrium price and quantity when both the demand and supply curves shift to the left

price falls unambiguously but the effect on quantity cannot be determined
both price and quantity falls unambiguously
quantity falls unambiguously but the effect on price cannot be determined
the effect on both price and quantity cannot be determined

A price ceiling imposed by the government can cause a shortage (excess demand)

when the price ceiling is above the free (or unregulated) market price
when the price ceiling is below the free (or unregulated) market price
when the price ceiling is equal to the free (or unregulated) market price
either of the above

What is the effect of imposing a fixed per unit tax on a good on its equilibrium price and quantity?

Price falls, quantity rises
Price rises, quantity falls
Both price and quantity fall
Both price and quantity rise

A price floor is

a maximum price usually set by government, that sellers may charge for a good or service.
a minimum price usually set by government, that sellers must charge for a good or service.
the difference between the initial equilibrium price and the equilibrium price after a decrease in supply.
the minimum price that consumers are willing to pay for a good or service.

The need for rationing a good arises when

there is a perfectly inelastic demand for the good.
supply exceeds demand.
demand exceeds supply.
a surplus exists.

If the “regulated-market” price is below the equilibrium (or “free-market” price) price,

the quantity demanded will be greater than quantity supplied.
demand will be less than supply.
quantity demanded will be less than quantity supplied.
quantity demanded will equal quantity supplied.

If a government were to fix a minimum wage for workers that was higher than the market-clearing equilibrium wage, economists would predict that

more workers would become employed.
there would be more unemployment.
the costs and prices of firms employing cheap labour would increase.
wages in general would fall as employers tried to hold down costs.

Alpha Corporation produces chairs. An economist working for the firm predicts that 'if people's incomes rise next year, then the demand for our chairs will increase, ceteris paribus.' The accuracy of the economist's prediction depends on whether the chairs Alpha produce

are normal goods.
have few complementary goods.
have many complementary goods.
have few substitutes.

When the decrease in the price of one good causes the demand for another good to decrease, the goods are

complements.
normal.
inferior.
substitutes.

The price elasticity of demand is the

ratio of the percentage change in quantity demanded to the percentage change in price.
ratio of the change in price to the change in quantity demanded.
ratio of the change in quantity demanded to the change in price.

ratio of the percentage change in price to the percentage change in quantity demanded.

The price of apples falls by 5% and quantity demanded increases by 6%. Demand for apples is:

inelastic.
perfectly inelastic.
elastic.
perfectly elastic.

The price of bread increases by 22% and the quantity of bread demanded falls by 25%. This indicates that demand for bread is

elastic.
inelastic.
unitarily elastic
perfectly elastic

If the cross-price elasticity of demand between two goods is negative, then the two goods are

unrelated goods.
substitutes.
complements.
normal goods.

If the quantity demanded of beef increases by 5% when the price of chicken increases by 20%, the cross-price elasticity of demand between beef and chicken is

-4.
4.
-0.25.
0.25.

The government is considering placing a tax on cigarettes to raise revenue to finance health-care projects. The demand for cigarettes is price inelastic. Which of the following statements is TRUE?

This is a very good way to raise revenue both in the short term and in the long term because there are no substitutes for cigarettes.

The tax on cigarettes will raise substantial revenue in the short term, but may not raise as much revenue as anticipated in the long term because the demand for cigarettes is likely to become more elastic over time.
This tax will not raise much revenue either in the short term or the long term since demand is price inelastic.
No tax revenue can be raised in this way because sellers of cigarettes will just lower their price by the amount of the tax and therefore the price of cigarettes to consumers will not change.

The burden (incidence) of a tax will fall mainly on the producers if:

The producers are the ones legally obliged to pay the tax.
Supply is inelastic and demand is elastic.
Demand is inelastic and supply is elastic.
There are many producers in the market.

Income elasticity of demand is the % change in quantity demanded divided by the % change in income. Which type of goods have negative income elasticity of demand?

Inferior goods.
Normal goods.
Substitute goods.
Complementary goods.

Each type of elasticity has its own set of determinants. You are given four determinants below. Match them with the three types of elasticity given:

The number and closeness of substitute goods:
Time:
The proportion of income spent on the goods:
The rate at which the desire for a good is satisfies as consumption increases:

If total revenue rises by 10% when price increases by 5%, this means:

demand is price inelastic
demand is price elastic
demand is unit elastic
demand is perfectly inelastic

If a 5% increase in price causes no change in total revenue, this means:

demand is price inelastic
demand is price elastic
demand is unit elastic
demand is perfectly inelastic

Which of the following statements is true:

Because a straight line demand curve has constant slope, price elasticity of demand will remain constant as we move along various points on the curve.
Three supply curves, with different slopes, but all originating from the origin will have different price elasticities of supply.
We only need to know the magnitude of the elasticity, not its sign, to determine whether it falls in the elastic or inelastic range
A straight line demand curve with a slope of -1 delivers unit elasticity.

When firms advertise their product, they are trying to:

Shift the demand curve to the right
Make the demand curve steeper
Make demand for the product more inelastic
All of the above

"It is possible for milk to be treated as an inferior good and a normal good by different population segments in the same economy."

False. A good can only have one characterization in an economy, normal or inferior, not both
False. Milk is always and everywhere a normal good.
True. Rich people will spend less on milk as their incomes increase, while poor people will spend more on milk as their incomes increase.
True. Some people in the economy like milk, others don't.

A lower income country, Z, that exports primary products and imports luxury goods eventually runs into balance of payments problems because:

the income elasticity of demand for Z's exports is low, while the income elasticity of demand for Z's imports is high
Z's exports grow at a slower rate than the rate of growth of the world income; Z's imports rise at a faster rate than the rate of growth of Z's income
Z's terms of trade (price of exports / price of imports) deteriorate
All of the above.

“The government of a lower income country, K, is worried that rising domestic prices will lead to higher imports and therefore cause balance of payments problems.” This most closely illustrates which elasticity concept:

Price elasticity of demand
Price elasticity of supply
Income elasticity of demand
Cross price elasticity of demand

Economists use the term utility to mean

the value of a product before it has been advertised.
the satisfaction a consumer obtains from a good or service.
any characteristic of a good or service which cannot be measured.
the contribution a good or service makes to social welfare.

Economists use the term marginal utility to mean

additional satisfaction gained divided by additional cost of the last unit.
additional satisfaction gained by the consumption of one more unit of a good.
total satisfaction gained when consuming a given number of units.
the process of comparing marginal units of all goods which could be purchased.

The law of diminishing marginal utility states that

total satisfaction will decrease as more units of the good are consumed.
the satisfaction derived from each additional unit of a good consumed will decrease.
total utility will become negative.
Both the first and third option.

By total consumer surplus economists mean (in P-Q space)

The area of the triangle formed by the demand curve, the price axis and the equilibrium price line.
the area between the average revenue and marginal revenue curves.
the difference between the maximum price the consumer is willing to pay for a good (vertical-intercept of demand curve) and the minimum price the producer is willing to sell at (vertical intercept of supply curve).
A and C.

The equation for Rida’s demand curve for bouquets of flowers is P = 40 - 2Q. If the price of a bouquet is Rs18, her consumer surplus will be

Rs198
Rs121.
Rs11.
Rs242.

The price of an ice cream cone is $1.50 and you buy three ice cream cones per week. If the price of an ice cream cone falls to $1.25 and you still buy three ice cream cones per week, which of the following is (are) correct?

The marginal utility of the fourth ice cream cone per week must be worth less than $1.25 to you.
The total utility of the four ice cream cones per week must be worth less than $5.75 (=3*$1.50 +$1.25) to you.
The total utility of the four ice cream cones per week must be less than $5.00 (3*$1.25+$1.25) to you.
None of the above.

Economists have used the idea of diminishing marginal utility to explain why

demand curves slope downwards.
demand curves become flatter at lower prices.
demand curves are inelastic.
Both the first and second option.

A consumer will buy more units of a good if the value of the good's

total utility is greater than price.
marginal utility is less than price.
marginal utility is greater than price.
total utility is less than price.

The diamond-water paradox can be explained by suggesting that the price of a product is determined by

consumer incomes.
its marginal utility.
consumer surplus.
diminishing marginal utility.

A utility-maximising consumer changes her spending on goods X and Y until

MUx = MUy
Px (MUx) = Py(MUy)
TUx/Px = TUy/Py
MUx (Py) = MUy (Px)

The MUx/MUy ratio is 10 and the Px/Py ratio is 8, so the consumer should buy

less X and more Y.
more X and more Y.
more X and less Y.
less X and less Y.

Economists define an indifference curve as the set of points

at which the consumer is in equilibrium as the consumer's income changes.
which yield the same marginal utility.
which yield the same total utility.
At which the consumer is in equilibrium as prices change.

Which of the following is a property of an indifference curve?

the marginal rate of substitution is constant as you move along an indifference curve.
marginal utility is constant as you move along an indifference curve.
it is convex to the origin.
total utility is greatest where the 45 degree line cuts the indifference curve.

The limits imposed on household choices by income, wealth, and product prices are captured by the

budget constraint.
choice set.
assumption of perfect knowledge.
preference set.

Waris has Rs5000 a week to spend on units of food and clothing. The unit price of food is Rs100 and the unit price of clothing is Rs250. Which of the following pairs of food and clothing are in the Waris's choice set?

50 units of clothing and 50 units of food.
20 units of clothing and 50 units of food.
10 units of clothing and 25 units of food.
0 units of clothing and 50 units of food.

If a household's money income is doubled,

the budget constraint will shift in and parallel to the old one.
the budget constraint is not affected.
the budget constraint will swivel outward at the Y-intercept.
the budget constraint will shift out parallel to the old one.

The curve that is traced out when we keep indifference curves constant and move the budget line parallel to its original position is

the income-consumption curve.
the Engel curve.
the demand curve.
the income-demand curve.

The curve that is traced out when we keep indifference curves constant and swivel the budget line at the Y-intercept to reflect a change the price of good X, is

the Engel curve.
the demand curve for X.
the substitution curve.
the price-consumption curve for X.

The curve that is traced out when we keep indifference curves and the total effective budget constant and only change the relative price of good X (i.e. slope of budget line) is:

the Engel curve.
the demand curve for X.
the substitution curve.
the price-consumption curve for X.

If the income and substitution effects of a price increase work in the same direction the good whose price has changed is a

inferior good.
Giffen good.
normal good.
superior good.

If the price (or budget) line has a slope of -2 and it cuts indifference curve ICa at points P and R (given that the slope of ICa at point P is -4 and at point R is -1), the consumer can maximize utility by:

choosing consumption bundle P
choosing consumption bundle R
moving to a higher indifference curve
we don't enough information to answer the question

Indifference curves cannot

be L shaped
be straight lines
intersect
all of the above

The main problem with marginal utility analysis is:

that it cannot solve problems involving more than two goods
its cardinal measurement of utility
its inability to explain the diamond-water paradox
all of the above

This question is about the demand for washing machines under uncertainty about whether the machine will turn out to be a good buy or a bad one. The odds ratio (OR) is defined as the ratio of the probability of the machine being good to the probability of the machine being bad. Let's say the OR is < 1, and the consumer does not buy the machine. What can you conclude about the consumer's attitude towards risk?

She is risk averse
She is risk neutral
She is risk loving
We do not have enough information to answer the question

The concept of diminishing marginal utility of income (DMUy) helps explain:

why a marginal dollar might have higher utility for a pauper than a millionaire
why the total utility curve (in Utility-Income space) is convex
why the average consumer is risk-averse
all of the above

“Moral hazard” and “adverse selection” are problems related to asymmetric information, that arise

in ex-ante and ex-post contexts, respectively
in ex-post and ex-ante contexts, respectively
in ex-ante contexts
in ex-post contexts

Profit-maximising firms want to maximize the difference between

total revenue and total cost.
marginal revenue and marginal cost.
marginal revenue and average cost.
total revenue and marginal cost.

Which statement is FALSE?

Fixed costs do not depend on the firm's level of output.
Fixed costs are zero if the firm is producing nothing.
Fixed costs are the difference between total costs and total variable costs.
There are no fixed costs in the long run.

Which of the following is most likely to be a variable cost for a firm?

The monthly rent on office space that it leased for a year.
The franchiser's fee that a restaurant must pay to the national restaurant chain.
The interest payments made on loans.
Workers’ wages.

The costs that depend on output in the short run are

total variable costs only.
both total variable costs and total costs.
total costs only.
total fixed cost only.

The short run, as economists use the phrase, is characterized by

a period where the law of diminishing returns does not hold.
at least one fixed factor of production, and firms neither leaving nor entering the industry.
all inputs being variable.
no variable inputs - that is all of the factors of production are fixed.

Diminishing marginal returns implies

increasing average fixed costs.
decreasing marginal costs.
decreasing average variable costs.
increasing marginal costs.

Which of the following is a correct statement about the relationship between average product (AP) and marginal product (MP)?

If AP is at a maximum, then MP is also.
If TP is declining then AP is negative.
If AP exceeds MP, then AP is falling.
If AP = MP, then total product is at a maximum.

If the total product of two workers is 80 and the total product of 3 workers is 90, then the marginal product of the third worker is _____ and the average product of the third worker is _______.

270; 160
3.33; 10
10; 30
30; 10

Engineers for Imran Bike Company have determined that a 15% increase in "all" inputs will cause a 15% increase in output. Assuming that input prices remain constant, you correctly deduce that such a change will cause _________ as output increases.

Long-run average costs to increase
Long-run marginal costs to increase
Long-run average costs to remain constant
Long-run average costs to decrease

Suppose Isa Khan's Ice Cream experiences economies of scale up to a certain point and diseconomies of scale beyond that point. Its long-run average cost curve is most likely to be

upward sloping to the right.
U-shaped.
horizontal.
downward sloping to the right.

A graph showing all the combinations of capital and labour that can be used to produce a given amount of output is

an isocost line.
a production function.
an isoquant.
an indifference curve.

The rate at which a firm can substitute capital for labour and hold output constant is the

law of diminishing marginal returns.
marginal rate of technical substitution.
marginal rate of substitution.
marginal rate of production.

A graph showing all the combinations of capital and labour available for a given total cost is the

budget constraint.
isoquant.
expenditure set.
isocost line.

The formula for average fixed costs is

dTFC/dq.
TFC/q.
q/TFC.
TFC - q.

The formula for AVC is

q/TVC.
dTVC/dq.
dq/dTVC.
TVC/q.

Marginal revenue is

the additional profit the firm earns when it sells an additional unit of output.
the added revenue that a firm takes in when it increases output by one additional unit.
the difference between total revenue and total costs.
the ratio of total revenue to quantity.

A firm in a perfectly competitive industry is producing 50 units, its profit-maximising quantity. Industry price is Rs 2,000; total fixed costs are 25,000 and average variable costs are Rs 800. The firm's economic profit is

Rs 15,000.
Rs 25,000.
Rs 35,000.
Zero.

The amount of profit a firm makes can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm’s choice of profit-maximising output can be shown on a diagram using

the AC and AR curves.
the MR and AR curves.
the AC and MC curves.
the MR and MC curves.

A firm will shut down in the short run if

total variable costs exceed total revenues.
average cost exceeds price.
total costs exceed total revenues.
it is suffering a loss.

If you were running a firm in a perfectly competitive industry you would be spending your time making decisions on

how much of each input to use.
how much to spend on advertising.
what price to charge.
the design of the product.

Market power is
a firm's ability to charge any price it likes.
a firm's ability to raise price without losing all demand for its product.
a firm's ability to sell any amount of output it desires at the market-determined price.
a firm's ability to monopolise a market completely.

When ______ substitutes exist, a monopolist has ______ power to raise price.

more; more
fewer; less
no; infinite
more; less

If a firm has some degree of market power, then output price

becomes a decision variable for the firm.
is determined by the actions of other firms in the industry.
no longer influences the amount demanded of the firm's product.
is guaranteed to be above a firm's average cost.

Relative to a competitively organised industry, a monopoly

produces less output, charges lower prices and earns economic profits.
produces more output, charges higher prices and earns economic profits.
produces less output, charges higher prices and earns economic profits.
produces less output, charges lower prices and earns only a normal profit.

The cosmetics industry is not considered by economists to be a good example of perfect competition because

firms spend a large amount of money on advertising.
profit margins are very high for both producers and retailers.
there are a very large number of firms in the industry.
there are many government health controls on cosmetic products.

If firms can neither enter nor leave an industry, the relevant time period is the

long run.
immediate run.
intermediate run.
short run.

In the long run

there are no fixed factors of production.
all firms must make economic profits.
a firm can vary all inputs, but it cannot change the mix of inputs it uses.
a firm can shut down, but it cannot exit the industry.

A normal rate of profit

is the rate of return on investments over the interest rate on risk-free government bonds.
is the rate that is just sufficient to keep owners or investors satisfied.
Means zero return for owners or investors.
is the difference between total revenue and total costs.

If Wafa Enterprises is earning a rate of return greater than the return necessary for the business to continue operations, then

total costs exceed normal profit.
the firm is earning an economic profit.
normal profit is zero.
total costs exceed total revenue.

Economic profits are

the difference between total revenue and total costs.
anything greater than the normal opportunity cost of investing.

a rate of profit that is just sufficient to keep owners and investors satisfied.
the opportunity costs of all inputs.

The slope of the marginal revenue curve is

the same as the slope of the demand curve.
half as steep as the demand curve.
twice as steep as the demand curve.
always equal to one.

In a monopoly, marginal revenue is

less than price at low levels of output and greater than price at high levels of output.
always greater than price.
lower than price for all units other than the first.
always equal to price.

Suppose we know that a monopolist is maximising her profits. Which of the following is a correct inference? The monopolist has

maximised the difference between marginal revenue and marginal cost.
maximised its total revenue.
equated marginal revenue and marginal cost.
set price equal to its average cost.

An industry that realises such large economies of scale in producing its product that single-firm production of that good or service is most efficient is called

an economies of scale monopoly.
a natural monopoly.
a government franchise monopoly.
a fixed cost monopoly.

How can a government regulate a monopoly firm making supernormal profits so that a "socially optimal" outcome obtains:

set the firm's price (and quantity) corresponding to the point where the MC curve intersects the AC curve from below.
set the firm's price (and quantity) corresponding to the point where the MC curve intersects the MR curve from below.

set the firm’s price (and quantity) corresponding to the point where the MR curve intersects the AC curve and AC>MR after that point.
set the firm’s price (and quantity) corresponding to the point where the AR curve intersects the MC curve and MC>AR after that point.

Monopolistic competition differs from perfect competition primarily because

in perfect competition, firms can differentiate their products.
in monopolistic competition, firms can differentiate their products.
in monopolistic competition, there are relatively few firms.
in perfect competition, there are no barriers to entry.

In monopolistic competition, firms achieve some degree of market power

by producing differentiated products.
because of barriers to entry into the industry.
because of barriers to exit from the industry.
by virtue of size alone.

A monopolistically competitive firm that is incurring a loss will produce as long as the price that the firm charges is sufficient to cover

advertising costs.
fixed costs.
marginal costs.
variable costs.

A firm in a monopolistically competitive industry

must lower price to sell more output.
sells a fixed amount of output regardless of price.
can sell an infinite amount of output at the market-determined price.
must raise price to sell more output.

The “long-run” equilibrium outcomes in monopolistic competition and perfect competition are similar in the sense that under both market structures

firms will only earn a normal profit.
the efficient output level will be produced in the long run.
firms will be producing at minimum average cost.
firms realise all economies of scale.

A form of industry structure characterised by a few firms each large enough to influence market price is

monopolistic competition.
monopoly.
perfect competition.
oligopoly.

When one firm in the cooking oil market started an advertising campaign that stressed the nutritional value of its cooking oil, all other cooking oil manufacturers started similar advertising campaigns. This suggests that the cooking oil market is

monopolistically competitive.
oligopolistic.
perfectly competitive.
indeterminate from this information.

An industry that has a relatively small number of firms that dominate the market is called

a natural monopoly.
a colluding industry.
a merged industry.
a concentrated industry.

Assume that firms in an oligopoly are currently colluding to set price and output to maximise total industry profit. If the oligopolists are forced to stop colluding, the price charged by the oligopolists will _______ and the total output produced will ________.

increase; decrease
increase; increase
decrease; decrease
decrease; increase

A group of firms that gets together to make price and output decisions is called

a non-collusive oligopoly.
price leadership.
a cartel.

a concentrated industry.

In which of the following circumstances would a cartel be most likely to work?

The coffee market, where the product is standardised and there are a large number of coffee growers.
The automobile industry, where there are few producers but there is great product differentiation.
The market for copper, where there are very few producers and the product is standardised.
The fast-food market, where there are a large number of producers but the demand for fast food is inelastic.

A collusive oligopoly (with a dominant price leader) will produce a level of output

that would prevail under perfect competition.
between that which would prevail under perfect competition and that which a monopolistic competitor would choose in the same industry.
between that which would prevail under perfect competition and that which a monopolist would choose in the same industry.
equal to what a monopolist would choose in the same industry.

The kinked demand curve model of oligopoly assumes that the price elasticity of demand

in response to a price increase is more than the elasticity of demand in response to a price decrease.
is constant regardless of whether price increases or decreases.
is infinite if price increases and zero if price decreases.
in response to a price increase is less than the elasticity of demand in response to a price decrease.

Price discrimination involves

firms selling different products at different prices to different consumers.
firms selling the same product at different prices to different consumers.
consumers discriminating between different sellers on the basis of the different prices they quote for different products.
consumers discriminating between different sellers on the basis of the different prices they quote for the same product.

Price discrimination often favours public interest because it

allows some products to be produced that would otherwise not be produced in the economy due to the fear of making losses.
opens consumption possibilities to consumers that would otherwise not be inaccessible (or unaffordable) if a single price prevailed in the market.
allows firms to make supernormal profits which in turn allows them to sustain price wars when breaking into new markets.
all of the above

Oligopolistic firms making their price-output decisions keeping in view the current and possible future decisions of their rival firms, is an example of:

Strategic interaction
Prisoner's dilemma
Price leadership
None of the above

Which of the following would NOT constitute a pure public good?

National defense.
A new national holiday.
Free health service.
National environmental protection.

One of the characteristics of a public good, X, is that it is "non-rival". It means:

It is not possible to exclude anyone from using (or benefiting from) X.
There is no substitute for X.
One person's use of X does not affect another person's ability to use (or benefit from) X.
None of the above.

Why might advertising exceed its socially optimal level?

Because the marginal social costs of advertising are less than the marginal private costs.
Because private firms do not or cannot incorporate marginal external costs when deciding how much to advertise.
The marginal external benefit to advertising is not taken into account by firms.
None of the above.

If MSBX > MPBX, what can the government do to align the market outcome with the social optimum:

Impose a consumption tax.
Impose a production tax.
Provide a consumption subsidy.
Provide a production subsidy

If the VMP for labour > the MRP for labour, and there is no government intervention, you can conclude that the underlying market structure is:

a monopoly.
perfect competition.
not perfect competition.
none of the above.

A backward bending labour supply curve (roughly similar in shape to an inverted C) obtains when the income effect of a wage rise (beyond a certain wage level) dominates the substitution effect. If it was also the case that the income effect of a wage reduction (below a certain wage level) dominated the substitution effect, what would the complete labour supply curve roughly look like in "wage-hours worked" space?

a 3.
an inverted 3.
an S.
an inverted S.

A firm is considering the project of buying an ice-cream producing machine costing Rs.1,000,000 that will serve for 10 years and then have a scrap value of Rs. 110,000 at the end of 10 years. If the present value of the net ice-cream sales revenues that the machine will generate is Rs.900,000, then, assuming a 10% annual discount rate:

the firm should not buy the machine because the NPV associated with the overall project is negative.
the firm should be indifferent between buying and not buying because the NPV of the overall project is zero.
The firm should buy the machine because the NPV of the overall project is positive.
None of the above.

If the quarterly rent from a house is Rs.5,000, the annual interest rate is fixed at 5%, and housing market conditions are stable, what would you expect the market price of the house to be?

Rs.100,000
Rs.200,000
Rs.400,000
Rs.800,000

There are many differences between labour and land as factors of production, for e.g.:

Labour cannot be purchased like land, it can only be rented.
There is no obvious reason why landowners will reduce the supply of land when the rental price of land goes up.
The decision to hire labour does not directly depend on the interest rate.
All of the above.

Information products are unique in that the marginal cost of __________ the product is virtually zero.

producing
distributing
accessing
all of the above

Which of the following is NOT an application of supply and demand analysis?

Understanding changing world economic conditions and their effects on prices
Evaluating the effects of government price controls on the agricultural industry
Detenrrining how taxes affect aggregate consumption spending patterns
all of the above
none of the above

A supply curve reveals:

the quantity of output consumers are willing to purchase at each possible market price.
the difference between quantity demanded and quantity supplied at each price.
the maximum level of output an industry can produce, regardless of price.

the quantity of output that producers are willing to produce and sell at each possible market price.

Plastic and steel are substitutes in the production of body panels for certain automobiles. If the price of plastic increases, with other things remaining the same, we would expect:
the price of steel to fall.
the demand curve for steel to shift to the right.
the demand curve for plastic to shift to the left.
nothing to happen to steel because it is only a substitute for plastic.
the demand curve for steel to shift to the left.

Coffee and cream:
are both luxury goods.
are complements.
are both more inelastic in demand in the long run than in the short run.
have a positive cross price elasticity of demand.

Which of the following would shift the demand curve for new textbooks to the right?

A fall in the price of paper used in publishing texts
A fall in the price of equivalent used textbooks
An increase in the number of students attending college
A fall in the price of new textbooks.

When an industry's raw material costs increase, other things remaining the same,

the supply curve shifts to the left.
the supply curve shifts to the right.
output increases regardless of the market price and the supply curve shifts upward.
output decreases and the market price also decreases.

Sugar can be refined from sugar beets. When the price of those beets falls,

the demand curve for sugar would shift right.
the demand curve for sugar would shift left.
the supply curve for sugar would shift right.
the supply curve for sugar would shift left.

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

shifts to the left.
shifts to the right.
remains constant.
shifts to the right initially and then returns to its original position.

Which of the following events will cause a leftward shift in the supply curve of gasoline?
A decrease in the price of gasoline
An increase in the wage rate of refinery workers
Decrease in the price of crude oil
An improvement in oil refining technology
all of the above

Gary Franklin is a movie critic. He invented the Franklin Scale with which he rates movies from 1 to 10 (10 being best). When asked about his scale, Mr. Franklin explained "that it is a subjective measure of movie quality. A movie with a ranking of 10 is not necessarily 10 times better than a movie with a ranking of 1, but it is better. A movie with a ranking of 5 is better than a movie with a ranking of 1, but is not as good a movie with a ranking of 10. That's all it really tells you." Based on Mr. Franklin's description, his scale is:

ordinal but not cardinal.
cardinal but not ordinal.
an objective standard to judge movies.
neither cardinal nor ordinal.

Which of the following is NOT an assumption regarding people's preferences in the theory of consumer behavior?

Preferences are complete.
Preferences are transitive.
Consumers prefer more of a good to less.
All of the above are basic assumptions about consumer preferences.

The theory of consumer behavior is based on certain assumptions. The set of four basic assumptions includes:

completeness.
transitivity.

intransitivity.
Both A and B are correct.
Both A and C are correct.

The assumption of transitive preferences implies that indifference curves must:

not cross one another.
have a positive slope.
be L-shaped.
be convex to the origin.
all of the above

As we move downward along a demand curve for apples,

consumer well-being decreases.
the marginal utility of apples decreases.
the marginal utility of apples increases.
Both A and B are true.
Both A and C are true.

The change in the price of one good has no effect on the quantity demanded of another good. These goods are:

complements.
substitutes.
both inferior.
both Giffen goods.
none of the above

The price of good A goes up. As a result the demand for good B shifts to the left. From this we can infer that:

good A is a normal good.
good B is an inferior good.
goods A and B are substitutes.
goods A and B are complements.
none of the above

An individual demand curve can be derived from the_________________ curve.

price-consumption

price-income
income-substitution
income-consumption
Engel

Which of the following claims is true at each point along a price-consumption curve?
Utility is maximized but income is not all spent.
All income is spent, but utility is not maximized.
Utility is maximized, and all income is spent.
The level of utility is constant.

Which of the following is true regarding income along a price-consumption curve?

Income is increasing.
Income is decreasing.
Income is constant.
The level of income depends on the level of utility.

Which of the following is true regarding utility along a price-consumption curve?

ft is constant.
It changes from point to point.
It changes only if income changes.
It changes only for normal goods.

The income-consumption curve

illustrates the combinations of incomes needed with various levels of consumption of a good.
is another name for income-demand curve.
illustrates the utility-maximizing combinations of goods associated with every income level.
shows the utility-maximizing quantity of some good (on the horizontal axis) as a function of income (on the vertical axis).

Which of the following pairs of goods are NOT complements?

Hockey sticks and hockey pucks
Computer CPUs and computer monitors
On-campus student housing and off-campus rental apartments

all of the above
none of the above

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Q= a – b P represents equation of
Select correct option:

Supply function
Demand function
Labor supply function
Market demand function
Refrence:
Equation of demand function is Qd= a – b P

Question # 2 of 15 (Start time: 07:08:17 PM) Total Marks: 1
Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:

The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors.
Refrence:
Microeconomics is a branch
of economics that studies how individuals, households, and firms make decisions to allocate limited
resources typically in markets where goods or services are being bought and sold. It also examines how
these decisions and behaviors affect the supply and demand for goods and services, which determines
prices, and how prices, in turn, determine the supply and demand of goods and services.

Question # 3 of 15 (Start time: 07:08:53 PM) Total Marks: 1
Which of the following is not an assumption of ordinal utility analysis?
Select correct option:

Consumers are consistent in their preference.
Consumers can measure the total utility received from any given basket of good.
Consumers are non-satiated with respect to the goods they confront.
All are necessary.

Question No: 11 (Marks: 1) - Please choose one
Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

► 50.
► 100.
► 150.
► 200.

Question No: 12 (Marks: 1) - Please choose one
Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

► Horizontal.
► Vertical.
► Negative.
► Positive.

Question No: 5 (Marks: 1) - Please choose one
An increase in supply is shown by:
► Shifting the supply curve to the left.
► Shifting the supply curve to the right.
► Upward movement along the supply curve.
► Downward movement along the supply curve.
Reference Graph :
http://www.oocities.com/economissed/graphics/cattle_supply2.GIF

Question No: 6 (Marks: 1) - Please choose one
When an industry's raw material costs increase, other things remaining the same:
► The supply curve shifts to the right.
► Output increases regardless of the market price and the supply curve shifts upward.
► Output decreases and the market price also decrease.

► The supply curve shifts to the left.

Input prices - As the prices of inputs such as labour, raw materials, and capital increase, production tends to be less profitable, and less will be produced. This leads to a decrease in supply.

Question No: 7 (Marks: 1) - Please choose one
Sugar can be refined from sugar beets. When the price of those beets falls:

► The demand curve for sugar would shift right.
► The demand curve for sugar would shift left.
► The supply curve for sugar would shift right.
► The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one
The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.
► Quantity supplied.
► Price.
► Output.

Question No: 9 (Marks: 1) - Please choose one
Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that:

► None of the given options.
► The daily supply curve for fish slopes upward.
► The daily supply curve for fish is perfectly inelastic.
► The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one
In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► The quantity supplied at two different prices, all else equal.

Question No: 1 (Marks: 1) - Please choose one
Land is best described as:

► Produced factors of production.

► "Organizational" resources.
► Physical and mental abilities of people.
► "Naturally" occurring resources.

Natural resources (economically referred to as land or raw materials) occur naturally within environments that exist relatively undisturbed by mankind, in a natural form. A natural resource is often characterized by amounts of biodiversity existent in various ecosystems.

Question No: 2 (Marks: 1) - Please choose one
While moving from left to right, the typical production possibilities curve has:

► An increasingly steep negative slope.
► A decreasingly steep negative slope.
► An increasingly steep positive slope.
► A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one
When government sets the price of a good and that price is above the equilibrium price, the result will be:

► A surplus of the good.
► A shortage of the good.
► An equilibrium.
► None of the given options.

SSurplus:

A surplus is a situation of excess supply, in which market demand falls short of the quantity

supplied; i.e. the producers are unable to sell all the produced goods in the market.

so increase in price would result in lesser demand...which creates surplus situation.

Question No: 4 (Marks: 1) - Please choose one
If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► Less ink to be demanded at each price.
► A decrease in the demand for pen.

► A rightward shift in the demand curve for ink.

Question No: 37 (Marks: 1) - Please choose one
A welfare loss occurs in monopoly where:

► The price is greater than the marginal cost.
► The price is greater than the marginal benefit.
► The price is greater than the average revenue.
► The price is greater than the marginal revenue.

Question No: 38 (Marks: 1) - Please choose one
Which of the following is NOT a factor of production?

► Labour.
► Land.
► Capital.
► Investment.

Question No: 39 (Marks: 1) - Please choose one
Which of the following does NOT refer to macroeconomics?

► The study of the aggregate level of economic activity.
► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
► The study of the cause of unemployment.
► The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one
Demand is elastic when the elasticity of demand is:
► Greater than 0 but less than 1.
► Greater than 1.
► Less than 0.

► Equal to 1.

Question No: 32 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

► A reduction in unemployment.

► An increase in the production of capital goods.

► A reduction in discrimination.

► An increase in the production of consumer goods.

Question No: 33 (Marks: 1) - Please choose one

A demand schedule is best described as:

► A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.

► A graphical representation of the law of demand.

► A systematic listing of all the variables that might conceivably bring about a change in demand.

► A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 34 (Marks: 1) - Please choose one

A partial explanation for the inverse relationship between price and quantity demanded is that a:

► Lower price shifts the supply curve to the left.

► Higher price shifts the demand curve to the left.

► Lower price shifts the demand curve to the right.

► Higher price reduces the real incomes of buyers.

Question No: 35 (Marks: 1) - Please choose one

The total utility curve for a risk neutral person will be:

► Straight line.

► Convex.

► Concave.

► None of the given options.

Question No: 26 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

► The quantity supplied at any particular price depends on the monopolist's demand curve.

► The monopolist's marginal cost curve changes considerably over time.

► The relationship between price and quantity depends on both marginal cost and average cost.

► Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

► The monopolist is maximizing profit.
► The monopolist is not maximizing profit and should increase output.
► The monopolist is not maximizing profit and should decrease output.
► The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

► Monopolists earn higher profits.
► Monopolists produce high quality goods at higher prices.
► Most of the "surplus" (producer + consumer surplus) accrues to monopolists.
► Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.

Question No: 30 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

► Charging each consumer the same two part tariff.
► Charging lower prices the greater the quantity purchased.
► The use of increasing block rate pricing.
► Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► Demand for a product.
► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 22   (Marks: 1)   - Please choose one
Total costs are the sum of:
► Marginal costs and variable costs.
► Fixed costs and variable costs.
► Fixed costs and marginal costs.
► Average variable costs and marginal costs.

Question No: 23   (Marks: 1)   - Please choose one
To find the profit maximizing level of output, a firm finds the output level where:
► Price equals marginal cost.
► Marginal revenue and average total cost.
► Price equals marginal revenue.
► None of the given options.

Question No: 24   (Marks: 1)   - Please choose one
The good produced by a monopoly:

► Has perfect substitutes.
► Has no substitutes at all.
► Has no close substitutes.
► Can be easily duplicated

Question # 4 of 15 (Start time: 07:09:40 PM) Total Marks: 1
Normally the shape of production possibilities curve is:
Select correct option:

Positive
Convex
Linear
Concave
Refrence:

the marginal rate of substitution in production is also the slope of theproduction possibilities curve. The production possibilities curve is concaveto the origin.

: Question # 5 of 15 (Start time: 07:11:04 PM) Total Marks: 1
If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:
Select correct option:

Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall.

Question # 6 of 15 (Start time: 07:11:47 PM) Total Marks: 1
The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:

Income effect.
Budget effect.
Substitution effect.
Real income effect.

Question # 7 of 15 (Start time: 07:12:36 PM) Total Marks: 1
The price elasticity of supply shows us:
Select correct option:

How steep the supply curve is.
How fast supply responds to price.
How much supply shifts when income changes.
How much quantity supplied responds to price changes.

Refrence:
PRICE ELASTICITY OF SUPPLY
The relative response of a change in quantity supplied to a relative change in price.

Question # 8 of 15 (Start time: 07:13:18 PM) Total Marks: 1
If a decrease in price increases total revenue:
Select correct option:

Demand is elastic.
Demand is inelastic.

Supply is elastic.
Supply is inelastic.

Refrence:
If an decrease in price causes a increase in total revenue, then demand can be said to be inelastic

1. In a perfectly competitive market:
   Select correct option:
   Firms can freely enter and exit.
   Firms sell a differentiated product.
   Transaction costs are high.
   All of the given options.

2. The production possibilities curve:
   Select correct option:
   Shows all combinations of goods that society most desires.
   Indicates that any combination of goods lying outside the curve is attainable.
   Shows the maximum level of output that an economy can produce with all the available resources.
   Shows only those combinations of two goods that reflect "full production".

3. Demand is elastic when the elasticity of demand is:
   Select correct option:
   Greater than 0.
   Greater than 1.
   Less than 1.
   Less than 0.
4. We know that the demand for a good or service is inelastic if:
   Select correct option:
   When price rises, quantity demanded rises.
   When price rises, quantity demanded falls.
   When price rises, total revenue rises.
   When price rises, total revenue falls.

5. A negatively sloped isoquant implies:
Select correct option:
Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products.

6. If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:
20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded.
0.2% increase in the quantity of boots demanded.

7. Question # 7 of 15 (Start time: 03:31:29 PM) Total Marks: 1
We know that the demand for a product is elastic if:
Select correct option:
When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

8. A Demand Curve is price inelastic when:
Select correct option:
Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options.

9. Which of the following is considered to be a variable cost in the long run?
Select correct option:

Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs.

10. The numerical measurement of a consumer's preference is called:
Select correct option:
Satisfaction.
Use.
Pleasure.
Utility.

11. The marginal rate of substitution is equal to the:
Select correct option:
Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line

12. Marginal Cost is defined as:Select correct option:
The derivative of Variable Cost with respect to quantity produced.
The derivative of Average Cost with respect to quantity produced.
The derivative of Total Cost with respect to quantity produced.
The derivative of Average Variable Cost with respect to quantity produced.

13. The effect of a change in income on the quantity of the good Select correct option:

Income effect.
Budget effect.
Substitution effect.
Real income effect.nsumed is called the

Question # 10 of 15 (Start time: 07:14:44 PM) Total Marks: 1
When producers are unable to meet market demand for the product, this results as:
Select correct option:

Surplus of goods
Market failure
Monopoly
Shortage of good

Question # 11 of 15 (Start time: 07:15:43 PM) Total Marks: 1
The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:

Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.
REFRENCE:

Types of Elasticity of Demand
When the change in demand is the result of the given change in income, ... When the percent change in quantity of a good demanded is less than the ... a good to a change in the income of a consumer is called income elasticity of demand.

Question # 12 of 15 (Start time: 07:16:16 PM) Total Marks: 1
If the cross price elasticity of demand between two products is -3.5, then:
Select correct option:

One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

Question # 13 of 15 (Start time: 07:17:37 PM) Total Marks: 1
The demand curve facing a perfectly competitive firm is:
Select correct option:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.

The demand curve facing a perfectly competitive firm is:
Select correct option:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve

Insurance companies operate under the principle of:

Law of large numbers.
Law of small numbers.
Law of zero numbers.
All of the given options
Handouts lecture 16
Insurance companies operate under the principle of law of large numbers.

The opportunity cost of an action:

Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

Which of the following is TRUE about the production function?

It relates inputs with output.
It generates a curve that is upward sloping.
It shows diminishing marginal product of an input, since it gets flatter as output rises.
All of the given options are true

The production function relates the output of a firm to the amount of inputs, typically capital and labor.

It is important to keep in mind that the production function describes technology, not economic behavior. A firm may maximize its profits given its production function, but generally takes the production function as a given element of that problem. (In specialized long-run models, the firm may choose its capital investments to choose among production technologies.)
Revenue is equal to:

Price times quantity.
Price times quantity minus total cost.
Price times quantity minus average cost.
Price times quantity minus marginal cost.

If two goods were perfect complements, their indifference curves would be:

Straight lines
L-shaped
Rectangular hyperbolas
Parabolic

Which of the following statements describes increasing returns to scale:

Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3.
None of the given options.

Curves that are convex to the origin reflect:

An increasing marginal rate of substitution.
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases then increases.

The curves are convex to the origin, describing the negative **substitution effect**. As price rises for a fixed money income, the consumer seeks less the expensive substitute at a lower indifference curve.

An indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

The numerical measurement of a consumer's preference is called:

Satisfaction.
Use.
Pleasure.
Utility.

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?

200.
5Q
5.
5 + (200/Q).
Handouts lecture 16
TC = FC + VC

We know that the demand for a product is elastic if:

When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

Handouts lecture 06

Elastic demand means when price of any product increases, its demand also increases more than the increase in price. As price increases total revenue decreases in case of elastic demand.
A price taker is:

A firm that accepts different prices from different customers.
A monopolistically competitive firm.
A firm that cannot influence the market price.
An oligopolistic firm.
Handouts lecture 17

Moving from left to right, the typical production possibilities curve:

Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

At any given point on an indifference curve, the slope is equal to:

Unity.
The marginal rate of substitution.
The consumer's marginal utility.
None of the given options.
Handouts lecture 11

A market is said to be in equilibrium when:

Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.
All buyers are able to find sellers willing to sell to them at the current price.

A negatively sloped isoquant implies:

Products with negative marginal utilities.
Products with positive marginal utilities.
Inputs with negative marginal products.
Inputs with positive marginal products

The principle economic difference between a competitive and a non-competitive market is:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.
The annual sales made by the largest firms in the market.

In economics, the "long run" is a time period in which:

All inputs are variable.
All inputs are paid for.
All outputs are determined.
All loans are repaid.

Handouts lecture 08
Long run is a period over which all factors can be changed and full adjustment to shocks can take place.

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

Supply Scedule.
Demand Scedule.

Quantity supplied Scedule.
Quantity demanded Scedule.

Demand schedule:
A demand schedule is a table (sometimes also referred to as a graph) which shows various combinations of quantity demanded and price.

If marginal product is below average product:

The total product will fall
The average product will fall
Average variable costs will fall
Total revenue will fall

A mathematical connection between average product and marginal product states that the change in the average product depends on a comparison between the average product and marginal product. If marginal product is less than average product, then average product declines.

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.
solution
Ped= % change in Q demand / % change in Q Price
= 6%/8%= 0.75
Where e>1 elastic
e<1 inelastic
When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.
Decreasing.
Elastic.
Inelastic
Handouts lecture 06

The law of diminishing marginal utility states:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.

The elasticity of demand is infinite.
None of the given options.

The law of diminishing marginal utility states that as you consume more and more of a
particular good, the satisfaction or utility that you derive from each additional unit falls.

Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:

Demand is inelastic.
The elasticity of demand is 2.
Total revenue will decrease.
Demand is unit elastic.

Ped= % change in Q demand / % change in Q Price
= 20%/13%= 1.53

Indifference curve is:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

In **microeconomic theory**, an indifference curve is a **graph** showing different bundles of **goods**, each measured as to quantity, between which a consumer is indifferent. That is, at each point on the curve, the consumer has no **preference** for one bundle over another. In other words, they are all equally preferred.

The burden of a tax is shifted toward buyers if:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When the price elasticity of demand for a good is greater than 1, we say that the demand is:

Increasing.
Decreasing.
Elastic.
Inelastic.

If firms in a competitive industry are experiencing losses in the short run, then:

The firms will try to raise prices.
Some firms will choose to shut down.
The industry will cease to exist.
New firms will enter the industry.
Handouts lecture 19

If firms are making losses in the short run, they will leave the industry in the long run causing supply to fall, prices to rise and normal profitability to be restored. In the long run, therefore, perfectly competitive firms can only earn normal profits.

Which best expresses the law of demand?

A higher price reduces demand.
A lower price reduces demand.
A higher price reduces quantity demanded.
A lower price shifts the demand curve to the right.

Law of demand:
The law of demand states that if the price of a certain commodity rises, its quantity demanded will go down, and vice-versa.

"Each firm produces an identical product and there is freedom of entry and exit".
This is TRUE for which of the following market structures?
Select correct option:

For Monopoly.
For Oligopoly.
For Perfect competition.
For Monopolistic competition.

Production possibilities analysis assumes that:

Resources and technology increase with production.

Resources are used to produce thousands of goods.   Not sure
Extra resources are saved for emergency use.
Resources are used in a technically efficient way.

Production possibilities is analysis of the alternative combinations of two (or more) goods that an economy can produce with existing resources and technology in a given time period.

Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

Increase hours of work
Decrease hours of work
Not change hours of work
None of the given options
Which of the following is true about the total cost curve?

It relates output with total cost.
It is usually upward sloping.
Gets steeper as output rises, due to diminishing marginal product of an input.
All of the given options are true

http://www.amosweb.com/cgi-bin/awb_nav.pl?s=wpd&c=dsp&k=total+cost+curve

The shape of production possibilities curve is:

Concave.
Convex.
Linear.
Positive.

The PPF is bowed outwards (concave to the origin) as tradeoffs between the production of any two goods are constant.
A person with a diminishing marginal utility of income:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

The degree of risk aversion increases as your income level falls, due to diminishing marginal utility of income.

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements.

Handouts Lecture 08

The demand curve facing a perfectly competitive firm is:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve.

The demand (or AR) curve for the industry is downward sloping but for any individual perfectly competitive firm, is horizontal. Thus, the firm can sell as much at the given market price. For this reason, the AR and MR curves align under perfect competition.

Average physical product is equal to:
Select correct option:

TPPF
TPPF/QF
QF / TPPF
TPPF * QF
Handouts Lecture 13

In the long run, profits will equal zero in a competitive market because of:

The availability of information.
Identical products being produced by all firms.
Constant returns to scale.
Free entry and exit

The substitution effect of a price decrease for a good with a normal indifference curve pattern:

Is always inversely related to the price change.
Measures the change in consumption of the good that is due to the consumer's feeling of being richer.
Is measured by the horizontal distance between the original and the new indifference curves.

Is sufficient information to plot an ordinary demand curve for the commodity being considered.

In a production process, all inputs are increased by 10%; but output increases more than 10%. This means that the firm experiences:

Decreasing returns to scale.
Constant returns to scale.
Increasing returns to scale.
Negative returns to scale.

Returns to scale refers to a technical property of production that examines changes in output subsequent to a proportional change in all inputs (where all inputs increase by a constant).

Price floor results in:

Equilibrium.
Excess demand.
Excess supply.
All of the given options.

The demand curve facing a perfectly competitive firm is:

Upward sloping.
Downward sloping.
Horizontal.
Vertical.

For a perfectly competitive firm with no market control, the Demand curve is a horizontal line. Because a perfectly competitive firm is a price taker and faces a horizontal demand curve, its marginal revenue curve is also horizontal and coincides with its average revenue (and demand) curve.

The marginal rate of substitution is equal to the:

Magnitude of the slope of the indifference curve
Relative price
Marginal cost of each good
Slope of the budget line

MARGINAL RATE OF SUBSTITUTION shows the average slope of the indifference curve between any two points is given by the change in the quantity of good Y divided by change in the quantity of good X.

Which of the following defines the opportunity cost?

It is measured only in rupees.

It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

Opportunity cost is the next-best choice available to someone who has picked between several **mutually exclusive** choices.

Question # 14 of 15 (Start time: 07:18:13 PM) Total Marks: 1
Which of the following is true about the entrepreneur?
Select correct option:

An entrepreneur is an innovator.
An entrepreneur is someone who brings resources together and produces a product.
An entrepreneur is a risk taker.
All of the given options are correct.

Question No: 1 (Marks: 1) - Please choose one
In pure capitalism, the role of government is best described as:
► Significant.
► Extensive.
► Nonexistent.
► Limited.

Question No: 2 (Marks: 1) - Please choose one
Ceteris paribus means:

► Equal access to public transportation.
► Other things being equal.
► Other things not being equal.
► All things considered.

Question No: 3 (Marks: 1) - Please choose one
While moving from left to right, the typical production possibilities curve has:
► An increasingly steep negative slope.
► A decreasingly steep negative slope.
► An increasingly steep positive slope.
► A constant and negative slope.

Question No: 4 (Marks: 1) - Please choose one
A market is said to be in equilibrium when:
► Demand equals output.
► There is downward pressure on price.
► The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.

► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5 (Marks: 1) - Please choose one

A demand curve is price inelastic when:

► Changes in demand are proportionately smaller than changes in price.

► Changes in demand are proportionately greater than changes in price.

► Changes in demand are equal to changes in price.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

► The coefficient of elasticity is greater than one.

► The percentage change in quantity demanded is same as the percentage change in the price.

► An increase in price will increase total revenue.

► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

► Increases at a decreasing rate.

► Decreases as long as marginal utility is negative.

► Decreases as long as marginal utility is positive.

► Is negative as long as marginal utility is decreasing.

Question No: 8 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

► Use.

► Pleasure.

► Utility.

► Satisfaction.

Question No: 9 (Marks: 1) - Please choose one

Marginal utility is best described as:

► The total satisfaction gained from the total consumption of the good.

► The change in satisfaction from consuming one additional unit of the good.

► The additional satisfaction gained by consumption of the last good.

► The per unit satisfaction of the good consumed.

Question No: 10 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► The consumer would not spend any additional income to buy more of that good.
► Consumption of additional units would have positive marginal utility.
► Total utility is minimized.
► Total utility is also zero.

Question No: 11 (Marks: 1) - Please choose one
Suppose that the price of a pizza is $10 and price of a jeans is $30. If ratio of marginal utility of pizza to marginal utility of jeans is 1/4 then to maximize total utility, a consumer should:
► Buy more pizzas and fewer jeans.
► Buy fewer pizzas and more jeans.
► Continue to buy the same quantities of pizza and jeans.
► Spend more time consuming pizza.

Question No: 12 (Marks: 1) - Please choose one
Which of the following is TRUE about price-consumption curve for good X?

► Nominal income falls as the price of X falls.
► The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
► It is always downward sloping for a normal good.
► It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

Question No: 13 (Marks: 1) - Please choose one
A production function:

► Relates inputs with output.
► Generates a curve that is upward sloping.
► Shows diminishing marginal product of an input, since it gets flatter as output rises.
► All of the given options.
Question No: 14 (Marks: 1) - Please choose one
________________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. ______________ means that as inputs are added to the production process, output increases proportionally.

► Economies of scale; constant returns to scale.
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.

Question No: 15 (Marks: 1) - Please choose one
The budget line is the boundary between:
► Preferred and non preferred consumption combinations.
► Affordable and unaffordable consumption combinations.
► Income and expenditure.
► One point on a budget line.
Question No: 16 (Marks: 1) - Please choose one
Marginal profit is equal to:
► Marginal revenue minus marginal cost.
► Marginal revenue plus marginal cost.
► Marginal cost minus marginal revenue.
► Marginal revenue times marginal cost.

Question No: 17 (Marks: 1) - Please choose one
Revenue is equal to:
► Price times quantity.
► Price times quantity minus total cost.
► Price times quantity minus average cost.
► Price times quantity minus marginal cost.

Question No: 18 (Marks: 1) - Please choose one
A perfectly competitive firm maximizes profit by finding the level of production at which:
► Price = Marginal Cost.
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

Question No: 19 (Marks: 1) - Please choose one
When a firm charges each customer the maximum price that the customer is willing to pay, the firm:
► Engages in a discrete pricing strategy.
► Charges the average reservation price.
► Engages in second-degree price discrimination.
► Engages in first-degree price discrimination.
Question No: 20 (Marks: 1) - Please choose one
A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► Monopolistically competitive.
► Oligopolistic.

Question No: 21 (Marks: 1) - Please choose one
The textbook for your class was not produced in a perfectly competitive industry because:
► There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.
► Upper-division microeconomics texts are not all alike.
► It is not costless to enter or exit the textbook industry.
► All of the given options.

Question No: 22 (Marks: 1) - Please choose one
A person with a diminishing marginal utility of income is said to be:
► Risk averse person.
► Risk neutral person.
► Risk loving person.
► None of the given options.

Question No: 23 (Marks: 1) - Please choose one
Which of the following is TRUE in a planned economy?
► Goods and services produced reflect consumer sovereignty.
► Price is relatively unimportant as a means of allocating resources.
► There is no incentive for people to work hard.
► All income is completely evenly distributed.

Question No: 24 (Marks: 1) - Please choose one
What is the assumption of constructing a production possibilities curve?

► Economic resources are underutilized.
► Resources are equally productive in many alternative uses.
► All available resources are employed efficiently.

► Production technology is allowed to vary.

Question No: 25 (Marks: 1) - Please choose one

Suppose the total utilities for the first four units of a good consumed are 13, 23, 33, and 43 respectively. What is the marginal utility of the third unit?

► 10.
► 13.
► 20.
► 33.

Question No: 26 (Marks: 1) - Please choose one

The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?

► 5Q.
► 5.
► 5 + (200/Q).
► 200.

TC = FC + VC

Question No: 27 (Marks: 1) - Please choose one

Which of the following is TRUE for the total cost of producing a given level of output?

► It is maximized when a corner solution exists.
► It is minimized when the ratio of marginal product to input price is equal for all inputs.
► It is minimized when the marginal products of all inputs are equal.
► It is minimized when marginal product multiplied by input price is equal for all inputs.

Question No: 28 (Marks: 1) - Please choose one

"Each firm produces an identical product and there is freedom of entry and exit". This is TRUE for which of the following market structures?

► For monopoly.
► For oligopoly.
► For perfect competition.
► For monopolistic competition.

Question No: 29 (Marks: 1) - Please choose one

Usually, for electric sales, the electric power company uses block pricing strategy. It is an example of:

► First-degree price discrimination.
► Second-degree price discrimination.
► Third-degree price discrimination.
► Block pricing is not a type of price discrimination.

Question No: 30 (Marks: 1) - Please choose one

If average physical product (APP) is decreasing then which of the following must be true?

► Marginal physical product is more than the average physical product.
► Marginal physical product is less than the average physical product.
► Marginal physical product is decreasing.
► Marginal physical product is increasing.
Question No: 31 (Marks: 1) - Please choose one
Which of the following statement describes decreasing returns to scale?
► Increasing the inputs by 1/4% leads to a 1/2% increase in output.
► Increasing inputs by 1/2 leads to an increase in output of 1/6.
► Doubling the inputs used leads to double the output.
► None of the given options.
Question No: 32 (Marks: 1) - Please choose one
If different firms in the oligoplistic structures do not cooperate with each other is known as

► Collusive oligopoly.
► Cartel.
► Price leadership.
► Non-collusive oligopoly.
Question No: 33 (Marks: 1) - Please choose one
Consumers can make about the rational decision by using:
► Total utility and marginal utility approach.
► Income and consumption analysis.
► Cost and benefit analysis.
► Working hours and leisure time.
Question No: 34 (Marks: 1) - Please choose one
What might be the reason of a rightward shift in the demand curve for product X?
► An increase in income if X is a normal good.
► A decrease in income if X is an inferior good.
► An increase in the price of a product that is complementary to X.
► An increase in the price of a product that is substitute to X.
MC100400618 : Azib Ali

Quiz Start Time: 10:25 PM
Time Left 87
sec(s)
Question # 7 of 15 (Start time: 10:31:36 PM) Total Marks: 1
An indifference curve is:
Select correct option:
A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.

A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Due to capacity constraints, the price elasticity of supply for most products is:
Select correct option:

The same in the long run and the short run.
Greater in the long run than in the short run.
Greater in the short run than in the long run.
Too uncertain to be estimated

Select correct option:
An individual with a constant marginal utility of income will be:
Risk averse
Risk neutral
Risk loving
Not enough information.

At the equilibrium price:
Select correct option:
There will be a shortage
There will be neither a shortage nor a surplus
There will be a surplus
There are forces that cause the price to change

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:
Select correct option:
P = MR
P = AVC
AR = MR
P = MC

In the long run, competitive firms MUST be profit maximizes, because if they do not maximize profits:
Select correct option:
They will attract new competitors.
They will not be price takers.
The profits that they do earn will only cover variable costs.
They will not survive.

If a firm pays cash to buy a building so as to have office space for its workers, the monthly opportunity cost of the building is best measured as:
Select correct option:

The price the firm paid divided by twelve.
Zero.
The rent the firm could earn if it rented the building to another firm.
The monthly mortgage payment the firm would have had to pay.

The oligopoly model that predicts that oligopoly prices will tend to be very rigid is the ______________ model.
Select correct option:

Cournot
Stackelberg
Dominant firm
kinked demand

In which market structure(s) will price exceed marginal revenue?
Select correct option:

Differentiated oligopoly and monopoly only
Standardized oligopoly and pure competition only
Monopolistic competition and monopoly only
Monopolistic competition, oligopoly, and monopoly

Feedback: Price will exceed marginal revenue in any industry in which firms face a downward-sloping demand curve. Pure competition is the only industry in which this is not the case.

An indifference curve is:
Select correct option:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

If a sales tax on beer leads to reduced tax revenue, this means:
Select correct option:
Elasticity of demand is < 1.
Elasticity of demand is > 1.
Demand is upward-sloping.
Demand is perfectly inelastic.

Question # 1 of 15 (Start time: 04:08:37 PM) Total Marks: 1
If the demand curve for a good is downward sloping, then the good:
Select correct option:
Must be normal.
Must be inferior. (Correct)
Must be Giffen.
Can be normal or inferior.

Question # 2 of 15 (Start time: 04:09:42 PM) Total Marks: 1
Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms. (Correct)
The study of the cause of unemployment.
The study of the cause of inflation.

Question # 3 of 15 (Start time: 04:10:14 PM) Total Marks: 1
Which of the following is considered to be a variable cost in the long run?
Select correct option:
Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs. (Correct)

Question # 4 of 15 (Start time: 04:11:44 PM) Total Marks: 1
If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:
Select correct option:
Increase output.
Operate at a loss.
Shut down.
Decrease output. (Correct)

Question # 5 of 15 (Start time: 04:13:00 PM) Total Marks: 1
If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:
Substitution effect.
Real income effect.
Income effect. (Correct)
Budget effect.

Question # 6 of 15 (Start time: 04:14:09 PM) Total Marks: 1
The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
200.
5Q. (Correct)
5.
5 + (200/Q).

Question # 7 of 15 (Start time: 04:14:32 PM) Total Marks: 1
If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:
20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded. (Correct)
0.2% increase in the quantity of boots demanded.

Question # 8 of 15 (Start time: 04:14:51 PM) Total Marks: 1
We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls. (Correct)
When price rises, total revenue rises.
When price rises, total revenue falls.

Question # 9 of 15 (Start time: 04:15:54 PM) Total Marks: 1
An individual with a constant marginal utility of income will be:
Select correct option:
Risk averse. (Correct)
Risk neutral.
Risk loving.
Insufficient information for a decision.

Question # 10 of 15 (Start time: 04:16:23 PM) Total Marks: 1
Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements. (Correct)

Question # 11 of 15 (Start time: 04:16:53 PM) Total Marks: 1
A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is. (Correct)
Is a statement of what will occur if certain assumptions are true.

Question # 12 of 15 (Start time: 04:17:26 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:
All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources. (Correct)
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

Question # 13 of 15 (Start time: 04:18:01 PM) Total Marks: 1
If consumer incomes increase, the demand for product Y:
Select correct option:
Will necessarily remain unchanged.
Will shift to the right if Y is a complementary good.
Will shift to the right if Y is a normal good. (Correct)
Will shift to the right if Y is an inferior good.

Question # 14 of 15 (Start time: 04:18:44 PM) Total Marks: 1
If a decrease in price increases total revenue:
Select correct option:
Demand is elastic.
Demand is inelastic.
Supply is elastic. (Correct)
Supply is inelastic.

Question # 15 of 15 (Start time: 04:19:34 PM) Total Marks: 1
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
14%.
8%. (Correct)
16%.

20%.

MC100400618 : Azib Ali

Quiz Start Time: 10:25 PM
Time Left 89
sec(s)
Question # 5 of 15 (Start time: 10:28:41 PM) Total Marks: 1
The law of diminishing returns assumes:
Select correct option:
There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.

A market is said to be in equilibrium when:
Select correct option:
Supply equals Price.
There is downward pressure on price.
The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price. (Correct)
All buyers are able to find sellers willing to sell to them at the current price.

Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:
It shows an undesirable combination of goods and services.
It shows the combinations of production that are unattainable, given current technology and resources. (Correct)
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.
At any given point on an indifference curve, the the slope is equal to:
Select correct option:
Unity.
The marginal rate of substitution. (Correct)
The consumer’s marginal utility.
None of the given options.

When an industry's raw material costs increase, other things remaining the same:
Select correct option:
The supply curve shifts to the left. (Correct)

The supply curve shifts to the right.
Output increases regardless of the market price and the supply curve shifts upward.
Output decreases and the market price also decrease.

We know that the demand for a product is elastic if:
Select correct option:
When price rises, revenue rises.
When price rises, revenue falls. (Correct)
When price rises, quantity demanded rises.
When price falls, quantity demanded rises.

The cross elasticity of demand of complements goods is:
Select correct option:
Less than 0. (Correct) (See page#21)
Equal to 0.
Greater than 0.
Between 0 and 1.

If the income elasticity of demand is 1/2, the good is:
Select correct option:
A luxury.
A normal good (but not a luxury).
An inferior good. (Correct)
A Giffen good.

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:
Supply Scedule.
Demand Scedule. (Correct)
Quantity supplied Scedule.
Quantity demanded Scedule.

Revenue is equal to:
Select correct option:
Price times quantity.
Price times quantity minus total cost. (Correct)
Price times quantity minus average cost.
Price times quantity minus marginal cost.

Ref:

http://books.google.com/books?id=HehV-mY1SkQC&pg=PA74&lpg=PA74&dq=%22Price+times+quantity+minus+total+cost%22&source=bl&ots=swW0dWryXG&sig=L87

The concave shape of the production possibilities curve for two goods X and Y illustrates:
Select correct option:
Increasing opportunity costs for both goods. (Correct)
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.

komaljn238: A new technology which reduces costs for firms:
Select correct option:
Shifts the supply curve to the right. (Correct)
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.

According the law of diminishing returns:
Select correct option:
The marginal product falls as more units of a variable factor are added to a fixed factor. (Correct)
Marginal utility falls as more units of a product are consumed.
The total product falls as more units of a variable factor are added to a fixed factor.
The marginal product increases as more units of a variable factor are added to a fixed factor.

Assume that the current market price is above the market clearing level. We would expect:
Select correct option:
A shortage to accumulate.
Downward pressure on the current market price. (Correct)
Upward pressure on the current market price.
Lower production during the next time period.

We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises. (Correct)
When price rises, total revenue falls.

A "Giffen good" is defined as one for which:
Select correct option:
Marginal utility is zero.
The demand curve is perfectly elastic.
The substitution effect is positive.
The demand curve is positively sloped. (Correct)

Assume Leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:
Select correct option:

Increase hours of work
Decrease hours of work (Correct)
Not change hours of work
None of the given options

If two goods were perfect complements, their indifference curves would be:
Select correct option:

Straight lines
L-shaped (Correct)
Rectangular hyperbolas
Parabolic

If two goods were perfect complements, their indifference curves would be:
Select correct option:

Straight lines (Correct)
L-shaped
Rectangular hyperbolas
Parabolic

Which of the following statements describes increasing returns to scale:
Select correct option:
Doubling the inputs used leads to double the output.
Increasing the inputs by 50% leads to a 25% increase in output.
Increasing inputs by 1/4 leads to an increase in output of 1/3. (Correct)
None of the given options.

curves that are convex to the origin reflect:

Select correct option:

An increasing marginal rate of substitution. (Correct)
A decreasing marginal rate of substitution.
A constant marginal rate of substitution.
A marginal rate of substitution that first decreases then increases.

An indifference curve is:
Select correct option:

A collection of market baskets that are equally desirable to the consumer.
A collection of market baskets that the consumer can buy.
A curve whose elasticity is constant for every price.
A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent. (Correct)
The numerical measurement of a consumer's preference is called:
Select correct option:

Satisfaction.
Use.
Pleasure.
Utility. (Correct)

An individual with a constant marginal utility of income will be:
Select correct option:

Risk averse. (Correct)
Risk neutral.
Risk loving.
Insufficient information for a decision.

Our economy is characterized by:
Select correct option:

Unlimited wants and needs. (Correct)
Unlimited material resources.
No energy resources.
Abundant productive labor.

Our economy is characterized by:
Select correct option:

Unlimited wants and needs.   (Correct
Unlimited material resources.
No energy resources.
Abundant productive labor.

At any given point on an indifference curve, the the slope is equal to:
Select correct option:

Unity.
The marginal rate of substitution. (Correct)
The consumer's marginal utility.
None of the given options.

The law of diminishing returns assumes:
Select correct option:

There are no fixed factors of production.
There are no variable factors of production.
Utility is maximised when marginal product falls.
Some factors of production are fixed.   (Correct)

The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:

Price elasticity of demand.
Income elasticity of demand. (Correct)
Supply price elasticity.
Cross price elasticity.

A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right. (Correct)
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price

A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right. (Correct)

Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price

The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
Select correct option:

200.
5Q.
5.
5 + (200/Q).   (Correct)

The demand curve facing a perfectly competitive firm is:
Select correct option:

The same as its average revenue curve but not the same as its marginal revenue curve.
The same as its average revenue curve and its marginal revenue curve.
(Correct)
The same as its marginal revenue curve but not its average revenue curve.
Not the same as either its marginal revenue curve or its average revenue curve

Insurance companies operate under the principle of:
Select correct option:

Law of large numbers. (Correct)
Law of small numbers.
Law of zero numbers.
All of the given options

MC100400618 : Azib Ali

Quiz Start Time: 10:25 PM
Time Left 88
sec(s)
Question # 4 of 15 (Start time: 10:28:17 PM) Total Marks: 1
The demand price of a customer for one unit of a good is Rs. 50 and the market price is Rs. 40, consumer surplus will be:
Select correct option:
Rs. 10
Rs.-10
Rs. 90
Rs 1.20
Refrence:
Consumer surplus is the difference between the maximum price a consumer is willing to pay and the actual price they do pay
MC100400618 : Azib Ali

Quiz Start Time: 10:25 PM
Time Left 88
sec(s)
Question # 3 of 15 (Start time: 10:27:47 PM) Total Marks: 1
Which of the following is considered to be a variable cost in the long run?
Select correct option:
Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs.

Solved by afaaq shani bhai adeel

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ECO401 current paper (May 2010)

Today Paper (26-05-2010)

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 2)
Time: 60 min
Marks:Question No: 1 (Marks: 1) - Please choose one
Which of the following is a normative statement?

► Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
► The minimum wage should not be increased, because to do so would increase unemployment.
► Smoking should be restricted on all airline flights.
► All of the given options.
Question No: 2 (Marks: 1) - Please choose one
Ceteris paribus means:

► Equal access to public transportation.
► Other things being equal.
► Other things not being equal.
► All things considered.

Question No: 3 (Marks: 1) - Please choose one
An increase in supply is shown by:
► Shifting the supply curve to the left.
► Shifting the supply curve to the right.
► Upward movement along the supply curve.
► Downward movement along the supply curve.
Question No: 4 (Marks: 1) - Please choose one
Which of the following is calculated as the percentage change in quantity demanded of a given good with respect to the percentage change in the price of another good?

► Price elasticity of demand.
► Income elasticity of demand.
► Cross price elasticity of demand.
► Price elasticity of supply.
Question No: 5 (Marks: 1) - Please choose one
In order to calculate the price elasticity of supply, you need to know:

► Two prices and two quantities supplied.
► The slope of the supply curve.
► The equilibrium price and quantity in the market.
► The quantity supplied at two different prices, all else equal.
Question No: 6 (Marks: 1) - Please choose one
Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► Utility.
► None of the given options.
Question No: 7 (Marks: 1) - Please choose one
If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

► The consumer's indifference curve must be positively sloped.
► The consumer's indifference curve must be convex with respect to the origin of the graph.
► The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal ½.
► All of the given options.
Question No: 8 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

► **An increase in the slope of the budget line.**
► A decrease in the slope of the budget line.
► **An increase in the intercept of the budget line**.
► A decrease in the intercept of the budget line.
Question No: 9 (Marks: 1) - Please choose one
The income effect of a price change:

► Is always positive.
► Is always negative.
► **May be positive or negative.**
► Is associated with a change in nominal income.
Question No: 10 (Marks: 1) - Please choose one
Which of the following is considered to be a variable cost in the long run?

► Expenditures for wages.
► Expenditures for research and development.
► Expenditures for raw materials.
► **All of the given options.**
Question No: 11 (Marks: 1) - Please choose one
________________ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. ______________ means that as inputs are added to the production process, output increases proportionally.

► **Economies of scale; constant returns to scale.**
► Constant returns to scale; decreasing returns to scale.
► Decreasing returns to scale; economies of scale.
► Economies of scale; decreasing returns to scale.
Question No: 12 (Marks: 1) - Please choose one
If isoquants are straight lines, it means that:
► Only one combination of inputs is possible.
► There is constant returns to scale.
► Inputs have fixed costs at all use rates.
► **The marginal rate of technical substitution of inputs is constant.**
Question No: 13 (Marks: 1) - Please choose one
Costs determine all of the following EXCEPT:

► **Demand for a product.**

► Firm's behaviour.
► How firms should expand?
► Firm's profitability.

Question No: 14 (Marks: 1) - Please choose one

At the profit-maximizing level of output, marginal profit:

► Is positive.
► **Is increasing.**
► Is zero.
► Is also maximized.

Question No: 15 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price <>

Question No: 16 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

► **High costs.**
► Low costs.
► Equal costs.
► None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Cartels are likely to fail when:

► The members adhere to their output quotas.
► The non-cartel members increase output.
► The members charge identical prices.
► **None of the given options.**

Question No: 18 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.
► A lower price reduces demand.
► **A higher price reduces quantity demanded.**
► A lower price shifts the demand curve to the right.

Question No: 19 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

► Independent.
► Complements.
► Substitutes.
► Inferior.
Question No: 20 (Marks: 1) - Please choose one
If the income elasticity of demand is 1/2, the good is:

► A luxury.
► A normal good (but not a luxury).
► An inferior good.
► A Giffen good.
Question No: 21 (Marks: 1) - Please choose one
If the demand curve for a good is downward sloping, then the good:
► Must be inferior.
► Must be giffen.
► Can be normal or inferior.
► Must be normal.
Question No: 22 (Marks: 1) - Please choose one
What is meant by freedom of enterprise in pure capitalism?
► It means that businesses are free to produce products that consumers want.
► It means that consumers are free to buy goods and services that they want.
► It means that resources are distributed freely to businesses.
► It means that government is free to direct the actions of businesses.
Question No: 23 (Marks: 1) - Please choose one
What questions are related with explanation? What questions are related with what ought to be?
► Positive, negative.
► Negative, normative.
► **Normative, positive.**
► Positive, normative.
Question No: 24 (Marks: 1) - Please choose one
Which of the following will happen if the current market price is set below the market clearing level?
► There will be a surplus to accumulate.
► There will be downward pressure on the current market price.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.
Question No: 25 (Marks: 1) - Please choose one
What is meant by the term utility?

► Useless.
► Require.
► Necessary.
► Satisfaction.
Question No: 26 (Marks: 1) - Please choose one
The total cost (TC) function is given as: TC = 200 + 5Q. What is the variable cost?
► 5Q.
► 5.
► 5 + (200/Q).
► 200.
Question No: 27 (Marks: 1) - Please choose one
Which of the following is NOT included in the perfect information assumption of perfect competition?
► Consumers know their preferences.
► Consumers know their income levels.
► Consumers know the prices available.
► Consumers can anticipate price changes.
Question No: 28 (Marks: 1) - Please choose one
Which of the following is TRUE for third-degree price discrimination?
► Charging different prices to different groups based upon differences in elasticity of demand.
► Charging each consumer the same two part tariff.
► The use of increasing block rate pricing.
► Charging lower prices the greater the quantity purchased.
Question No: 29 (Marks: 1) - Please choose one
The government can regulate monopolies to ensure that they set a price where the AR curve intersects the
► Marginal revenue curve.
► Average variable cost.
► Marginal cost curve.
► None of the given options.
Question No: 30 (Marks: 1) - Please choose one
A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of
► Perfect competition.
► First-degree price discrimination.
► Monopoly.
► Second-degree price discrimination.
Question No: 31 (Marks: 1) - Please choose one
When different prices are charged to customers who purchase different quantities, this is an example of

► **Second-degree price discrimination.**
► First-degree price discrimination.
► Monopoly.
► Perfect competition.
Question No: 32 (Marks: 1) - Please choose one
The demand curve for eggs is downward-sloping. Suddenly the price of eggs decreases from Rs.60/- per dozen to Rs.50/- per dozen. This will cause:

► The demand curve for eggs to shift leftward.
► Quantity demanded of eggs to decrease.
► **The demand curve for eggs to shift rightward.**
► Quantity demanded of eggs to increase.
Question No: 33 (Marks: 1) - Please choose one
Slope and elasticity of demand have

► A direct relation.

► **An inverse relationship.**

► No relation between slope and elasticity.
► None of the given options.

Question No: 34 (Marks: 1) - Please choose one
If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:
► **The marginal utility for the consumption of the fifth unit.**
► The marginal utility for the consumption of the sixth unit.
► The total utility for the consumption of the first five units.
► The average utility for the consumption of the first five units.
Question No: 35 (Marks: 3)
Why the monopolists produce lower quantities at higher prices compared to perfectly competitive firms?
Ans:
1) Large initial fixed cost is involved
2) Product differentiation or drabd loyalty
3) Monopolistic controls the supply of key factors of production

Question No: 36 (Marks: 5)
Write down any five situations in which cartel can survive?

Ans:

1) Cartel can survive when number of firms is small.
2) When the collusion is tacit or hidden not explicit.
3) The products are homogeneous.
4) Industry is sable
5) There is opening among the firms regarding their production process.
6) Government's strictness in implementing antitrust law.

Question No: 37 (Marks: 5)
Differentiate between external economies of scale and external diseconomies of scale with the help of examples.

Ans:

External economies: These are the benefits which are accured to any firm in the presence of other firms. For example setting of credit information bureaus by bank , advertising by industry such as rival industry.
Discovery of new techniques.
This type of economy occurs when an industry is heavily concentrated in a particular area.
Economies is available to all firms for example construction of roads

External diseconomies of scale :
These are the forces which causes the large firms to produce goods and services at increased per unit costs.
This type of scale occurs when an industry grows larger and shortage of skilled laor taking place and shortage of raw materials are the types of external diseconomies.
When a firm become large then supervision of workers become difficult and problem is created for management is taking place which cause adverse effect on efficiency.
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Question # 1 of 15 (Start time: 01:24:42 PM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:
Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information.

We know that the demand for a product is elastic if:
Select correct option:

When price rises, revenue rises.
When price rises, revenue falls.
When price rises, quantity demanded rises.
When price falls, quantity demanded rises

The demand for chicken is downward-sloping. Suddenly the price of chicken rises from Rs. 130 per kg to Rs. 140 per kg. This will cause:
Select correct option:

The demand curve of chicken to shift to the right.
The demand curve of chicken to shift to the left.
Quantity demanded of chicken to increase.
Quantity demanded of chicken to decrease

A Demand Curve is price inelastic when:
Select correct option:

Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options

the income elasticity of demand is 1/2, the good is:
Select correct option:

A luxury.
A normal good (but not a luxury).
An inferior good.
A Giffen good.

It is expected that the sign of cross price elasticity of demand between two complementary goods would be:
Select correct option:

Positive.
Negative.
Zero.
Ambiguous.

A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:

Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

we observe that the production possibilities curve becomes steeper as we move down along the curve, then:
Select correct option:

Opportunity costs are increasing.
Society's resources are limited.
Society's wants are unlimited.
Society's wants are unlimited.

The burden of a tax is shifted toward buyers if:
Select correct option:

Demand is perfectly elastic.
Demand is relatively more elastic than supply.
Demand is relatively more inelastic than supply.
Demand and supply have equal elasticities

When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Our economy is characterized by:
Select correct option:

Unlimited wants and needs.
Unlimited material resources.
No energy resources.
Abundant productive labor.

Moving from left to right, the typical production possibilities curve:
Select correct option:

Is horizontal.
Has a constant positive slope.
Illustrates increasing opportunity costs.
Illustrates decreasing opportunity costs

When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:

Increasing.
Decreasing.
Elastic.
Inelastic.

Microeconomics is the branch of economics that deals with which of the following topics?
Select correct option:

The behavior of individual consumers
Unemployment and interest rates
The behavior of individual firms and investors
The behavior of individual consumers and behavior of individual firms and investors

law of diminishing marginal utility states:
Select correct option:

The supply curve slopes upward.
Your utility grows at a slower and slower rate as you consume more and more units of a good.
The elasticity of demand is infinite.
None of the given options.

Question # 1 of 15 (Start time: 09:41:00 PM) Total Marks: 1
Which of the following is true about the market mechanism?
Select correct option:

It is not a very efficient means of communicating consumer demand to the producers of goods and services.
It works through central planning by government.
It eliminates market failures created by government.
It works because prices serve as a means of communication between consumers and producers.

Question # 2 of 15 (Start time: 09:42:19 PM) Total Marks: 1
Goods X and Y are complements while goods X and Z are substitutes. If the supply of good X increases:
Select correct option:

The demand for both Y and Z will increase
The demand for Y will increase while the demand for Z will decrease
The demand for Y will decrease while the demand for Z will increase
The demand for both Y and Z will decrease

Question # 3 of 15 (Start time: 09:43:27 PM) Total Marks: 1
The percentage change in quantity demanded of a given good, with respect to the percentage change in the price of "another" good is called:
Select correct option:

Price elasticity of demand.
Income elasticity of demand.
Cross price elasticity of demand.
Supply price elasticity.

Question # 5 of 15 (Start time: 09:45:17 PM) Total Marks: 1
Marginal utility is best described as:
Select correct option:

The additional satisfaction gained by consumption of the last good.
The per unit satisfaction of the good consumed.
The total satisfaction gained from the total consumption of the good.
The change in satisfaction from consuming one additional unit of the good.

Question # 6 of 15 (Start time: 09:46:17 PM) Total Marks: 1
The principle economic difference between a competitive and a non-competitive market is:
Select correct option:

The number of firms in the market.
The extent to which any firm can influence the price of the product.
The size of the firms in the market.

The annual sales made by the largest firms in the market

Question # 7 of 15 (Start time: 09:47:45 PM) Total Marks: 1
Which of the following does NOT refer to macroeconomics?
Select correct option:

The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
The study of the cause of unemployment.
The study of the cause of inflation.

Question # 8 of 15 (Start time: 09:48:27 PM) Total Marks: 1
The concave shape of the production possibilities curve for two goods X and Y illustrates:
Select correct option:

Increasing opportunity costs for both goods.
Increasing opportunity cost for good X but not for good Y.
Increasing opportunity cost for good Y but not for good X.
Constant opportunity costs for both goods.

Question # 9 of 15 (Start time: 09:49:03 PM) Total Marks: 1
While drawing a given market demand curve,------------- is not considered constant.
Select correct option:

Income.
The price of the good in question.
The prices of related goods.
Preferences.

Question # 10 of 15 (Start time: 09:50:32 PM) Total Marks: 1
A Demand Curve is price inelastic when:
Select correct option:

Changes in demand are proportionately smaller than those in price.
Changes in demand are proportionately greater than those in price.
Changes in demand are equal than those in price.
None of the given options

Question # 11 of 15 (Start time: 09:50:58 PM) Total Marks: 1
A new technology which reduces costs for firms:
Select correct option:

Shifts the supply curve to the right.
Shifts the supply curve to the left.
Reduces the equilibrium quantity.
Raises the equilibrium price.

Question # 12 of 15 (Start time: 09:52:11 PM) Total Marks: 1
The law of increasing opportunity costs states that:
Select correct option:

The more one is willing to pay for resources, the larger will be the possible level of production.
Increasing the production of a particular good will cause the price of the good to rise.
In order to produce additional units of a particular good, it is necessary for society to sacrifice increasingly larger amounts of alternative goods.
Only by keeping production constant can rising prices be avoided.

Question # 13 of 15 (Start time: 09:53:32 PM) Total Marks: 1
A rational person does not act unless:
Select correct option:

The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.

Question # 14 of 15 (Start time: 09:54:58 PM) Total Marks: 1
The effect of a change in income on the quantity of the good consumed is called the:
Select correct option:

Income effect.
Budget effect.
Substitution effect.
Real income effect

Question # 15 of 15 (Start time: 09:55:32 PM) Total Marks: 1
The opportunity cost of an action:
Select correct option:

Will be the same for everyone.
Is the value of the next best alternative.
Measures the undesirable aspects of that action.
Is the average amount of unhappiness experienced by everyone involved.

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Question # 1 of 15 (Start time: 09:56:31 PM) Total Marks: 1
Price elasticities are measured in percentage terms because:
Select correct option:

It makes students' lives more complicated.
The resulting measure is unit free.
It gives a more accurate answer.
The answer is always negative that way

Question # 2 of 15 (Start time: 09:57:54 PM) Total Marks: 1
Other things being equal, expected income can be used as a direct measure of well-being:
Select correct option:

No matter what a person's preference to risk.
If and only if individuals are not risk-loving.
If and only if individuals are risk averse.
If and only if individuals are risk neutral.

Question # 3 of 15 (Start time: 09:59:18 PM) Total Marks: 1
Demand is said to be ------------ when the elasticity of demand is less than 1.
Select correct option:

Increasing
Decreasing
Elastic
Inelastic

Question # 4 of 15 (Start time: 10:00:07 PM) Total Marks: 1
A nation's production possibilities curve is "bowed out" from the origin because:
Select correct option:

Resources are not perfectly shiftable between productions of the two goods.
Capital goods and consumer goods utilize the same production technology.
Resources are scarce relative to human wants.
Opportunity costs are decreasing.

Question # 6 of 15 (Start time: 10:01:37 PM) Total Marks: 1
If the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:

There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium.

Question # 7 of 15 (Start time: 10:02:27 PM) Total Marks: 1
Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:

The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements

Question # 8 of 15 (Start time: 10:03:33 PM) Total Marks: 1
An individual with a constant marginal utility of income will be:
Select correct option:

Risk averse.
Risk neutral.
Risk loving.
Insufficient information for a decision

Question # 10 of 15 (Start time: 10:04:59 PM) Total Marks: 1
The numerical measurement of a consumer's preference is called:
Select correct option:

Satisfaction.
Use.
Pleasure.
Utility.

Question # 11 of 15 (Start time: 10:05:40 PM) Total Marks: 1
Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:

All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources.
Goods and services produced reflect consumer sovereignty.
There is no incentive for people to work hard.

Question # 12 of 15 (Start time: 10:06:31 PM) Total Marks: 1
The concept of a risk premium applies to a person that is:
Select correct option:

Risk averse
Risk neutral

Risk loving
All of the given options

Question # 13 of 15 (Start time: 10:07:37 PM) Total Marks: 1
According to the law of diminishing marginal utility, as the consumption of particular good increases:
Select correct option:

Total utility increases.
Marginal utility increases.
Total utility decreases.
Marginal utility decreases

Question # 14 of 15 (Start time: 10:08:23 PM) Total Marks: 1
The extra value that consumers receive above what they pay for that good is called:
Select correct option:

Producer surplus.
Utility.
Marginal utility.
Consumer surplus.

Question # 15 of 15 (Start time: 10:09:13 PM) Total Marks: 1
The study of economics basically focuses on:
Select correct option:

For whom resources are allocated to increase efficiency.
How society spends the income of individuals.
How scarce resources are allocated to fulfill society's goals.
What scarce resources are used to produce goods and services.

Question # 1 of 15 (Start time: 10:10:44 PM) Total Marks: 1
Production possibilities analysis assumes that:
Select correct option:

Resources and technology increase with production.
Resources are used to produce thousands of goods.
Extra resources are saved for emergency use.
Resources are used in a technically efficient way

Question # 4 of 15 (Start time: 10:14:28 PM) Total Marks: 1
Consider two commodities X and Y. If the cross-elasticity of demand is positive, it means the goods are:
Select correct option:

Independent.
Complements.
Substitutes.
Inferior.

Question # 5 of 15 (Start time: 10:15:42 PM) Total Marks: 1
A normative economic statement:
Select correct option:

Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is.
Is a statement of what will occur if certain assumptions are true.

Question # 6 of 15 (Start time: 10:16:28 PM) Total Marks: 1
Which of the following will happen if there is an increase in the long term economic growth?
Select correct option:

The production possibilities curve will shift outward.
The production possibilities curve will shift inward.
There will be a movement from inside the production possibilities curve to a point on the production possibilities curve.
There will be a movement from the production possibilities curve to a point inside the production possibilities curve.

Question # 8 of 15 (Start time: 10:19:24 PM) Total Marks: 1
Which of the following is a characteristic of a mixed economy?
Select correct option:

In mixed economy, resources are governed by both government and individuals.
Mixed economy utilizes the characteristics of both market economy and planned economy to allocate goods and services.
People are free to make their decisions and government controls the Defence.
All of the given options are true.

Question # 9 of 15 (Start time: 10:20:19 PM) Total Marks: 1
The cross elasticity of demand of complements goods is:
Select correct option:

Less than 0.
Equal to 0.
Greater than 0.
Between 0 and 1

Question # 10 of 15 (Start time: 10:21:07 PM) Total Marks: 1
If the cross price elasticity of demand between two products is +3.5, then:
Select correct option:

One of the products is expensive and one is relatively inexpensive.
One product is a normal good and the other is an inferior good.
The two products are complements.
The two products are substitutes.

Question # 12 of 15 (Start time: 10:23:43 PM) Total Marks: 1
The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:
Select correct option:

Positive.
Strictly linear.
Flat.
Negative.

Question # 13 of 15 (Start time: 10:24:49 PM) Total Marks: 1
When government sets the price of a good and that price is above the equilibrium price, the result will be:
Select correct option:

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good.

Question # 14 of 15 (Start time: 10:26:09 PM) Total Marks: 1
Economists who are concerned about the behavior of individual households, firms and industries are studying:
Select correct option:

Microeconomics
Macroeconomics
Positive economics
Normative economics

Question # 15 of 15 (Start time: 10:27:14 PM) Total Marks: 1
The law of diminishing marginal utility:
Select correct option:

Refers to the decrease in total satisfaction as more units of the good are consumed.
Refers to the fall in additional satisfaction created by consumption of more and more.

Refers to the units of a good.
Refers to the idea that total utility is negative

Question # 12 of 15 (Start time: 10:40:18 PM) Total Marks: 1
A partial explanation for the inverse relationship between price and quantity demanded is that a:
Select correct option:

Lower price shifts the supply curve to the left.
Higher price shifts the demand curve to the left.
Lower price shifts the demand curve to the right.
Higher price reduces the real incomes of buyers.

Question # 13 of 15 (Start time: 10:41:45 PM) Total Marks: 1
We know that the demand for a good or service is inelastic if:
Select correct option:

When price rises, quantity demanded rises.
When price rises, quantity demanded falls.
When price rises, total revenue rises.
When price rises, total revenue falls.

Question # 15 of 15 (Start time: 10:44:19 PM) Total Marks: 1
A person with a diminishing marginal utility of income:
Select correct option:

Will be risk averse.
Will be risk neutral.
Will be risk loving.
Cannot decide without more information

Question # 2 of 15 (Start time: 10:48:49 PM) Total Marks: 1
More output could be produced with available resources if:
Select correct option:
Resources are allocated efficiently.
Resources are imperfectly shiftable among alternative uses.
Prices are reduced.
The economy is operating at a point inside the production possibilities curve

Question # 3 of 15 (Start time: 10:50:18 PM) Total Marks: 1
Which of the following is true about the point on a nation's production-possibilities curve?
Select correct option:
It shows an undesirable combination of goods and services.

It shows the combinations of production that are unattainable, given current technology and resources.
It shows the level of production that will cause both unemployment and inflation.
It shows that resources are fully employed in producing a particular combination of goods and services.

uestion # 4 of 15 (Start time: 10:51:28 PM) Total Marks: 1
If a decrease in price increases total revenue:
Select correct option:
Demand is elastic.
Demand is inelastic.
Supply is elastic.
Supply is inelastic.

Question # 5 of 15 (Start time: 10:52:55 PM) Total Marks: 1
The law of diminishing marginal utility indicates that the demand curve is:
Select correct option:
Vertical.
U shaped.
Upward sloping.
Downward sloping.

Question # 8 of 15 (Start time: 10:56:00 PM) Total Marks: 1
Suppose price rises from Rs. 15 to Rs. 17 and quantity demanded decreases by 20%. We can conclude:
Select correct option:
Demand is inelastic.
The elasticity of demand is 2.
Total revenue will decrease.
Demand is unit elastic.

Question # 9 of 15 (Start time: 10:57:25 PM) Total Marks: 1
If the supply of a product decreases and supply curve shifts leftward, and the demand for that product simultaneously increases and demand curve shifts rightward, then equilibrium:
Select correct option:
Price must rise.
Price must fall.
Quantity must rise.
Quantity must fall.

Question # 10 of 15 (Start time: 10:58:55 PM) Total Marks: 1
An individual whose attitude towards risk is known as:
Select correct option:
Risk averse.

Risk loving.
Risk neutral.
None of the given is necessarily correct.

Question # 11 of 15 (Start time: 11:00:07 PM) Total Marks: 1
A rational person does not act unless:
Select correct option:
The action is ethical.
The action produces marginal costs that exceeds marginal benefits.
The action produces marginal benefits that exceeds marginal costs.
The action makes money for the person.

Question # 12 of 15 (Start time: 11:00:49 PM) Total Marks: 1
A demand schedule is best described as:
Select correct option:
A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.
A graphical representation of the law of demand.
A systematic listing of all the variables that might conceivably bring about a change in demand.
A symbolic representation of the law of demand: P, Q and P, Q.

When the price elasticity of demand for a good is greater than 1, we say that the demand is:
Select correct option:
Increasing.
Decreasing.
Elastic.
Inelastic.

there is a price ceiling, there will be:
Select correct option:

Shortages.
Surpluses.
Equilibrium.
None of the given options

the quantity supplied of mangoes exceeds the quantity demanded of mangoes:
Select correct option:

There is a shortage of mangoes.
Market forces will cause the price to fall.
Market forces will cause the price to rise.
The market is in equilibrium

Price floor results in:
Select correct option:

Equilibrium.
Excess demand.
Excess supply.
All of the given options

When the price of petrol rises by 8%, the quantity of petrol purchased falls by 6%. This shows that the demand for petrol is:
Select correct option:

Perfectly elastic.
Unit elastic.
Price elastic.
Price inelastic.

Which of the following defines the opportunity cost?
Select correct option:

It is measured only in rupees.
It is the cost to society of producing the goods.
It is the difficulty associated with using one good in place of another.
It is the cost of next best alternative forgone.

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:
Select correct option:

Supply Scedule.
Demand Scedule.
Quantity supplied Scedule.
Quantity demanded Schedule

When government sets the price of a good and that price is below the equilibrium price, the result will be:
Select correct option: olzz

A surplus of the good.
A shortage of the good.
An increase in the demand for the good.
A decrease in the supply of the good

At the equilibrium price:
Select correct option:

There will be a shortage.
There will be neither a shortage nor a surplus.
There will be a surplus.
There are forces that cause the price to change

If the equilibrium price of bread is Rs. 3 and the government imposes Rs. 2 price ceiling on the price of bread then:
Select correct option:

More bread will be produced to meet the increased demand.
There will be a shortage of bread.
The demand for bread will decrease because suppliers will reduce their supply.
A surplus of bread will emerge.

The production possibilities curve:
Select correct option:

Shows all combinations of goods that society most desires.
Indicates that any combination of goods lying outside the curve is attainable.
Shows the maximum level of output that an economy can produce with all the available resources.
Shows only those combinations of two goods that reflect "full production".

The percentage change in quantity demanded given a percentage change in consumer's income is known as:
Select correct option:

Price elasticity of demand.
Income elasticity of demand.
Supply price elasticity.
Cross price elasticity.

If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:

Substitution effect.
Real income effect.
Income effect.
Budget effect.

If your demand price for one unit of a good is Rs. 100 and the market price is Rs. 75, your consumer's surplus will be:
Select correct option:

Rs.25.
Rs.50.
Rs.75.
Rs.100.

Suppose the price of railway ticket decreases, what will happen in the market for airline travel?
Select correct option:

The demand curve for airline travel shifts left.
The demand curve for airline travel shifts right.
The supply curve of airline travel shifts left.
The supply curve of airline travel shifts right.

What is the reason of leftward shift in the demand curve for product A?
Select correct option:

A decrease in income if A is an inferior good.
An increase in income if A is a normal good.
An increase in the price of a product that is a close substitute for A.
An increase in the price of a product that is complementary to A

If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
14%.
8%.
16%.
20%.

In pure capitalism, freedom of enterprise means that:
Select correct option:
Businesses are free to produce products that consumers want.
Consumers are free to buy goods and services that they want.
Resources are distributed freely to businesses that want them.
Government is free to direct the actions of businesses.

In a free-market economy, the allocation of resources is determined by:
Select correct option:
Votes taken by consumers.
A central planning authority.
Consumer preferences.
The level of profits of firms.

MIDTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 6)

Ref No: 1374601
Time: 60 min
Marks: 47

Student Info	
StudentID:	MC090405969
Center:	OPKST
ExamDate:	5/26/2010 12:00:00 AM

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									
Q No.	33	34	35	36	37	-	-	-	
Marks									

Asslam O Alikum
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0346-5329264
If u like me than raise your hand with me
If not than raise ur standard
That’s about me … !

Question No: 1 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

► An increase in the price of ink.
► **Less ink to be demanded at each price.**
► A decrease in the demand for pen.
► A rightward shift in the demand curve for ink.

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

► **Inferior good.**
► Complementary good.
► Normal good.
► None of the given options.

Question No: 3 (Marks: 1) - Please choose one

At the equilibrium price:

► There will be a shortage.
► **There will be neither a shortage nor a surplus.**
► There will be a surplus.
► There are forces that cause the price to change.

Question No: 4 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

► Demand equals output.
► There is downward pressure on price.
► **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**
► All buyers are able to find sellers willing to sell to them at the current price.

Question No: 5 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

► When price rises, total revenue rises.
► **When price rises, total revenue falls.**
► When income rises, quantity demanded rises.
► When income falls, quantity demanded rises.

Question No: 6 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

► Nature of the good (luxury versus necessity).
► Availability of close substitutes.

► Share of consumer's budget and passage of time.
► **All of the given options.**

Question No: 7 (Marks: 1) - Please choose one
As more of a good is consumed, then total utility typically:
► Increases at a decreasing rate.
► Decreases as long as marginal utility is negative.
► Decreases as long as marginal utility is positive.
► **Is negative as long as marginal utility is decreasing.**

Question No: 8 (Marks: 1) - Please choose one
Which of the following is the term that economists use to describe how consumers rank different goods and services?

► Satisfaction index.
► Goodness.
► **Utility.**
► None of the given options.

Question No: 9 (Marks: 1) - Please choose one
The extra value that consumers receive above what they pay for that good is called:

► Producer surplus.
► Utility.
► Marginal utility.
► **Consumer surplus.**

Question No: 10 (Marks: 1) - Please choose one
A risk-averse individual has:

► A diminishing marginal utility of income.
► An increasing marginal utility of risk.
► An increasing marginal utility of income.
► **A diminishing marginal utility of risk.**

Question No: 11 (Marks: 1) - Please choose one
As long as all prices remain constant, an increase in money income results in:

► **An increase in the slope of the budget line.**
► A decrease in the slope of the budget line.
► An increase in the intercept of the budget line.
► A decrease in the intercept of the budget line.

Question No: 12 (Marks: 1) - Please choose one
Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

► Increase hours of work.
► **Decrease hours of work.**
► Not change hours of work.
► None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The budget line is the boundary between:

► Preferred and non preferred consumption combinations.
► **Affordable and unaffordable consumption combinations.**
► Income and expenditure.
► One point on a budget line.

Question No: 14 (Marks: 1) - Please choose one

An isoquant curve shows:

► **All the alternative combinations of two inputs that yield the same maximum total product.**
► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
► None of the given options.

Question No: 15 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**
► Price = Average Total Cost.
► Average Total Cost = Marginal Cost.
► Price < Marginal Cost.

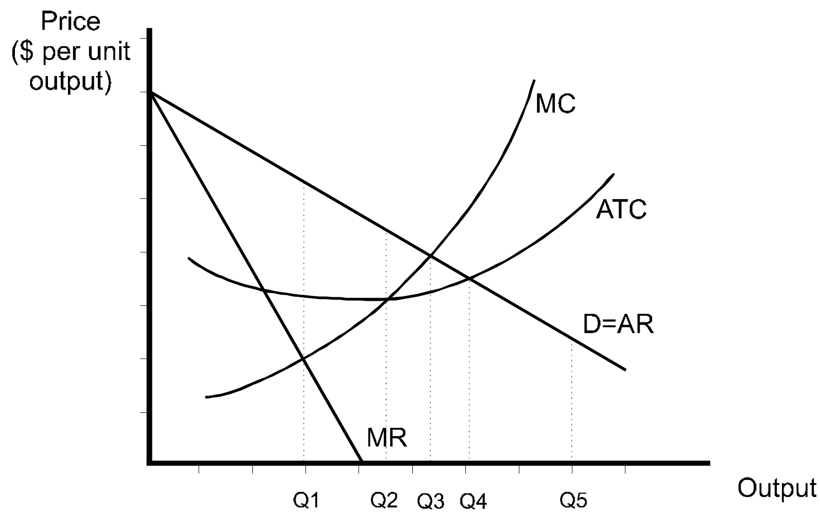
Question No: 16 (Marks: 1) - Please choose one

Compared to the equilibrium price and quantity sold in a competitive market, a monopolist will charge a _______________ price and sell a _______________ quantity.

► Higher; larger.
► Lower; larger.
► **Higher; smaller.**
► Lower; smaller.

Question No: 17 (Marks: 1) - Please choose one

For the monopolist shown below, the profit maximizing level of output is:



► **Q1.**
► Q2.
► Q3.
► Q4.

Question No: 18 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

► Purely competitive.
► A monopoly.
► **Monopolistically competitive.**
► Oligopolistic.

Question No: 19 (Marks: 1) - Please choose one

If the income elasticity of demand is 1/2, the good is:

► A luxury.
► **A normal good (but not a luxury).**
► An inferior good.
► A Giffen good.

Question No: 20 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

► Labour.
► Land.
► Capital.
► **Investment.**

Question No: 21 (Marks: 1) - Please choose one
Under monopoly, when the demand curve is downward sloping, marginal revenue is:

- ► Equal to price.
- ► Equal to average cost.
- ► Less than price.
- ► More than price.

Question No: 22 (Marks: 1) - Please choose one
Production possibilities curve will shift downward if there is:
- ► Immigration of skilled workers into the nation.
- ► An increase in the size of the working-age population.
- ► **A decrease in the size of the working-age population.**
- ► Increased production of capital goods.

Question No: 23 (Marks: 1) - Please choose one
Production possibilities curve will shift upward if there is:
- ► A reduction in unemployment.
- ► **An increase in the production of capital goods.**
- ► A reduction in discrimination.
- ► All of the given options.

Question No: 24 (Marks: 1) - Please choose one
Which of the following occur when an isocost line is just tangent to an isoquant?
- ► **Output is being produced at minimum cost.**
- ► Output is not being produced at minimum cost.
- ► The two products are being produced at the medium input cost to the firm.
- ► The two products are being produced at the highest input cost to the firm.

Question No: 25 (Marks: 1) - Please choose one
Which of the following is TRUE about L-shaped isoquant?
- ► **It indicates that the firm could switch from one output to another costlessly.**
- ► It indicates that the firm could not switch from one output to another.
- ► It indicates that capital and labor cannot be substituted for each other in production.
- ► It is impossible.

Question No: 26 (Marks: 1) - Please choose one
Suppose that 90 units of output are produced by using 15 units of labor. Which of the following is TRUE in this context?
- ► The marginal product of labor is 6.
- ► The total product of labor is 1/6.
- ► **The average product of labor is 6.**
- ► None of the given options.

Question No: 27 (Marks: 1) - Please choose one

The following table shows a firm's total product of labor. What is the marginal product of labor between second and third unit of labor?

Table

Quantity of Labor	Total Product
1	0
2	100
3	230

► 100 units
► **130 units**
► 110 units
► 230 units

Question No: 28 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

► **It shifts farther away from the origin of the graph.**
► It shift inward.
► It shifts outward.
► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

What will happen if current output is more than the profit-maximizing output?

► The next unit produced will increase profit.
► The next unit produced will decrease revenue more than it increases cost.
► The next unit produced will decrease cost more than it increases revenue.
► **The next unit produced will increase revenue without increasing cost.**

Question No: 30 (Marks: 1) - Please choose one

A price maker is:

► A firm that accepts different prices from different customers.
► A monopolistically competitive firm.
► An oligoplistic firm.
► **A firm that can individually influence the market price.**

Question No: 31 (Marks: 1) - Please choose one

A reduced price may be offered if you buy two t-shirts instead of just one. This is an example of

► Perfect competition.
► First-degree price discrimination.
► Monopoly.
► **Second-degree price discrimination.**

Question No: 32 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

► Heterogeneous products.
► Large competition.
► **Homogeneous products.**
► Less demand in market.

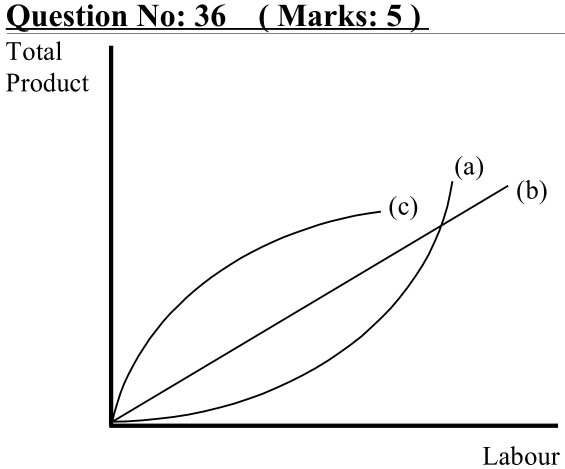
Question No: 33 (Marks: 1) - Please choose one
If the current market price is set above the market clearing level then which of the following will happen:

► There will be downward pressure on the current market price.
► There will be upward pressure on the current market price.
► There will be lower production during the next time period.
► **There will be a surplus to accumulate.**

Question No: 34 (Marks: 1) - Please choose one
If an increase in price increases the total revenue then:
► **Demand is elastic.**
► Demand is inelastic.
► Supply is elastic.
► Supply is inelastic.

Question No: 35 (Marks: 3)
What will be the role of fims in case of maximin strategy and maximax strategy regarding profit?

Question No: 36 (Marks: 5)



A. In the above figure, total product of labour curves are drawn for three different cases. Identify what do the curves (a), (b) and (c) show about marginal product of labour.

B. What is the relationship between marginal product of labor curve and total product of labor curve?

(Marks: 3+2)

Question No: 37 (Marks: 5)

Fill in the missing figures in the table given below:

Q	P=AR	TR	MR
1	9		
2	8		
3	7		
4	6		
5	5		

ECO 401 MIDTERM PAPERS **Solved by Afaaq Shani bhai n Adeel**

Remember Us In Your Prayers

Best regard's

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If u like me than raise your hand with me

If not than raise ur standard

That's about me … !